

From invisible to investible: An investment taxonomy for climate adaptation

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Executive Summary



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Janina Rothfuss-Weiler
Senior Associate
janina.rothfuss@allianz.com



Leyla Javadova
Senior Associate
leyla.javadova@allianz.com

- Exposure to climate risk is rising sharply but unevenly across hazards and regions.** Global warming continues to accelerate, with 2025 the third-warmest year on record, reinforcing warnings that the +1.5°C threshold could be reached as early as 2030. As a consequence, global natural catastrophe losses have risen roughly fourteen-fold since 1970, reflecting intensifying hazards and rising exposure as urbanization, asset concentration and populations expand in risk-prone areas. Risk is increasing unevenly across hazards and regions: flood exposure is rising fastest in Southeast Asia, the Middle East and North Africa; wildfire exposure has grown markedly in North America; heat stress is expanding across Africa and Asia and drought risk remains concentrated in already water-stressed regions.
- The sharp increase in uninsured losses poses a growing risk to public finances and adaptation spending should triple to be commensurate with the needs.** While the share of uninsured losses has remained broadly stable, their absolute scale has increased sharply as climate damages rise, leaving a growing volume of losses unprotected and hundreds of millions without effective financial coverage. Protection gaps exceed 80% in several major economies, including Mexico, South Africa, Italy, India and China. Governments often absorb part of these losses through ad hoc support, but reliance on such measures risks shifting rising climate liabilities onto public balance sheets and increasing fiscal pressures. Large extreme-weather events have been found to worsen fiscal balances by between 0.2% and 1.1% of GDP, though average impacts on EU and OECD economies have been more limited due to stronger institutions and broader insurance coverage. At the same time, insurers are transferring climate risk to capital markets through catastrophe bonds, with issuance reaching record levels in 2025 and supported by strong investor demand, raising questions about the financialization of climate risk in the absence of scaled adaptation and public risk-sharing. Adaptation expenditure represents a form of preventive fiscal policy. However, current combined public and private sector spending in Europe stands at approximately 0.3% of GDP, well below the estimated requirement. Projections indicate that investment would need to triple to 0.9% of GDP to adequately address adaptation needs across the EU-27 and the UK, corresponding to an additional EUR67.5bn in annual expenditure.

- **Mobilizing capital for climate adaptation at the required scale remains constrained by a set of deep structural barriers.** Fiscal space in many European economies is limited, restricting the public co-investment needed to crowd in private finance. Policy frameworks remain fragmented across jurisdictions, creating regulatory uncertainty that discourages long-term private commitments. Investment cases for adaptation are underdeveloped: projects often lack bankable structures, established track records and the financial modelling that institutional investors require. Compounding this, physical climate-risk disclosure remains inconsistent, data on adaptation outcomes is scarce and, unlike mitigation, the benefits of adaptation are context-specific and difficult to measure and verify. Together, these frictions make adaptation an opaque and commercially challenging asset class for private investors. Addressing these barriers requires action across multiple fronts: agile and coordinated policy frameworks, stronger project pipelines, improved risk-sharing mechanisms, better data infrastructure and more robust investment cases. Within this broader agenda, classification and transparency are foundational – investors and governments cannot coordinate effectively around an asset class they cannot clearly define or track.
- **A shared taxonomy of climate adaptation would provide a critical first step by establishing a common language, reducing ambiguity and making adaptation spending more visible in financial markets.** This would help the private sector identify investment opportunities, support the development of new financial instruments and limit greenwashing and “adaptation-washing”. We develop a taxonomy of 61 adaptation measures, drawing on and consolidating existing frameworks, and classify them according to their underlying economic and financial characteristics – particularly the extent to which benefits can be monetized and captured by private actors. This yields a differentiated mapping of financing modalities: 38% of measures are primarily public, notably large-scale infrastructure and system-level resilience; 23% are primarily private, concentrated in scalable, innovation-driven segments such as cooling technologies and climate analytics and 39% fall into public–private territory, highlighting the central role of risk-sharing mechanisms. Importantly, these shares reflect the distribution of adaptation measures, not the allocation of investment volumes, which vary significantly across activities and remain difficult to quantify consistently. Rather than providing a capital split, the taxonomy offers a structural framework to understand investability and guide the respective roles of public, private and blended finance.



Current climate losses, protection gaps and rising future exposure

The year 2025 has been confirmed as the third-warmest on record, following the record-breaking years of 2023 and 2024 and a decade of unprecedented temperature highs. This trend reinforces scientific warnings that the Earth system is approaching the +1.5°C threshold, potentially as early as 2030, nearly a decade sooner than previously projected¹. This acceleration of climate change is manifesting through profound and persistent disruptions to weather patterns, hazard intensities and the stability of natural systems. These physical shifts are increasingly translating into economic damages, as reflected in the evolution of global natural catastrophe losses. An analysis of historical loss data (Figure 1a) shows that total losses worldwide have increased by approximately fourteen-fold between 1970 and 2024. This surge is driven by the combined effects of more frequent and severe climate-related hazards and a structural rise in exposure due to rapid urbanization, asset concentration and population growth in risk-prone areas.

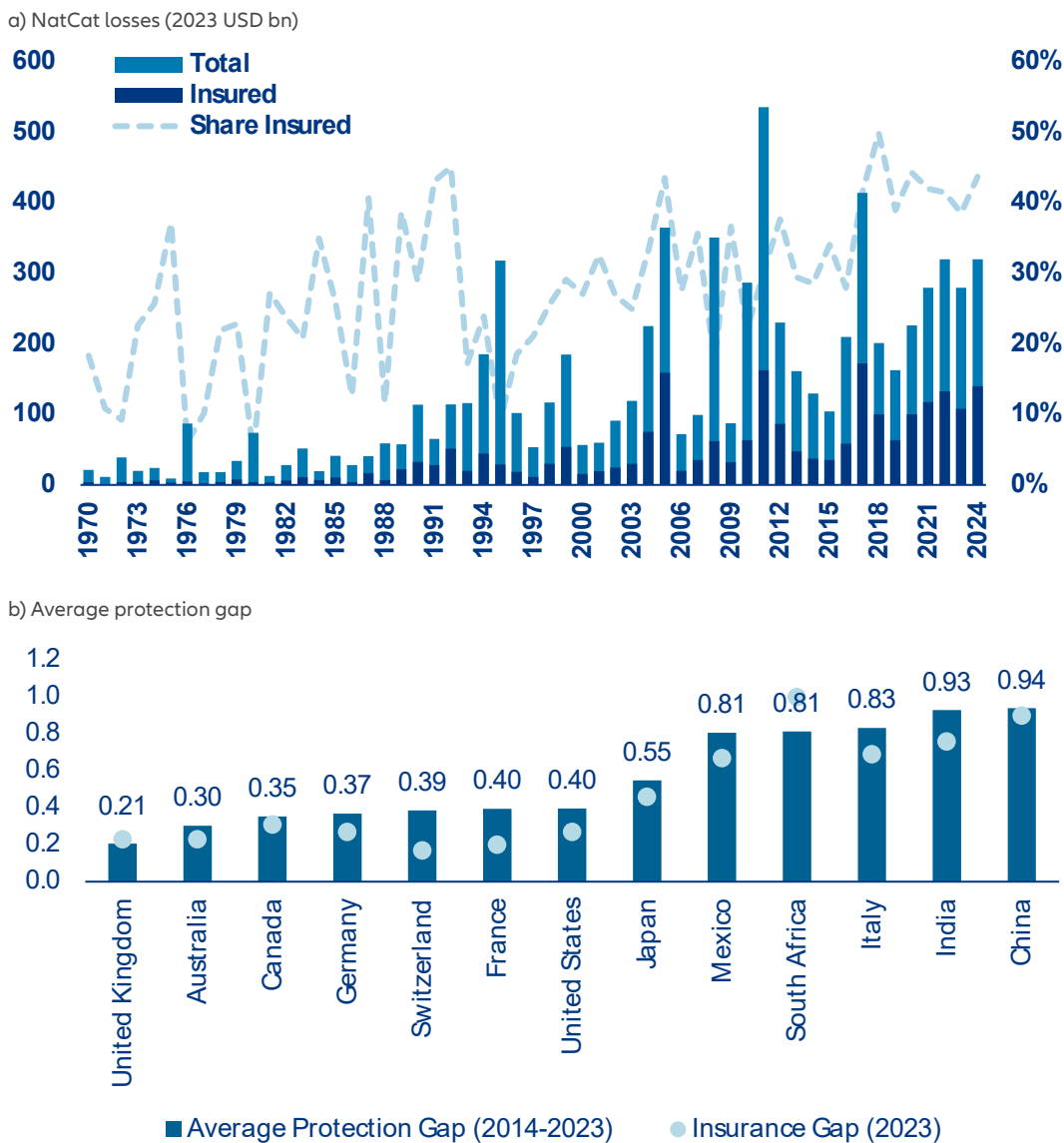
While the share of uninsured losses has remained broadly stable over time, their absolute volume has increased sharply as total climate-related losses continue to rise. As a result, a growing amount of economic damage remains unprotected, leaving hundreds of millions of people without effective financial coverage against climate shocks. Figure 1b highlights stark cross-country disparities in insurance coverage, with protection gaps exceeding 80% in several major economies, including Mexico (81%), South Africa (81%), Italy (83%), India (93%) and China (98%). In many cases, these gaps are partially absorbed through ad hoc state-based mechanisms, which can provide short-term relief and social stabilization. However, in the absence of a coherent risk-financing and adaptation strategy, this approach risks transferring mounting climate liabilities onto public balance sheets, thereby amplifying fiscal pressures and long-term debt vulnerabilities.

¹ [Earth to breach 1.5C warming a decade early, scientists say](#)

This dynamic is increasingly translating into material macro-financial risks, particularly for insurance markets that play a foundational role in economic and financial stability. One prominent response to the increasing climate risks has been the rapid expansion of catastrophe bonds, through which climate risks are increasingly shifted from insurance balance sheets to capital markets, with issuance reaching record levels in 2025². Strong investor demand has been supported

by attractive risk-adjusted returns, with a Swiss Re industry index of catastrophe bonds delivering a 14% return over the past year and cumulative gains exceeding 50% over the past five years. While this trend enhances insurers’ short-term resilience, it also raises critical policy questions regarding the growing financialization and redistribution of climate risk, particularly in the absence of sufficiently scaled mitigation, adaptation and public risk-sharing frameworks.

Figure 1: Global development in NatCat losses



Sources: national, Allianz Research

² Catastrophe bond sales hit record as insurers offload climate risks

This widening protection gap has a direct fiscal counterpart. Climate disasters do not only generate uninsured losses, they also have an adverse impact on sovereign balance sheets through higher emergency and reconstruction expenditure, damage to public infrastructure and weaker tax revenues as output production is disrupted. Cross-country evidence from the ECB³ finds that large extreme-weather events worsen fiscal balances by between 0.23% and 1.1% of GDP, although historical average effects for EU and OECD economies were more muted, largely because stronger institutions, deeper financial systems and broader insurance penetration partially cushioned the shock. Yet recent evidence indicates that such protection should not be overstated in the European case: The IMF⁴ finds that climate-related human and economic costs are already significant across Europe and especially acute in Central and Eastern Europe, where disaster shocks are more likely to translate into persistent macroeconomic damage. Moreover, recent empirical work for EU countries shows that climate shocks can materially weaken fiscal balances and worsen debt-sustainability indicators, particularly in countries with limited fiscal space (Gagliardi et al., 2022)⁵. Under these conditions, adaptation is preventive fiscal policy. Climate-resilient infrastructure lowers disaster losses, limits medium-term scarring and supports stronger debt dynamics than post-disaster repair. IMF simulations suggest that highly exposed European economies may need to allocate 2–2.5% of GDP annually to adaptation in the near term, which is a significant fiscal commitment. However, early and sustained investment reduces the climate exposure by 2040, lowering the required spending over time and limiting the cumulative economic impact of climate damages. The simulations further indicate that debt sustainability is better preserved when adaptation

spending is paired with concessional funding and improvements in public investment efficiency, making the upfront cost a more favorable proposition than delayed action.

Looking ahead, climate exposure will be rising fast – and unevenly – dramatically expanding the populations and economies at risk from floods, fires, heat and drought (Figure 2). To capture the future exposure, we develop a methodology that quantifies the evolution of exposure of population to major climate hazards, fluvial floods, wildfires, heat stress and drought, using geospatial weighted aggregation over the 2030–2050 horizon (see Appendix A1 for methodological details). Fluvial flood exposure rises most dramatically in Southeast Asia and the MENA region, where the exposed population is projected to increase by 253% and 180%, respectively, between 2030 and 2050. This surge reflects the combined effects of rapid economic expansion, accelerating urbanization in flood-prone zones, and intensifying precipitation extremes. Wildfire exposure also expands markedly, particularly in Northern America, where the number of people exposed is expected to double. In contrast, heat-stress exposure grows more moderately in relative terms but affects a far broader geographic base. The Middle Africa and East and Southeast Asia are projected to see population exposure increases of around 18–20%, reinforcing projections that link rising heat extremes to mounting labor productivity losses and adverse health outcomes. Drought exposure, while showing more modest aggregate growth rates, exhibits persistent increases across Africa, the Middle East and parts of Latin America, regions already characterized by structural water scarcity and limited adaptive capacity.

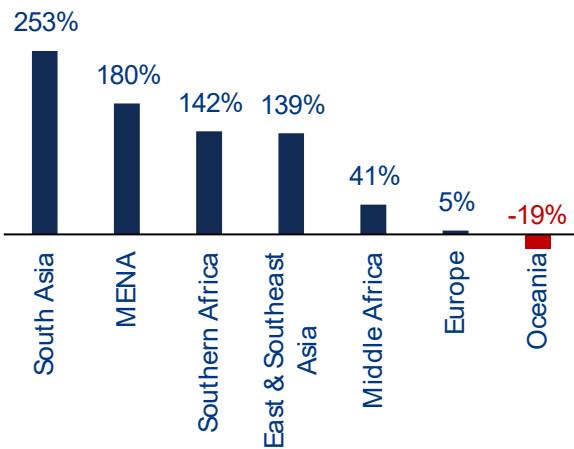
³ [The impact of extreme weather events on budget balances and implications for fiscal policy](#)

⁴ [Weathering Tomorrow: Climate Analogues and Adaptation Gaps in Europe, WP/24/109, May 2024](#)

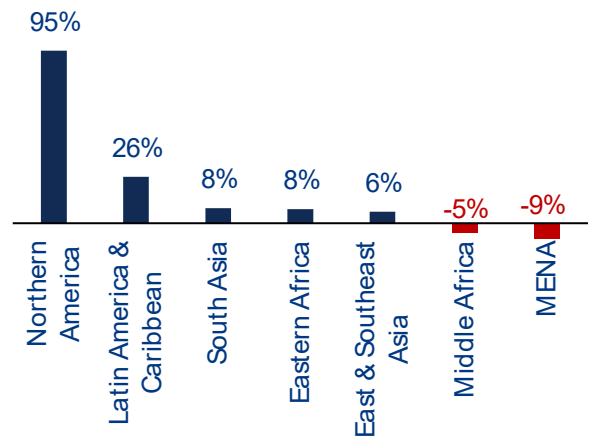
⁵ [The Fiscal Impact of Extreme Weather Events: Stress Tests for EU Countries](#)

Figure 2: Increasing need for climate adaptation driven by higher exposure between 2030 and 2050

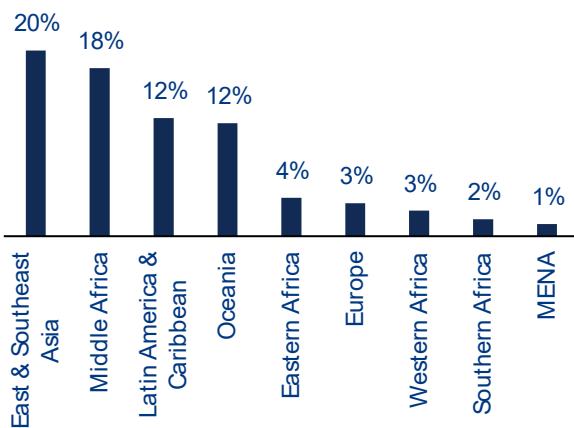
a) exposure to fluvial floods



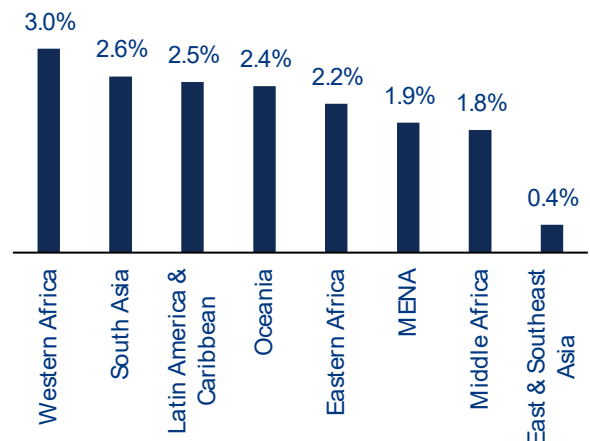
b) exposure to wildfires



c) exposure to heat stress



d) exposure to drought

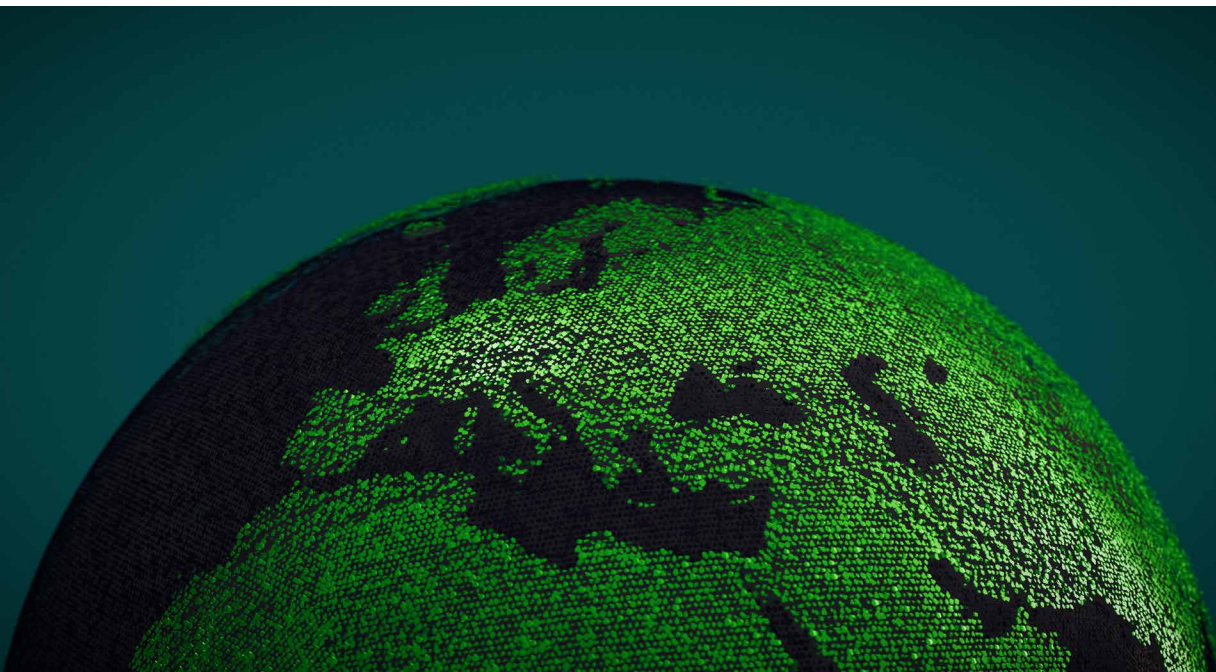


Sources: Copernicus, ISIMIP, Allianz Research

As climate exposure continues to rise, both from past warming and projected future changes, climate adaptation is increasingly becoming a central pillar of climate policy. Adaptation needs are expanding rapidly, requiring substantial mobilization of both public and private capital. This growing investment demand is driven not only by rising policy ambition but also by the accelerating increase in climate-related risks and exposure. Recent estimates suggest that global climate adaptation

investment needs could grow from approximately USD0.5trn in 2025 to more than USD1.3trn by 2050⁶, reflecting rising demand for protection of populations, infrastructure, and economic activity against intensifying climate hazards. This growth is partially exposure-driven showing how the scale of assets and people at risk is increasing sharply as climate hazards intensify and economic development continues in exposed regions.

⁶ Investment Opportunities in the Climate A&R Market | BCG



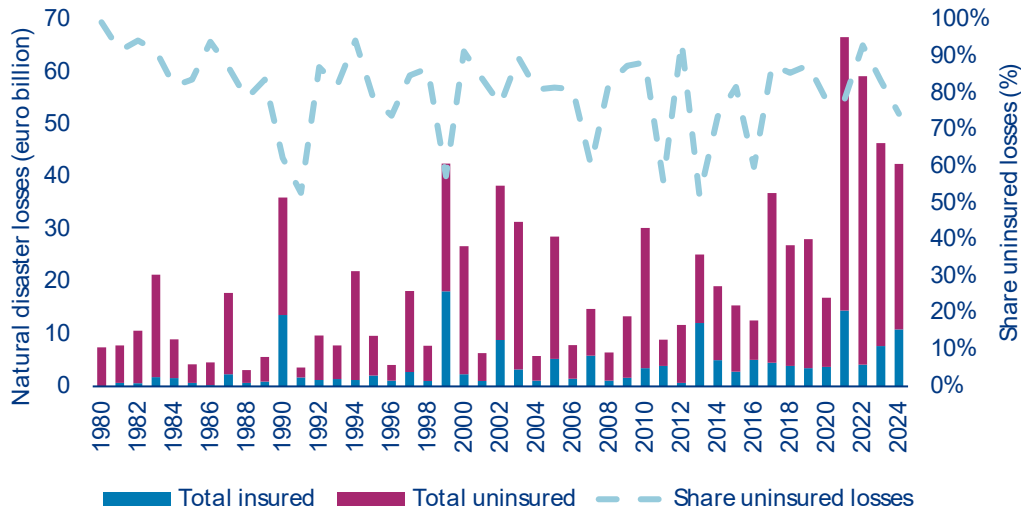
Europe's climate-adaptation deficit: rising losses, lagging investment

Natural catastrophe losses in Europe have trended upward over the past decades, reflecting both growing asset exposure and intensifying climate-related hazards. Total losses reached EUR67bn in 2021 and remained elevated at EUR59bn in 2022, marking the two costliest years on record in terms of direct damages. While annual losses fluctuate depending on the dominant hazard, the overall trajectory points to increasing economic vulnerability. Between 1980 and 2024, uninsured losses accounted on average for 81% of total losses in Europe (Figure 3a). In 2021, 78% of total damages, equivalent to EUR52bn, were uninsured. The situation worsened in 2022, when 93% of losses were uninsured, corresponding to EUR55bn, the highest

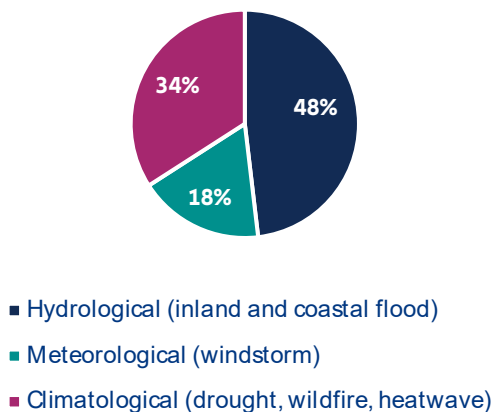
uninsured loss level recorded in Europe since 1980. The composition of events further illustrates the systemic nature of the risk. In 2021, Europe experienced severe and destructive flooding, whereas 2022 was dominated by widespread and extreme drought. These consecutive but contrasting extremes demonstrate how climate change generates compound pressures on infrastructure, households, and public finances. Hydrological events account for nearly half of uninsured losses (Figure 3b), highlighting the structural exposure to flooding. Italy, Germany, Spain, and France show particularly high shares of uninsured losses, underlining the urgent need to strengthen resilience and risk-transfer mechanisms across the region.

Figure 3: Development of NatCat losses in Europe

a) NatCat losses (2024 EUR bn)



b) Uninsured losses by event type



Sources: CATDAT, Allianz Research

While climate-related damages are increasing across Europe, investment in climate-change adaptation remains at an embryonic stage. On average, adaptation spending across Europe amounts to only around 0.3% of GDP, a level that appears strikingly low when set against the magnitude of both current and projected climate risks (Figure 4a). This underinvestment becomes even more apparent when compared with other public spending priorities: fossil-fuel subsidies provided by EU member states reached approximately 0.8% of EU GDP between 2022 and 2023, fueled by the energy crisis⁷. In other words, subsidies intended to cushion infrequent and unexpected energy shocks

have become increasingly frequent and reoccurring, placing a growing burden on public finances and further constraining fiscal space for climate transition and adaptation investments. These repetitive energy crisis are a reminder of the necessity to reduce reliance on fossil fuels and speed up the energy transition to better allocate budget towards increasing social resilience against climate change. Beyond the aggregate picture, Figure 4a also reveals a highly uneven distribution of adaptation investment across European countries. While many member states cluster around or below the 0.3% of GDP average, a small number of countries stand out as clear outliers. In particular, the Netherlands allocates

⁷ Fossil fuel subsidies in Europe | Indicators | European Environment Agency (EEA)

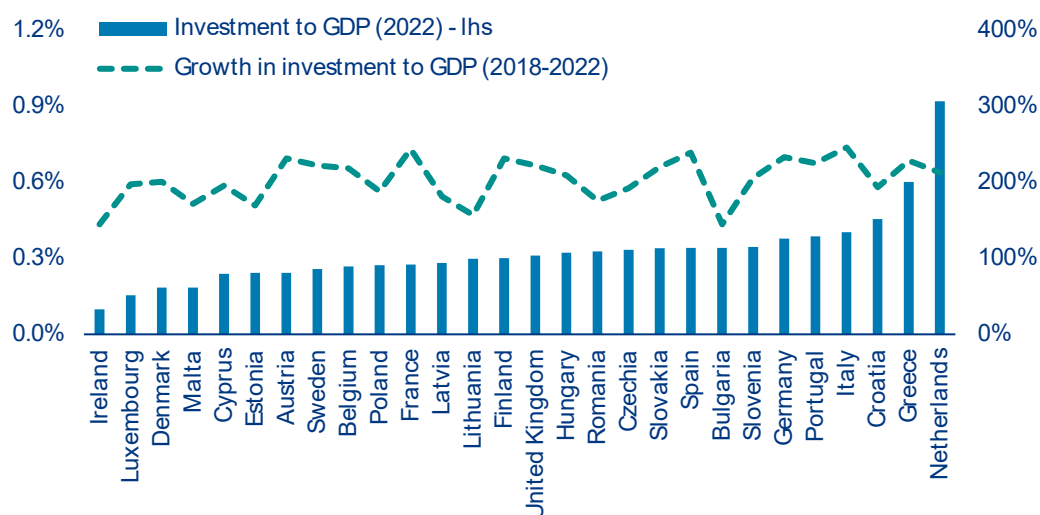
close to 0.92% of GDP to adaptation, reflecting not only stronger political commitment but also a markedly higher urgency, given the country's structural exposure to sea-level rise and flooding risks. This suggests that adaptation investment is often driven less by long-term risk assessments and more by immediate and acute threats.

Despite the still modest level of climate change adaptation investment in Europe, recent data point to a marked acceleration between 2018 and 2022, signaling a growing awareness of adaptation needs.

Over this period, average adaptation investment

relative to GDP increased by around 204%, meaning that adaptation spending in 2022 was more than three times higher than in 2018 (Figure 4). However, this rapid growth should be interpreted in light of a very low initial baseline, which helps explain why strong percentage increases coexist with relatively small absolute investment levels. The cross-country picture reveals important differences in both levels and dynamics. The Netherlands remains the largest investor in adaptation in relative terms (Figure 4).

Figure 4: European investment in climate adaptation



Sources: Cortes et al. (2025)⁸, Allianz Research

The breakdown of adaptation investment by hazard across Europe points to a clear and consistent prioritization of heatwaves and flooding mirroring future climate-adaptation needs (Figure 5). Heat- and flood-related risks will remain the primary drivers of adaptation demand across European economies, with a +5% and +3% increase in people exposed to fluvial flooding and heat stress between 2030 and 2050. Over the 2018–2022 period, heatwaves account for the largest share of adaptation spending in nearly all European countries, often exceeding half of total investment, while flooding represents the second most important category. Heatwave adaptation dominates

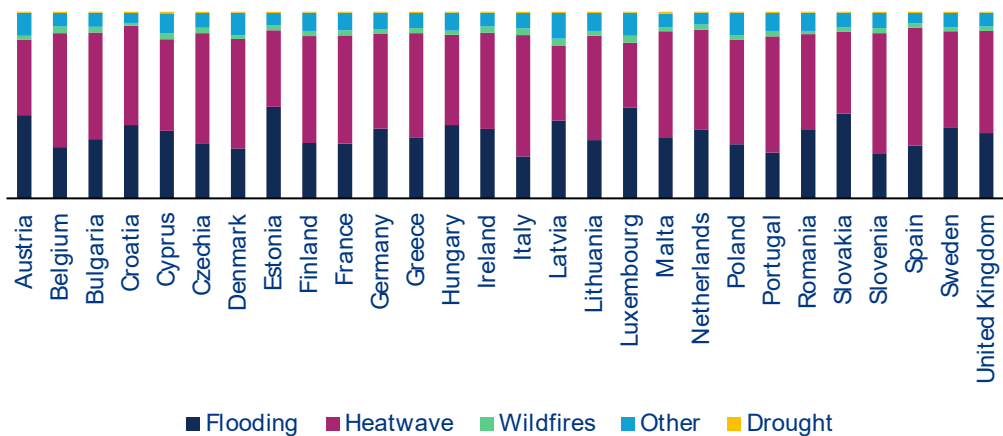
largely because the associated measures are relatively easy to deploy, modular and deliver immediate private benefits. Investments such as air conditioning, ventilation and cooling systems directly protect labor productivity and business continuity, making them particularly attractive to firms. As a result, even countries with different climate profiles converge toward a similar heatwave-heavy investment structure. Flood adaptation, by contrast, is more capital-intensive and spatially specific, which explains why its share is especially high in riverine and Central European countries such as Austria, Slovakia and Hungary, where exposure to fluvial flooding is structurally embedded in geography and infrastructure.

⁸ Private investments in climate change adaptation are increasing in Europe, although sectoral differences remain | Communications Earth & Environment

In contrast, wildfires and drought receive only marginal shares of adaptation investment, typically a few percentage points for wildfires and well below 1% for drought. This pattern does not necessarily reflect lower risk exposure, but rather weaker investment incentives. Private adaptation investment can take different forms, ranging from firms strengthening the resilience of their own assets, such as reinforcing facilities, supply chains or production processes, to institutional investors financing large-scale resilient infrastructure. However, many adaptation measures related to drought and wildfires exhibit strong public-good characteristics. Wildfire risks in Europe

disproportionately affect natural and protected areas, where economic returns are difficult to monetize, while drought resilience often depends on water management systems, landscape-level interventions and agricultural practices whose benefits extend beyond individual investors. Because these investments generate diffuse and widely shared benefits, private actors are often unable to capture sufficient financial returns, limiting the incentives for private capital to engage. As a result, these hazards remain structurally underrepresented in aggregate adaptation spending, reinforcing the central role of public investment and policy frameworks in addressing adaptation gaps.

Figure 5: Investment in climate adaptation per hazard in Europe (average 2018 – 2022)



Sources: Cortes et al. (2025), Allianz Research

Table 1 illustrates the relative intensity of adaptation investment across economic sectors, measured as the ratio between each sector’s share in national adaptation expenditure and its contribution to gross value added (GVA). A ratio above one indicates that a sector invests more in adaptation than would be expected given its economic weight, while a ratio below one signals relative underinvestment. Several consistent patterns emerge across the EU and the UK. First, public administration and defense, water supply and waste management and mining and quarrying stand out as systematically adaptation-intensive sectors. This is largely structural. Water-related sectors are inherently exposed to floods and droughts and are closely linked to critical infrastructure, making adaptation both unavoidable and often publicly

coordinated. Public administration naturally concentrates public adaptation spending by definition, while mining exhibits high ratios despite its small GVA share, reflecting high adaptation costs relative to economic returns and strong exposure to physical climate risks. In contrast, manufacturing and wholesale–retail trade consistently appear as non-adaptation-intensive across most countries, often investing four to five times less in adaptation than their GDP share would suggest. This is striking given that manufacturing is one of the largest contributors to European GDP and holds substantial fixed capital vulnerable to flooding and heat stress. Cortés et al. (2025) interpret this as evidence of delayed or reactive adaptation, where firms may rely on insurance, public protection or post-disaster recovery rather than proactive

investment. Tourism-related sectors (accommodation and food services) display marked cross-country heterogeneity. Despite high climate exposure in Southern Europe, adaptation intensity remains relatively low in countries such as Greece and Spain, pointing to capacity constraints, short investment horizons and reliance on seasonal revenues rather than long-term resilience planning. Finally, agriculture shows a clear income

divide: higher-income countries tend to display stronger adaptation intensity, while lower-income Southern and Eastern European countries invest below average despite high exposure. Cortés et al. (2025) highlight the central role of public subsidies and policy design in shaping these outcomes, suggesting that targeted public support can significantly influence private adaptation behavior.

Table 1: Investment in climate adaptation per hazard in Europe (average 2018 – 2022)

	A. Agriculture, Forestry and Fishing	B. Mining and Quarrying	C. Manufacturing	D. Electricity, Gas, Steam and Air Conditioning	E. Water Supply; Sewerage, Waste	F. Construction	G. Wholesale and Retail Trade; Repair of Motor	H. Transportation and Storage	I. Accommodation and Food Service Activities	J. Information and Communication	K. Financial and Insurance Activities	L. Real Estate Activities	M. Professional, Scientific and Technical Activities	N. Administrative and Support Service Activities	O. Public administration and defence; compulsory	P. Education	Q. Human Health and Social Work Activities	R. Arts, Entertainment and Recreation	S. Other Service Activities
Austria	2.5	10.2	0.2	2.4	4.0	0.5	0.2	0.8	0.8	1.6	1.5	0.5	0.9	1.3	4.9	0.8	0.5	1.1	4.2
Belgium	4.5	48.0	0.2	3.0	4.6	0.7	0.2	0.8	2.2	1.3	1.0	0.5	0.5	1.1	3.4	0.6	0.5	1.7	5.2
Bulgaria	0.8	1.9	0.2	1.3	4.7	0.9	0.1	0.8	1.5	0.8	1.0	0.5	1.2	2.2	3.8	1.1	0.8	1.2	6.7
Croatia	0.9	11.4	0.2	1.8	3.0	0.7	0.2	0.8	0.7	1.1	1.2	0.5	0.9	2.5	3.4	0.8	0.7	0.6	3.5
Cyprus	2.0	22.7	0.5	3.8	5.5	0.6	0.2	0.7	0.8	0.7	0.7	0.5	0.6	2.3	2.9	0.7	0.8	0.8	4.5
Czechia	1.5	5.6	0.1	1.7	4.2	0.7	0.2	0.8	2.3	0.9	1.5	0.5	0.9	3.0	4.1	0.9	0.7	1.1	6.4
Denmark	2.3	3.7	0.2	3.9	5.1	0.7	0.1	0.7	2.2	1.3	1.2	0.4	0.8	1.8	5.4	0.7	0.4	1.0	4.4
Estonia	1.4	4.1	0.2	1.4	5.5	0.5	0.2	0.6	2.4	0.9	1.4	0.4	0.9	1.5	4.1	0.9	0.8	0.6	6.9
Finland	1.1	6.5	0.2	2.0	4.5	0.5	0.2	1.0	2.3	1.0	2.0	0.3	0.9	1.6	4.6	0.8	0.4	0.9	3.8
France	1.7	34.2	0.3	2.5	5.8	0.7	0.2	0.9	1.6	1.1	1.6	0.3	0.6	1.0	3.3	0.8	0.4	0.8	4.9
Germany	3.7	19.2	0.1	2.1	4.1	0.7	0.2	1.0	2.8	1.2	1.6	0.4	0.8	1.1	3.9	1.0	0.5	0.9	2.9
Greece	0.7	7.5	0.3	1.3	3.8	2.1	0.2	0.6	0.6	1.8	1.2	0.3	1.4	3.2	2.5	0.8	0.8	0.8	4.2
Hungary	0.8	9.3	0.2	3.0	5.4	0.6	0.2	0.7	2.1	1.2	1.7	0.4	0.8	1.5	3.2	1.0	0.8	0.8	4.7
Ireland	3.3	25.0	0.1	4.9	10.4	1.5	0.3	2.8	3.1	0.4	1.4	0.8	1.0	0.9	9.4	1.7	0.8	1.7	13.4
Italy	1.5	13.2	0.2	2.4	3.8	0.8	0.2	0.8	1.1	1.6	1.3	0.3	0.8	1.6	3.9	1.1	0.6	1.2	3.8
Latvia	0.7	6.1	0.2	2.2	4.9	0.6	0.1	0.6	2.3	1.0	2.0	0.4	1.1	1.8	3.3	0.9	0.8	0.7	6.9
Lithuania	0.9	10.9	0.2	2.6	4.2	0.5	0.1	0.4	2.2	1.5	2.3	0.7	1.2	1.7	4.5	0.9	0.7	1.1	6.7
Luxembourg	14.9	50.9	0.6	5.8	9.0	0.7	0.2	0.8	2.6	1.1	0.2	0.6	0.5	1.4	4.0	1.0	0.5	1.8	7.5
Malta	5.5	19.0	0.4	5.9	5.7	0.8	0.2	0.9	1.2	0.7	0.7	0.7	0.5	0.8	4.4	0.9	0.6	0.1	6.6
Netherlands	1.7	4.0	0.3	3.5	6.4	0.7	0.1	0.9	2.1	1.2	1.0	0.6	0.6	0.8	3.6	0.9	0.4	1.2	5.7
Poland	1.2	1.9	0.2	1.7	3.1	0.5	0.1	0.6	2.7	1.3	1.4	0.8	0.8	1.8	4.6	0.9	0.8	1.5	5.6
Portugal	1.4	9.1	0.2	2.2	4.3	0.8	0.2	0.9	0.7	1.4	1.2	0.4	1.1	1.4	3.6	0.8	0.5	1.3	5.0
Romania	0.6	3.7	0.2	1.6	4.5	0.5	0.2	0.6	2.2	0.9	2.3	0.5	0.9	2.1	4.3	1.2	0.7	0.7	4.4
Slovakia	1.5	15.4	0.1	2.7	4.3	0.5	0.2	0.7	2.7	1.2	2.3	0.4	0.8	1.7	3.4	1.1	0.8	0.6	6.4
Slovenia	1.4	9.8	0.1	2.3	4.8	0.6	0.2	0.7	1.7	1.4	1.6	0.6	0.7	1.9	4.3	0.8	0.6	1.0	6.0
Spain	1.1	9.9	0.3	1.7	3.6	0.6	0.1	1.0	0.7	1.5	1.5	0.4	1.0	1.4	4.0	0.8	0.5	0.6	3.5
Sweden	2.0	3.8	0.2	1.9	6.3	0.6	0.2	0.9	2.5	0.7	1.5	0.5	0.6	1.6	5.3	0.8	0.3	0.9	4.3
United Kingdom	4.4	3.6	0.3	3.7	3.4	0.6	0.2	1.2	1.4	0.9	0.8	0.3	0.6	1.1	4.9	0.8	0.4	0.8	3.7

Legend	
Investment ratio	
Low	
Medium	
High	
Very high	

Sources: Cortes et al. (2025), Allianz Research

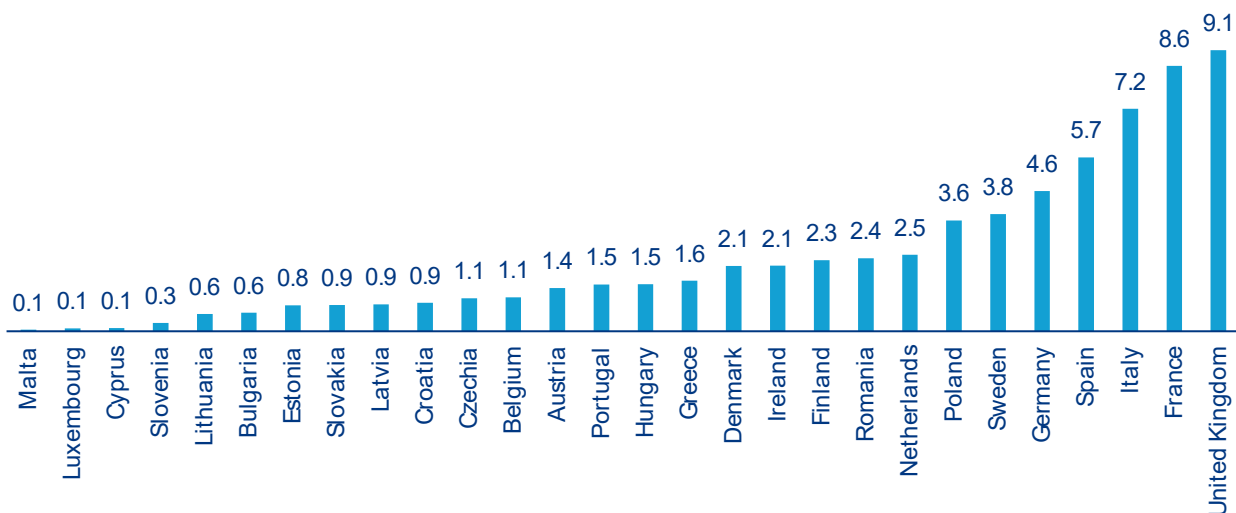
Under strong simplifying assumptions, our estimates suggest that the EU-27 and the UK would need to mobilize an additional EUR67.5bn per year in climate adaptation investment. This metric is constructed at the sector–country level using the heatmap presented in Figure 6, and using the adaptation requirement published by the EU⁹ and the UK¹⁰. As discussed above, a sector with a ratio below one invests less in adaptation than its economic weight would suggest, where economic weight is measured by the sector’s share in national GVA. We therefore define the possible climate-adaptation gap as the additional investment required to raise a sector’s ratio from its current level to one¹¹. This strong simplifying assumption means that if the manufacturing sector in Germany displays a ratio of 0.1, it would require an increase of 0.9pp to reach parity with its economic contribution. This assumption provides a transparent and comparable benchmark across countries and sectors, allowing us to translate macro-level adaptation targets into sector-specific investment signals. However, it abstracts from sectoral heterogeneity in physical risk exposure, adaptive capacity and cost structures, and therefore should be interpreted as an indicative allocation rule rather than a precise estimate of optimal investment needs. Finally, we assume that all sectors should raise their investments in climate adaptation based on the targets

set by the EU members states and the UK. Therefore, the corresponding increase in adaptation spending constitutes the sector’s possible adaptation gap.

Building on this simplified calculation of the climate adaptation gap, and without accounting for the respective climate vulnerabilities, Figure 6a reveals pronounced cross-country heterogeneity across Europe. While the adaptation gap is present in all countries, it is concentrated in nominal terms within the largest European economies and the UK, which together account for the bulk of the required additional investment. The five largest countries alone represent more than 50% of total climate adaptation needs in Europe (Figure 6a). When the gap is assessed relative to economic size, however, a markedly different picture emerges (Figure 6b). On average, European countries and the UK would need to increase current adaptation spending by a factor of four, from around 0.3% of GDP to approximately 1.2% of GDP (based on 2022 real GDP), in order to close the minimal adaptation gap. In several countries the adjustment required is of a similar magnitude, typically around 1pp of GDP. In a few cases, however, the gap is considerably larger. Estonia, for example, currently invests only 0.2% of GDP in climate adaptation and would need to raise this share to around 3.6% of GDP to reach the benchmark.

Figure 6: Yearly estimated climate adaptation gap in Europe using 2022 data

a) country-level estimated climate adaptation gap (EUR bn)

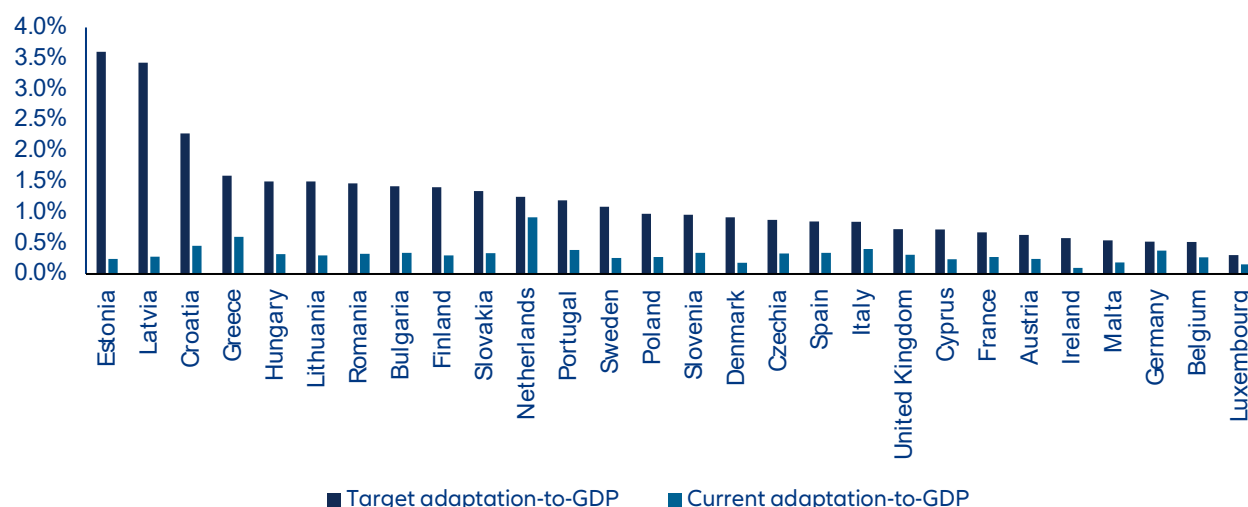


⁹ preventionweb.net/media/114764/download?startDownload=20260205

¹⁰ Adapting to climate change

¹¹ Cortes et al. (2025) argue that sectors such as manufacturing, construction and wholesale and retail trade require substantial additional investment in climate adaptation, given the scale, concentration and capital intensity of the assets they hold.

b) target versus current adaptation investment-to-GDP



Sources: Cortes et al. (2025), Allianz Research

Challenges and policy landscape of climate adaptation

Adaptation as a coordination problem rather than a financing gap. Climate-change adaptation is often framed as a problem of insufficient funding, which is true as we discussed above. However, this perspective is incomplete and risks obscuring the deeper structural forces that shape adaptation outcomes. A significant body of literature suggests that lack of investment in climate adaptation is better understood as a coordination failure across time, actors and governance scales, rather than a simple shortage of capital. From a temporal perspective, adaptation suffers from a pronounced mismatch between when costs are incurred and when benefits materialize. Investments in flood defenses, heat-resilient infrastructure or water systems typically require large upfront expenditures, while their benefits take the form of avoided losses that may only become visible years or decades later, and often only in counterfactual terms. Empirical evidence shows that political systems systematically discount such preventive investments. For example, Healy and Malhotra (2009)¹² by discussing the concept of Myopic voters, demonstrate that elected officials are rewarded by voters for

post-disaster relief spending, but not for ex-ante risk-reduction measures. This creates a structural bias toward reactive adaptation, even when preventive investment is economically efficient.

This intertemporal bias is compounded by a second coordination problem: misaligned incentives among public authorities, private firms and households.

Adaptation rarely fits neatly into either purely public or purely private investment categories. Governments may hesitate to invest in protective infrastructure if benefits accrue primarily to specific regions or sectors, while private actors often delay adaptation in anticipation of public protection or post-disaster compensation. The World Bank¹³ has documented this dynamic extensively, noting that firms tend to underinvest in adaptation when protective infrastructure, insurance frameworks or regulatory standards are uncertain or fragmented. The result is a strategic waiting game in which each actor rationally postpones action, even though collective outcomes deteriorate.

¹² [Myopic Voters and Natural Disaster Policy | American Political Science Review | Cambridge Core](#)

¹³ [Firm-Level Climate Change Adaptation : Micro Evidence from 134 Nations](#)

A third dimension of coordination failure arises from scale mismatches. Climate risks are inherently local yet adaptation financing and policy frameworks are largely organized at national or supranational levels. This disconnect complicates prioritization and implementation. The Intergovernmental Panel on Climate Change (IPCC)¹⁴ repeatedly highlights that adaptation planning is “fragmented and uneven,” with institutional capacity and governance constraints playing a more decisive role than technical feasibility or financial availability. Even where national adaptation plans exist, implementation often stalls because local authorities lack stable funding streams, technical capacity or decision-making autonomy.

Finally, adaptation faces a unique political economy challenge: successful adaptation is largely invisible. When investments are effective, losses are reduced and the benefits remain unobserved. By contrast, failures are immediate, visible and politically salient. Kunreuther et al. (2014)¹⁵ show that this asymmetry leads to systematic underinvestment in preventive measures as avoided damages are rarely credited to prior policy choices. This “invisibility problem” further weakens accountability mechanisms and reinforces short-term decision-making.

Measurement and taxonomy failures

Beyond coordination failures, an equally binding constraint on climate adaptation lies in measurement and missing standardized classification frameworks. Unlike mitigation, which benefits from relatively standardized metrics and accounting frameworks, such as the EU taxonomy¹⁶, adaptation remains conceptually diffuse and empirically fragmented. As a result, adaptation is systematically miscounted in both public statistics and private financial reporting, with important consequences for investment and policy design.

A first issue is the absence of an agreed and operational taxonomy of adaptation activities¹⁷.

While mitigation can rely on clear proxies such as emissions reductions or energy substitution, adaptation encompasses a wide range of actions whose primary objective is risk reduction rather than output generation. This diversity complicates classification and has led to inconsistent treatment across datasets and institutions. IPCC notes that adaptation tracking remains “partial and uneven,” with large variations in what countries and institutions label as adaptation. In practice, similar investments, such as flood-proofing infrastructure or upgrading water systems, may be classified as adaptation, resilience, maintenance or general capital expenditure, depending on context. This ambiguity weakens comparability and obscures the true scale of adaptation effort.

Closely related is the blurred boundary between adaptation, mitigation and maladaptation. Many investments simultaneously affect climate risks and emissions, sometimes in opposing directions. Cooling technologies provide a clear example: they reduce heat exposure and improve labor productivity, yet often increase electricity demand and, in carbon-intensive systems, emissions. Without a shared taxonomy that distinguishes effective adaptation from maladaptation, such investments are difficult to evaluate ex ante and even harder to assess ex post. This ambiguity complicates policy guidance and discourages private investors, who face reputational and regulatory risks when the classification of an investment is unclear.

¹⁴ Reflections on the IPCC AR6 Synthesis Report: adaptation, loss and damage - weADAPT

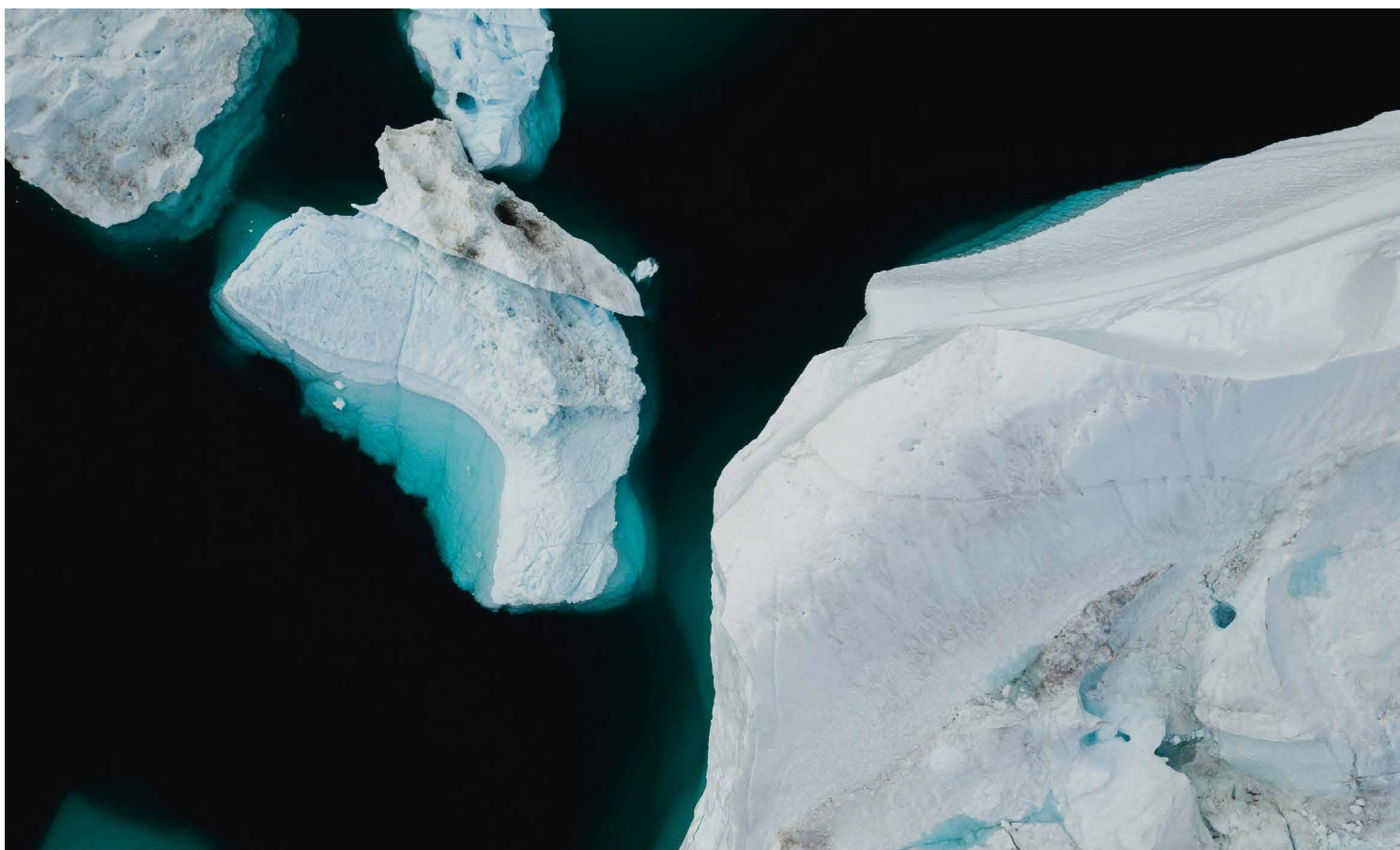
¹⁵ Aiding Decision Making to Reduce the Impacts of Climate Change | Journal of Consumer Policy | Springer Nature Link

¹⁶ The EU Taxonomy is a classification system that defines which economic activities are considered environmentally sustainable

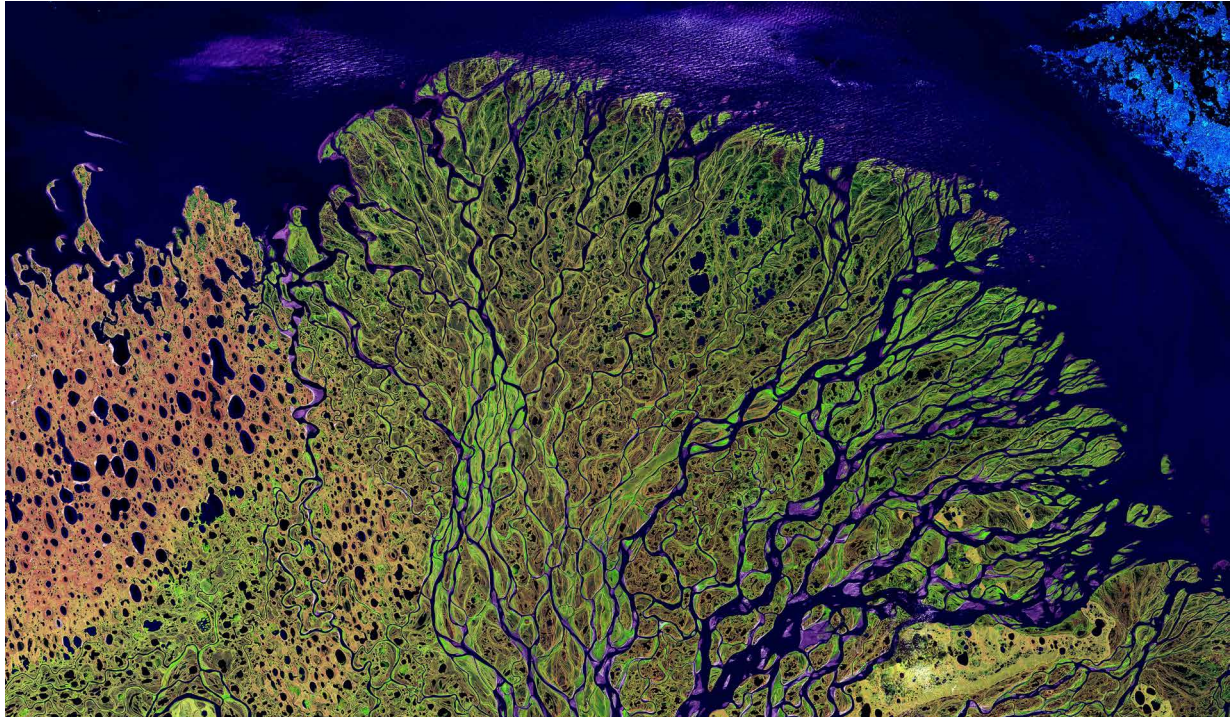
¹⁷ Tracking and Mobilizing Private Sector Climate Adaptation Finance - CPI

A third challenge concerns the poor tracking of “embedded adaptation”, adaptation that is integrated into broader investment decisions rather than undertaken as a standalone project. Spending on water efficiency, building retrofits, drainage upgrades or resilient materials often occurs within standard capital expenditure or maintenance budgets and is rarely labeled as adaptation. As a result, a significant share of adaptation investment remains invisible in official statistics. The Climate Policy Initiative estimates that tracked adaptation finance substantially understates actual spending, particularly in advanced economies where private – corporate and household – investments dominate. This invisibility biases assessments toward underinvestment and reinforces the perception that adaptation lacks scale or investible opportunities.

Measurement challenges are further amplified by high uncertainty in forward-looking climate risk metrics (Kunreuther et al. 2014)¹⁸. Adaptation decisions require expectations about future hazard intensity, frequency and spatial distribution, yet climate models differ widely in projections at the local scale. For investors and policymakers alike, this uncertainty complicates the quantification of avoided losses and weakens the economic case for upfront investment. While uncertainty is inherent to climate projections, the lack of standardized exposure metrics makes it difficult to compare risks across sectors and regions or to assess whether adaptation spending is commensurate with expected impacts.



¹⁸ [ipcc_wg3_ar5_chapter2.pdf](#)



Defining a taxonomy for climate adaptation

Climate adaptation refers to adjustments in systems, practices and structures to moderate harm from climate and natural hazards making systems, communities or assets resilient to shocks induced by climate change. The scale of investment required to close the climate-adaptation gap is substantial and likely exceeds the fiscal capacity of governments alone. While public investment will remain central, mobilizing private capital will be essential to meet the volume of financing required to implement adaptation projects at scale. However, adaptation investments differ significantly in their economic characteristics, particularly in terms of cost structures, distribution of benefits and the ability to generate monetizable revenue streams. As illustrated in Table 2, climate change adaptation investments span a continuum of public and private involvement, reflecting differences in cost structures, benefit distribution and market viability. Certain adaptation measures generate predominantly public benefits and lack clear or monetizable revenue streams, such as coastal protection through mangroves, flood defenses or labor

interventions to protect workers from extreme heat, and therefore require full public financing. At the other end of the spectrum, some adaptation investments yield primarily private benefits and commercially attractive returns, including air conditioner for heat, flood-proofing of commercial real estate, technological solutions for climate-resilient supply chains or climate risk assessment tools for private assets, making them well suited for full private financing. Between these two extremes lies a broad class of adaptation projects characterized by joint costs and shared public–private benefits, such as water management systems, protection of critical infrastructure or climate-smart agriculture, where market returns are often insufficient to attract private capital on their own. For these projects, public–private partnerships (PPPs) play a critical role by combining public finance, risk-sharing instruments and regulatory support with private capital and expertise, thereby overcoming market failures and enabling the scaling of adaptation investments that would otherwise remain underfunded.

Table 2: Financing structure of climate-adaptation measures

Primarily publicly financed	Public–private financing	Primarily privately financed
Costs borne mainly by the public sector	Shared costs and risk allocation	Costs borne mainly by private actors
Limited or no direct market returns	Below-market returns / market failures requiring public support	Direct commercial returns
Public co-benefits dominate: avoided disaster losses, public health protection, ecosystem preservation	Shared co-benefits: infrastructure resilience, food security, supply chain continuity	Private returns with public co-benefits: reduced fiscal exposure, lower disaster relief costs, broader economic resilience
<i>E.g., Coastal protection (mangroves), flood defences, labor time management for health protection against heat</i>	<i>E.g., Water management, critical infrastructure protection (railways), climate-smart agriculture</i>	<i>E.g., Flood-proofing commercial real estate, heat-resilience food chain technologies, AI-based climate risk assessment</i>

Source: Allianz Research

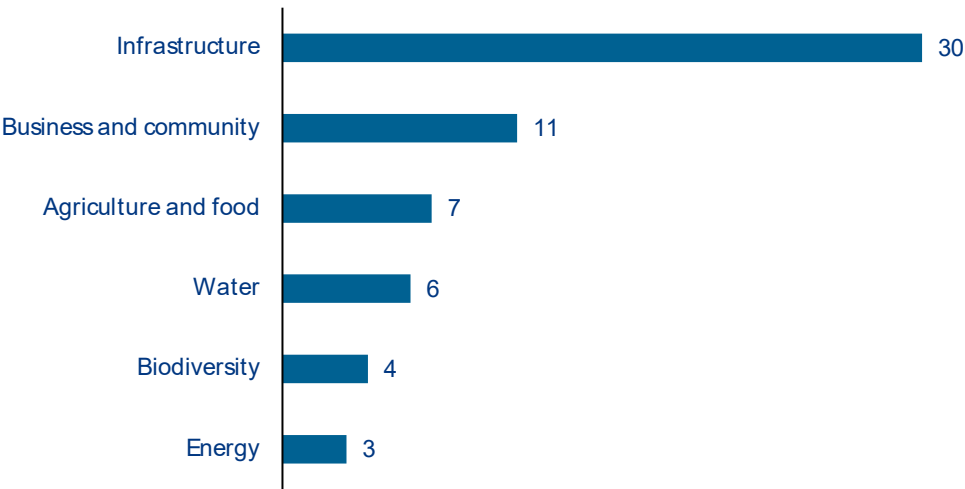
Effectively framing climate adaptation as an investible opportunity for private actors requires moving beyond broad notions of resilience and toward a clearer articulation of how physical risk reduction can translate into economic value and, ultimately, provide financial returns. Much of the adaptation debate has historically focused on public planning and social welfare, which has unintentionally reinforced the perception that adaptation is largely non-investible for return-seeking private investors. Recent evidence, however, suggests that this view reflects more a problem of framing and measurement than a fundamental absence of private-sector opportunities. At its core, investible adaptation can be understood as capital deployment that measurably reduces exposure or vulnerability to physical climate risks and converts this risk reduction into predictable cash flows, either directly through revenues or indirectly through cost savings, avoided losses or improved financial conditions (Barrett and Chaitanya, 2023)¹⁹. This distinction is critical. Private investors do not invest in “adaptation” for its own sake, but in products, services and assets that improve performance under changing climate conditions. The literature increasingly converges on this point, emphasizing that adaptation becomes investible when the link between climate risk, adaptation action and market return is explicit and credible.

To help clarify these links, we compile a set of 61 climate-adaptation measures spanning multiple hazards. We develop a taxonomy that clarifies where and through which channels private capital can contribute to climate-adaptation investment; Figure 7 shows the decomposition by themes and the full taxonomy is presented in Figure 8. The taxonomy of climate adaptation measures is constructed through a meta-analytical consolidation of existing classification frameworks. We combine the adaptation-measure inventories developed by Cortes et al. (2025) and Oehling et al. (2025) to derive a harmonized and more comprehensive set of measures spanning multiple hazards and sectors. The classification of measures across financing structures builds directly on the analytical framework proposed by Oehling et al. (2025), which distinguishes adaptation opportunities based on the presence and strength of market-based investment signals. In this framework, measures associated with strong current and forward-looking investment opportunities, typically characterized by identifiable revenue streams, scalable business models or clear cost-saving potential, are interpreted as commercially investible and therefore classified as primarily private. Conversely, measures with weak or limited investment signals, often reflecting diffuse benefits, public-good characteristics or the absence of monetizable returns,

¹⁹ [Getting private investment in adaptation to work: Effective adaptation, value, and cash flows - ScienceDirect](#)

are classified as primarily public. Measures falling between these two categories, where market potential exists but remains constrained or dependent on enabling conditions, are assigned to the public–private category. This approach ensures that the taxonomy remains grounded in observable investment dynamics and existing literature, while providing an economically intuitive mapping between adaptation measures and their likely financing structures.

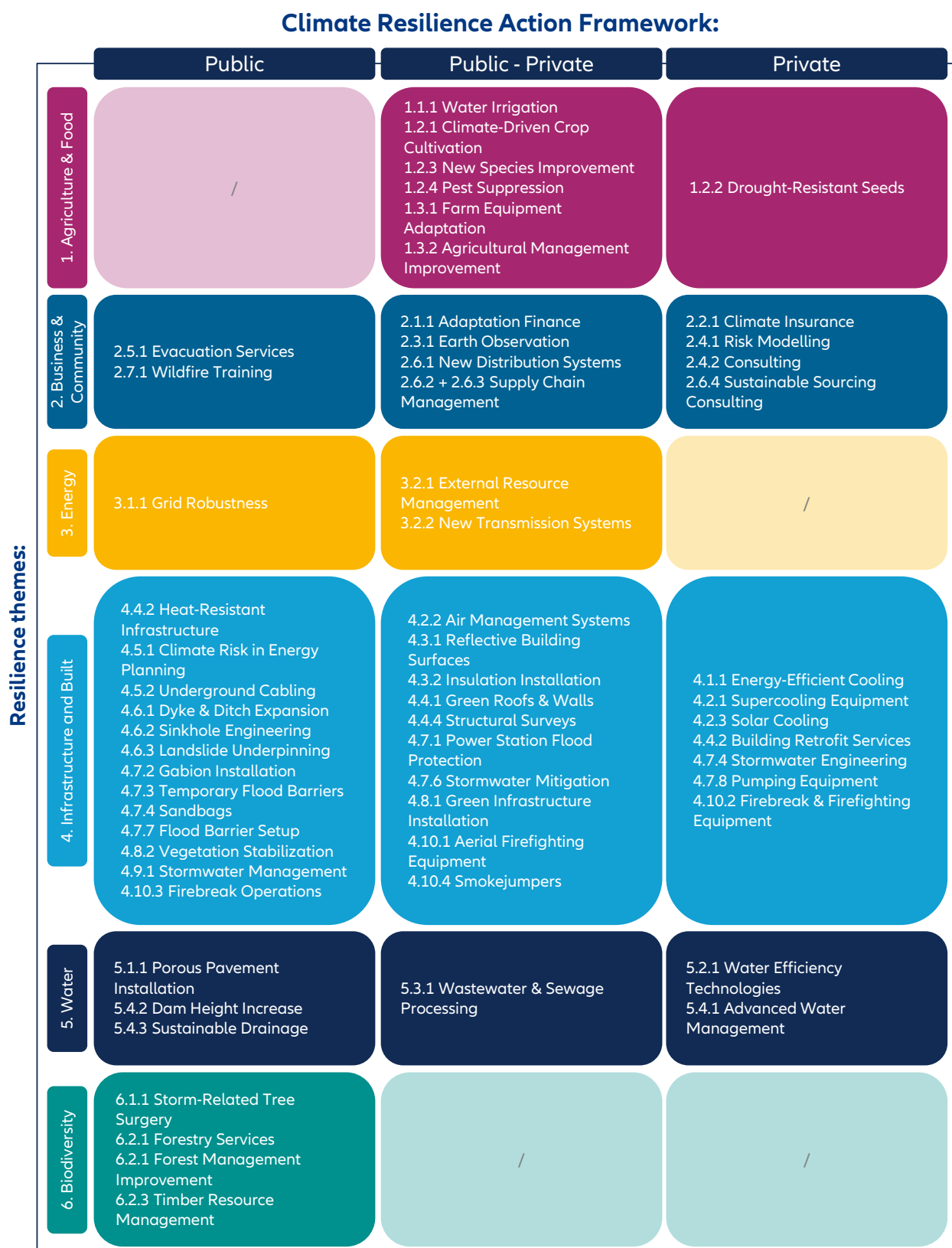
Figure 7: Number of adaptation measures by themes



Source: Allianz Research



Figure 8: Taxonomy of 61 identified adaptation measures



Source: Allianz Research

A systematic assessment of these measures confirms the structural importance of public capital in climate-change adaptation, a finding that is consistent with the collective nature of many adaptation needs.

Within our taxonomy, 38% of adaptation measures are primarily public in nature (23 out of 61; Figure 9a). Public capital requirements are particularly concentrated in flood protection, which accounts for 65% of all public-related adaptation measures, reflecting the predominance of large-scale infrastructure, spatial planning and regulatory interventions in managing flood risks (Figure 9b). It is important to note that adaptation measures are not hazard-specific in a one-to-one manner. Several measures apply across multiple climate risks. For instance, integrating climate risk into energy infrastructure planning is a public-sector intervention that enhances resilience to floods, heat stress, droughts and wildfires alike, rather than addressing a single hazard in isolation.

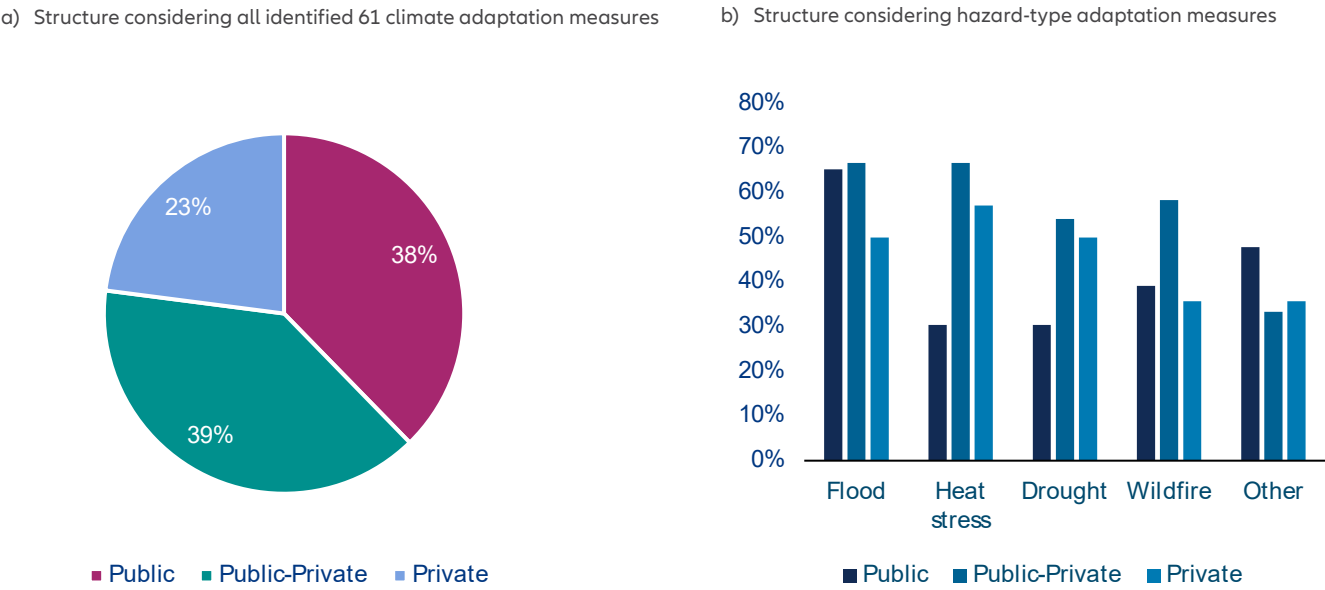
Private capital, by contrast, accounts for 23% of the identified adaptation measures (14 out of 61).

While smaller in number than public measures, private investment plays a critical role in capital-intensive and innovation-driven segments of adaptation, particularly where technological development and specialized services are required. These include advanced climate risk modelling, water-management technologies, adaptation consulting services and energy-efficient cooling solutions for buildings. In hazard terms, heat stress emerges as the dominant area for private adaptation investment, representing 57% of privately financed measures (Figure 9b), consistent with the prevalence of scalable, market-based solutions in this domain.

Notably, the largest category in the taxonomy is public-private investment, which accounts for 39% of adaptation measures (24 out of 61). This highlights the central role of cooperation between public and private actors in accelerating adaptation investment. For example, flood protection for power stations falls under human-engineered flood defenses, where public capital typically finances protective infrastructure, while private capital contributes through the development of more resilient, cost-efficient construction technologies. When analyzed by hazard, public-private partnerships dominate across all risk categories, accounting for 67% of flood-related measures, 67% for heat stress, 54% for drought and 58% for wildfire adaptation (Figure 9b). This underscores that, across hazards, effective climate adaptation is most often delivered through coordinated public-private investment structures, rather than through purely public or purely private channels. Overall, the analysis shows that climate adaptation is primarily driven by public capital. However, scaling investment will also require private finance in segments with viable market potential, while public capital remains essential to de-risk investments in areas where returns are uncertain or non-commercial.

Importantly, the taxonomy reflects the distribution of adaptation measures, not the distribution of investment volumes. The relative shares (38% public, 39% public-private, 23% private) should therefore not be interpreted as direct proxies for the optimal allocation of adaptation finance. Capital intensity varies significantly across measures: large-scale flood protection infrastructure, for example, requires substantially higher investment volumes than many private adaptation solutions. The taxonomy instead provides a structural mapping of investability and financing modalities, rather than a capital-weighted allocation.

Figure 9: Structure of the public and private investment in climate change adaptation



Sources: Cortes et al. (2025), Oehling et al. (2025), Allianz Research





Public and private investment cases in climate adaptation

Structured frameworks help investors better assess the risks and opportunities of climate adaptation investments. Assessing adaptation investments becomes easier when investors apply structured evaluation frameworks. While private investors can participate without deep technical expertise, clearer definitions, stronger evidence and systematic approaches help assess climate risks and evaluate the risk–return profile of adaptation investments.

Adaptation investments can be identified by linking climate vulnerabilities, project intent and risk-reduction outcomes. A commonly used framework, outlined by the European Investment Bank (2022), evaluates adaptation investments along three elements: identifying the relevant climate vulnerability, establishing an explicit intent to reduce that vulnerability and demonstrating a credible link between project activities and the climate risk addressed. Moreover, the Joint Multilateral Development Bank methodology distinguishes three types of adaptation activities: Type 1,

integrating climate risk management into investments (e.g. adjusting road culvert designs); Type 2, directly reducing climate risks and strengthening adaptive capacity (e.g. diversifying municipal water sources) and Type 3, enabling systemic adaptation by addressing knowledge, capacity or technological barriers (e.g. developing drought-resilient crop varieties)²⁰.

How adaptation finance is measured depends on whether resilience is the core objective or only one component of a project. Type 3 activities – such as research, policy support or capacity building – are typically counted as 100% adaptation finance because adaptation is their primary objective. By contrast, Type 1 and Type 2 projects usually combine development and adaptation objectives, so only the adaptation component is counted, either through incremental cost estimates or proportional allocation. In practice, these projects often involve strengthening physical or natural assets, such as resilient infrastructure or ecosystem services.

²⁰ European Investment Bank, 2022

The type of adaptation activity shapes the scale, structure and investability of financing opportunities.

Type 3 activities are often linked to early-stage innovation or enabling environments, meaning investment opportunities mainly arise in venture capital or specialized private-market vehicles where volumes remain limited and risks higher. Type 1 and Type 2 activities, by contrast, are more easily embedded in infrastructure and development projects and therefore generate larger, more structured investment opportunities, including green bonds, resilience bonds or infrastructure financing. Despite the growing range of such instruments, private capital still accounts for only around 2% of tracked adaptation finance, reflecting limited revenue models and persistent information gaps²¹.

Limited traceability makes adaptation investments difficult to identify in public markets. In public corporate bond and equity markets, institutional investors struggle to target adaptation and resilience investments because disclosure remains limited and fragmented. Few listed companies explicitly report themselves as providers of adaptation solutions, and corporate revenues or capital expenditures related to resilience are rarely identifiable. Although the EU Taxonomy aims to improve transparency by reporting the share of turnover aligned with adaptation objectives, disclosures remain limited due to reporting complexities and structural constraints. Unlike mitigation, which relies on a clear metric such as GHG-emission reduction, adaptation requires detailed, site-specific climate vulnerability assessments, making classification more complex.

Better disclosure and harmonized taxonomies would improve investment visibility. Standardizing disclosure requirements within existing regulatory frameworks would significantly improve data availability and allow investors to identify and track adaptation-related activities more effectively. At the same time, data providers would be able to play a stronger role in systematically collecting and disseminating information on adaptation investments. Current taxonomies remain fragmented – often designed for specific sectors, regions or institutions – making it difficult for globally diversified investors to apply consistent classifications. More harmonized standards would support comparability and enable investors to integrate adaptation considerations more systematically across portfolios.

²¹ [Joint methodology for tracking climate change adaptation finance; Standard-Chartered-Bank-Guide-For-Adaptation-And-Resilience-Finance-FINAL.pdf](#)

²² [Investment Opportunities in the Climate A&R Market | BCG](#)

²³ [Investment Opportunities in the Climate A&R Market | BCG](#)

Green bond frameworks often lack sufficient transparency on adaptation spending. While green bonds support climate investment, they rarely provide clear visibility on the share of proceeds allocated specifically to adaptation. Most instruments bundle multiple climate objectives, particularly mitigation, meaning adaptation projects are typically assessed at the individual project level rather than through consistent market-wide classifications.

Private markets offer targeted adaptation investments but remain difficult to scale. In private corporate debt and equity markets, adaptation investments are often concentrated in early-stage companies developing solution-oriented technologies such as climate-resilient seeds (USD50-60bn Mkt and 4-7% CAGR²²) climate resilient building materials such as façade materials (USD100-120bn Mkt and 5-10% CAGR²³). These investments can demonstrate a clear link between capital allocation and climate resilience outcomes, but they typically involve small ticket sizes, limited investable universes and higher risk profiles. Expanding dedicated private debt and equity funds focused on adaptation could help pool capital, diversify risk and scale investment opportunities.

Public finance is central to adaptation but remains constrained by transparency and project pipeline challenges. Although the public sector plays a key role in climate adaptation and resilience investments, important constraints remain, particularly regarding transparency, reliability and investment planning. Sovereign green bonds are expected to play an increasingly important role in mobilizing capital for national adaptation strategies by financing projects that strengthen the resilience of infrastructure, communities and economic systems. In practice, however, investors often struggle to identify sovereign green bonds with meaningful allocations to adaptation and resilience. This is frequently due to structural barriers such as limited strategic planning and insufficient project development capacity at the national level, which contribute to a shortage of viable, investment-ready adaptation projects. Adaptation initiatives are often highly localized, relatively small in scale, and embedded within larger infrastructure projects, making them more difficult to identify and finance. In many cases governments also lack a clear and transparent strategy integrating adaptation initiatives with national adaptation plans,

sector priorities and NDCs, as well as disaster risk reduction plans. Finally, administrative processes can be complex and time-consuming.

Blended finance can help mobilize capital but still faces significant investor barriers. Blended finance vehicles provide another avenue for governments and companies to catalyze private capital into climate adaptation to meet the funding gap. It is particularly well suited for reducing financial risks associated with such projects and make incentives more attractive to private investors. However, investors require clear information on risk–return profiles in order to

allocate capital confidently. While blended finance can reduce financial risks, asset owners – particularly in emerging markets – often struggle to track which adaptation and resilience projects are funded and lack transparent frameworks for risk allocation. Combined with regulatory constraints (such as high risk charges), volatile returns (since adaptation projects often generate lower or indirect cash flows) and complex investment structures, these challenges increase perceived risks and discourage private investors from participating. Table 3 provides examples of public and private investment approaches in climate adaptation.

Table 3: Examples of corporate and sovereign investments

Asset class	Project
Listed Equity and Debt	CTP N.V., Netherlands-based commercial real estate developer, integrating adaptation and mitigation into its standard design at both the building and park level, generating a 46.4% EU Taxonomy adaptation aligned turnover
Private Equity	Lightsmith, a private equity firm dedicated to climate adaptation technologies, closed with USD186mn in commitments from major global investors and development institutions. The fund targets growth stage companies delivering solutions such as water efficiency technologies, resilient food systems, agricultural and supply chain analytics and geospatial intelligence. The objective is to build private capital to scale climate resilience technologies—particularly in emerging markets
Private Debt (Blended finance structure)	GAIA Climate Loan fund to finance climate adaptation and mitigation projects across emerging markets. Long-term private credit prioritizing adaptation projects in climate-vulnerable markets. At least 70% of capital will be dedicated to climate adaptation – such as sustainable agriculture, water management, ecosystem resilience and climate-smart infrastructure.
Sovereign Debt	Dutch green bond (NL0015001RG8) with main focus on “Climate change adaptation and sustainable water management”: Expenditures under the Dutch Delta Program focus on ensuring long term flood risk management, particularly through dike improvements needed to meet the 2050 protection standards. Based on BB data: Issuance: EUR15bn, Allocation to adaptation: 58%. Given that many adaptation and resilience initiatives are developed and executed at the local level, sub-sovereign funding is expected to rise accordingly. For instance, California's Proposition 4 Climate Bond allocates USD10bn toward local projects aimed at enhancing community resilience, including the protection of drinking water, mitigation of wildfire and flood risks

Source: Allianz Research

Appendix

A1 – Climate hazard exposure methodology

This appendix documents the methodology used to compute population exposure to climate hazards used in Figure 2. The approach is designed to produce continuous, interpretable exposure metrics at the grid-cell level and to allow consistent aggregation to national and regional scales. The methodology is applied globally and is fully reproducible.

For each climate hazard and each grid cell i , an exposure weight $w_i \in [0,1]$ is computed as a function of hazard intensity. Expected exposed population are then calculated as weighted sums:

$$\text{Exposed population} = \sum_i (\text{pop}_i \times \omega_i)$$

All socio-economic layers are spatially aligned to the hazard grid. Country polygons are rasterized once onto the hazard grid and cached. Country-level exposure is obtained through zonal aggregation, while regional aggregates are computed by mapping ISO3 country codes to Natural Earth subregions.

For river flooding, exposure is represented using a fractional inundation measure. The flood hazard dataset provides, for each grid cell, the fraction of area affected by flooding during a given year. This fraction is normalized to lie in the interval $[0,1]$ and directly used as the exposure weight w_i . This approach captures the fact that flooding is spatially bounded but rarely affects an entire grid cell uniformly. Using fractional exposure avoids overestimating impacts that would arise from binary flooded/non-flooded classifications and allows exposed population to scale proportionally with the extent of inundation within each cell.

For wildfires, exposure is also treated as a continuous measure, rather than a binary burned/not-burned indicator. Annual wildfire intensity is constructed from burned-area data and transformed into a normalized exposure weight in $[0,1]$. This reflects the fact that wildfire impacts vary with the extent and persistence of burned area within a grid cell and that partial burning can still generate significant economic and population exposure. Treating wildfire exposure continuously ensures consistency with the aggregation framework and avoids abrupt threshold effects.

By contrast, for drought and heat stress, exposure cannot be meaningfully represented by fractional area alone. These hazards are diffuse and cumulative, with impacts that increase progressively as conditions intensify rather than appearing abruptly once a spatial boundary is crossed. Therefore, for heat stress and drought hazards, exposure is derived using a smooth logistic function, which transforms hazard intensity into an exposure weight:

$$\omega(x) = \frac{1}{1 + \exp(-k(x - d_0))}$$

where x denotes the hazard metric, d_0 is the midpoint of the transition, and k controls the slope of the curve. This functional form ensures that exposure increases gradually with hazard intensity rather than through a binary threshold, reflecting the progressive nature of climate impacts.

To ensure data-driven calibration and cross-country comparability, the logistic function is anchored to the empirical distribution of the hazard metric in a reference calibration year (default: 2020). Two population-weighted quantiles are defined:

- Q_{low}: 5th percentile
- Q_{high}: 95th percentile

The anchoring conditions are imposed as:

$$\omega(Q_{\text{low}}) = 0.1, \omega(Q_{\text{high}}) = 0.9$$

And, the midpoint of the logistic function is defined as:

$$d_0 = \frac{Q_{\text{low}} + Q_{\text{high}}}{2}$$

This approach ensures that the transition zone of exposure reflects the observed hazard distribution rather than arbitrary thresholds. For drought exposure, the metric used is the annual maximum number of consecutive dry days (CDD), computed as the ensemble mean across climate model members. For heat stress, exposure is based on the annual count of days with daily maximum temperature exceeding 35°C (TX35), aggregated from monthly values. In both cases, the smoothed logistic function is applied using population-weighted quantiles from the calibration year. For each projection year, hazard intensity is computed, transformed into exposure weights using the calibrated function, and aggregated to exposed population and GDP using the weighted sums described above.

A photograph showing a variety of hands of different skin tones stacked on top of each other, resting on a thick, textured tree branch. The background is a lush green forest with sunlight filtering through the leaves. The text 'Our team' is overlaid in the center, with 'Our' in white and 'team' in orange.

Our team

Chief Investment Officer
& Chief Economist
Allianz Investment Management SE



Ludovic Subran
ludovic.subran@allianz.com

Head of Economic Research
Allianz Trade



Ana Boata
ana.boata@allianz-trade.com

Head of Macroeconomic & Capital
Markets Research
Allianz Investment Management SE



Bjoern Griesbach
bjoern.griesbach@allianz.com

Head of Outreach
Allianz Investment Management SE



Arne Holzhausen
arne.holzhausen@allianz.com

Head of Corporate Research
Allianz Trade



Ano Kuhanathan
ano.kuhanathan@allianz-trade.com

Head of Thematic & Policy Research
Allianz Investment Management SE



Katharina Utermoehl
katharina.uteramoehl@allianz.com

Macroeconomic Research



Lluís Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Jasmin Gröschl
Senior Economist for Europe
jasmin.groeschl@allianz.com



Françoise Huang
Senior Economist for Asia Pacific
francoise.huang@allianz-trade.com



Maddalena Martini
Senior Economist for Southern Europe & Benelux
maddalena.martini@allianz.com

Outreach



Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com



Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com



Heike Baehr
Content Manager
heike.baehr@allianz.com



Maria Thomas
Content Manager and Editor
maria.thomas@allianz-trade.com

Corporate Research



Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com



Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com



Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com



Sivagaminathan Sivasubramanian
ESG and Data Analyst
sivagaminathan.sivasubramanian@allianz-trade.com



Pierre Lebard
Public Affairs Officer
pierre.lebard@allianz-trade.com

Thematic and Policy Research



Michaela Grimm
Senior Economist,
Demography & Social Protection
michaela.grimm@allianz.com



Patrick Hoffmann
Economist, ESG & AI
patrick.hoffmann@allianz.com



Simon Krause
Economist, ESG & Insurance
simon.krause@allianz.com



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Kathrin Stoffel
Economist, Insurance & Wealth
kathrin.stoffel@allianz.com



Markus Zimmer
Senior Economist, ESG
markus.zimmer@allianz.com

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Director of Publications
Ludovic Subran, Chief Investment Officer & Chief Economist
Allianz Research
Phone +49 89 3800 7859

Allianz Group Economic Research
https://www.allianz.com/en/economic_research
<http://www.allianz-trade.com/economic-research>
Königinstraße 28 | 80802 Munich | Germany
allianz.research@allianz.com

 @allianz

 allianz

Allianz Trade Economic Research
<http://www.allianz-trade.com/economic-research>
1 Place des Saisons | 92048 Paris-La-Défense Cedex | France

 @allianz-trade

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Pixels of crisis: A granular look at the risks of non-payment due to the conflict in the Middle East

Ludovic Subran
Chief Investment Officer and
Chief Economist
ludovic.subran@allianz-trade.com

Ana Boata
Head of Economic Research
ana.boata@allianz-trade.com

Ano Kuhanathan
Head of Corporate Research
ano.kuhanathan@allianz-trade.com

Lluís Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com

Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com

Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com

Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com

Luca Moneta
Senior Economist for Emerging
Markets
luca.moneta@allianz-trade.com

Giovanni Scarpato
Economist for Central Europe
giovanni.scarpato@allianz.com

Garance Tallon
Economist for Asia-Pacific
garance.tallon1@allianz-trade.com

Summary

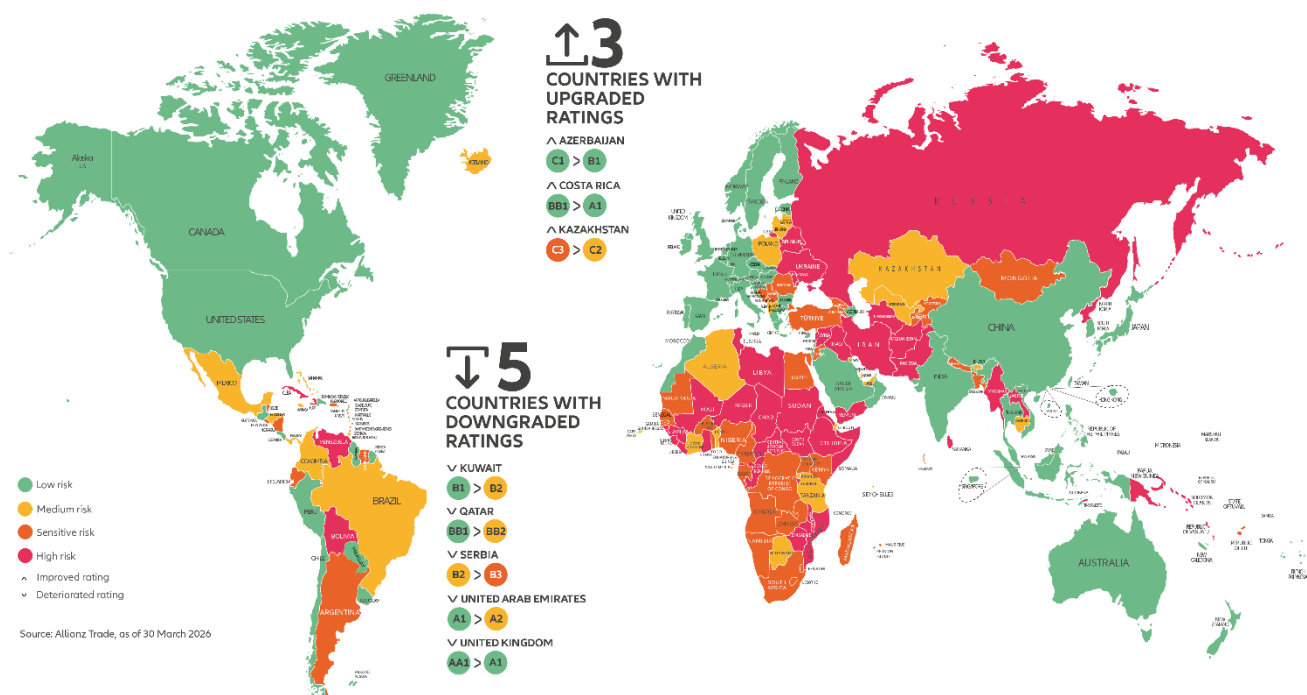
- The Middle East conflict and the disruption of the Strait of Hormuz have led to a broad-based reassessment of non-payment risks, with country downgrades outweighing upgrades.** We downgraded the non-payment risk backdrop for five economies (Kuwait, Qatar, Serbia, the UK and the UAE) and upgraded only three (Azerbaijan, Costa Rica and Kazakhstan). Downgrades are due to either first-round effects such as higher input prices and rising supply shortages jeopardizing profitability or simply to growing domestic fragilities such as the UK's fiscal situation. Triple-deficit economies – energy, current account and fiscal – are set to bear the brunt of second-round effects, notably Ukraine, Jordan, Pakistan, Kenya and Ethiopia, followed by Ghana, Egypt, Sri Lanka, Türkiye and Morocco. In Asia, we are closely monitoring Indonesia, Thailand, Philippines and Taiwan. Third-round effects are also becoming more visible as FX reserve accumulation has decreased and tighter external financing conditions begin to feed into higher sovereign risk premia and rising debt-service costs, particularly in countries geographically close to the conflict and those where weaker external buffers and policy constraints amplify vulnerability (e.g. Türkiye's gross reserves are down -25%).
- Sector risk ratings, measuring non-payment risks by sector, have also deteriorated markedly, reversing the improving trend seen since mid-2025. The global transport sector and the energy sector in GCC countries in particular are caught in the crossfire. Europe's energy-intensive companies, already affected since the 2022 energy crisis, are set for even tighter margins.** With 21 sector rating downgrades versus just six upgrades – one of the sharpest negative balances since end-2022 – the impact is already visible. Gulf countries sit at the epicenter, accounting for more than half of our proprietary rating downgrades, particularly in energy and transport-related sectors. Bunker oil prices have surged by around +70%, pushing total operating costs up by +25% for sea carriers, while freight rates have increased only modestly (+16%), squeezing margins amid weak demand. Airlines face a different dynamic: although jet fuel prices have hit record highs, stronger pricing power has allowed fares to rise significantly (up to +70% on some long-haul routes). However, the sector is also grappling with major disruptions, including over 70,000 flight cancellations and the closure of key Middle Eastern hubs, with tourism losses for the region potentially reaching USD55bn and international arrivals dropping by around -30% y/y in 2026. Fragilities are also resurfacing in already weakened sectors, notably chemicals and metals in Europe, highlighting the broadening reach of the shock. In Europe, natural gas accounts for 40% of final energy consumption across industries, leaving the already downsizing chemicals, steel and cement sectors in the dark in 2026.
- Beyond these first-round effects, the risk of broader and more persistent second-round impacts is rising.** The Middle East's central role in supplying critical inputs such as LNG, fertilizers, aluminum, helium and sulfur is also pushing up costs across global value chains, from agri-food to manufacturing, healthcare and technology. Emerging markets remain particularly vulnerable, followed by Europe, where energy-intensive sectors now face further capacity reductions, while consumer confidence and pricing power show early signs of strain. If the shock persists, tighter financial conditions, weaker demand and rising input costs could trigger a more systemic downturn, echoing – or potentially accelerating – the dynamics seen during the 2022 energy crisis.

Brinkmanship trap drives country-risk repricing

The escalation of the Middle East conflict and the resulting disruption in the Strait of Hormuz have triggered a broad-based reassessment of country and sector risk ratings, reflected in five country risk and 21 sector risk downgrades and only three country risk and six sector risk upgrades across our review. The immediate macroeconomic impact has been transmitted through three key channels: weaker global growth, elevated and more volatile energy prices and heightened trade and financial disruption. For energy importers, higher oil prices are feeding into inflation, eroding real incomes and weighing on consumption, while exporters face uncertainty linked to disrupted shipping routes and volatile revenues. In parallel, country-specific dynamics – most notably in the UK – continue to play a critical role. The UK's downgrade reflects persistent fiscal and external imbalances, with public debt on an upward trajectory and a wide fiscal deficit expected to persist amid limited policy adjustment. This combination of global shocks and domestic fragilities underscores a more challenging and uncertain macroeconomic environment overall.

At the country level, the downgrades are concentrated among economies directly exposed to the Strait of Hormuz shock or facing compounding domestic vulnerabilities. Kuwait, Qatar and the UAE have all seen their short-term risk profiles deteriorate as the blockade constrains trade and hydrocarbon exports, despite large sovereign buffers mitigating immediate financing risks; in all three cases, the crisis raises structural questions about diversification models reliant on services, tourism and expatriate-driven demand. Serbia's downgrade reflects a different but reinforcing set of pressures, including weaker growth, rising energy costs, sanctions-related disruptions and intensifying political instability. The UK's downgrade is rooted in structural fiscal weaknesses rather than the conflict per se, though the external environment adds pressure. On the upgrade side, Kazakhstan and Azerbaijan benefit from stronger hydrocarbon demand, improved geopolitical positioning and, in Azerbaijan's case, reduced political risk following regional normalization. Costa Rica stands apart as an example of the relative insulation of Latin America from last month's crisis, with solid growth, low inflation, improved external balances and political continuity supporting an upgrade in its medium-term risk profile.

Figure 1: Country risk map, end of March 2026



Source: Allianz Research, based on the [Country Risk Methodology](#) and the [Q1 2026 Country Risk Ratings](#)

Looking ahead, the risk of further country-risk downgrades remains tilted to the downside in a scenario where the conflict is prolonged or escalates. A more severe scenario – such as a sustained closure of the Strait of Hormuz, a widening of the conflict and greater geopolitical uncertainty – could amplify global supply

disruptions and even intersect with geoeconomic flashpoints elsewhere, including Canada and Taiwan, with significant implications for supply-chain reconfiguration, production systems and trade flows. In the Gulf, Oman and Saudi Arabia face mounting challenges from trade disruptions, rerouting costs and increased revenue volatility, which could undermine fiscal and external stability despite higher oil prices. Kuwait, Qatar and the UAE also remain on watch. Secondary effects are visible in Cyprus and Thailand, which face tourism slowdowns and weaker domestic demand as higher energy costs and security concerns weigh on activity. The Philippines and Indonesia are also particularly exposed to imported inflation and subsidy pressures, with risks of energy shortages, demand compression and overall stagnation. Among high-income economies, Canada could face downside risks despite benefiting from higher oil prices. While stronger energy revenues provide some support, this is offset by deteriorating public debt dynamics and weakening potential growth. At the same time, a more protectionist US stance ahead of the USMCA/CUSMA review threatens around 80% of Canadian exports, weighing on the medium-term outlook.

More broadly, second-round effects are likely to materialize most severely in economies facing a triple vulnerability: high dependence on hydrocarbon imports – particularly those sourced from or transiting through the Gulf – compounded by a current account deficit and a large fiscal deficit. This triple exposure, which subsumes the classical twin deficit framework, is further amplified in countries carrying elevated external debt burdens and significant debt-service obligations falling due in 2026. While some economies enter this shock in a stronger position than at the onset of the Ukraine war, pockets of acute vulnerability remain. A first tier of most-exposed economies includes Ukraine, Jordan, Pakistan, Kenya and Ethiopia, where weakened external positions leave limited buffer to absorb both the energy price pass-through and the tightening of global financial conditions simultaneously. A second tier – Ghana, Egypt, Sri Lanka and Türkiye – faces a different but equally acute stress profile. While direct supply disruption through Hormuz is less of a concern for these economies, an energy-price surge alone is sufficient to destabilize their already fragile fiscal and external balances. Egypt is a particular case in point: the simultaneous loss of Suez Canal revenues, tourism receipts and remittances from the Gulf constitutes a current account shock of the first order, compressing the very external financing channels that have historically offset its twin deficit. A third tier of hydrocarbon-dependent but somewhat more insulated economies – including the Philippines and Morocco – face meaningful import cost pressures given their high exposure to energy imports, but are less directly affected by supply constraints, given their more limited reliance on Hormuz-transiting cargoes. Finally, most Latin American economies remain comparatively less exposed, with the noticeable exception of Chile, benefiting from greater energy self-sufficiency, geographic distance from the conflict zone and, in several cases, commodity export windfalls that partially offset higher import costs.

Table 1: EMs most exposed to the Middle East crisis

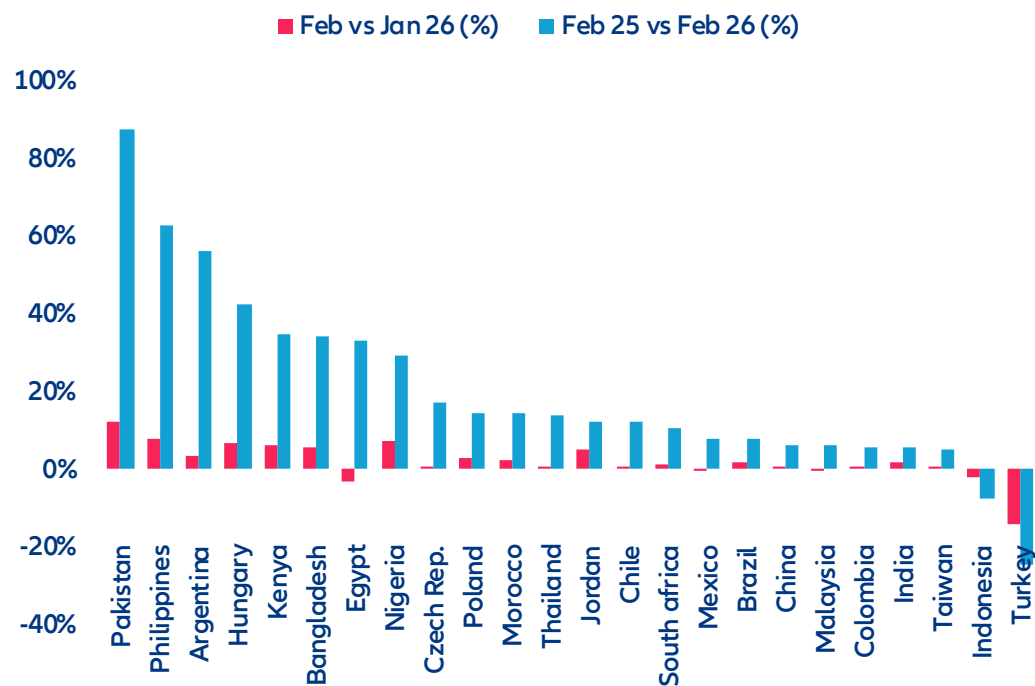
	Exposure to the Middle East crisis						Market reaction since Feb 27		Coping mechanisms					
Country	Energy balance (% of GDP)	Strategic oil reserves (days of consumption)	Oil dependency (% primary energy)	Gas dependency (% primary energy)	Vulnerability to energy price shock	Vulnerability to ME supply shock	FX (% change vs USD)	Bond yields (bps)	Fiscal balance (% of GDP)	Current Account (% of GDP)	FX reserves (months of imports)	FX outlook	Central Bank stance (by mid-2026)	Risk of fiscal slippage throughout 2026
Argentina	0.6	NA	-8%	0%	Medium	Low	1.3	N/A	-1.5	-0.4	3.8	Neutral	On hold	Low
Bangladesh	-3.5	49	0%	N/A	High	High	-0.5	36.0	-3.9	-0.9	4.9	Negative	On hold	High
Brazil	0.9	NA	-16%	2%	Low	Low	-2.3	60.0	-7.5	-2.3	12.1	Positive	Cautious easing	Medium
Chile	-4.4	25	46%	9%	High	Medium	-4.6	42.0	-0.6	-2.2	6.7	Negative	On hold	Low
China	-2.4	100	12%	3%	Medium	Medium	-0.7	42.0	-5.0	2.8	12.3	Neutral	On hold	Medium
Colombia	3.9	NA	-34%	4%	Low	Low	1.0	-38.0	-5.7	-2.6	9.6	Negative	Hike	Medium
Czechia	-2.4	117	28%	12%	High	Medium	-2.9	46.0	-2.1	0.4	9.3	Negative	On hold	Medium
Egypt	0.0	NA	8%	9%	Medium	High	-9.0	51.0	-10.7	-4.3	4.3	Negative	On hold	High
Ethiopia	-4.0	NA	0%	N/A	High	High	-0.6	N/A	-1.7	-2.6	3.7	Negative	On hold	Medium
Hungary	-3.6	215	15%	20%	High	Medium	-5.1	106.0	-5.1	0.9	3.7	Negative	On hold	High
India	-3.7	30	13%	4%	High	Medium	-3.3	18.0	-1.8	-1.4	9.1	Neutral	On hold	Medium
Indonesia	1.1	20	15%	-3%	Low	Medium	-1.3	44.0	-2.7	-1.2	7.1	Negative	On hold	High
Jordan	-8.0	45	#N/A	#N/A	High	High	0.1	-44.0	-3.5	-5.5	7.7	Negative	On hold	Medium
Kenya	-4.5	NA	16%	2%	High	High	-0.5	10.0	-5.6	-3.4	5.7	Negative	On hold	High
Malaysia	-0.4	NA	13%	-19%	Medium	Medium	-1.3	7.0	-3.6	1.8	5.3	Negative	On hold	High
Mexico	0.7	NA	2%	6%	Low	Low	-3.6	72.0	-4.1	-0.3	4.3	Neutral	On hold	Medium
Morocco	-5.0	30	50%	15%	High	Medium	-2.1	29.0	-4.5	-1.5	7.4	Neutral	On hold	Medium
Nigeria	12.2	NA	-48%	-17%	Low	Low	-1.2	62.0	-3.7	3.6	12.0	Neutral	On hold	Medium
Pakistan	0.0	28	20%	7%	High	High	0.1	84.0	-4.1	-0.4	11.6	Negative	On hold	High
Peru	-0.5	NA	34%	-6%	High	Low	-3.1	44.0	-2.2	1.2	14.8	Negative	On hold	Low
Philippines	-4.2	60	36%	5%	High	Medium	-4.6	106.0	-0.3	-3.5	8.2	Negative	On hold	Medium
Poland	-2.1	121	35%	2%	High	Medium	-3.0	76.0	-6.3	-0.8	5.7	Negative	On hold	High
Romania	-1.7	92	28%	0%	High	Medium	-1.9	105.0	-6.2	-6.6	6.0	Neutral	On hold	High
South Africa	-2.3	NA	19%	1%	Medium	Low	-5.8	92.0	-5.6	-1.2	5.6	Neutral	On hold	Low
Sri Lanka	-4.5	35	47%	4%	Medium	High	-1.2	14.0	-6.5	0.5	4.5	Negative	On hold	High
Taiwan	-5.1	80	28%	19%	High	High	-3.1	4.0	-9.2	13.1	15.9	Negative	On hold	Medium
Thailand	-7.8	60	35%	11%	High	High	-6.2	55.0	-2.5	1.3	8.9	Negative	On hold	Medium
Tunisia	-4.0	60	21%	22%	High	High	-1.6	N/A	-6.0	-2.0	4.9	Negative	On hold	High
Türkiye	-3.6	94	7%	2%	High	Medium	-0.8	375	-0.7	-1.3	2.7	Neutral	Hike	Medium
Vietnam	-2.5	15	20%	2%	Medium	High	-1.1	8	-2.3	2.4	2.3	Neutral	On hold	Medium

Source: various, Allianz Research

While emerging markets' FX reserves are 20% higher than they were a year ago, third-round effects are becoming more visible as FX volatility and capital outflows have started adding pressures to central banks. FX reserve depletion and tighter external financing conditions in countries geographically closer to the conflict are starting to feed into higher sovereign risk premia and rising debt-service costs, particularly among countries

where weaker external buffers and policy constraints amplify vulnerability to a prolonged shock. For example, Türkiye’s external buffers have deteriorated markedly since late February, with gross reserves declining by over -25% amid broad-based pressure across both FX and gold holdings. In parallel, Egypt’s reserves declined by -3% in the month since the start of the conflict, though it still holds 35% higher reserves than a year ago. In the GCC region, Bahrain has been the sovereign most impacted by yield deterioration as the conflict arrives at an already delicate moment when it faces a large twin deficit.

Figure 2: FX reserve accumulation decelerates since the start of 2026



Source: LSEG Datastream, Allianz Research

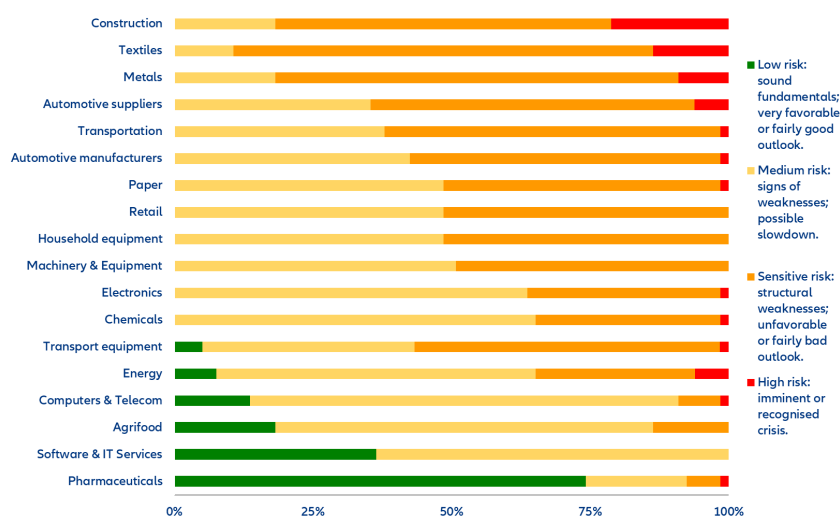
Meanwhile, sector risk ratings have deteriorated in net terms for the first time since Q2 2025. With only six upgrades (compared to 12 in Q4 2025) and 21 downgrades (5 in Q4 2025), this represents one of the largest quarterly numbers of downgrades since the end of 2022 (see Table 2). Downgrades occurred mainly in GCC countries (12 cases) where the immediate impact of the war, in terms of risk ratings, is spread across the energy (6), transportation (3) and transport equipment sectors (3). The energy sector moved from low to medium risk in the UAE, Saudi Arabia, Qatar and Oman, and from medium to sensitive in Kuwait and Bahrain. Downgrades in the transport-related sectors were all from medium to sensitive. Elsewhere, chemicals and metals both stand out, the former with a batch of downgrades to sensitive risk in Western Europe (Denmark, Finland, France, Norway), and the latter with Czechia and Türkiye entering the highest level of risk. In Canada, smaller producers and regional mills in the paper sector are facing heightened risks due to cost inflation, workforce shortages and raw-material constraints. At the same time, the better risk outlook remained limited (six cases) and all from sensitive to medium level of risk. This includes construction in Switzerland, household equipment in Czech Republic and Denmark, machinery equipment in Denmark, retail in Czech Republic and transportation in Uruguay. A prolonged or escalating conflict could lead to further sector risk downgrades due to the various channels of transmission of the direct impact of higher oil prices and supply-chain disruptions, and the multiple second-round effects through inflation, rates and confidence that would lead to more broad-based and persisting impacts.

Table 2: Q1 2026 changes (downgrades and upgrades) in sector risk ratings

WORSE RISK RATINGS (DOWNGRADES)				BETTER RISK RATINGS (UPGRADES)			
Sector	Country	Q4 2025 rating	Q1 2026 rating	Sector	Country	Q4 2025 rating	Q1 2026 rating
Chemicals	Denmark	2 (medium)	3 (sensitive)	Construction	Switzerland	3 (sensitive)	2 (medium)
Chemicals	Finland	2 (medium)	3 (sensitive)	Household equipment	Czech Republic	3 (sensitive)	2 (medium)
Chemicals	France	2 (medium)	3 (sensitive)	Household equipment	Denmark	3 (sensitive)	2 (medium)
Chemicals	Norway	2 (medium)	3 (sensitive)	Machinery equipment	Denmark	3 (sensitive)	2 (medium)
Construction	Uruguay	2 (medium)	3 (sensitive)	Retail	Czech Republic	3 (sensitive)	2 (medium)
Electronics	Slovakia	2 (medium)	3 (sensitive)	Transportation	Uruguay	3 (sensitive)	2 (medium)
Energy	Bahrain	2 (medium)	3 (sensitive)				
Energy	Kuwait	2 (medium)	3 (sensitive)				
Energy	Oman	1 (low)	2 (medium)				
Energy	Qatar	1 (low)	2 (medium)				
Energy	Saudi Arabia	1 (low)	2 (medium)				
Energy	UAE	1 (low)	2 (medium)				
Metals	Czech Republic	3 (sensitive)	4 (high)				
Metals	Turkey	3 (sensitive)	4 (high)				
Paper	Canada	2 (medium)	3 (sensitive)				
Transport equipment	Bahrain	2 (medium)	3 (sensitive)				
Transport equipment	Oman	2 (medium)	3 (sensitive)				
Transport equipment	UAE	2 (medium)	3 (sensitive)				
Transportation	Bahrain	2 (medium)	3 (sensitive)				
Transportation	Qatar	2 (medium)	3 (sensitive)				
Transportation	UAE	2 (medium)	3 (sensitive)				

Source: Allianz Research, based on the [Sector Risk Methodology](#) and the [Q1 2026 Sector Risk Map](#)

Figure 3: Sector risk ratings as of end March 2026, in number of countries, by level of risk

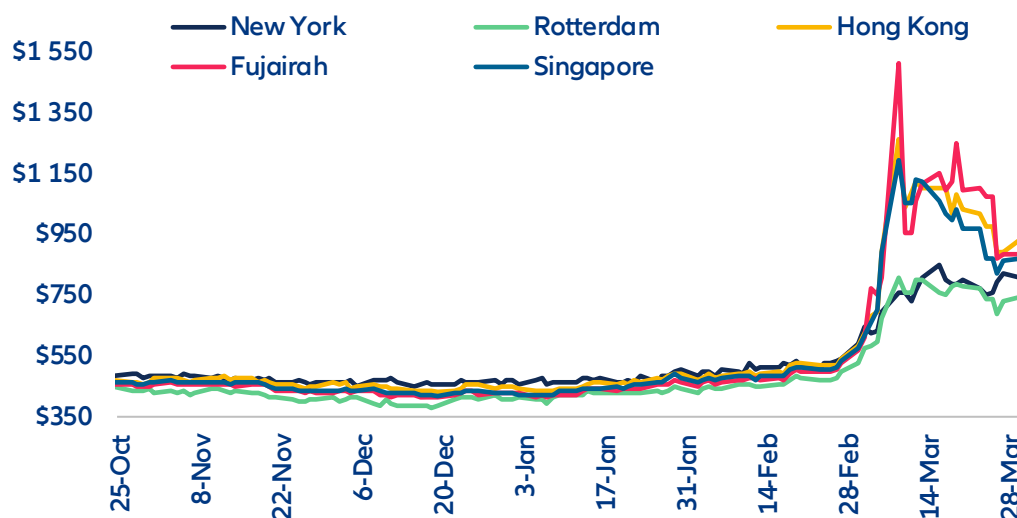


Source: Allianz Research, based on the [Sector Risk Methodology](#) and the [Q1 2026 Sector Risk Map](#)

Global transportation and GCC energy sectors are caught in the crossfire. Firstly, the ongoing conflict exposes an unusual downside for GCC energy sectors: for once higher oil prices are not translating into higher revenues. With the Strait of Hormuz effectively closed, large volumes of oil and LNG are stranded or shut in, sharply reducing export throughput despite elevated prices on global markets. Furthermore, beyond delayed and/or lost revenues as shipments cannot clear and contracts are disrupted, widespread damage to energy infrastructure - already estimated in the tens of billions of dollars - will require sustained maintenance. Rebuild capex, will further erode cash flow and delay any normalization of production capacity and thus of revenues. For shipping, fuel typically accounts for approximately 35% of operating costs in maritime transport under normal conditions. Since the closure of the Strait of Hormuz, bunker fuel prices have surged considerably (+70%), with spot prices even temporarily tripling in early March (see Figure 4). As a result, the entire marine fleet – from containerships to cruise operators – is experiencing a sharp and immediate increase in cost pressures. Moreover, the ability to pass these costs through to customers remains somewhat constrained. In 2026, weak demand relative to available liner capacity has significantly eroded pricing power, effectively capping freight-rate upside. Consistent with this dynamic, containership freight rates have increased by only +16% since the end of February (see Figure 5), a modest adjustment that stands in stark contrast to the pronounced rate spikes observed in prior stressful episodes, such as after “Liberation Day”. Therefore, should the strait remain closed for an extended period, the financial impact on

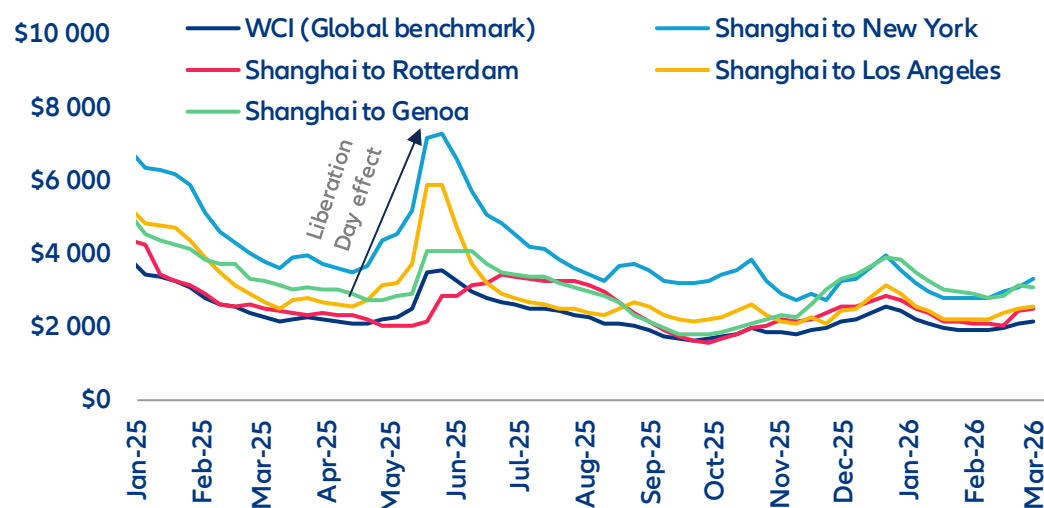
the shipping sector is likely to be quite severe (total operating costs have jumped by +25% for a month already), especially for companies whose fleet is 100% containerships, as the dynamics for other type of vessels, such as oil tankers, differ materially.

Figure 4: Marine fuel oil prices* (USD/MT) at different seaports



Sources: Allianz Research. Note: Prices are for very low-sulfur fuel oil (VLSFO), the most widely used bunker fuel (and IMO-compliant) in the shipping industry today

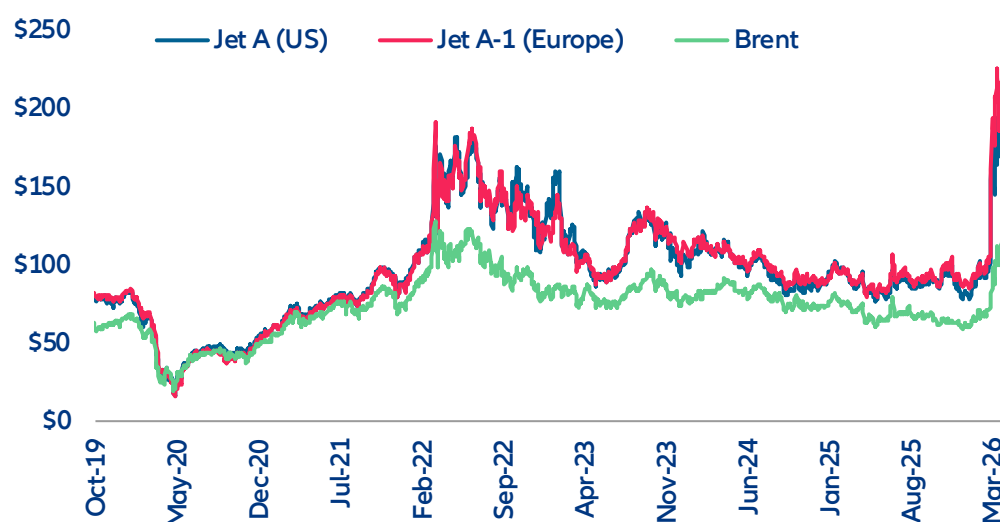
Figure 5: Containerships freight rates (USD/FEU)



Sources: Bloomberg, Allianz Research

While airlines also face soaring fuel costs, they do have pricing power. 40% of the world's jet fuel passes through Hormuz and accordingly prices have reached an all-time historic high (see Figure 6), with the crack surpassing USD100/bbl for the first time and prices in Europe particularly surpassing those in the US. However, unlike the shipping sector, the aviation sector's capacity is expanding only gradually, largely due to the production challenges faced by major aircraft manufacturers in recent years, giving the sector room to increase airfares as travel demand has remained robust since borders reopened after the pandemic. While demand is generally more price-sensitive for leisure travel (particularly in Europe, where low-cost carriers and rail alternatives intensify competition) it remains inelastic for business routes, which is precisely the segment that has historically been a key driver of airline margins. These dynamics help explain the unusually sharp increases in airfares already observed on certain long-haul routes (+70% y/y for this summer), particularly for connections between Asia and Europe.

Figure 6: Jet fuel prices (USD per barrel)



Sources: Bloomberg, Allianz Research

Airlines also have to deal with revenue losses in the Middle East (over 70,000 cancelled flights) and with significant logistical constraints. The Middle East region serves as a critical hub in global aviation networks. Since the closure of the airspace for normal commercial flights, major aviation hubs such as DXB, AUH, and DOH were forced to suspend civil operations, disrupting connections between Europe and Asia and forcing airlines to identify alternative intermediate hubs, with such adjustments being operationally complex. Beyond losing revenues from its strategical hub-role, the region will also feel the pinch on its tourism sector just as it was emerging as one of the fastest-growing tourism regions globally after the pandemic, led by cities like Dubai, Abu Dhabi, Riyadh and Doha. With one month of conflict already elapsed, and assuming an additional month of closed airspace, we can expect the number of international visitors to decline by ~30% y/y this year, which implies an estimated loss of USD55bn in tourism receipts. It should be noted that potential losses could extend even further as tourism will not rebound overnight – even if a ceasefire is reached – because restoring traveler confidence takes time.

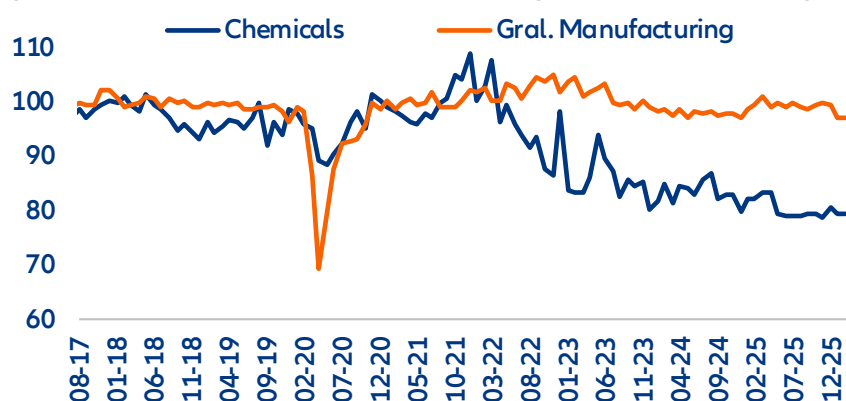
Zooming in on Europe, and going beyond transportation, energy-intensive sectors are the most immediately exposed in the region, with chemicals, steel and cement feeling the impact of developments in the Middle East most acutely (see Table 3). As we have written previously¹, the conflict in Iran underscores Europe's persistent energy vulnerability, with natural gas representing approximately 40% of final energy consumption across industries. The situation for the chemicals sector is particularly concerning as the closure of the Strait of Hormuz is exacerbating an energy crisis that has been hitting the industry since 2022. As shown in Figure 7, chemical production levels in the region remain way lower than before the start of the war in Ukraine, with petrochemicals recording the sharpest drop (-10.2% y/y in 2025). This deteriorating trend is unlikely to recover anytime soon, given the combination of persistent weak demand, uncompetitive natural gas prices and the added pressure from the Middle East (a critical upstream supplier of petrochemical feedstocks) not providing relief. Indeed, energy is the largest single operating cost for petrochemicals and basic inorganics (e.g. fertilizers), accounting for approximately 35% and 50%, respectively, while at the same time these two segments together represent around 40% of the region's chemical sales.

¹ [The second energy shock – Allianz Research](#)

Table 3: Impact on sectors – first-round effects

Sectors	Europe	Asia	Upside/Downside catalysts
First round effect			
Base metals	↓↓↓	↓↓↓	Large margin compression (rising energy costs)
Basic chemical - Fertilizer	↓↓↓	↓↓↓	/
Airlines	↓↓↓	↓↓↓	Large margin compression if unhedged (rising jet fuel costs)
Building materials – Cement	↓↓↓	↓↓↓	
Food	↓↓↓	↓↓↓	Moderate margin compression (rising energy costs)
Glass	↓↓↓	↓↓↓	/
Paper	↓↓↓	↓↓↓	/
Plastic	↓↓↓	↓↓↓	/
Textile	↓↓↓	↓↓↓	/
Shipping	↓↓↓	↓↓↓	Moderate margin compression (rising energy costs and low pricing power)
Utilities – Electricity provider	↑↑↑	↑↑↑	Moderate margin improvement (pricing effects on electricity)
Oil & Gas - Refinery & Distrib.	↑↑↑	↑↑↑	Large margin improvement (pricing effects on oil)

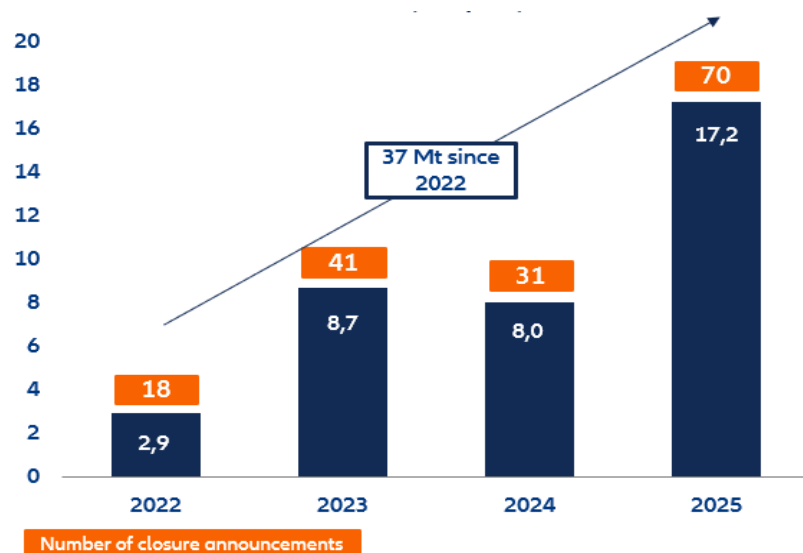
Figure 7: EU's production index, chemicals vs general manufacturing



Sources: Eurostat, Allianz Research

To cope with energy-related challenges, companies in Europe have been downsizing their capacity through plant closures. Prior to 2022, Europe produced an average of around 415 megatons of chemicals per year. Since 2022, 37 Mt (or roughly 9% of production capacity) has been slated for closure, with the largest closures, both in terms of size and number of announcements, occurring last year (Figure 8). Petrochemicals is again the segment suffering the most, accounting for 48% of the sector's plant closures. By geography, Germany and the Netherlands stand out as the two countries most affected by the loss of competitiveness, accounting for nearly half (44%) of the region's production shutdowns.

Figure 8: European chemical production capacity announced for closure (in Mt p.a.)



Sources: CEFIC, Allianz Research

Second-round effects: more broad-based and persisting impacts

A more broad-based commodity story. Rising tensions in the Middle East extend well beyond oil and gas price volatility, with potentially broader implications for global supply chains and production costs. The region is not only a critical energy supplier but also a dominant provider of several strategic commodities: it accounts for a material share of global LNG exports (around 20% from Qatar), is a leading supplier of aluminum (notably via Bahrain and the UAE) and plays a key role in fertilizer inputs such as ammonia, urea and sulfur, as well as the helium market (with Qatar alone representing roughly a third of global supply). These inputs are deeply embedded across industrial value chains – from semiconductors and data centers to agrifood and construction. With markets increasingly pricing in the risk of supply disruption – particularly in the event of a prolonged shutdown of the Strait of Hormuz – a risk premium is being incorporated across a broad set of commodities. This dynamic is likely to raise input costs across multiple industries, especially for corporates exposed to Middle Eastern supply and lacking hedging strategies, amplifying the risk of second-round effects on global inflation and growth if the conflict persists.

Table 4: List of commodities highly exposed to supply-disruption risks.

Commodity	Industry impacted
Aluminum	Auto, Aerospace, Construction, Packaging
Ammonia	Fertilizer, Chemicals, Agrifood
Helium	Semiconductors, Pharmaceuticals, Chemicals / Automotive, Data centers, Technology hardware & Telecom (by extension)
LNG gas	Oil & Gas refiners, all manufacturing firms (via electricity prices)
Phosphate, Urea	Fertilizer, Agrifood (by extension)
Polypropylene	Automotive, Packaging, Medical equipment, Food distributor (by extension)
Sulfur	Fertilizer, Metal mining

Source: Allianz Research

Helium shortages are a contained risk for the semiconductor industry – for now. The semiconductor industry is exposed to renewed Middle East tensions through the helium supply chain, with Qatar supplying 66% of South Korea's imports, 50% of China's and 30% of Taiwan's (the three largest global foundry hubs). A disruption in the Strait of Hormuz would threaten access to this critical gas, essential for wafer production, particularly in cooling (high thermal conductivity, very low boiling point) and lithography processes used in advanced AI chips. That said, near-term risks remain contained. Industry disclosures suggest helium inventories of ~6 months in South Korea and slightly above one quarter in Taiwan, limiting disruption risks before summer. Since the 2022 shortage, both countries have strengthened resilience via process optimization, long-term supply contracts and supplier diversification. In addition, excess US helium inventories could provide a buffer if disruptions extend beyond Q2. Given the strategic importance of semiconductors, supply allocation would likely prioritize this sector over pharmaceuticals or chemicals. Paradoxically, the situation may support pricing. Strong demand from AI and data centers, combined with capacity constraints, gives semiconductor firms scope to pass through a "geopolitical premium", supporting revenues. However, medium-term risks are building: industrial electricity prices in South Korea are already ~80% above 2022 levels, and further increases in H2 remain possible (Q2 guidance unchanged so far). Rising input costs could slow AI infrastructure expansion and force allocation trade-offs, prioritizing AI over consumer electronics and automotive, which may face shortages, lower-performance components or reduced output.

Figures 9 & 10: Top importers of helium for main Asian semiconductor foundry hubs & estimated current inventory capacity / Historical evolution of industrial electricity price in South Korea (in KRW per W)

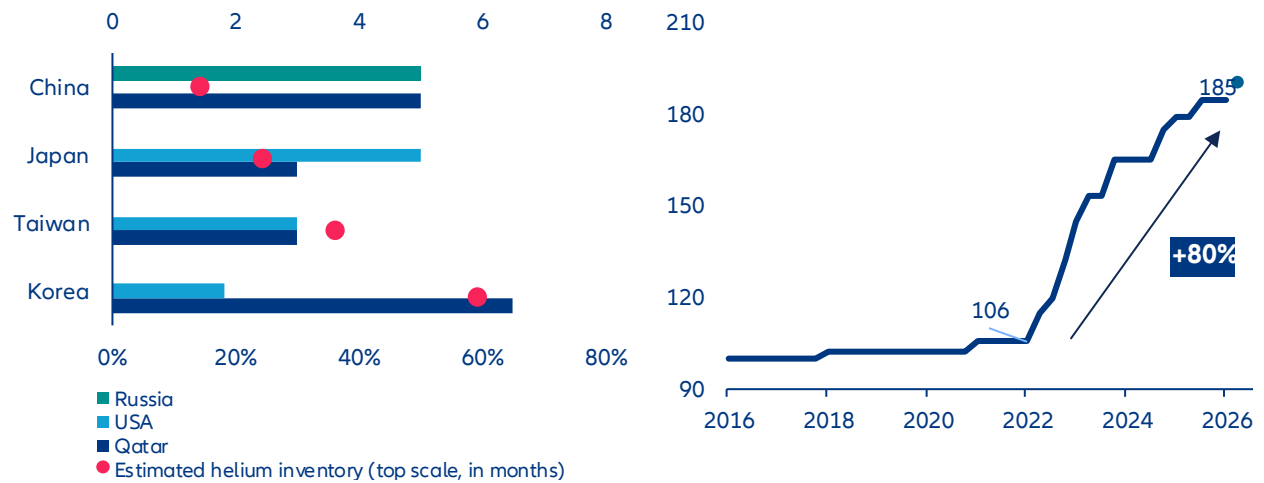
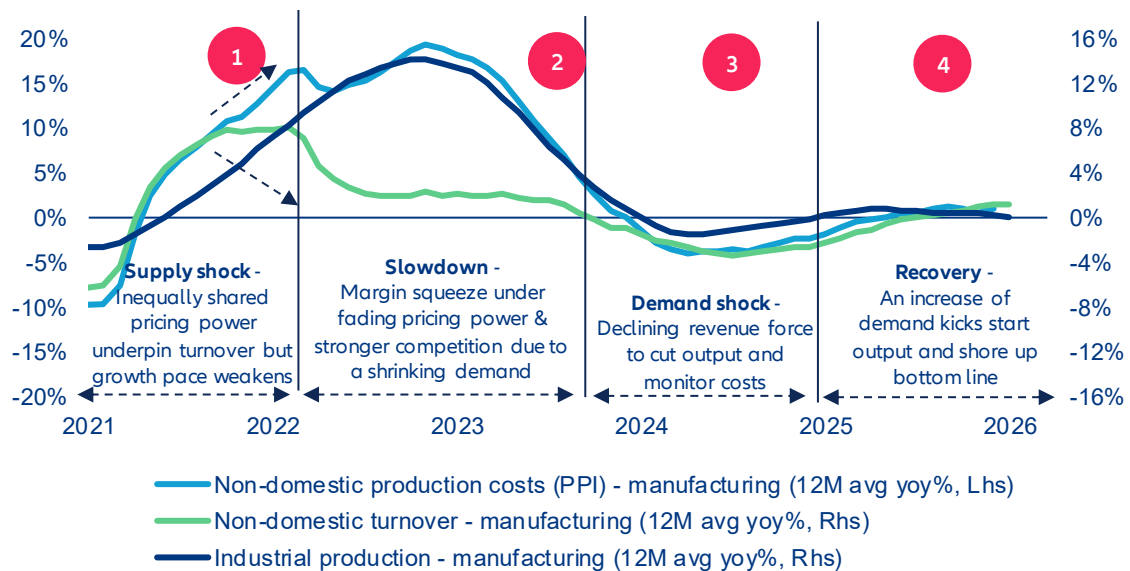
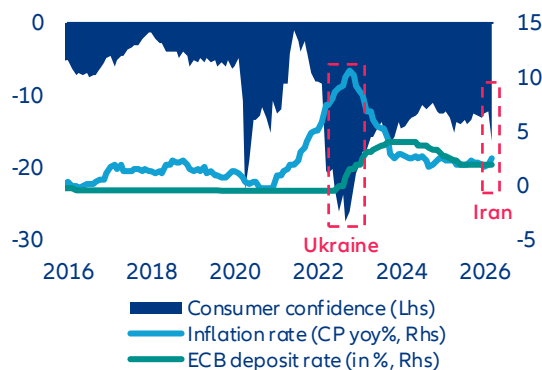


Figure 11: Industrial output, production costs & turnover of Eurozone manufacturing industry (year on year change of price index based on a 12-month average)



Sources: Eurostat, Allianz Research

Figure 12 & Table 5: Consumer confidence, inflation & policy rates in Eurozone /
List of macro drivers potentially impacted by Middle East tensions



Drivers	Impacts
Productions costs (↑)	↑/↓ Margin (depending on pricing power strength)
Consumer confidence (↓)	↓ Demand
Interest rates (↑)	↓ Demand + ↓ Investment (higher lending costs)
Fiscal tightening / loosening	↓ Margin (windfall tax) / → Margin (tax freeze / postponement)
Regulatory constraints (↑)	↓ Demand (black-out measures) + ↓ Margin (pricing freeze)

Source: ECB, DG ECFIN, Eurostat, Allianz Research

Watch out for second-round effects. We see a growing need to closely monitor early signals of a macro regime shift as a renewed supply shock could again evolve into a demand shock – echoing the 2022 pattern, albeit in a more globalized and structurally constrained context. The 2022 energy shock provides a useful blueprint for assessing the potential macro and micro impacts of a prolonged Middle East conflict, highlighting two distinct transmission channels at the micro level: first-round effects driven by energy price spikes and second-round effects linked to tightening financial conditions and weakening demand. Unlike 2022, the shock is unfolding amid ongoing tensions around grid capacity and efficiency, particularly as AI-driven infrastructure expansion accelerates energy demand. At the same time, consumer price sensitivity remains elevated, suggesting corporates may struggle to pass through costs and protect margins to the same extent as during the post-Covid rebound. The recent drop of consumer confidence in Europe in March to its lowest level since Q4 2023 (-4pts at -16) is a gentle reminder that energy price volatility and inflation risks remain a hot topic for households and their purchasing power, even more when economic growth is moving sideways.

2026 is not 2022. Households remain highly price sensitive today, with lingering scars from the last inflation shock. The previous episode followed a clear sequence: an initial phase where higher commodity prices did not immediately hurt all sectors as many – energy, tech hardware, automotive, retail and consumer services – successfully passed through costs to protect margins amid strong post-Covid demand; a second phase where pricing power eroded as inflation weighed on confidence, forcing price cuts and margin compression; a third phase (2023–2024) marked by demand destruction driven by higher interest rates and declining purchasing power and finally a gradual recovery supported by easing financial conditions and improving sentiment. The Eurozone is only in the early stages of a fragile recovery, suggesting a faster and more pronounced demand reaction to renewed price pressures, increasing downside risks for corporates. That said, some sectors – particularly semiconductors – are better prepared, having implemented hedging strategies such as supplier diversification, long-term contracts, process optimization and strategic inventories, which should provide partial buffers against renewed supply-side disruptions.

A quick look in the past and corporate earnings in Europe following the war in Ukraine gives us some guidance about the likely impacts generated by a severe and long-lasting energy-led inflation spiral, and confirms as well the greater magnitude of casualties caused by second-round effects on corporates, notably rising rates.

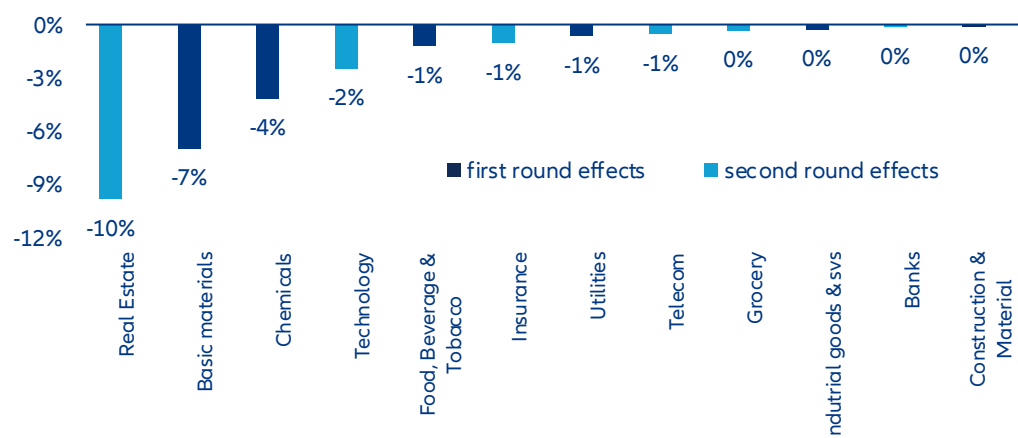
Measuring peak net margin drawdowns from Q4 2021 to the 2022–2023 period, the European market saw an average compression of ~40bps, masking much sharper sectoral divergences. Energy-intensive industries were hit first: basic materials (-700bps) and chemicals (-400bps) experienced severe margin erosion due to surging input costs, while food, beverage & tobacco (>-100bps) proved more resilient thanks to still-solid demand. In contrast, the most acute impact came from second-round effects, with real estate (-1,000bps) heavily penalized by rising interest rates and collapsing transaction volumes. Technology (-200bps) also faced pressure, reflecting its cyclical exposure to capex and discretionary spending cuts during downturns. Looking ahead, this pattern remains relevant: sectors exposed to financing conditions, such as real estate and tech, are likely to be most vulnerable, while utilities and

insurers face increasing regulatory and risk-pricing challenges. More cyclically exposed segments like retail and automotive – already weakened by structural pressures – could face amplified downside risks in an environment of sluggish demand in Europe.

Beyond demand risks, a potential renewed monetary tightening cycle would weigh on investment, delaying digitalization and/or expansion projects. This is particularly critical for AI: higher borrowing costs and rising electricity prices could directly pressure data-center expansion pipelines, while reinforcing investor concerns around capex monetization. This dynamic could cap tech sector valuations – especially in the US – and limit capital-market gains that have so far supported the AI investment cycle. Paradoxically, higher financing costs may still accelerate AI diffusion at the enterprise level as firms seek productivity gains to offset weaker volumes. However, capped IT budgets under macro deterioration would moderate new demand for computer and telecom equipment in Europe and America. In parallel, we are monitoring fiscal responses and tax adjustments – from windfall taxes on energy players to supportive measures such as tax deferrals – as well as potential regulatory interventions (e.g., energy rationing, mobility restrictions) already observed in some emerging markets. Together, these factors will be critical in assessing whether current tensions trigger broader second-round effects across the global economy.

We see greater downside risk for Asian consumer electronics and technology components/equipment than in other regions, as the continent is more directly exposed to Middle East-driven energy supply constraints and resulting power price volatility. While the current AI-driven capex cycle remains intact, a persistently higher cost and energy price environment could slow the pace of data-center expansion. At the same time, it is likely to intensify political and industrial efforts to reduce reliance on Asia within the semiconductor supply chain, while accelerating the shift toward less energy-intensive technologies. These dynamics – already structural – could gain further momentum as geopolitical tensions persist, creating additional headwinds for the region's tech ecosystem.

Figure 13: Maximum net margin drawdown recorded by European industries over the period 2022-2023 (based on 12-month trailing weighted earnings reported by firms listed into Stoxx 600 index)



Sources: LSEG Datastream, Allianz Research

Table 6: List of sectors in Asia and Europe that are most exposed to second-round effects from the Middle East conflict

Sectors	Europe	Asia	Upside/Downside catalysts
Second round effect			
Real Estate	↓↓	↓↓	Higher interest rate (deteriorating demand)
Consumer electronics	↓	↓↓↓*	Rising costs (inputs pricing) + Higher interest rate (weaker business & household spending)
Technology - Components & Equipment	↓	↓↓↓*	Higher interest rate (weaker investment pipeline + corporate IT budget cut)
Automotive	↓	↓	Rising costs (inputs pricing) + Higher interest rate (weaker business & household spending)
Datacenter	↓	↓	Rising costs (electricity bill) + Higher interest rate (weaker investment pipeline)
Insurance	↓	↓	Large margin compression (higher repairing costs/higher insolvency risks)
Banks	→	→	Higher interest rates (sluggish household consumption & business investment)
Construction	→	→	Higher interest rates (weaker investment pipeline)
Retail	→	→	Higher interest rates (sluggish household consumption)
Telecom services	→	→	Higher interest rates (more expensive capex)
Utilities	→	→	/

*Influenced by Korean and Taiwanese producers. Source: Allianz Research

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Economic outlook 2026-27: The Fog of War

31 March 2026



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Capital markets outlook: Ultimately a function of geopolitics

Executive Summary

Ludovic Subran
Chief Investment Officer
& Chief Economist
ludovic.subran@allianz.com

Jordi Basco Carrera
Head of Private Markets Investment
Strategy
jordi.basco_carrera@allianz.com

Ana Boata
Head of Economic Research
ana.boata@allianz-trade.com

Nils Bradke
Senior Investment Strategist
nils.bradke@allianz.com

Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com

Lluís Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com

Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com

Bjoern Griesbach
Head of Macroeconomic and Capital
Markets Research
bjoern.griesbach@allianz.com

Jasmin Gröschl
Senior Economist for Europe
jasmin.groeschl@allianz.com

Michael Heilmann
Senior Investment Strategist
michael.heilmann@allianz.com

America Hernandez
Senior Investment Strategist
america.hernandez@allianz.com

Bernhard Hirsch
Head of Rates and Emerging Markets
bernhard.hirsch@allianz.com

Alexander Hirt
Head of Corporate Research
alexander.hirt@allianz.com

Patrick Krizan
Senior Investment Strategist
patrick.krizan@allianz-trade.com

Ano Kuhanathan
Head of Corporate Research
ano.kuhanathan@allianz-trade.com

• **The war in the Middle East sets the stage. For the US and Europe, we expect lower growth, higher inflation, stronger fiscal pressure and a challenging situation for central banks.** Global GDP is expected at +2.6% in 2026 (revised down by -0.5pp), inflation at 3.2% in the US and 3.0% in the Eurozone this year (revised up by +0.7pp and +1.1pp, respectively) and trade growth at +1.5% in 2026 (revised down -0.5pp). Growth is expected to stay at +2.1% in the US and +0.8% in the Eurozone and deficits will remain elevated: -7% of GDP in the US and -3.0% in Europe, while higher debt-servicing costs limit room for support. Oil prices are expected to hover around 80 USD/bbl at end-2026 after reaching a record high in Q1 2026 on the back of geopolitical volatility. The Fed is expected to look through the inflation spike and remain on hold, with only one cut in early 2027. The ECB is likely to deliver a +25bps hike to anchor expectations, then pause as growth weakens. Both central banks will treat the shock as temporary in the baseline scenario, but prolonged energy pressures would trigger a more hawkish response.

• **The Gulf countries (GCC) and Asia remain most directly exposed while China should still grow by +4.6% in 2026.** Watch for triple-deficit economies facing recession risks while some commodity exporters benefit from diversification. Triple-deficit economies, combining fiscal, current account and energy deficits, are particularly vulnerable to capital outflows, higher inflation and recession. GCC economies face trade, tourism and real-estate risks despite high financial buffers and we have revised their growth forecast by -2.1pps. For Asia, the end-2025 growth tailwind of +0.2pp has been erased. Latam is relatively more insulated from the shock, with countries such as Argentina, Brazil and Mexico benefiting from their position as commodity exporters.

• **For corporates and consumers: a broad-based cost shock, on top of pre-existing vulnerabilities.** Higher energy, metals and fertilizer prices are creating a cost-push shock amid weak demand and elevated US tariffs, expected to hover around 10%. Energy producers and defense benefit, while energy-intensive, transport and consumer sectors face margin pressure. Tighter financial conditions and weaker demand are expected to push global insolvencies higher in 2026. Weakened consumer sentiment, labor markets and purchasing power in the context of high fuel and food prices are the main challenges ahead.

• **Capital markets: pricing in a geopolitical stagflation scare.** Since the outbreak of the Middle East conflict, investors have shifted decisively into a stagflationary risk off mode. Yield curves have risen and bear-flattened (front end: +50-90bps; long end: +40-70bps) as markets factor in a short term inflation spike and, as a consequence, hawkish reactions from central banks (expected end-of-year policy rates for the Fed and ECB rose 60bps

Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com

Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com

Yao Lu
Investment Strategist
yao.lu@allianz.com

Lina Manthey
Investment Strategist
lina.manthey@allianz.com

Maddalena Martini
Senior Economist for Italy, Greece, Spain
& Benelux
maddalena.martini@allianz.com

Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com

Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com

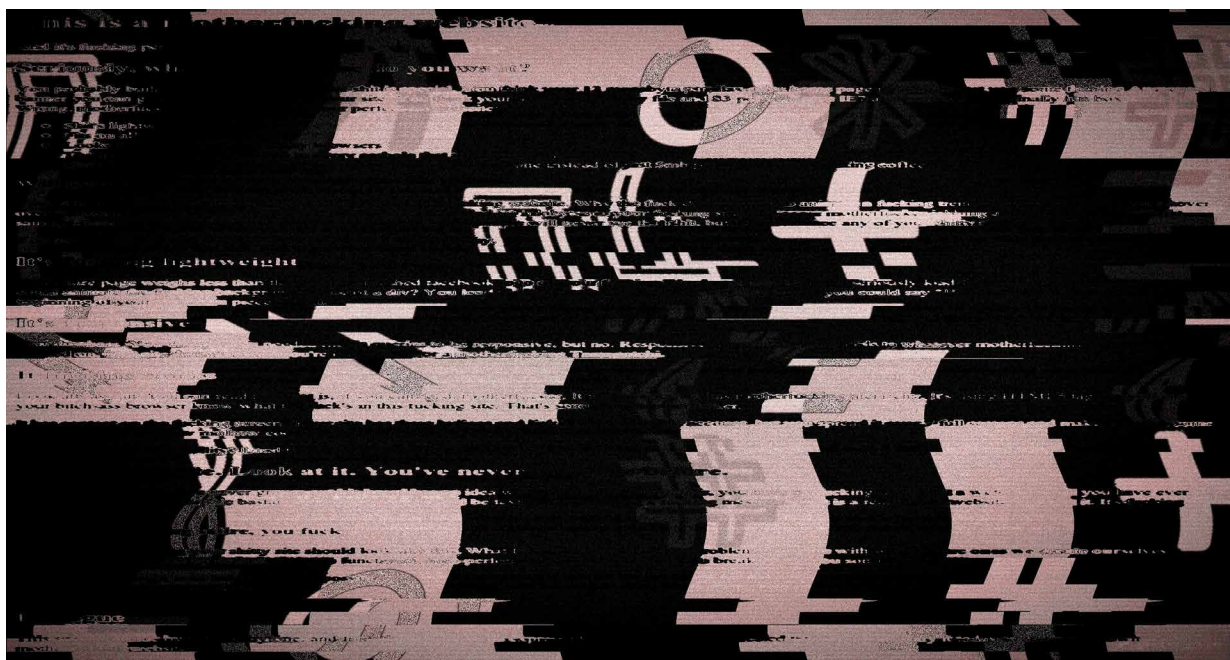
Dorian Simon
Investment Strategist
dorian.simon@allianz.com

Sivagaminathan Sivasubramanian
ESG and Data Analyst
sivagaminathan.sivasubramanian@allianz-trade.com

Ziqi Ye
Investment Strategist
ye.ziqi@allianz.com

and 90bps). At the same time, overseas demand appears to be softening as EM central banks draw down FX reserves to stabilize weakening currencies and finance elevated oil and gas imports. The growth scare is reflected in broad equity losses (US: -8%; Europe: -10%; EMs: -12%) and a pronounced flight to the ultimate safe asset: USD (trade weighted +2.5%) cash. Even gold has retreated (-13%), unwinding its earlier exceptional rally and facing selling pressure from countries tapping savings to pay for energy. Credit spreads have widened only modestly (+13bps for Euro IG; +26bps for HY), but broadly in line with previous geopolitical shocks. Importantly, markets still do not expect a structural regime shift: longer term inflation expectations remain well anchored (5y5y), and oil forwards for December are 30 USD below the current price. Our baseline scenario broadly aligns with this view: assuming the conflict and energy disruptions ease within three months, we expect a broad based asset market recovery as the year progresses (US 10y: 4.5%, DE: 2.8%, S&P500: +6%, Eurostoxx +5%). In the near term, however, further volatility and new market extremes remain likely.

• **It could get worse before it gets better: A worsening of the conflict would cause a stagflationary recession.** Mind the chain reaction. In our downside scenario, a prolonged closure of the Strait of Hormuz (>3 months) would magnify the economic shock, with oil rising temporarily to 180 USD/bbl and gas to 200 €/MWh before easing back to 85 USD/bbl and gas to 65 €/MWh towards the end of the year, given the demand-side destruction. The global economy would be pushed into a stagflationary regime, with the Eurozone falling into a technical recession (annual growth at +0.2%) and the US economy significantly slowing down for two years on second-round effects as a strong equity market correction would hit the consumer. Inflation would peak at 4.6% in the Eurozone and 4.9% in the US, forcing central banks into a more aggressive tightening response despite the economic slowdown (ECB: three hikes, Fed: two hikes). For capital markets, this implies a clear risk-off regime: higher yields (US 10y up to 5.7%, DE up to 3.7%), sharp equity corrections with a max drawdown of -30% in Europe and -25% in the US and materially wider credit spreads (Europe IG up to 150bps, HY 440bps), alongside a stronger USD and rising liquidity stress. In this scenario, nonlinear dynamics dominate, with consumer confidence shocks, forced deleveraging and private market stress amplifying the macro downturn.



Global outlook: Escalation risks in a fragmented world

The US-Israeli strikes on Iran will have implications for energy markets, shipping costs, inflation risks and financial conditions – but everything hinges on how long the conflict lasts and how far the escalation on critical energy infrastructure could go. Navigation through the Strait of Hormuz – critical for 25% of global hydrocarbon flows – and disruption of oil production in the Gulf remain the crucial transmission channels. In terms of the energy supply shock, the Middle East accounts for double Russia's share of oil, i.e. 20% of global supply, and a similar exposure for gas, i.e. 5% of global supply. We estimate that half of the oil supply from the Middle East can be covered through rerouting, additional supply from the US & Russia and a progressive release of strategic reserves. This is consistent with oil prices ranging between 80 to 100 USD/bbl. For now, gas prices have doubled but they were multiplied by five during the war in Ukraine, with the peak in oil prices above 130 USD/bbl at that time. In terms of country exposure, Europe is moderately exposed, with 7% of total oil imports from the Middle East and 4% of gas. In the emerging world, Asia is most

exposed as it imports more than 56% of its oil from the Middle East and more than 30% of its gas. Looking at energy vulnerability (price & supply), strategic reserves and coping mechanisms (fiscal and current balance), we identify one group of countries with high exposure and limited room to maneuver (high fiscal and current account deficits) – Egypt, Hungary, Kenya, Poland, Romania, Tunisia, Ethiopia, Jordan, Morocco, Pakistan and Bangladesh – and another group with high exposure but more leeway to counteract the shock – Chile, China, India, Philippines, Sri Lanka, Taiwan, Thailand and Turkey.

In our baseline scenario, energy price dynamics are a large but not sustained supply shock, with oil testing higher levels before gradually normalizing as de-escalation materializes and flows through the Strait of Hormuz return to normal progressively. Hence, we see energy prices coming down to 78 USD/ bbl by year-end from 90 USD/bbl in Q2, which means 2026 CPI inflation is forecast to rise to 3% in 2026 in the Eurozone (after 2.1% in 2025) and 3.2% in the US (after 2.7%). The hit

to GDP growth would range from -0.2pp in the US (to 2.1% in 2026) to -0.4pp in the Eurozone (to 0.8% in 2026). We believe central banks would mostly look through this temporary price shock, with the ECB and the BoE delivering modest 25bps rate hikes in April, and the Fed keeping rates steady. Overall, global GDP growth should reach +2.6% in 2026, from +3.1% prior to the conflict. If the Strait of Hormuz remains blocked for longer than three months, the impact will start to be recessionary. Inflation and central bank reactions will depend on the

length of the conflict and the reaction function of fiscal policy. In a prolonged conflict, we expect central banks to increase key rates more aggressively as markets will be testing their credibility after the 2022 episode (+75bps in the US, the UK and Eurozone by end-2026). In this scenario, GDP growth would take a large hit. The Eurozone would likely go through a technical recession, with annual GDP growth at +0.2% in 2026. The US economy would also take a hit, though more moderately thanks to partially offsetting effects in the mining sector. US GDP growth would drop to a meagre +1.5%.

Table 1: Real GDP growth forecasts, %

Growth (yearly %)	2023	2024	2025	2026f	2027f
Global	2.8	2.9	3.0	2.6	2.9
USA	2.9	2.8	2.1	2.1	2.2
Latin America	2.0	1.7	2.6	2.4	2.9
Brazil	3.2	3.0	2.6	1.9	2.5
UK	0.3	1.1	1.3	0.7	1.4
Eurozone	0.5	0.9	1.5	0.8	1.3
Germany	-0.7	-0.5	0.4	0.7	1.2
France	1.6	1.1	0.9	0.8	1.3
Italy	1.0	0.6	0.7	0.5	0.8
Spain	2.5	3.5	2.8	2.2	1.8
Central and Eastern Europe	1.4	2.2	2.2	2.6	2.7
Poland	0.1	3.0	3.6	3.7	2.6
Russia	3.9	4.3	1.0	1.7	2.0
Türkiye	5.0	3.5	3.6	3.5	4.0
Asia-Pacific	4.2	4.0	4.6	4.2	4.0
China	5.5	5.0	5.0	4.7	4.4
Japan	0.7	-0.2	1.2	1.2	1.0
India	6.8	7.3	7.5	6.4	6.5
Middle East	2.1	2.1	2.3	-1.0	4.0
Saudi Arabia	0.5	2.6	4.6	2.3	8.1
Africa	2.7	3.4	4.1	3.8	3.9
South Africa	0.8	0.5	1.3	1.4	1.6

Sources: national, Allianz Research

Table 2: Middle East conflict scenarios

			Feb 28th	Upside (15% probability): Short lived escalation with military exchange ***	Baseline (45% probability): Prolonged conflict with less than three months of global oil and gas disruption ***	Downside (35% probability): Long sustained escalation with prolonged disruption of global oil and gas supply ***
				2026	2026	2026
Description				Deescalation, Hormuz opens in April, no destruction of oil industry	A deal allowing for a progressive normalization of oil and gas trade in May. In between partial re-routing, additional production (US, Russia) and strategic reserves being tapped covers >50% of Hormuz gap in oil and gas; no material destruction of oil/gas industry.	Hormuz closed for more than three months. Oil, gas and other commodity supply shortages (fertilizers, helium) transmits to confidence & equity shock exacerbating downturn.
Oil Brent (USD/bbl), Q2 average / eoY 2026			73\$	70\$ / 70\$ (125\$)*	90\$ / 78\$ (\$140)*	130\$ / 85\$ (\$180)*
Gas prices, annual avg.			32€	35€ (80€)*	49€ (150€)*	65€ (200€)*
GDP	EZ	1.3%**		1.2%	0.8%	0.2%
	US	2.6%**		2.5%	2.1%	1.5%
Inflation	EZ	1.9%**		2.1%	3.0% (3.4%)*	3.9% (4.9%)*
	US	2.5%**		2.6%	3.2% (3.7%)*	4.0% (4.6%)*
EURUSD			1.18	1.19 (1.14)*	1.15 (1.11)*	1.12 (1.05)*
Monetary Policy	ECB	2.0		2.0	2.25	2.75
	Fed	3.75		3.5	3.75	4.25
10y	DE	2.6		2.6 (3.1)*	2.8 (3.3)*	3.1 (3.7)*
	US	4.0		4.3 (4.5)*	4.5 (4.8)*	5.0 (5.7)*
Equity market	EZ	6		9 (-10)*	5 (-10)*	-25 (-30)*
	US	1		10 (-10)*	6 (-10)*	-20 (-25)*
Credit spread	EZ IG	83		83 (100)*	95 (115)*	120 (150)*
	EZ HY	283		283 (320)*	320 (400)*	400 (440)*
	US IG	84		84 (100)*	95 (115)*	120 (140)*
EM HC spread		178		185 (200)*	200 (230)*	235 (280)*
Private Markets (Global)	Private EQ	6.7%		12.5%	10%	-10%
	Direct Lending	530		500	550	650-700
	Infra EQ	8.7%		9.8%	8.5%	5.5%
Insolvencies	EZ	+1.4%		+1.5%	+2.5%	+5.0%
	US	+5.7%		+6.4%	+9.3%	+13.5%

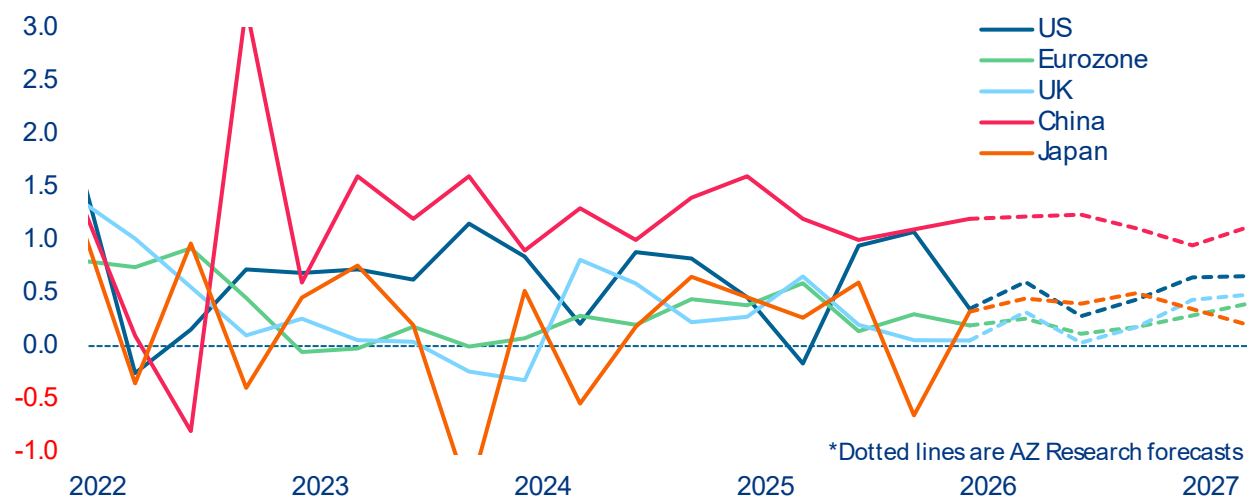
* max daily draw-down in brackets.

** macro forecast for 2026 before the start of the Iran war

*** probabilities add up to 95% with remaining upside and downside tail-risks (<5%) omitted

Sources: national, Allianz Research

Figure 1: Quarterly real GDP growth rates, q/q, %



Sources: national, Allianz Research

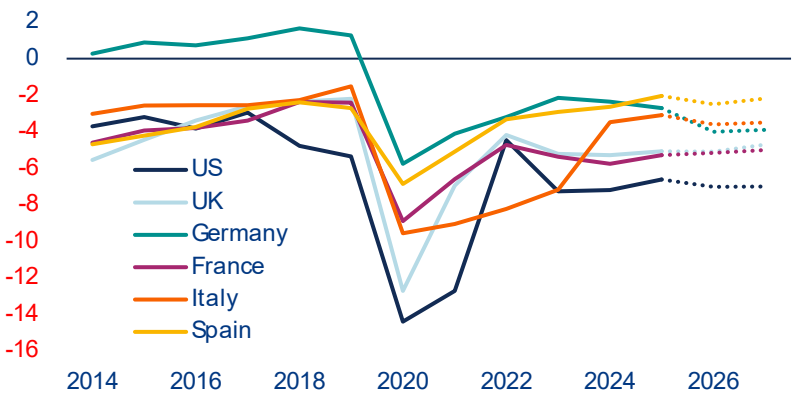
The 2026–2027 risk outlook should be read through the lens of a structural regime shift to a new global order, less rules-based and more power- and influence-driven. The efficiency-led paradigm anchored in free trade, comparative advantage and lean, cost-optimized supply chains is giving way to a system shaped by interventionism, geopolitics and strategic autonomy. Trade is increasingly weaponized via tariffs, export controls, sanctions, energy dependencies and control over strategic corridors while supply chains are diversified and, in many cases, duplicated. This transition is inherently inflationary, implies greater state involvement and is driving a reallocation of global capital toward strategic sectors. Crucially, volatility is no longer episodic but a structural feature of today's new global order. Geopolitical transmission channels, commodity-trade shocks and growth–inflation trade-offs are likely to generate more frequent and less predictable shocks. Market reactions are expected to be increasingly non-linear, with delayed repricing phases followed by abrupt adjustments, while traditional safe havens may prove less reliable in a fragmented geopolitical environment. This increases the need for a strong understanding of transmission mechanisms and second-round effects.

Within this evolving framework, the baseline scenario carries a 45% probability and the balance of risks is clearly skewed to the downside. A disorderly correction in AI-driven valuations could trigger broader equity repricing (with potential corrections of 25–30% in US equities), exposing leverage in private markets and amplifying recessionary dynamics. At the same time, persistently high fiscal deficits in major advanced economies risk morphing into confidence shocks, fueling FX and rate volatility, particularly in a context where macro aggregates remain resilient but micro-level stress is intensifying. In parallel, renewed de-dollarization pressures could act as a destabilizing amplifier, increase term premia and contribute to more volatile capital flows. Financial deregulation may support credit creation in the short term but at the cost of building medium-term vulnerabilities. Meanwhile, structural constraints such as tighter US immigration policies are likely to exacerbate labor shortages, reinforcing the shift toward capital-heavy, labor-light growth while capping potential output.

In this context, policy buffers and fiscal space will increasingly differentiate resilience to geopolitical and macro shocks. Overall, the transition toward modern mercantilism implies a more fragmented, state-driven and investment-heavy global economy, where the interaction between geopolitical competition, policy intervention and financial imbalances increases the likelihood of non-linear adjustments, and where the accumulation of risks intensifies the longer these dynamics persist.

Fiscal policy was already stretched before the Iran shock. Before the escalation of tensions, no major consolidation effort was on the horizon across advanced economies. Fiscal stances were broadly neutral at best, with most governments balancing post-pandemic spending legacies against moderating growth outlooks. The energy shock has since complicated the picture further, forcing some countries to contemplate targeted support measures while avoiding the broad-based subsidies deployed in 2022. Countries enter this period in somewhat better fiscal shape than during previous crises, having rebuilt modest buffers over 2023–2025, but the window for consolidation is narrowing. Slowing growth – amplified by higher energy costs and weakening consumer demand – will weigh on revenue dynamics and make deficit reduction harder to sustain. Adding to the strain, the trend reversal in interest rates will keep debt-servicing costs elevated. The combination of stagnating revenues, energy-related spending pressures and sticky borrowing costs leaves little room for maneuver – and makes any near-term improvement in debt ratios unlikely. In the US, new spending and tax refunds enacted in the One Big Beautiful Bill Act will more than offset tariff revenues, pushing up the federal deficit. In Europe, fiscal challenges look set to intensify into 2027, when major economies such as France, Italy, Spain and Greece, among others, head to the polls, likely on platforms favoring spending commitments over consolidation. Meanwhile, Germany's fiscal bazooka is slowly building momentum, with defense and special fund spending ramping up, though implementation remains gradual and the full economic impact will take time to feed through.

Figure 2: Fiscal deficit forecasts, % of GDP

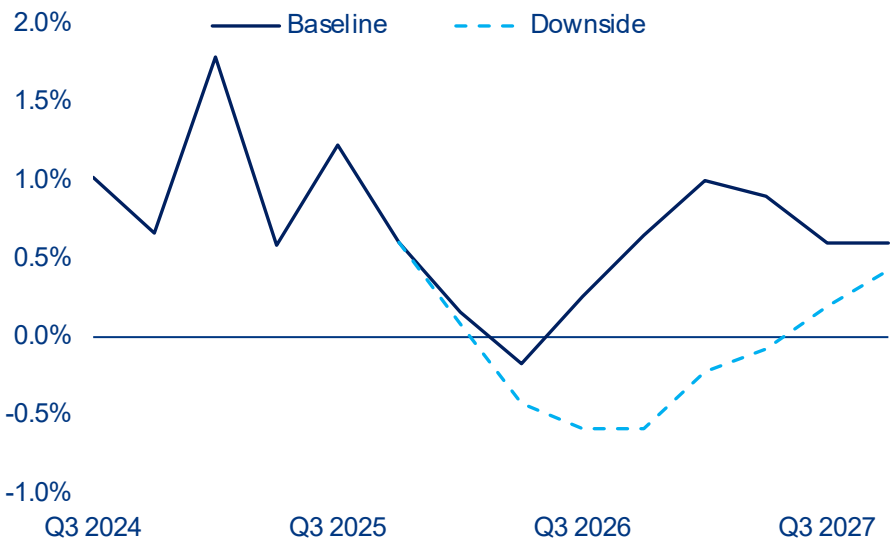


Sources: LSEG Datastream, Allianz Research

Global trade of goods is projected to decelerate to +1.5% in volume terms in 2026 – down from the +2% forecast before the Middle East conflict escalation. The revision reflects the conflict pass-through effects on energy markets, representing a sharp reversal from a stronger-than-expected 2025, when AI-related goods and frontloading ahead of US tariffs drove growth of trade in volume to +3.9%. A strong carry-over effect from late 2025 (+2.1%) provided some momentum into early 2026, but this tailwind is fading as trade volumes are likely to be impacted by the

escalation. In 2027, trade growth is expected to rebound to +2.7% assuming the Strait of Hormuz blockage has ended. However, in a downside scenario, the V-shaped recovery of the baseline would turn towards a U-shaped recovery as a prolonged closure of the Strait, global spillovers from higher energy prices through 2026/27 and reduced global trade would bring global trade growth to +0.5% in 2026, followed by a recession in 2027 with a decline to -0.9%.

Figure 3: Global trade forecast, quarterly path, %

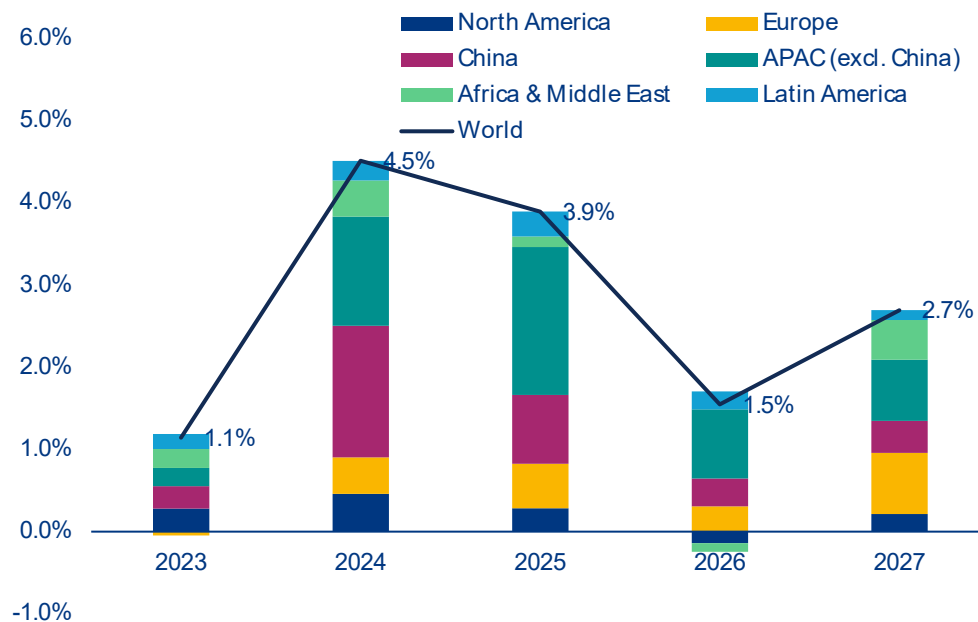


Sources: LSEG Datastream, Allianz Research

The most immediate drag on volumes comes from the physical blockage of the Strait of Hormuz. Trade flows through the Strait represent around 4% of global trade, but the effective disruption is more contained thanks to active rerouting. We estimate that around 1.9% of global trade flows are currently stranded or severely disrupted. In a downside scenario where circulation through the Strait is constrained for longer, we estimate the amount of strained global trade to increase to 2.9%. Currently, strained vessels are mainly oil and gas tankers, while bulk carriers and containerships unable to transit or load in the Gulf account for a residual to global trade. However the direct and growing drag compounds the broader cost channel, where higher bunker oil and jet-fuel prices are layering onto already-elevated trade war frictions. In nominal terms, growth is likely to outpace underlying volumes, as elevated energy costs – impacting both production and transportation – feed through into price increases across some sectors.

Slowdown of global trade will be felt across the board but geography continues to matter. Global trade growth in the Middle East will go to negative territory, last experienced in 2020, during the decline of oil demand due to the pandemic. Asia is expected to remain the main contributor to trade growth but with a much decelerated level of 1%, -0.8pp from the previous year. The region's deep energy dependence makes it acutely exposed to the Iran shock: Trade growth for China, Singapore, South Korea and India is projected to be roughly halved, while Japan faces an outright contraction in trade volumes. Europe's picture is uneven: Germany and France are expected to show tentative improvement, though Germany is set to remain in recessionary territory. The rest of the continent faces a broad-based slowdown. In the US, exports are also set to decelerate, constrained by the lingering drag of trade policy uncertainty and soft external demand for US products in key external markets including China, Mexico and Canada. Meanwhile, US imports will decline relative to 2025 as frontloading of shipments to the US market has largely run its course and elevated tariffs weigh on US demand for foreign products.

Figure 4: Regional contribution to global trade of goods, %



Sources: Oxford Economics, Allianz Research

In our view, a reopening of the Strait of Hormuz following a ceasefire would almost certainly be gradual rather than immediate as security risks tend to normalize far more slowly than physical disruptions.

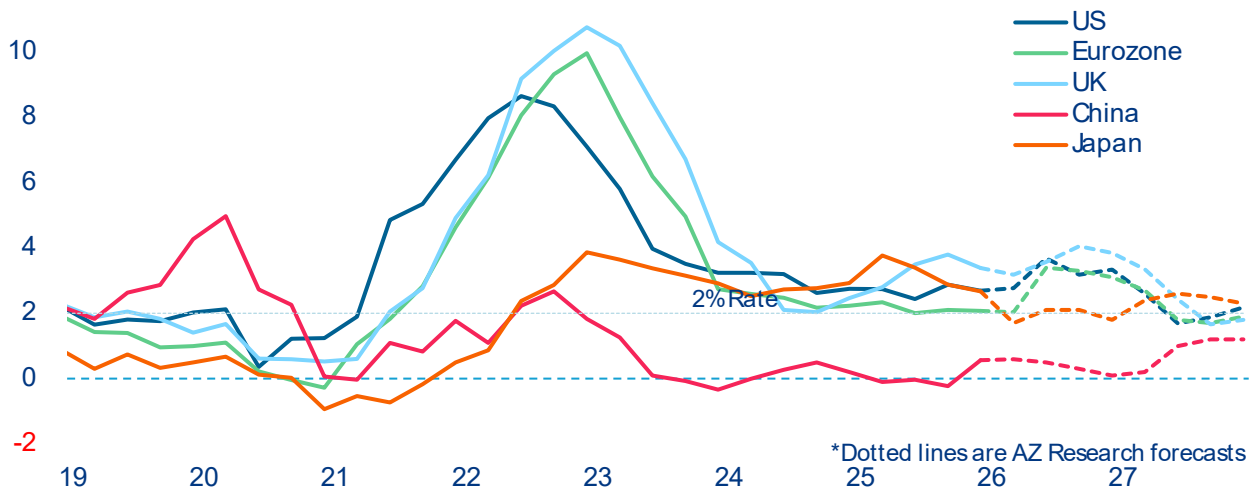
Taking into account the tanker capacity of key emerging market exporters, initial commodity flows would likely recover to only 15–30% of normal levels (roughly 3–6 mn bpd of oil), contingent on the credibility of security guarantees, before scaling up cautiously. This would cover up to 60% of the current oil-supply gap of 10 mn bpd. Historical precedents reinforce this phased dynamic: During the 1980s Iran–Iraq war, throughput initially rebounded to around 20–30% within weeks, with full normalization taking several months due to the need

for naval escorts and mine clearance. Similarly, during the 2019 US–Iran tensions, partial flows resumed within days for insured vessels, but full confidence and capacity recovery took several weeks. Even in non-security scenarios, such as the six-day blockage of the Suez Canal by the ship *Ever Given* in 2021, normalization was not instantaneous: while limited traffic resumed quickly for small vessels, clearing the backlog and restoring full operational throughput still required around two weeks. Taken together, they suggest that even under favorable conditions, a post-ceasefire recovery in Hormuz would follow a cautious, step-wise trajectory rather than a rapid snapback.

Inflation and central banks: Price shock triggers reaction

Inflation is set to pick up significantly in Q2-Q3 2026, and start receding gradually thereafter amid soft economic growth and looser labor markets. The energy-price spike will push up inflation rates in March-May, with a rapid pass-through of higher oil prices onto retail gasoline prices. In the Eurozone, we expect headline CPI inflation to peak at +3.4% in Q2 2026 (after +2.0% in the previous quarter), and +3.7% in the US (after +2.8%). Because of higher wholesale gas prices in Europe feeding through into higher utility bills with a lag, we expect Eurozone inflation to recede a bit less rapidly than in the US. In the UK, inflation will peak later because of an expected sharp hike in the Ofgem utility price cap in July. Peak inflation will hit 4% in Q3. However, under our baseline assumption that energy prices will start drifting lower in Q2, inflation rates are expected to come down heading into 2027. Weaker economic activity will start bearing down on core inflationary pressures, limiting pass-through of higher fertilizer and transportation prices into consumer food and services

inflation. In 2027, we expect annual average inflation to be close or at central banks' 2% target (+2.3% in the UK, +2.1% in the US, +2% in the Eurozone). However, there are upside risks to our forecasts, if energy prices were to stay higher than we expect. Inflation expectations from the private sector (households and firms) may then start to drift higher, leading to second-round effects on wages on price settings. Ultimately though, higher inflation expectations and actual inflation would force central banks to react forcefully, bearing down on core inflation by end 2026-early 2027 through a weak labor market and demand. In all, we think the risk of de-anchoring inflation expectations and permanently higher actual inflation is moderate compared to 2022. The economic backdrop is much less conducive to such outcomes: GDP growth is lower, labor markets are looser, fiscal support more timid and monetary settings generally more neutral (vs deeply negative real interest rates in 2022). All this points to limited risks of persistent stagflationary outcomes.

Figure 5: Inflation forecasts, % y/y

Sources: LSEG Datastream, Allianz Research

US and Eurozone labor markets entered the energy shock from a position of relative resilience, but with less buffer than it may appear. US labor market conditions, though softening sharply since mid-2025 in terms of job creation, remain broadly resilient with a limited pick-up in the unemployment rate, while the Eurozone unemployment rate stands at a record low. However, labor markets on both sides of the Atlantic are weaker than in 2022 during the energy shock, particularly in the UK, with hiring intentions slowing, vacancy rates declining and wage growth moderating. Across developed markets, the energy shock now hits an already decelerating job machine. A deteriorating economic outlook, shaped by higher energy costs, weakening consumer spending and tightening financial conditions, risks amplifying what were already slowing employment intentions, particularly in energy-intensive and trade-exposed sectors. Adding a structural layer to the cyclical pressures, the global labor market was already undergoing a profound transformation ahead of this shock. AI adoption has accelerated across advanced economies, yet its impact on employment and productivity remains uneven and, for most countries, not yet visible in the aggregate data; only a handful of economies successfully converting broader AI diffusion into meaningful productivity gains. Yet, amid weak demographics and our baseline of a relatively short-lived spike in energy prices, we do not expect much of a rise in unemployment.

The Fed is expected to be on a prolonged hold as it looks through the energy price-induced spike in inflation. We expect only one 25bps cut in early 2027. The conflict in the Middle East poses a difficult dilemma for the Fed, with inflation set to pick up significantly amid higher energy prices while the labor market still looks fragile. With inflation now stuck above the 2% target for five years, the Fed clearly does not have the luxury to focus on labor market risks only. Inflation expectations are especially sensitive to energy (and food) prices and could risk de-anchoring if the Fed is perceived as too complacent with inflation risks. Encouragingly, early consumer surveys for March do not point to rising inflation expectations, but the Fed will have to live up to its anti-inflation credibility by keeping interest rates relatively elevated. We now expect the US central bank to remain on a prolonged hold, with no rate cut penciled in before early 2027 (-0.25bp rate cut in January 2027). We have long argued that the Fed will be limited in its ability to cut interest rates, and we were expecting only one rate cut in June prior to the conflict in the Middle East. The labor market is likely to remain weak through the summer as higher inflation eats into households' incomes and some corporates' profit margins, weighing on hiring. Thus, with the Fed staying on hold with still relatively elevated interest rates and a weaker economic backdrop, the risks of second-round effects on broader inflation, which could compound the initial energy price shock, should be much smaller than in 2022. We

Table 3: Inflation forecasts, yearly, %

Inflation (yearly %)	2023	2024	2025	2026f	2027f
Global	6.1	4.5	3.4	4.3	2.9
USA	4.1	3.0	2.7	3.2	2.1
Latin America	14.8	16.6	7.6	3.6	2.9
Brazil	4.6	4.4	5.0	4.5	3.3
UK	7.4	2.5	3.4	3.7	2.3
Eurozone	5.5	2.4	2.1	3.0	2.0
Germany	6.0	2.3	2.2	3.1	2.2
France	4.9	2.0	0.9	1.9	1.4
Italy	5.7	1.0	1.5	3.1	1.5
Spain	3.6	2.8	2.7	3.3	1.7
Central and Eastern Europe	11.2	3.9	5.0	4.2	3.1
Poland	11.6	3.8	3.8	3.3	2.5
Russia	5.9	8.4	8.7	7.8	7.0
Türkiye	53.4	60.0	35.2	28.0	19.5
Asia-Pacific	3.1	2.2	1.3	2.3	1.9
China	0.2	0.2	0.1	1.0	1.2
Japan	3.3	2.7	3.2	2.4	2.1
India	5.7	5.0	2.2	4.7	3.7
Middle East	16.5	10.7	12.7	18.7	10.0
Saudi Arabia	2.5	1.5	2.0	3.1	2.4
Africa	17.0	15.1	8.7	8.4	7.2
South Africa	5.9	4.5	3.2	4.5	3.5

Sources: national, Allianz Research

expect the Fed to remain quite hawkish through 2027 despite moderate growth, to ensure that inflation returns sustainably to target.

The ECB is likely to raise policy rates by 25bps as early as April but look through the subsequent inflation spike if the Middle East conflict is largely resolved by May as expected. The ECB has repeatedly stated that it will not adjust policy rates unless a significant shock occurs. With the war in Iran, such a shock has now clearly materialized. Inflation is expected to surge above 3%, up from the current target-level reading. This mechanically lowers the real interest rate and will prompt the ECB to deliver a hike at its next meeting on 30 April to keep long-term inflation expectations anchored. In our baseline outlook, in which the conflict is resolved and oil and gas price pressures ease by May, we expect the ECB to remain on hold and look through the temporary inflation spike. However, if the conflict persists longer than anticipated and oil prices remain elevated (downside

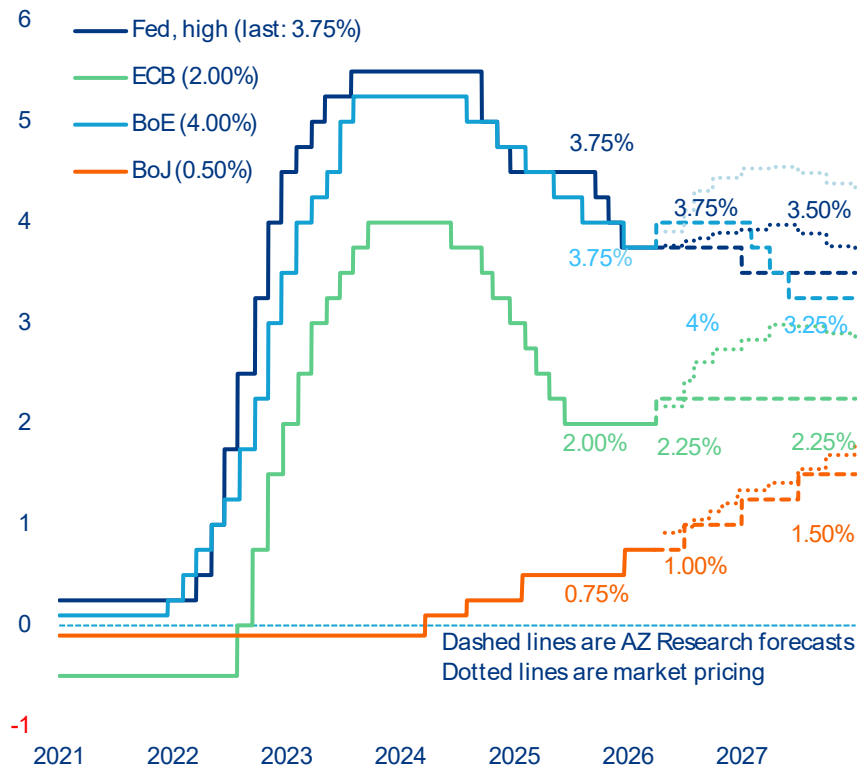
scenario), we would expect at least three consecutive rate hikes.

The Bank of England (BoE) is expected to hike interest rates by 25bps during the April meeting and keep a prolonged hold thereafter. The rate-cutting cycle is expected to resume in 2027. Against the backdrop of a loose labor market, moderating wage growth and fading GDP momentum, we expect the BoE not to over-react to short-term upward pressure on inflation. Nevertheless, with inflation persistently above target even prior the crisis in the Middle East, the BoE will have to hike interest rates by 25bps at its next meeting in April, to 4%, to signal its commitment to bring prices pressures under control. Evidently, if measures of private-sector inflation expectations were to drift higher, the BoE would likely act by hiking rates further. In this scenario, we would expect the BoE to act swiftly by delivering at least 50bps of rate hikes. But the weaker economic backdrop than in 2022, including tighter fiscal and monetary conditions,

should prevent inflation expectations from de-anchoring if energy prices start to fall soon as we expect. Elevated energy prices will further weaken the economic backdrop and, ultimately, pull down core inflationary pressures, which will give room for the BoE to resume its rate cutting cycle in 2027. We look for a terminal rate at 3.25% by June 2027.

The Bank of Japan (BoJ) is likely to bring its policy rate to 1.5% by end-2027, from 0.75% currently. We expect the BOJ to hike by +25bps in Q2 2026 as underlying inflation remains elevated and this year's shunto delivered strong wage increases above 5% for the third consecutive year. Despite Japan's high dependency on energy imports, we expect the current escalation in the Middle East to generate limited short-term inflationary pressures (to 2.4% in 2026) as government energy subsidies and the price oil cap worth 1% of GDP should limit the impact on consumers. Looking forward, we continue to expect two more rate hikes by end-2027, bringing the policy rate to 1.5%.

Figure 6: Central bank forecasts, %



Sources: LSEG Datastream, Allianz Researchs



Developed markets: Stagflation returning

The US economy is expected to continue growing moderately (+2.1% in 2026, +2.2% in 2027) but to remain resilient to external headwinds. The Middle East crisis is expected to affect households' spending primarily as higher inflation will eat into real disposable income. With low household confidence and a meagre savings rate to begin with, any sustained high levels of gasoline prices would risk knocking consumer spending hard enough to provoke a substantial downturn of the economy. A partially mitigating factor is the expected increase drilling activity and higher earnings for workers in the oil patch. In our baseline scenario of gradually declining energy prices from Q2, we expect GDP to grow at the same moderate clip than last year, at +2.1%, thanks to supportive macro policy and dynamic AI capex. The credit cycle is picking up, with accelerating credit to consumers and businesses. With the Fed not expected to tighten policy in our scenario, support to the credit cycle should carry on, also helped by banking deregulation. Meanwhile, the OBBB Act is providing tax refunds to households. All this should limit further

consumer spending and non-AI capex deceleration. Finally, we still see dynamic AI capex this year despite elevated energy costs, given that natural gas prices – which matter more for electricity prices and therefore the data-center buildout – are unlikely to rise much in the US. Nevertheless, we expect AI capex euphoria to wane heading into 2027. Less supportive fiscal policy, still elevated interest rates and worsening demographics should cap US growth, which we expect at a meagre +2.2%.

Eurozone: 2022 stagflation fears re-emerge, but the region looks better equipped this time. The Eurozone stands among the most exposed regions to the Iran energy shock, given its structural dependence on imported oil and gas. The timing is particularly unwelcome: the bloc was emerging from a period of quiet resilience at the end of 2025, with Q4 growth holding up and a moderately constructive outlook for 2026 underpinned by the accelerating rollout of NGEU funds, early signs of recovery in manufacturing activity and

the anticipated boost from Germany's fiscal expansion. That relatively benign baseline has now been severely complicated. Rising energy prices are rekindling the stagflationary dynamics last seen in 2022. High energy import dependency remains a structural vulnerability, leaving the bloc disproportionately exposed to any sustained disruption in global oil and gas markets. Yet the situation is not a straight replay of 2022. Energy supply sources have diversified meaningfully over the past three years, with greater LNG import capacity, expanded renewables penetration and reduced reliance on any single supplier providing a degree of buffer that did not exist at the onset of the previous crisis. However, the capacity to absorb the shock varies considerably across member states, reflecting the uneven pace and ambition of energy diversification efforts, meaning the impact this time will be similarly asymmetric. Whether that buffer proves sufficient will depend heavily on the duration of the conflict and the extent to which Strait of Hormuz disruptions persist. In the baseline scenario, we expect GDP to grow below +1% this year (from +1.3% we were expecting before the Iran attacks) and to resume in 2027 as geopolitical tensions normalize.

Germany is expected to be more resilient than in 2022 as the decoupling from Russian gas was structural. GDP growth for 2026 is now expected to be +0.7%, a decrease of -0.3pp due to higher energy prices resulting from the conflict in the Middle East. Some of the external headwinds are cushioned by fiscal support: the special infrastructure fund adds +0.4pp to potential growth, though gradual spending uptake still limits the pass-through to economic growth. Defense adds +0.2pp and depreciation adds +0.2pp. However, these are offset by tariffs (-0.2pp) and energy prices (-0.3pp). Growth rebounds to +1.2% in 2027 as oil prices fall and fiscal spending boosts demand. However, the recovery remains fragile due to ongoing challenges such as weak exports, competition in key industries, tariff pressure, global fragmentation and weak consumer confidence due to continuously high uncertainty. Inflation is expected to rise to +3.1% in 2026 (+1pp), before easing to 2.2% in 2027. In a downside scenario involving prolonged energy shocks, growth would fall to +0.5% in 2026 (-0.5pp) and inflation would rise to +3.7% (+1.6pp). This would be accompanied by limited fiscal offset due to Germany's high energy dependence and the significant presence of energy-intensive industries.

In France, GDP is expected to grow sluggishly (+0.8%) as higher inflation saps the consumer recovery. With inflation expected to hover around +2.0% in 2026, from less than +0.9% in 2025, households' disposable income will take a hit. Sluggish wage growth (+2% in Q4 2025) and a loosening labor market are also key headwinds for the consumer. However, we continue to expect a favorable backdrop for business investment and exports. New orders in the manufacturing sector remain relatively well oriented according to the latest PMI survey (though those are concentrated in an handful of sectors such as transportation equipment). Meanwhile, we continue to expect dynamic digital investment as French corporates continue to take advantage of looser credit standards and lower funding costs. The ECB-induced moderate increase in short-term interest rates should have a marginal impact on business investment. After +0.8% GDP growth expected this year (from +0.9% in 2025), we expect an acceleration to +1.3% in 2027 amid lower energy costs and a recovery of consumer and residential spending.

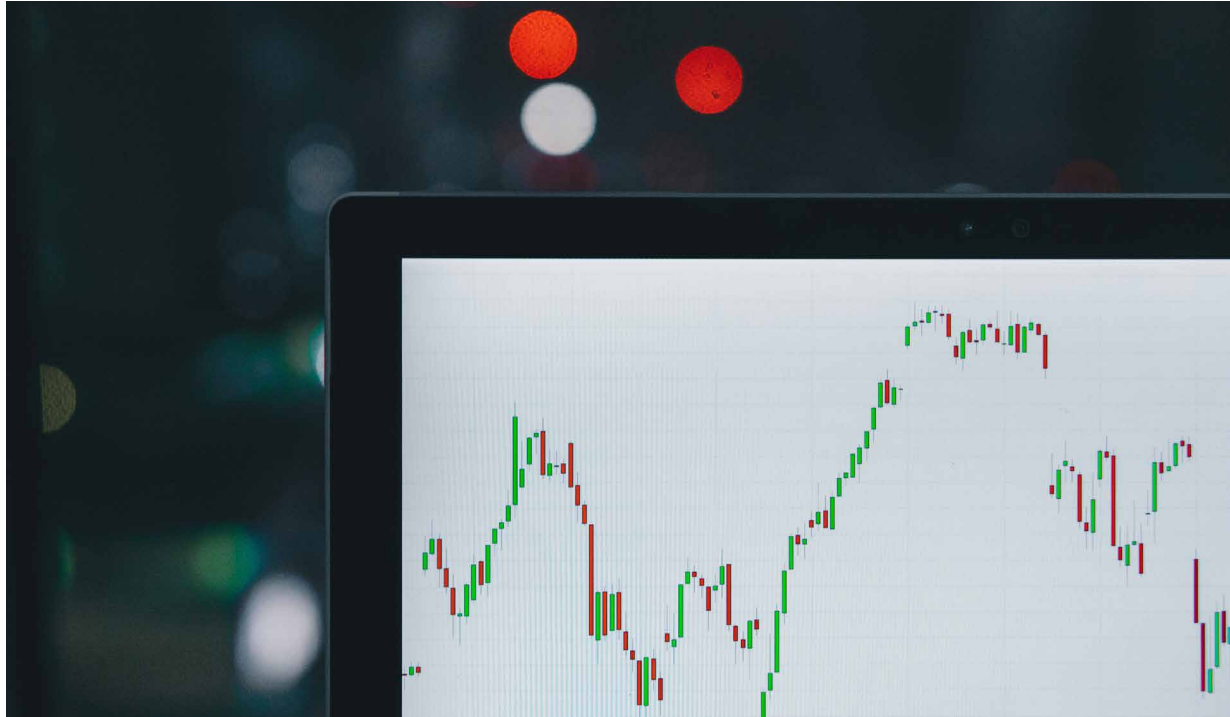
Italy entered 2026 with a degree of quiet momentum, but the energy shock threatens to leave a mark once more. Q4 2025 growth came in better than expected (+0.3% q/q) and the Milano Cortina Winter Olympics are expected to have provided an additional demand boost in Q1 2026. The pre-shock outlook was moderately optimistic, with NGEU disbursements accelerating, German spillovers anticipated and the fiscal deficit narrowing to -3.1% of GDP in 2025. But that tailwind has now collided with a severe external shock. Italy's structurally high dependence on imported energy leaves households and energy-intensive industries among the most exposed in the Eurozone, with the inflation hit expected to be among the sharpest, compressing real incomes at precisely the moment domestic demand was meant to carry growth. Financial markets have taken notice: BTP spreads have widened more than those of any other major eurozone sovereign, reversing from their lowest levels since 2008. Compounding the cyclical pressure, NGEU grant revenues are set to taper sharply from 2027, removing a key fiscal buffer just as energy-related spending pressures build.

In Spain, the growth overperformance faces a stiff test. Spain has firmly cemented its position as the Eurozone's economic outperformer, posting above-consensus +0.8% q/q growth in Q4 2025, providing solid carry-over to 2026. Strong fundamentals and favorable market conditions even allowed Spain to renounce over EUR60bn of the loan component of its NGEU package (out of EUR80bn), a remarkable signal of fiscal confidence. We maintain our baseline forecasts of around +2.0% growth this year. Crucially, Spain enters the Iran energy shock better insulated than most Eurozone peers: a structural shift toward renewables has meaningfully reduced exposure to volatile fossil fuel prices, leaving households and industry less vulnerable to the energy pass-through now hammering peers such as Italy and Germany. The government has nonetheless responded with one of Europe's most ambitious crisis packages (a EUR5bn package across 80 measures including VAT cuts on fuel and electricity tax reductions of up to 60%).

The UK's growth momentum is expected to weaken substantially (+0.7% in 2026, after +1.3% in 2025) amid rising inflation and waning policy-induced boosts.

With rising energy prices expected to push inflation to +4% by Q3 2026, consumers' spending and business' investment are expected to take a hit as real disposable income and profit margins are impacted. Meanwhile, higher mortgage rates should further dampen residential investment, which was artificially boosted in 2025 amid anticipation of tax hikes on the property sector. With limited fiscal space, the government will likely stay pat over elevated energy prices, with marginal support measures announced, though it could cancel the fuel duty hike planned in September. While domestic demand is expected to cool substantially this year, we expect net

trade be less of a drag on GDP thanks to less dynamic imports. At +0.7% expected this year, GDP will grow well below its potential. Momentum should improve significantly in 2027 (GDP +1.4%) thanks to looser monetary conditions but tight fiscal policy and still elevated mortgage rates should cap the rebound. Japan's short term economic outlook remains broadly resilient, underpinned by continued fiscal stimulus and relatively robust public finances, despite rising external pressures. As the escalation in the Middle East weighs on the Japanese economy, we revise our forecast on the downside to +1.2% in 2026 (-0.2pp) and +1.0% in 2027. We expect government spending to remain a key buffer for the economy as Prime Minister Takaichi's supermajority will allow the current administration to maintain its fiscal stance, reinforcing Japan's policy continuity. Up to now, the Japanese government has announced fiscal support measures worth 1% of GDP (or USD41bn) on top of the 1.2% of GDP that was already in place before the conflict escalated. This is a higher support compared to what Europe did back in 2022. However, the external environment presents notable risks, with energy related price dynamics likely to persist.



Emerging markets: Triple deficit countries in focus

China's economic outlook remains resilient, supported by strong external demand and a lower exposure to the Iran crisis, despite challenges from soft domestic demand. We maintain our GDP growth forecasts at +4.6% in 2026 and +4.4% in 2027. While the Iran crisis will constitute a headwind to Chinese growth, the economy's energy mix and its ability to maintain its oil supply shield it compared to the rest of the APAC region. The economy has exceeded expectations since the beginning of the year, with strong external demand likely to remain a tailwind, bolstered by recent Supreme Court decision on the US tariffs. However, some concerns remain surrounding the domestic economy, where policy support is needed. The Two Sessions held the fiscal deficit steady while the policy focus remained heavily oriented toward industry, with a strong emphasis on AI-led investment and self-reliance. We forecast inflation at 1.0% in 2026 and 1.2% in 2027.

In the Middle East, the impacts of the conflict are reverberating across the entire economy of the region. Trade flows have contracted as the partial closure of the Strait of Hormuz imposes a hard physical constraint on the region's main commercial artery. Beyond the direct trade shock, the war is now feeding through into broader economic activity via several reinforcing channels. Tourism has collapsed, and an initial wave of expatriate departure, even if long lived, will add pressure on consumer spending, a meaningful hit given that foreign nationals account for over half the GCC total population. Cities like Dubai and Doha, whose growth models rest on services, retail and hospitality, are among the most exposed. On the supply side, Iranian strikes have disrupted activity on construction sites across the region – a sector that has been one of the primary engines of GCC growth over the past two decades and that underpins a vast, deeply interconnected real estate market.

For other emerging markets, the shock propagates globally through four main transmission channels. Even a short-lived interruption of less than two months could raise EM inflation by +0.8 to +1.0pp, prompting tighter policy responses, while growth effects would remain limited overall – though Gulf economies would be hit more severely.

Table 4: Exposure of EMs to Middle East crisis

Country	Exposure to the Middle East crisis						Market reaction since Feb 27		Coping mechanisms					
	Energy balance (% of GDP)	Strategic oil reserves (days of consumption)	Oil dependency (% primary energy)	Gas dependency (% primary energy)	Vulnerability to energy price shock	Vulnerability to ME supply shock	FX (% change vs USD)	Bond yields (bps)	Fiscal balance (% of GDP)	Current Account (% of GDP)	FX reserves (months of imports)	FX outlook	Central Bank stance (by mid-2026)	Risk of fiscal slippage throughout 2026
Argentina	0.6	NA	-8%	0%	Medium	Low	1.3	N/A	-1.5	-0.4	3.8	Neutral	On hold	Low
Bangladesh	-3.5	49	19%	8%	High	High	-0.5	36.0	-3.9	-0.9	4.9	Negative	On hold	High
Brazil	0.9	NA	-16%	2%	Low	Low	-2.3	60.0	-7.5	-2.3	12.1	Positive	Cautious easing	Medium
Chile	-4.4	25	46%	9%	High	Medium	-4.6	42.0	-0.6	-2.2	6.7	Negative	On hold	Low
China	-2.4	100	12%	3%	Medium	Medium	-0.7	42.0	-5.0	2.8	12.3	Neutral	On hold	Medium
Colombia	3.9	NA	-34%	4%	Low	Low	1.0	-38.0	-5.7	-2.6	9.6	Negative	Hike	Medium
Czechia	-2.4	117	28%	12%	High	Medium	-2.9	46.0	-2.1	0.4	9.3	Negative	On hold	Medium
Egypt	0.0	NA	8%	9%	Medium	High	-9.0	51.0	-10.7	-4.3	4.3	Negative	On hold	High
Hungary	-3.6	215	15%	20%	High	Medium	-5.1	106.0	-5.1	0.9	3.7	Negative	On hold	High
India	-3.7	30	13%	4%	High	Medium	-3.3	18.0	-1.8	-1.4	9.1	Neutral	On hold	Medium
Indonesia	1.1	20	15%	-3%	Low	Medium	-1.3	44.0	-2.7	-1.2	7.1	Negative	On hold	High
Kenya	-4.5	NA	16%	2%	High	High	-0.5	10.0	-5.6	-3.4	5.7	Negative	On hold	High
Malaysia	-0.4	NA	13%	-19%	Medium	Medium	-1.3	7.0	-3.6	1.8	5.3	Negative	On hold	High
Mexico	0.7	NA	2%	6%	Low	Low	-3.6	72.0	-4.1	-0.3	4.3	Neutral	Cautious easing	Medium
Morocco	-5.0	30	50%	15%	High	Medium	-2.1	29.0	-4.5	-1.5	7.4	Neutral	On hold	Medium
Nigeria	12.2	NA	-48%	-17%	Low	Low	-1.2	62.0	-3.7	3.6	12.0	Neutral	On hold	Medium
Pakistan	0.0	28	20%	7%	High	High	0.1	84.0	-4.1	-0.4	11.6	Negative	On hold	High
Peru	-0.5	NA	34%	-6%	High	Low	-3.1	44.0	-2.2	1.2	14.8	Negative	On hold	Low
Philippines	-4.2	60	36%	5%	High	Medium	-4.6	106.0	-0.3	-3.5	8.2	Negative	On hold	Medium
Poland	-2.1	121	35%	2%	High	Medium	-3.0	76.0	-6.3	-0.8	5.7	Negative	On hold	High
Romania	-1.7	92	28%	0%	High	Medium	-1.9	105.0	-6.2	-6.6	6.0	Neutral	On hold	High
South Africa	-2.3	NA	19%	1%	Medium	Low	-5.8	92.0	-5.6	-1.2	5.6	Negative	On hold	Low
Sri Lanka	-4.5	35	47%	4%	Medium	High	-1.2	14.0	-6.5	0.5	4.5	Negative	On hold	High
Taiwan	-5.1	80	28%	19%	Medium	High	-3.1	4.0	-0.2	13.1	15.9	Negative	On hold	Medium
Thailand	-7.8	60	35%	11%	High	High	-6.2	55.0	-2.5	1.3	8.9	Negative	On hold	Medium
Tunisia	-4.0	60	21%	22%	High	High	-1.6	N/A	-6.0	-2.0	4.9	Negative	On hold	High
Türkiye	-3.6	94	7%	2%	High	Medium	-0.8	375	-0.7	-1.3	2.7	Neutral	Hike	Medium
Vietnam	-2.5	15	20%	2%	Medium	High	-1.1	8	-2.3	2.4	2.3	Negative	On hold	Medium

*in green central banks that were cutting before the conflict in the Middle East escalated

Sources: LSEG Datastream, Allianz Research

The shock is deeply asymmetric. A second tier of countries – including Chile, Hungary, India, the Philippines, Taiwan, Thailand and Türkiye – retains more policy space and access to private financing to absorb the pressure, while commodity exporters such as Azerbaijan, Brazil, Mexico and Nigeria may see partial offsetting gains from higher energy export revenues. In emerging Asia more broadly, growth is expected to remain resilient: the region has benefited from sustained AI-driven demand and largely outperformed in 2025, and while its exposure to the Hormuz closure is among the highest globally, the shock is expected to erode much of that upside rather than derail growth entirely. Central banks across emerging Asia, Latin America and Central and Eastern Europe are broadly expected to remain on hold, and several economies including Indonesia, Thailand, Czechia, or Mexico have put on hold their easing cycle. Brazil (mild easing) and Colombia (gradual hiking) are the main exceptions, driven by domestic election-cycle dynamics and diverging inflation trajectories.

The most immediate and universal spillover runs through energy prices. Asian economies are particularly exposed, sourcing 56% of their oil imports and 30% of their gas imports from the Middle East. If disruptions persist, the shock could shift from a price spike to a supply constraint: a prolonged disruption with oil prices doubling would require a 5% to 7% reduction in final energy consumption across energy-importing regions, amplifying the economic drag – though partial mitigation through substitution toward coal and renewables remains possible. In Central and Eastern Europe, higher oil and gas prices pass through relatively quickly into fuel costs and then more gradually into broader consumer prices, while household energy bills adjust more slowly where price caps or longer-term contracts remain in place. This comes at a delicate moment: in Poland and Hungary, the macro narrative had increasingly been one of disinflation, with rate cuts back on the table. The renewed energy shock risks interrupting or reversing that trend. In Latin America, rising oil prices complicate already cautious monetary stances, reinforcing the case for central banks to stay on hold for longer. Governments across all three regions will play an important role in shaping outcomes, with subsidies, tax measures and price controls able to soften the blow in the short term, but at the cost of greater fiscal strain.

Currency vulnerability amplifies the inflation shock in several exposed economies. In Central and Eastern

Europe, countries with weaker currencies face the risk that FX depreciation magnifies imported inflation and complicates the policy response. In Romania, already elevated inflation and deteriorated sentiment raise the danger of de-anchored expectations feeding further price pressures. Turkey is a specific case: a sharper depreciation of the lira could boost exports and widen profit margins for exporters, but would also entrench inflation regardless of the policy rate trajectory. In emerging Asia, currencies in Thailand, Pakistan, Indonesia and the Philippines have come under pressure since the escalation, adding a second layer of vulnerability on top of the direct energy shock. A closure of the Strait extending beyond three months would be particularly severe for economies carrying „triple deficits“ – fiscal, current account and energy – where higher import bills widen external positions while governments simultaneously face rising subsidy costs and financing pressures, forcing procyclical tightening. In this scenario, EM growth excluding China could fall to around +3.1%, implying a drag of at least -0.5pp. The most vulnerable countries in this group include Bangladesh, Egypt, Ethiopia, Jordan, Kenya, Morocco, Pakistan, Poland, Romania, Sri Lanka and Tunisia. For many of these economies, the external pressure is compounded by a distinct and underappreciated risk: their dependence on Gulf remittances. An extended conflict harming deeper economic activity could reduce remittance flows precisely when import bills are rising, creating a potential double squeeze on external accounts that could widen financing gaps and pressure foreign reserves – most acutely in countries with large share of population in the Gulf, in Nepal where GCC remittances represent 10% of GDP, as well as Sri Lanka (2.7%), Bangladesh (3.3%), Egypt (5.6%), Lebanon (13%) and Pakistan (4.7%).

The fertilizer price shock is a slower-moving but potentially severe transmission channel for agriculture-dependent economies. Countries with large farming sectors and limited fiscal space to absorb input cost increases – Kenya, Bangladesh, Indonesia, Pakistan and India among them – face the risk of sustained pressure on agricultural output and food inflation. Egypt and Jordan carry an additional exposure through tourism, as geographical proximity to the conflict is already weighing on arrival numbers. More broadly, countries such as Taiwan, Vietnam, Thailand, Pakistan, Bangladesh and Sri Lanka in Asia, and Egypt, Ethiopia, Kenya and Tunisia in Africa, would face acute price pressures spanning energy, critical materials and food.



Corporates navigating one crisis after another

The war in Iran is triggering a commodity shock beyond oil & gas that is sharply raising input costs across industries. The near-closure of the Strait of Hormuz has removed up to 20 mbpd of oil supply, equivalent to roughly one-fifth of global flows, marking the largest disruption on record. Brent crude has traded close to 120 USD/bbl and we expect prices to average 82 USD/bbl in 2026 (up from our previous forecast of 60 USD/bbl). The shock extends beyond energy: aluminum prices have risen to a four-year high, reflecting curtailed Gulf output and logistics bottlenecks. Fertilizer markets are similarly strained, with prices of nitrogen-based products like urea and ammonia up 30–40% amid disruptions to trade routes that account for roughly 30% of global supply. For corporates, this constitutes a textbook cost-push shock, with energy, metals and agricultural inputs rising simultaneously while pricing power remains constrained by rather weak demand from end markets.

In terms of sectors, the main winners are upstream companies, particularly non-Gulf producers with direct leverage to spot prices. Integrated oil majors would also benefit from short-term cash-flow uplift and stronger trading results, LNG exporters outside the Gulf could capture opportunistic margin increase in Europe and Asia, some refiners would be supported by firmer middle distillate cracks, while defense would also benefit from the current situation. The relative losers are airlines, which are not only contending with operational disruptions in the region but also facing higher jet fuel costs, with the crack exceeding USD 100/barrel, and limited ability to immediately pass these costs through to certain customer segments. Shipping companies (including cruise lines) are also facing higher fueling costs and are unable to increase freight rates as the market is in over-capacity. Other affected sectors include chemicals and petrochemical producers exposed to feedstock inflation and weaker downstream margins, gas-intensive European utilities sensitive to LNG repricing and political constraints on tariff adjustments and consumer discretionary sectors in energy-importing economies where temporary fuel inflation compresses real incomes and weighs on confidence.

On our watch list of the most impacted sectors we have fertilizers and helium.

Fertilizers will primarily impact agriculture and food production, especially in emerging markets. In South Asia, Latam and Africa, reduced input availability could see lower yields from 5-30%, depending on crops and regions. This would drive food price inflation, increase import dependency, weaken food security and eventually spur political instability. This impacts downstream into the food industry, where higher input costs could compress margins. While fertilizer trade flows are partially rerouted through road and alternative suppliers, this adjustment is costly, sustaining elevated prices. In contrast, helium shortages represent a significant disruption in a highly concentrated supply chain, with Qatar accounting for roughly one-third of global helium supply but over two-third of supply in countries like China and South Korea. Although helium is critical for a number of sectors from pharmaceutical to semiconductors, it is too early to be alarmist as disruption risks are limited today. Indeed, the industry has a number of buffers. Firstly, it was in oversupply prior to the war, secondly, there is a significant volume in US storages (2-3 month of Qatari output), and third, US producers can ramp up production, especially if prices are attractive. Some alternatives like low-intensive and optimized energy process (Korea), ramp-up local production (China) or long-term contracts with a diversified panel of suppliers have been observed since 2022. USA holds here a critical role as potential stabilizer of supply imbalances in Middle East but such a role can't be taken for granted at the light of recent past tensions over US tariff. We also keep an eye on aluminium and sulfur whose exports to European industries like automotive, aircraft, construction and packaging could be impacted by a longer conflict.

Second-round macroeconomic effects could materialize through weaker demand, tighter financial conditions and rising recession risks. Higher energy prices and higher food prices could feed directly into inflation, dampening purchasing power and further depressing consumers' confidence. Business surveys across the US, Europe and Asia already indicate slowing activity, declining confidence and rising input costs, raising the risk of stagflation dynamics. As we expect central banks signaling tighter policy, it would also translate into increasing borrowing costs for corporates and households. This is reinforcing the demand slowdown, particularly in discretionary sectors such as

consumer goods, auto, tourism, restaurants but also in higher rate-sensitive industries like construction and real estate. The combination of cost inflation and weakening demand could also create a negative feedback loop for firms, with capex deferrals, hiring freezes and inventory adjustments.

In this context, business insolvencies are projected to keep on increasing by at least +5% globally in 2026.

Expectations were already on the upside prior to the conflict, despite a fourth annual rise in 2025 that pushed insolvencies 19% above pre-pandemic levels. The US and Asia were expected to record noticeable rises and Western Europe a modest increase, with most countries within the -3%/+3% range i.e. indicating a plateau at a (very) high level. We have revised our initial forecasts slightly up to factor in the immediate implications of the war for energy markets, shipping costs, inflation risks and financial conditions. At this stage, we expect business insolvencies to rise by +2.5% in the Eurozone in our baseline scenario for 2026 (+2.4pps from our pre-war estimation, from +1.5% in 2025) and to extend by +8.6% in the US (+4.9pps, from our pre-war estimation, from +6.9% in 2025) as a result of the combination of lower demand, higher costs and tighter financial conditions – with obvious pressure for the most vulnerable, including energy-intensive sectors such as transportation (shipping, aviation, road transport), the chemicals complex and metals industries, as well as companies with weak pricing power or thin margins, debt-heavy firms, businesses with structurally higher working capital requirements (e.g. agri-food distribution, machinery and transport, equipment, electronics, pharmaceuticals, construction) and businesses heavily reliant on consumer credit (automotive, tech, real estate). Yet, the risk is on the upside: the longer the duration of the Middle East conflict, the stronger the impact on the insolvency outlook. Our downside scenario, involving a prolonged energy shock and falling economic growth, has the potential to boost business insolvencies close to +5% and +7% y/y in the Eurozone and APAC, respectively, and above +13% y/y in the US.



Capital markets outlook: Ultimately a function of geopolitics

Capital markets began 2026 in a relatively orderly fashion despite an already heavy news flow, but volatility picked up significantly following the outbreak of the Middle East war. Markets were showing notable resilience despite multiple geopolitical shocks, from the US intervention in Venezuela and transatlantic tensions around Greenland to the legal question mark over US trade policy and the selection of a new Fed chair. Rates remained range-bound, central banks were seen near neutral with anchored inflation expectations, the USD showed mild softness, equities held up and credit spreads stayed contained. Private markets on the other hand already captured a lot of headlines without triggering a wider contagion. But the Middle East conflict has shifted markets toward an energy-driven stagflation scare. Higher oil prices pushed yields up, and expectations for a much more hawkish central bank stance emerged amid

lifted inflation expectations. The USD strengthened, equities sold off (notably in Europe and EM) and credit spreads widened, albeit only moderately. Markets have become highly headline-driven. Nevertheless, our baseline outlook remains cautiously optimistic, with limited energy disruption and market distortions until year-end, given a near-term resolution of the conflict. In the downside, prolonged conflict scenario, with persistently higher oil and gas prices, the adjustment could be more severe, with higher rates, weaker equities, wider spreads and a clearer slowdown in private markets.

Table 5: Capital market forecasts

EMU	Last*	Unit	2023	2024	2025	2026f	2027f
Government Debt							
ECB deposit rate	2.00	%	4.00	3.00	2.00	2.25	2.25
10y yield (Bunds)	3.06	%	2.03	2.36	2.85	2.80	2.70
10y EUR swap rate	3.03	%	2.48	2.39	2.93	2.80	2.70
20y EUR swap rate	3.18	%	2.51	2.39	3.23	3.00	2.90
Italy 10y sovereign spread	94	bps	168	117	66	80	80
France 10y sovereign spread	72	bps	53	83	71	90	70
Spain 10y sovereign spread	53	bps	97	70	44	40	40
Corporate Debt							
Investment grade credit spreads	91	bps	135	101	78	95	90
High-yield credit spreads	309	bps	395	311	270	320	300
Equity							
Eurostoxx (total return p.a.)	-3 ytd	%	19	10	25	5	9

US	Last*	Unit	2023	2024	2025	2026f	2027f
Government Debt							
Fed Funds rate (high)	3.75	%	5.50	4.50	3.75	3.75	3.50
10y yield (Treasury)	4.42	%	3.87	4.57	4.16	4.50	4.10
Corporate Debt							
Investment grade credit spreads	88	bps	104	82	79	95	90
High-yield credit spreads	321	bps	334	292	281	330	320
Equity							
S&P 500 (total return p.a.)	-5 ytd	%	26	25	18	6	11

UK	Last*	Unit	2023	2024	2025	2026f	2027f
Government Debt							
BoE rate	3.75	%	5.25	4.75	3.75	4.00	3.25
10y yield sovereign (Gilt)	4.97	%	3.54	4.57	4.47	4.60	4.20
Corporate Debt							
Investment grade credit spreads	91	bps	134	91	80	115	105
High-yield credit spreads	462	bps	515	364	420	518	480
Equity							
FTSE 100 (total return p.a.)	1 ytd	%	8	10	26	7	8

Emerging Markets	Last*	Unit	2023	2024	2025	2026f	2027f
Government Debt							
Hard currency spread (vs USD)	185	bps	215	202	163	200	195
Local currency yield	6.29	%	6.19	6.39	5.87	6.30	6.00
Equity							
MSCI EM (total return p.a. in USD)	4 ytd	%	10	8	34	8	9

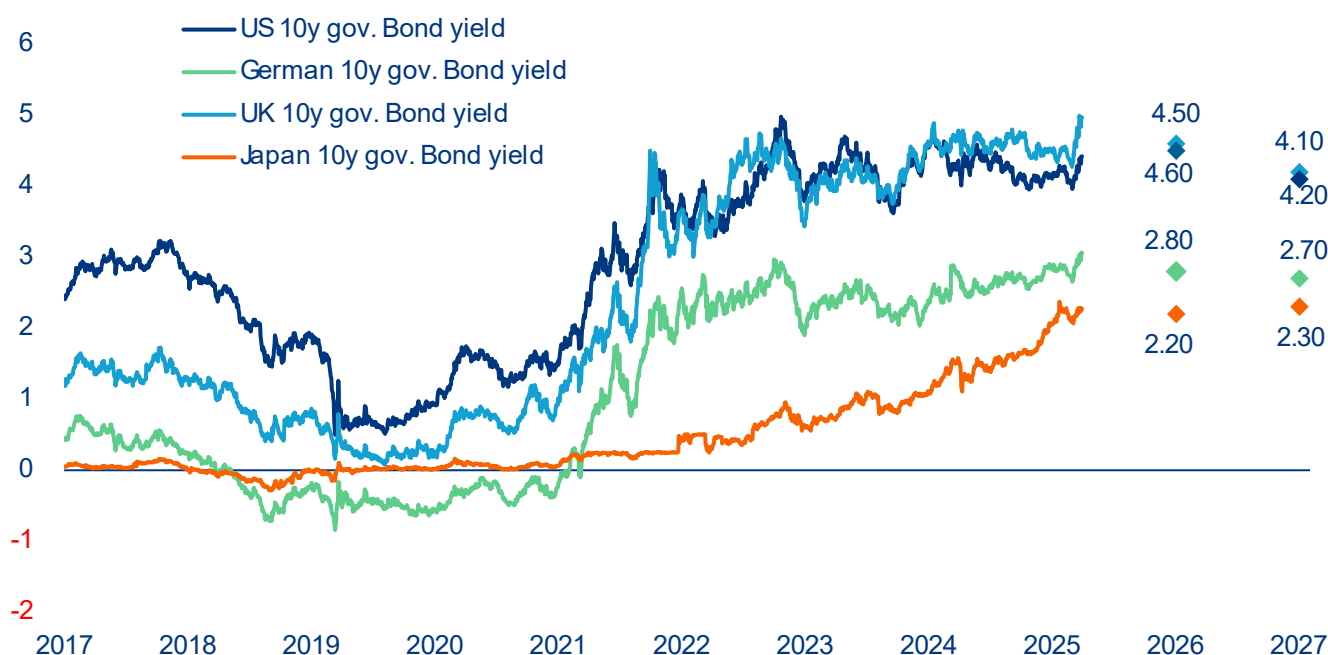
FX & Commodities	Last*		2023	2024	2025	2026f	2027f
EUR USD	1.15	\$ per €	1.10	1.04	1.17	1.15	1.17
Oil (Brent)	113	\$ per bl	78	75	61	78	72
Natural gas (Dutch TTF)	55	€ per MWh	32	49	28	40	30

Sources: LSEG Datastream, Allianz Research

With monetary policy expectations pivoting, global yield curves are giving a stagflationary signal. The shock on global energy markets has led to a complete pivot of monetary policy expectations. The dominating late-cycle easing bias has been replaced by a hawkish narrative focused on central banks hiking quickly to avoid the 2022 transitory-inflation mistake. Short-term yields rose sharply as investors priced in an energy-driven inflation shock, while long-term yields did not keep pace, producing a strong bear flattening move. This is a strong stagflationary signal where near-term inflation premium dominates while the growth drag caps ultra-long yields. In the Eurozone, the short-term rates sell-off was particularly strong, shadowing the price movement of oil and natural gas markets. With markets pricing almost three ECB hikes this year, we see some exaggeration here while the 10-year Bund trades at fair levels. In the US, the front end is repricing near-term inflation risk faster than the long end is absorbing growth deterioration. The 30-year Treasury continued its own logic, with the 10s30s sector behaving mostly as a

pure term-premium and fiscal risk asset. The UK saw the most violent repricing, with the biggest single-session jump in two-year Gilts since the Truss Mini Budget of September 2022. The rising yield volatility is not only due to investors adjusting their expectations but also a signal of growing liquidity stress. US Treasury repo markets had been fragile before the Iran war, transitioning from abundant to ample Fed reserves, with dealers reporting stressed episodes and growing concern about the market's capacity to absorb increasing Treasury issuance. Also in Europe, repo costs are rising as the ECB continues to drain excess liquidity via Quantitative Tightening, limiting arbitrage opportunities at short-dated maturities and putting upside pressure on funding rates. This liquidity stress is most visible in the front end of the EUR swap curve where Euribor vs. €STR spreads began to edge wider, a signal that the excess-liquidity buffer is thinner than markets had assumed. Therefore swap spreads in Europe are expected to continue narrowing.

Figure 7: Rates forecasts, %



Sources: LSEG Datastream, Allianz Research

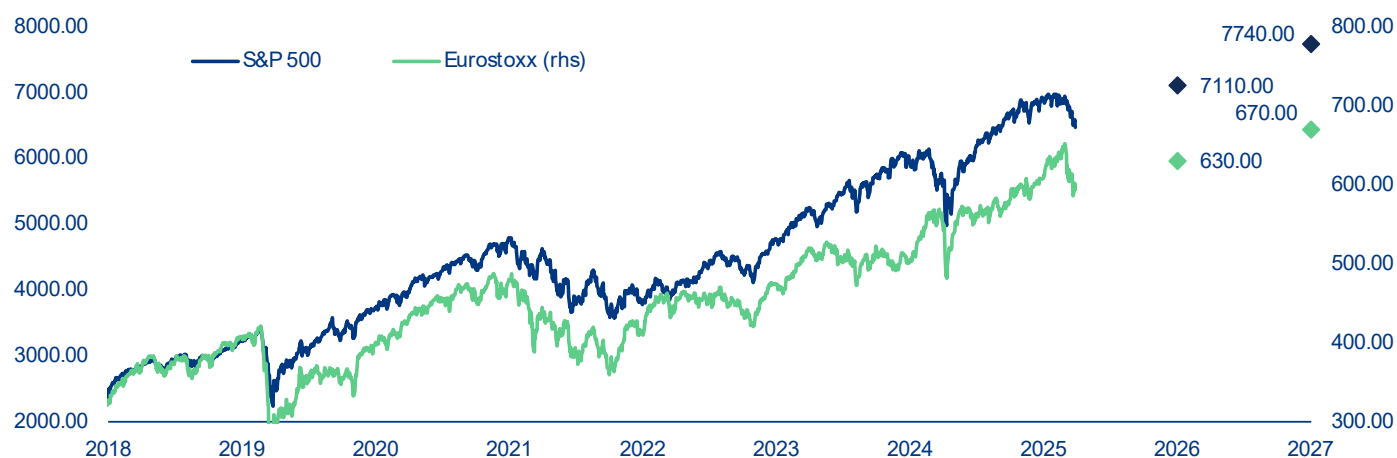
The convergence trend among European government bond yields is being challenged. In the European government bonds (EGB) market, spreads versus the German Benchmark have been widening markedly. Italian BTPs have been punished more than French OATs as markets were digesting more supply, repricing Italy's strong exposure to natural gas risk and unwinding more leveraged carry positions. The dominating EGB convergence trend is now being challenged as markets reassess fiscal risk in the light of government measures to contain energy price pressure. However, the convergence trend could regain traction in case a common European program such as Next Generation EU (NGEU) is launched to face the looming energy crisis. ASW spreads are under widening pressure as risk aversion seems to dominate monetary policy positioning, meaning sovereign sell-offs outpaces swap rate repricing. We forecast the BTP–Bund spread at 80bps for 2026 and 2027. We see OAT–Bund rising to 90bps in 2026 in advance of the presidential elections before returning to 70bps in 2027.

The euro has given away some of its earlier gains after the outbreak of the Iran war, underscoring the US dollar's enduring role as a safe-haven asset. The EUR/USD exchange rate retreated from a high of 1.20 at the end of January to as low as 1.14 in March. Before the conflict, the dollar had been weighed down by policy uncertainty in the US, ranging from tariff disputes and government shutdowns to questions over the next Federal Reserve chair. As these issues became clearer – and as geopolitical risk in the Middle East materialized – global demand for the dollar revived. We expect dollar demand to remain firm through the year amid persistent geopolitical uncertainty, but a gradual softening

remains our base case over the longer horizon. The US administration is unlikely to become substantially more predictable, and periodic threats toward both allies and rivals cannot be excluded. As a result, global investors will continue their gradual efforts to diversify away from the dollar, insofar as viable alternatives are available.

Global equity markets enter Q1 2026 facing an outlook that is more asymmetric than valuations currently suggest. Earnings momentum remains present on both sides of the Atlantic, but the profit cycle is now increasingly vulnerable to a confidence shock that could flip revision trends rapidly and without much warning. The US market, pricing near-perfection at ~21.8x forward P/E, leaves no room for earnings disappointment – and on an equal-weighted basis the market screens even richer, with the S&P 500 EW P/E above its long-run average, implying that prices would need to fall by roughly 2% to revert to historical valuation norms before any earnings damage has even occurred. Europe's relative discount at ~15.7x is not yet a catalyst for outperformance, but it does provide meaningful cushion in a risk-off environment and continues to attract structural inflows from investors reducing concentrated US exposure. The broadening of market breadth beyond mega-cap technology, while encouraging, remains fragile and dependent on a macro backdrop that is now materially less certain than it appeared entering the year. In this context, the baseline scenario still supports modest positive returns, but the distribution of outcomes has widened considerably – and the tails are not symmetric.

Figure 8: Equity forecasts, index



Sources: LSEG Datastream, Allianz Research

The risk that dominates the equity outlook this quarter is not one that earnings models capture well.

It is a confidence shock, and confidence shocks compress multiples before they cut profits. In a contained deterioration scenario, markets drift lower as uncertainty suppresses capital-allocation decisions and PE multiples settle back toward long-run averages – a move that alone would represent a meaningful correction from current levels given where the S&P 500 is trading relative to its own history. Even so, expected EPS growth for 2026 remains positive, with the S&P 500 projected at 17.4% and the STOXX 600 at 13.8%, but Europe's earnings base is structurally more exposed to a growth shock. In a severe scenario, the combination of multiple compression and an earnings revision cycle turning sharply negative could produce drawdowns of 20 to 25% in the US and approaching 30% in Europe, where energy sensitivity and cyclical sector exposure amplify the shock. If the ECB were to add another rate hike, it would further dampen valuation support in Europe and disproportionately pressure Eurozone earnings via higher discount rates and weaker confidence effects. Entry signals for adding equity risk remain unconfirmed – technicals are under stress without yet reaching a high-conviction contrarian point – and the appropriate posture is one of patience, selectivity across regions and sectors and a disciplined bias toward quality earnings over growth optionality for the duration of the quarter.

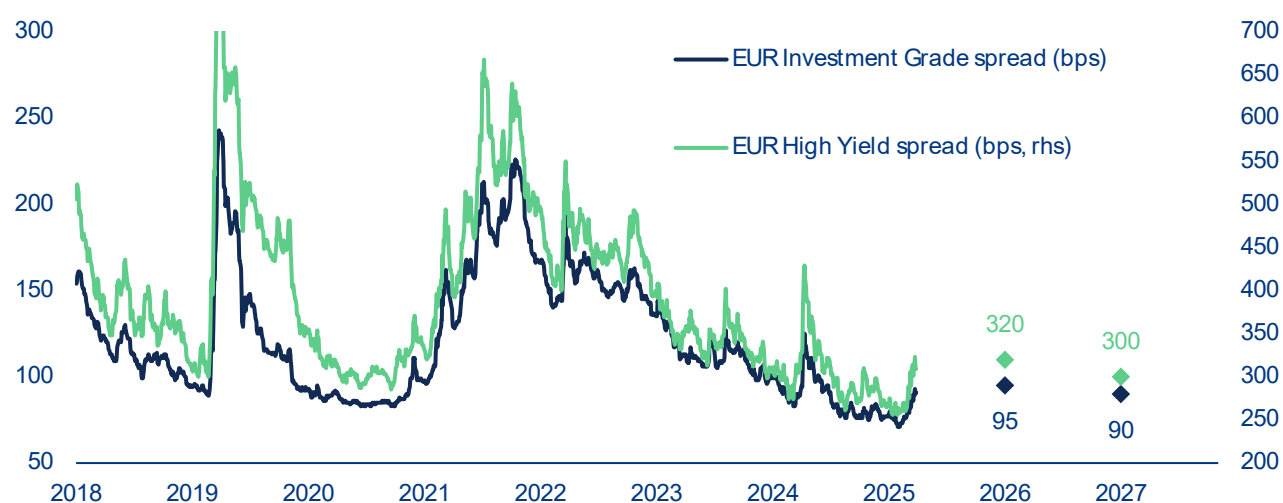
Global credit spreads have widened nearly 25% over the last three weeks, but absolute spreads remain at a tight level due to the historical tight levels pre-Iran-war. Stagflation concerns and higher equity and rates volatility keep the weight on credit spreads, and as the distribution of outcomes is clearly skewed to the downside, investors must take the tail scenario seriously. Against this backdrop, our baseline projects Euro and US IG spreads peaking at 115bps – a level consistent with the "Liberation Day" shock of April 2025 – before tightening to 95bps by year-end. In our downside scenario, where disruption proves more prolonged, IG spreads could reach 150bps. Euro high yield is expected to peak at 400bps in the base case, before recompressing to 320bps as risk appetite recovers through the second half of the year. And in downside scenario, HY spread can go up to 440bps, with limited recovery prospects.

Investment grade spreads are enough to cover downside risk, but not yet attractive on an outright basis. Combined downgrade and credit losses even in the stress year of 2022 amounted to roughly 30bps, well within the current ~90bps buffer – even counting in liquidity cost. But the entry point does not offer a compelling risk/reward as the room for further widening is larger than that for tightening. Within IG, financials are less attractive than non-financials: senior bank debt offers no meaningful spread pick-up over industrial

peers, yet carries higher sensitivity to macro and rate volatility. CDS became more attractive than cash bonds as investors actively hedge with CDS and the spread gap between cash bonds and CDX is narrowing. High yield is more exposed on multiple fronts: Fundamentals are more fragile, liquidity is thinner and the asset class has spread volatility under adverse events. While the relative value of HY versus IG has improved meaningfully and may appear attractive, we should bear in mind that in downturn HY/IG spread ratio can go even higher, as in 2020. It means if escalation continues

and stagflation fears prevail, HY spreads widening could accelerate compared to IG. Therefore we retain our negative HY view: at current spreads of ~300bps, there is barely enough cushion to absorb potential credit losses in a stress scenario, where annual credit loss rates can exceed 3%. This is not good timing for chasing yields, but with spreads widened more than 40bps, opportunities may occur – if spreads widen beyond average and downside risks diminish.

Figure 9: European credit spread forecasts, bps



Sources: LSEG Datastream, Allianz Research

Securitized credit is our preferred area of the market, offering resilience at low opportunity cost as collateral quality and structural protection layers remain solid.

Within the sector, covered bonds are attractive given a meaningful pick-up over unsecured bank debt at minimal additional risk. We prefer ABS most, where wider spreads and floating-rate structures provide both income and a natural hedge should inflation re-accelerate or rate cuts reverse.

Beyond the geopolitical shock, private credit concerns, software sell-off and oversupply by hyperscalers also put pressure on spreads.

The risk of forced selling into public credit markets adds a layer of spread vulnerability that is difficult to time but should not be ignored. Therefore we keep a cautious stance at this moment, preferring higher quality securitized and IG than HY and financials.

Emerging markets entered this geopolitical crisis on a strong footing, supporting a selective but still investable opportunity set.

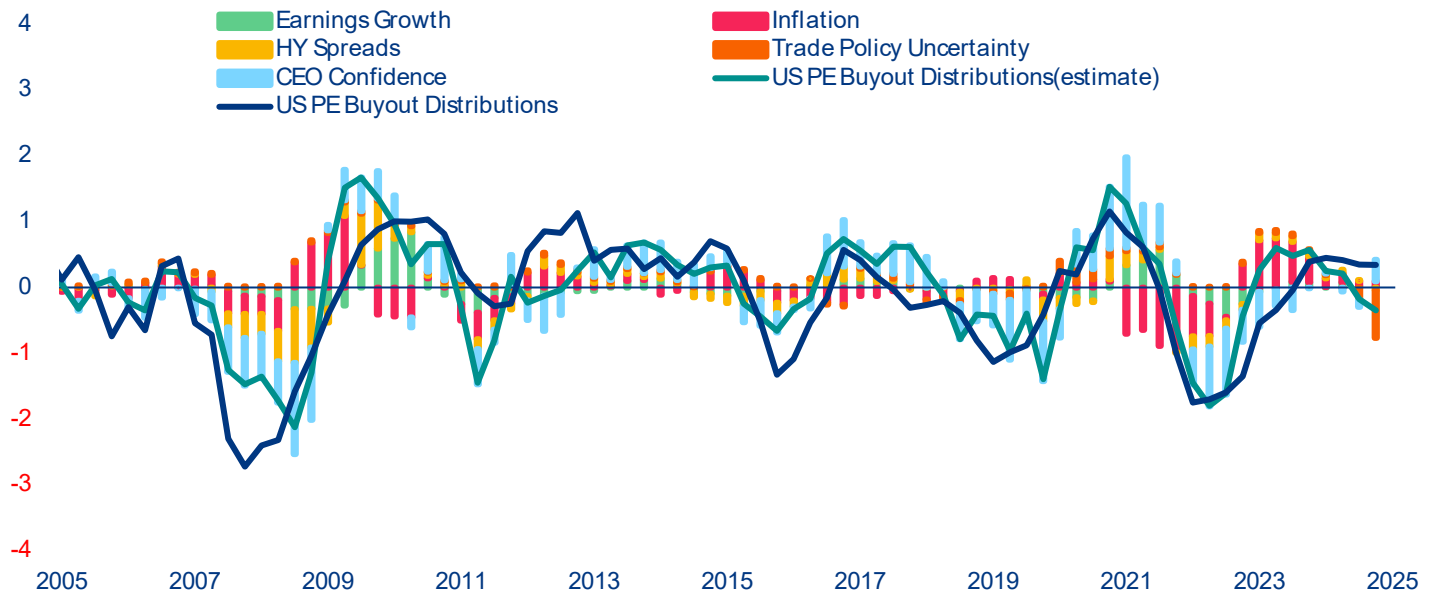
The Middle East escalation primarily represents an inflationary energy shock in the near term, with limited growth impact if disruptions remain contained. However, a prolonged impairment of energy flows through the Strait of Hormuz would materially increase cross country dispersion across EMs, driven by energy dependence, external balances and fiscal space. From an investment perspective, we expect repricing to take the form of a targeted energy risk premium rather than a systemic EM sell off. Vulnerabilities are most pronounced in sovereigns combining fiscal deficits, current account gaps and high energy import reliance, including Egypt and parts of Central and Eastern Europe, where higher energy prices would quickly translate into inflation pressure, currency weakness and wider spreads. By contrast, commodity exporters and structurally more resilient EMs such as Brazil, Mexico, Colombia and Indonesia benefit from positive or offsetting energy balances, stronger buffers

and greater policy flexibility. EM hard currency debt remains attractive on a selective basis, supported by still favorable carry and materially improved market access compared with past stress episodes, though caution is warranted toward the most energy exposed credit. At the same time, EM local-currency debt offers relative value, as elevated real yields and partial inflation repricing create opportunities in markets with credible policy frameworks, adequate reserves and anchored inflation expectations. Overall, we maintain a neutral to constructive stance on EM debt, with performance driven by country selection, resilience to energy shocks and disciplined risk management.

Private markets – Positioning through the fog. Over the past two decades, private markets have shown their portfolio value through a variety of returns, income streams and access to value-creation mechanisms that are not, traditionally, available in public markets. This structural case remains intact. However, the current economic climate, characterized by decelerating growth, persistent inflation and rates that are likely to remain elevated, is exerting significant pressure on commodity and freight markets. This creates meaningfully different conditions across sub-asset classes. The 2022 episode demonstrated the vulnerability of private markets as surging energy prices, hawkish central banks and rapid multiple compression resulted in the worst simultaneous equity and bond drawdown in a generation. Distributions froze, markdowns materialized and the denominator effect left allocators overexposed precisely when liquidity was scarce. The lesson is not to retreat, but to increase discrimination, favoring strategies with inflation linkage, contractual cash flows and secular demand drivers, while approaching segments dependent on exit multiples, cheap leverage and benign financing conditions with commensurate caution.

Private equity – value locked but distributions

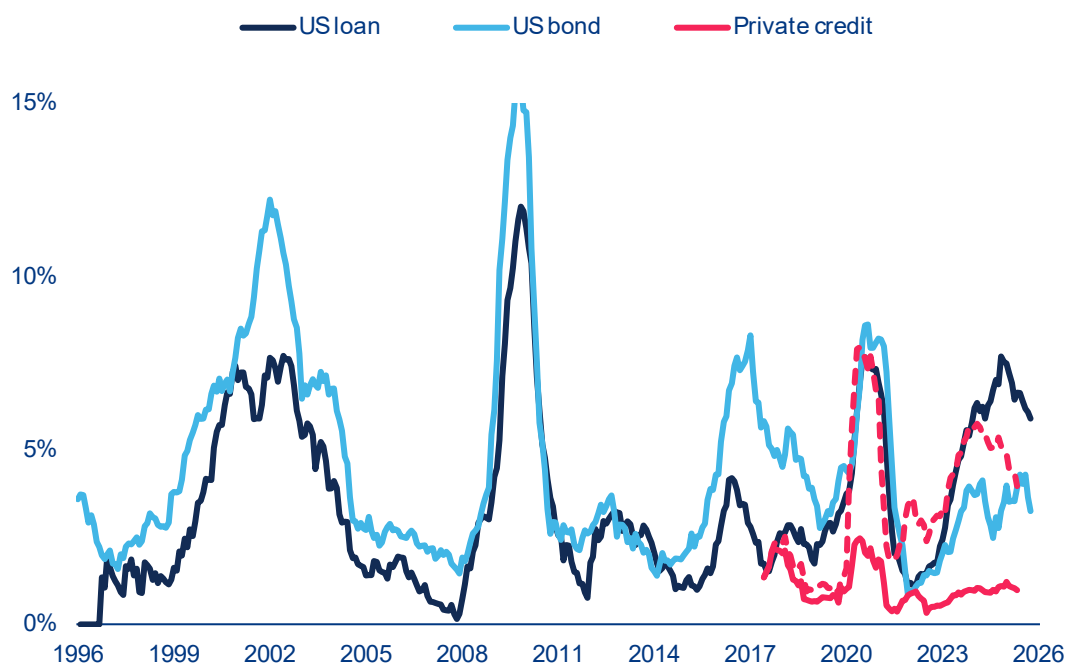
challenged. Private equity faces a distribution problem during this cycle that has yet to be resolved. Buyout funds currently hold a record USD3.8trn in unrealized value, holding periods have stretched toward seven years, and mid-market exits remain effectively frozen. As the chart illustrates, PE distributions are acutely sensitive to inflation spikes and trade policy uncertainty, the two shocks now hitting simultaneously, making the 2022 distribution collapse a direct and uncomfortable precedent for today's setup. The Iran shock has further compounded the pressure. Margin compression from higher energy and transport costs, elevated refinancing rates and weakening consumer spending are all bearing down on portfolio companies at once. Meanwhile, software-heavy portfolios remain exposed to AI-driven multiple compression that has yet to fully pass through to private marks. This necessitates patience and a discerning approach to selection. However, the fundamental case for this asset class remains sound. A resolution of the Middle East conflict would materially improve the exit backdrop, easing financing conditions, restoring M&A confidence and unlocking a substantial pipeline of mature assets that are ready to transact. In the long term, private equity continues to provide opportunities for value creation that are not available in public markets. Investors who are willing to tolerate near-term distribution delays are likely to receive positive returns as the cycle changes (Figure 10).

Figure 10: US private equity distributions breakdown (y/y change in Z-scores)

Sources: Pitchbook, Allianz Research

Private debt offers attractive carry, but investors should respect the tail risk. Private debt enters the current shock as one of the better-positioned private market sub-asset classes, but the margin for error is narrowing. The asset class's floating-rate structure provides a genuine income advantage as central banks adopt a hawkish stance. Additionally, middle-market direct lending spreads continue to command a significant premium over liquid credit. With this in mind, private credit default rates have remained structurally below those of public loans and bonds across every major cycle, including 2020. This is a track record reflecting both structural seniority and the hands-on lender oversight that public markets cannot replicate. However, this historical resilience should not lead to complacency. The current economic environment, characterized by stagflationary risk, poses significant challenges for leveraged borrowers on both sides of the Atlantic.

Margins are being compressed due to rising energy and input costs, and the cost of refinancing is increasing at a time when coverage ratios are deteriorating. PIK-paying loans currently account for approximately 13% of total BDC loan assets, maintaining a steady position close to recent highs. However, with approximately USD1.2trn in leveraged debt set to mature between 2027 and 2029, the upcoming refinancing challenge is substantial. With this in mind, direct lending still retains its appeal due to its income and seniority characteristics, but the current environment warrants a more defensive posture than at any point in the past two years. Vintage and sector selectivity are paramount, energy-intensive and over-levered borrowers should be avoided and allowing the stagflationary dynamic to play out is prudent (Figure 11).

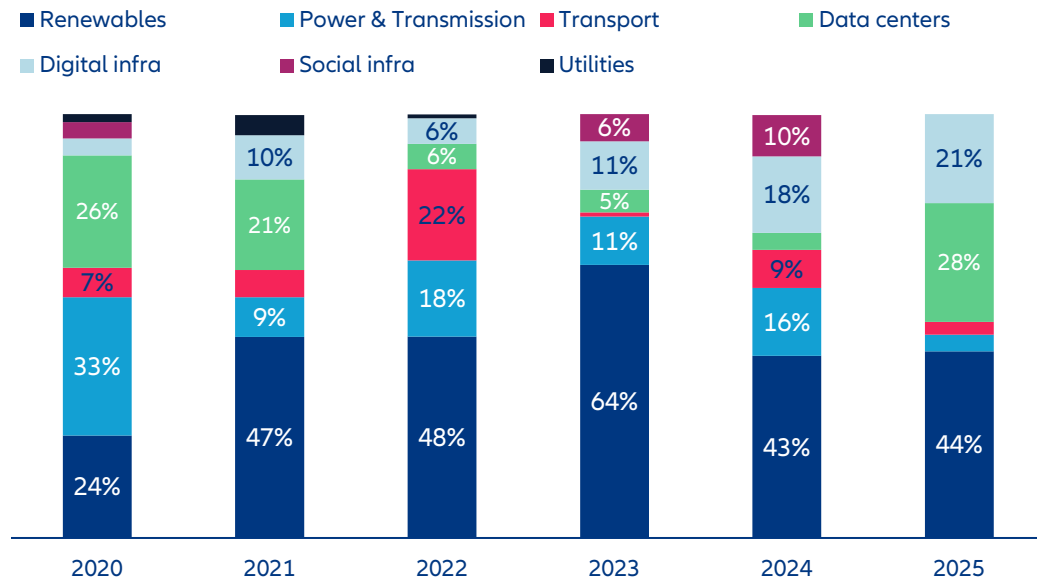
Figure 11: US public and private credit default rates, %

Source: Moodys, S&P Global Ratings. Private Credit: S&P Global Ratings. Dotted line includes distressed debt exchanges as default events.

Infrastructure – The structural winner. Infrastructure stands apart as the asset class best positioned to deliver resilient performance across a range of macro outcomes, and the Iran shock has only reinforced its investment case. Regulated tariffs, CPI-linked concession agreements and availability-based contracts provide precisely the inflation hedge allocators need when growth is slowing and price pressures are persistent. The fundraising composition tells its own story: data centers have surged from a negligible share of infrastructure capital in 2020 to 28% in 2025, reflecting the AI-driven electricity demand revolution now underway. US data centers consumed roughly 4% of national electricity

output in 2024, with demand projected to more than double by 2030. The Middle East escalation has further intensified urgency around energy security, reinforcing tailwinds that were already building across power generation, grid modernization and digital infrastructure. With cumulative global investment needs estimated at USD106trn through 2040, private capital is increasingly being called upon to fill the gap, and at current valuations power generation, grid services and data-center adjacencies continue to offer attractive entry points (Figure 12).

Figure 12: Infrastructure fundraising mix, %

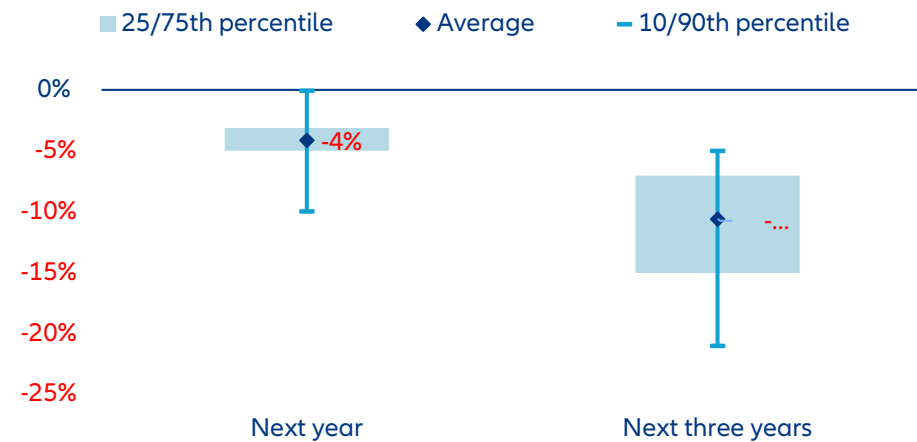


Sources: Infrastructure Investor, Allianz Research

Real estate – navigating the bifurcation. Real estate faces a confluence of pressures that makes the current conditions one of the most challenging in a decade. The Iran shock is adding a stagflationary layer, with slowing growth, persistent inflation and rates remaining higher for longer likely to compress valuations and strain refinancing conditions across the asset class. Well over USD1.5trn in commercial real estate loans will reach maturity by end-2026. The office sector faces a particularly uncomfortable combination of cyclical and structural headwinds. National vacancy rates remain near 20%, and while there are tentative signs of stabilization in prime space, the structural forces bearing down on demand are intensifying rather than easing.

Working from home has permanently reduced space requirements for many occupiers, and AI is now emerging as an additional and underappreciated headwind: while only 11% of US companies are actively cutting headcount today due to AI, corporate headcount is expected to contract by -4% over the next year and -11% over the next three years, a trajectory that points to a sustained softening in office demand beyond the current cyclical weakness. Beyond offices, the picture is more selective but more constructive: multifamily benefits from constrained supply and persistent affordability pressures; industrial and logistics are regaining supply-demand balance and data centers provide AI-driven structural demand largely uncorrelated with the broader cycle (Figure 13).

Figure 13: Expected headcount changes due to AI adoption, next one and three years, %



Sources: Goldman Sachs, Allianz Research

A photograph showing a variety of hands of different skin tones stacked on top of each other, resting on a thick, textured tree branch. The background is a lush green forest with sunlight filtering through the leaves. The text 'Our team' is overlaid in the center, with 'Our' in white and 'team' in orange.

Our team

Chief Investment Officer
& Chief Economist
Allianz Investment Management SE



Ludovic Subran
ludovic.subran@allianz.com

Head of Economic Research
Allianz Trade



Ana Boata
ana.boata@allianz-trade.com

Head of Macroeconomic & Capital
Markets Research
Allianz Investment Management SE



Bjoern Griesbach
bjoern.griesbach@allianz.com

Head of Outreach
Allianz Investment Management SE



Arne Holzhausen
arne.holzhausen@allianz.com

Head of Corporate Research
Allianz Trade



Ano Kuhanathan
ano.kuhanathan@allianz-trade.com

Head of Thematic & Policy Research
Allianz Investment Management SE



Katharina Utermoehl
katharina.uterhoehl@allianz.com

Macroeconomic Research



Lluis Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Jasmin Gröschl
Senior Economist for Europe
jasmin.groeschl@allianz.com



Françoise Huang
Senior Economist for Asia Pacific
francoise.huang@allianz-trade.com



Maddalena Martini
Senior Economist for Southern Europe & Benelux
maddalena.martini@allianz.com

Outreach



Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com



Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com



Heike Baehr
Content Manager
heike.baehr@allianz.com



Maria Thomas
Content Manager and Editor
maria.thomas@allianz-trade.com



Lorenz Weimann
Head of Media Relations and Operations
lorenz.weimann@allianz.com

Corporate Research



Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com



Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com



Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com



Sivagaminathan Sivasubramanian
ESG and Data Analyst
sivagaminathan.sivasubramanian@allianz-trade.com



Pierre Lebard
Public Affairs Officer
pierre.lebard@allianz-trade.com

Thematic and Policy Research



Michaela Grimm
Senior Economist,
Demography & Social Protection
michaela.grimm@allianz.com



Patrick Hoffmann
Economist, ESG & AI
patrick.hoffmann@allianz.com



Simon Krause
Economist, ESG & Insurance
simon.krause@allianz.com



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Kathrin Stoffel
Economist, Insurance & Wealth
kathrin.stoffel@allianz.com



Markus Zimmer
Senior Economist, ESG
markus.zimmer@allianz.com

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Director of Publications
Ludovic Subran, Chief Investment Officer & Chief Economist
Allianz Research
Phone +49 89 3800 7859

Allianz Group Economic Research
https://www.allianz.com/en/economic_research
<http://www.allianz-trade.com/economic-research>
Königinstraße 28 | 80802 Munich | Germany
allianz.research@allianz.com

 @allianz

 allianz

Allianz Trade Economic Research
<http://www.allianz-trade.com/economic-research>
1 Place des Saisons | 92048 Paris-La-Défense Cedex | France

 @allianz-trade

 allianz-trade

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Allianz Trade Global Survey 2026

Business as unusual

How exporters adapt to geopolitical shocks



8 April 2026

Allianz Research

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Appendix

Executive Summary



Ludovic Subran
Chief Investment Officer & Chief Economist
ludovic.subran@allianz.com



Ana Boata
Head of Economic Research
ana.boata@allianz-trade.com



Ano Kuhanathan
Head of Corporate Research
ano.kuhanathan@allianz-trade.com



Lluís Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Jasmin Gröschl
Senior Economist for Europe
jasmin.groeschl@allianz.com



Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com

Early signs of disruption. The Middle East conflict has added a new layer of shocks to an already fragile environment shaped by tariffs, weakening demand and declining consumer confidence. We expect lower global GDP growth (+2.6% in 2026), higher global inflation (4.3% in 2026) and stronger fiscal pressure, with higher energy and input costs and weak demand adding to the pressure of 10.5% effective US tariffs on companies' margins. Even in the best-case scenario, a post-ceasefire recovery in the Strait of Hormuz would take time (reaching 15-30% of normal levels). Against this backdrop, for the 5th edition of the Allianz Trade Global Survey, we asked 6,000 companies in Brazil, China, France, Germany, India, Italy, Poland, Singapore, Spain, the UAE, the UK, the US and Vietnam about their outlook for 2026, before and after the outbreak of war.

- **Export confidence** has held up better than during the 2025 tariff shock - dropping only 6pps to 75% of exporters still expecting positive growth - compared to the 40pps collapse after "Liberation Day." However, the impact is uneven: Vietnamese, American and Spanish firms lost more than 10pps of confidence, while Chinese firms, already weakened by the trade war, lost 9pps to 51%.
- **Logistics and energy** are the most immediate concerns. 60% of firms are worried about supply-chain disruption and rising energy and commodity prices. In the wake of the war Iran, countries are faced with different challenges. Some are highly exposed and with low buffers (e.g. Vietnam, Thailand etc.), others are exposed but have buffers through reserves, alternative suppliers etc. (e.g. European countries, China etc.). Against this backdrop, Vietnamese (79%), Polish (76%), British (72%) and American (71%) firms show high levels of concern. In contrast, Indian and Chinese firms appear relatively less worried.
- **Operational adjustments have accelerated.** Over half of companies are now seeking alternative shipping routes or carriers – especially in Vietnam (60%), the US and India (55% each). Many are also working with customs brokers to expedite clearance (Vietnam 64%, India 56%) or adjusting delivery schedules. These operational responses are moving faster than contractual changes.
- **Trade finance conditions are tightening.** The share of firms expecting payment terms to deteriorate has rebounded to 43% (+5pps since the conflict began), with the sharpest rises in Brazil (+18pps), the UAE (+10pps), India and Vietnam (+9pps each). Non-payment risk fears have risen to 40% of firms (+6pps vs. pre-conflict), with the most exposed sectors being pharmaceuticals, construction, and computers/telecoms.



Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com



Garance Tallon
Economist for Asia-Pacific
garance.tallon1@allianz-trade.com

- **Reshoring dynamics have shifted.** The conflict has accelerated reshoring intent, particularly in Europe – Poland, the UK and France lead this shift – while US and Vietnamese firms moved in the opposite direction. The UAE shows a bifurcated response, reflecting its dual role as both a logistics hub and a geography directly exposed to the crisis.
- **AI optimism has taken a hit.** The share of firms expecting AI to drive export growth of +10% fell 8pps post-conflict, from ~30% before the war.

Beyond the conflict, global trade has changed for good. We identify seven lessons from this year's survey:

1. Risk landscape: Geopolitics now dominates

The risk hierarchy has been reshuffled since 2025. Geopolitical and political risk - wars, tariffs, expropriation, social unrest – now tops the list for 65% of firms (+11pps), displacing supply-chain complexity, which fell to third place (45%, -30pps). Supply-related risks – supplier bankruptcies and input shortages – surged to second place (57%, +30pps), consistent with record-high global insolvencies running 24% above their pre-pandemic average. The economic cost of supply-chain complexity reached USD4.7trn in 2025, more than double its 2017 level, with 56% linked to US trade flows.

2. One year of US tariffs: Supply chains are shifting...

80% of firms have adjusted their trade and supply-chain routes since "Liberation Day" to avoid higher tariffs and geopolitical risk. Despite a Supreme Court ruling against IEEPA tariffs, Section 122 tariffs have kept the US rate stable at ~9% until at least end-July 2026. 43% of firms still expect a net negative impact from the trade war - higher than the 39% before the trade war began. Concerns are sharpest in China and Germany (50% and 49% respectively). Nevertheless, fewer firms (32%, -6pps) plan to raise prices due to tariffs, back to pre-"Liberation Day" levels, while companies appear more growth-oriented in their investment strategies: capex priorities have risen (28% vs. 20% in 2025) while cost-cutting has declined (26% vs. 31%).

3. ...and de-risking has become the norm

Seven out of ten firms have taken operational steps to adapt since the trade war began. The most common strategies remain inventory building and market diversification (64%), sourcing from new suppliers (63%) and rerouting through third markets (57%). China leads in rerouting (69%) and market diversification (75%), while Germany has the lowest diversification rate (52%). On Incoterms, DDP usage by exporters has dropped sharply from 25% to 16%, reflecting reluctance to absorb tariff liability, while FOB adoption by importers has grown (30%, +10pps) as buyers seek greater control over logistics.

4. Geographic reorientation: US loses ground, Europe and Asia gain

The US did not gain back any appeal: only 13% of firms now consider it a growth market (vs. 17% in 2025). Interest in Europe has grown, led by Singaporean (+10pps) and US (+9pps) exporters. Asia-Pacific excluding China is the clearest structural beneficiary of supply-chain realignment - Vietnam, India, Indonesia and Malaysia are gaining investment flows. China's appeal has collapsed: self-retention among China-based firms fell from 32% to 16%, while only 23% of firms

globally plan to increase their footprint there (-30pps from 2025). A new wave of FTAs - India-EU, MERCOSUR-EU - is capturing attention, with 93% of firms planning to use them to expand, though non-tariff barriers (licensing, certification) remain the dominant friction.

5. Payment terms and financial risk: Structural lengthening

Payment cycles are lengthening structurally. Only 7% of companies are now paid within 30 days (-4pps vs. 2025), while nearly one in four (24%, +7pps) are paid after 70 days. Larger firms are disproportionately affected: 42% of companies with turnover above EUR3bn face payment terms exceeding 70 days. The most exposed sectors for long payment delays are transport equipment, pharmaceuticals, and computers/telecoms. Bank loans (46%) and internal cash flows (44%) remain the dominant financing sources, while state support has declined in importance since last year's survey.

6. ESG: A fractured consensus

After years of convergence, the global ESG consensus has broken down. Overall ESG commitment fell 22pps to 62% (from 84% in 2025), with the sharpest drops in China (-42pps to 47%) and the UK (-29pps to 55%). European firms are holding firmer - Germany fell only 9pps to 76%. The divergence is driven by the US stepping back from federal sustainability frameworks while the EU advances, creating multiple incompatible regulatory regimes. Firms are prioritizing supply-chain measures (59%) over deeper internal reforms – governance (34%) and executive incentives (29%) lag. Despite this, climate ambition remains intact: 26% of firms target CO₂ reductions of 5–10% (+4pps), and 84% remain confident of reaching net zero.

7. AI: A two-speed adoption

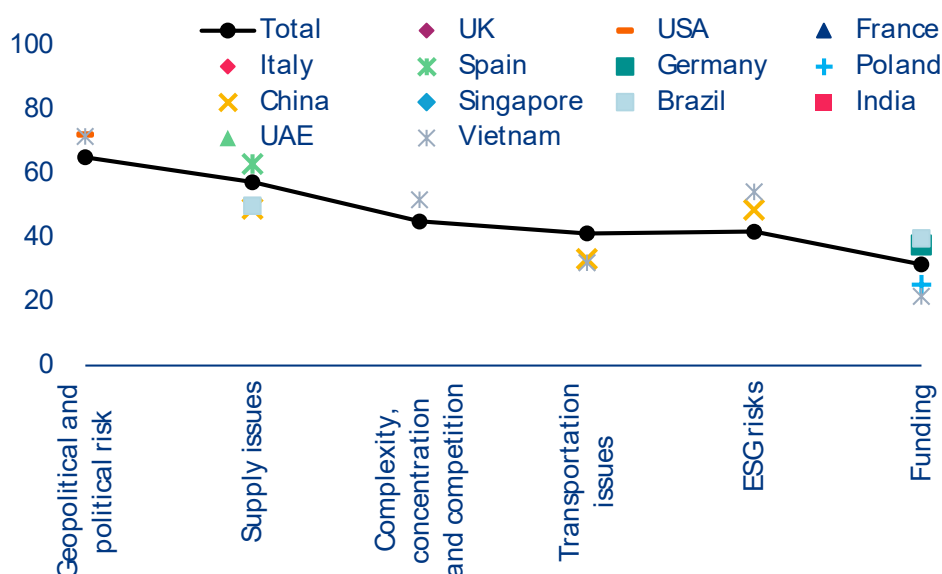
AI adoption is now near-universal - only 0.5% of exporters report not using it - but depth and strategic intent vary sharply. Emerging economies lead: UAE (86%), Poland (80%) and India (75%) report the highest scaled deployment rates, while the UK (57%) and US (63%) remain below 65%. The real divide is expectations: 61% of Indian firms anticipate AI will boost export turnover by 10%+, against just 18–22% in Europe. High adoption does not always translate to growth optimism - UAE firms deploy AI at scale but remain cautious on impact (22%), suggesting efficiency-focused rather than growth-oriented use. The universal barrier is not cost or skills but ROI uncertainty, cited by 28% of firms globally.



A new layer of shocks in an already fragile environment

War and military conflicts were named the larger threat to companies' export activity and supply chains over the next two years (35%) than the trade war and protectionism (28%). For the 5th edition of the Allianz Trade Global Survey, we asked 6,000 companies in Brazil, China, France, Germany, India, Italy, Poland, Singapore, Spain, the UAE, the UK, the US and Vietnam about their outlook for 2026. Since the start of the conflict, 60% of firms have raised concerns surrounding the logistics consequences of the war for supply chains and the rise of energy and commodity prices. In the wake of the war Iran, countries are faced with different challenges. Some are highly exposed and with low buffers (e.g. Vietnam, Thailand etc.), others are exposed but have buffers through reserves, alternative suppliers etc. (e.g. European countries, China). Against this backdrop, our survey reveal that Vietnam and Poland are the most worried closely followed by firms in the UAE (68%). Furthermore, British (71%) and American (72%) firms also appear particularly worried by the aftermath of the conflict. In contrast, Indian (36%) and Chinese (39%) firms appear relatively less worried. While Indian and Chinese imports are largely dependent on the Middle East region (nearly 50% for each), the reliance on coal in their energy mix and their ability to negotiate with Iran have allowed them to remain slightly more shielded from the aftermath of the closure of Hormuz than other countries of the sample.

Geopolitical and political risks have emerged as the largest threat to offshore production and supply-chain stability, cited by 65% of surveyed firms and now ranking as the leading concern overall (figure 1). Compared to the 2025 edition of the survey, geopolitical and political risks, such as conflicts and tariffs but also internal vulnerabilities such as expropriation and social unrest, rose by +11pps, displacing supply-chain complexity and concentration as the top-ranked threat, with the latter falling by -30pps to 45%. Simultaneously, supply-related risks, such as supplier bankruptcies and input shortages, climbed to second place, identified by 57% of firms and up +30pps from last year. This rise is consistent with our own analysis of global business insolvencies, which have reached record highs, running 24% above their pre-pandemic average. Following a +10% increase in 2024, insolvency levels remained elevated with a further +6% rise in 2025. Looking ahead, we expect this pressure to persist throughout 2026, with our baseline forecasting a +5% increase, +2pps since the escalation of the Middle East, before stabilizing in 2027.

Figure 1: Geopolitical and political risks have become the largest threats to companies' business

Sources: Allianz Trade Global Survey 2026

Notes: Geopolitical and political risks refer to war, tariffs, confiscation, expropriation and social unrest. Supply issues refer to bankruptcy of suppliers and shortage of inputs. Only countries deviating by more than 5pps compared to the sample average are shown.

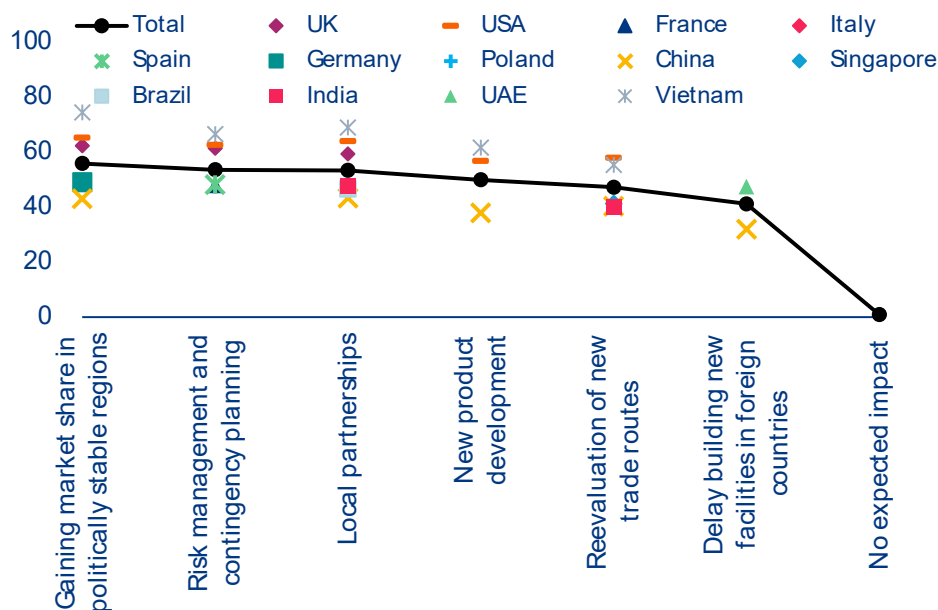
We estimate that the economic cost of supply-chain complexity has surged to USD4.7trn in 2025, more than twice its 2017 level, with 56% attributable to trade flows linked to the US. Our proprietary index indicates that global supply-chain complexity continued to intensify in 2025, more than doubling compared to 2017 and reaching its highest level since 2014. The index captures weighted bilateral trade flows, adjusted for geographical and geopolitical distance, as well as infrastructure quality and connectivity, climate vulnerability, growth prospects and trade openness.

At the country level, geopolitical and political risks weigh most heavily on firms in the US and Vietnam (for 72% of firms for each country). Brazilian firms sit modestly below the global average at 60%. Worries around supply disruption are most acute in Spain (63%), while firms in China (49%) and Brazil (50%) appear comparatively less exposed on this dimension. On complexity, concentration and competitive pressures, firms in Vietnam register the highest level of concern in the sample at 52%.

Nevertheless, companies still expect positive turnover generated through exports, though Chinese firms are more downbeat. Before the escalation in the Middle East, 80% expected an increase of at least +2% in turnover generated through exports. But since the crisis broke out, firms' expectations have only fallen by -5pps to 75%. This is a much brighter outlook than right after "Liberation Day", when only 40% of firms expected an increase. Across countries, the results are broadly similar, with expectations of turnover growth above +2% generally ranging from 70%

to 85%, and expectations of lower turnover ranging from 3% to 10%. Indian and German companies are the most upbeat (82-83%). China and Vietnam stand out as the show a significant deterioration of turnover expectations since the start of the war in Iran. In China, only 51% of firms surveyed have an upbeat outlook on their turnover generated by exports (turnover growth > 2%), significantly lower than just before the Middle East conflict (-9pps), though improving from post "Liberation Day". Furthermore, 8% of Chinese firms expect negative turnover – similar to their Brazilian counterparts (9%) – though less than Vietnamese companies (13%). Beyond the impact of the war in the Middle East, one explanation for the pessimism of Chinese companies could be the widespread strategy of aggressive price cuts, notably amid elevated US tariffs.

Geopolitical threats are prompting firms to focus on their local markets, stay closer to home or prioritise gaining market share in politically stable regions (56% of respondents). Virtually all firms are adapting to the ongoing geopolitical risks, using all tools in hand from risk management to more active strategies. Enhanced risk management and contingency planning (54%) is among the preferred options, especially by Chinese firms. Meanwhile, other more active strategies including new product development and new markets and routes are being considered by at least half of the surveyed firms. Reconsideration of investments and expansion is the least preferred option, though 40% of firms are still considering this.

Figure 2: Companies' priorities to operate and grow internationally despite geopolitical risks

Sources: Allianz Trade Global Survey 2026

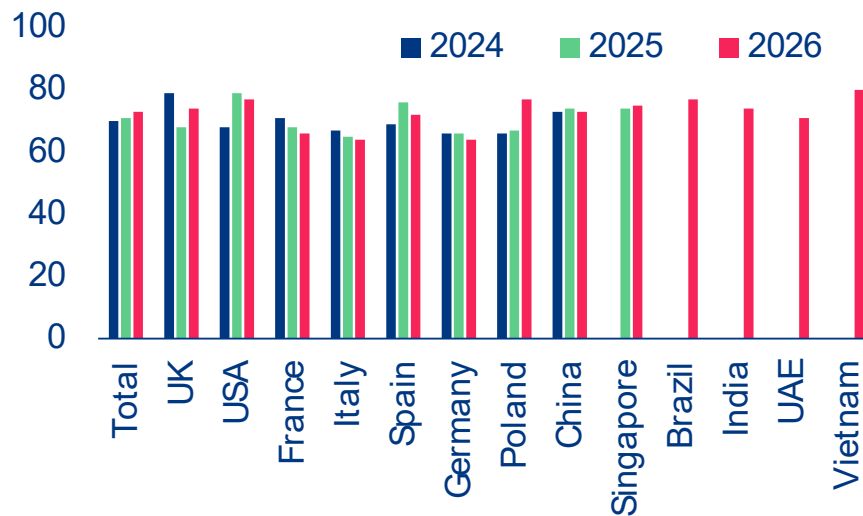
Notes: Only countries deviating by more than 5pps compared to the sample average are shown.

Since the start of the conflict, firms have intensified operational adjustments, particularly in logistics and trade execution, however patterns vary across different geographies. More than half of companies are seeking alternative shipping routes or carriers especially in Vietnam (60%), the US (55%), India (55%) and Brazil (52%), while many are working with customs brokers to expedite clearance or adjusting delivery schedules especially in India (56%) and France (53%), indicating that operational responses are accelerating faster than contractual changes.

Vietnam stands out as the most proactive economy, showing among the highest readings across virtually every strategic priority, with a pronounced preference for capturing market share in politically stable regions (74%). The only exception to this is the decision to delay or reconsider foreign facility construction, where Vietnam records the second-lowest score (38%). At the other end of the spectrum, Chinese firms display a more cautious posture, consistently registering the lowest or near-lowest response rates across categories. Their most frequently cited priority, namely enhanced risk management and contingency planning (49%), points to a defensive rather than opportunistic strategic orientation in the face of

geopolitical disruption. Similarly, the UAE (47%), Italy (46%), Poland (46%) and the US (45%) emerge as the most inclined to pause capital commitments. Yet the US picture is more nuanced with firms simultaneously ranking as the second most likely to accelerate new product development (57%), behind Vietnam (62%), and leading the sample in reevaluating trade routes (58%), ahead of Vietnam (55%) and the UAE (52%).

While reshoring dynamics have remained strong, with 72% confirming, the Middle East crisis has caused the sharpest increase towards reshoring acceleration, especially in Europe, where Poland, UK, and France lead the reshoring boost. China and Singapore also pointed towards an acceleration of reshoring caused by the war. While the US and Vietnam moved in the opposite direction. Vietnamese firms had the highest pre-war acceleration expectations because they are the primary China-decoupling beneficiary, but the Middle East conflict complicated their position by introducing geopolitical risk. The UAE shows an unusual bifurcation: acceleration and reverse of the trends jumped reflecting the country's contradictory position as both a logistics hub benefiting from supply chain restructuring and a geography directly exposed to the Middle East crisis.

Figure 3: Share of firm expecting the reshoring trend to accelerate in the coming years

Sources: Allianz Trade Global Survey 2026

However, structural constraints continue to limit the pivot towards domestic suppliers and full reshoring. Most pressing issues across all geographies continue to be limited access to competitive domestic suppliers (around 83%). Production costs and tax incentives form the second tier of constraints. The UK and Brazil record the highest production cost concern, while India and Poland highest tax incentive concern. A notable shift caused by the Middle East crisis has been US firms concern about ESG, with a drop in production cost concerns as Middle Eastern supply-chain disruption risks making offshore sourcing more expensive and reputationally complex, enhancing the compliance and reputational risks of supply-chain exposure.



Paying the price in payment terms

The war in the Middle East has reversed expectations in payment terms among exporters but more moderately and unevenly than after the start of the trade war last year. Prior to the start of the war in the Middle East, just 38% of respondents were expecting export terms to increase in the next 6 to 12 months and 31% said they would remain stable, an improvement compared to the last year survey after "Liberation Day" (53% and 23% in 2025, respectively) and almost a return to the pre-"Liberation Day" sentiment (37% and 31%, respectively). Germany was the one exception, with a deterioration compared to both references. However, the war has changed the picture, with the overall share of exporters worried that the length of payments will increase rebounding to +43% (+5pps), though this is still below the 53% recorded last year after "Liberation Day". This rebound comes from mixed dynamics, with (i) the largest rises in Spain, Singapore, India, Vietnam, the UAE and Brazil (+7, +7, +9, +9, +10 and +18, respectively); (ii) noticeable increases in China, France, the US and the UK (+2, +3, +4 and +5, respectively) and (iii) roughly unchanged expectations in Poland and Germany.

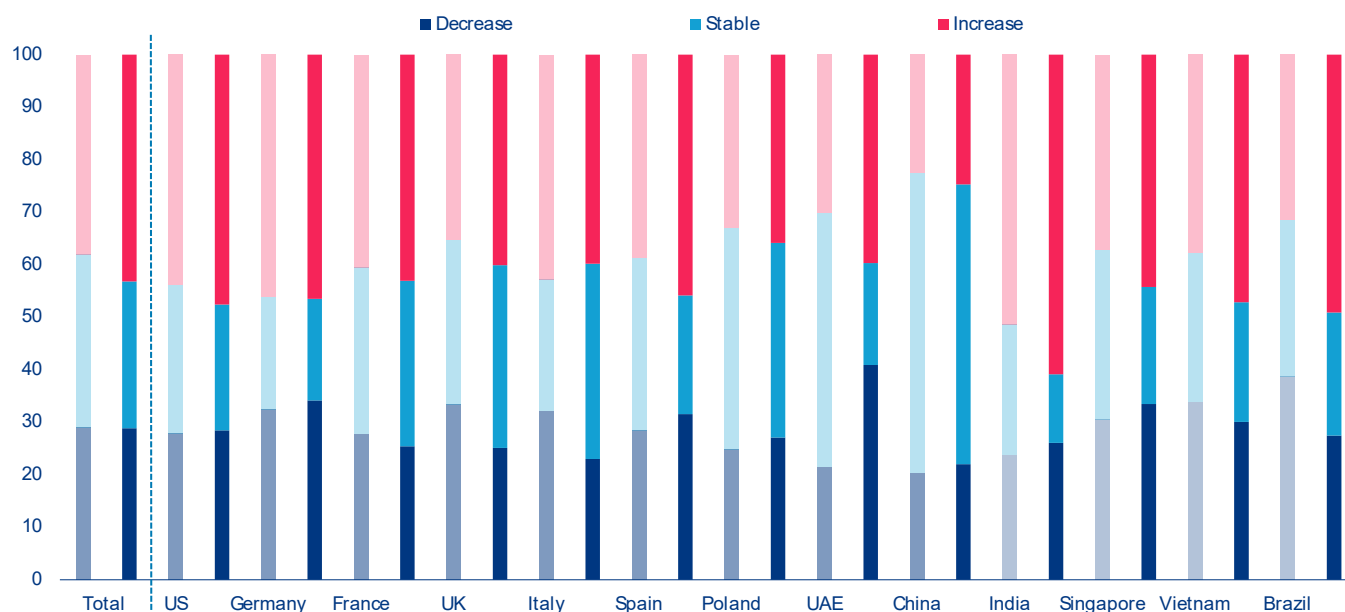
Overall, companies are more pessimistic than last year (41% versus 36%), notably in Western Europe. In most countries, exporters are mostly fearing a rise in payment terms. This is in particularly the case in India (56%), Germany (46%), the US (46%), Spain (44%) and France (42%). In Poland and China, most firms are expecting

a stable outlook in payment terms (40% and 55%, respectively). All in all, exporters anticipating a decrease in payment terms never exceed one-third of the panel, with the highest share in Vietnam and Germany, and the lowest share in France and India. This deterioration in payment terms is widespread across all company sizes, especially those with fewer than 250 employees: 45% of them expect export payment terms to rise in the next six to twelve months, compared to 70% for the firms with 250+ employees. It is also widespread across sectors, with a majority (11 out of 15) mostly bracing for an extension in payment terms, notably in paper, construction, pharmaceuticals, agrifood and computers/telecom (61%, 59%, 51%, 50% and 47%, respectively). In addition, this extension in payment delays is expected to be significant, exceeding seven days in almost half of the cases, notably for computer telecom (55%), pharmaceuticals (52%) and transport equipment (50%). At the same time, a larger share of respondents in the automotive and machinery equipment sectors expect the length of payment terms to remain stable (47% and 39%, respectively). Three sectors stand out with a relatively more equal distribution of expectations in the length of payment terms (increase/stable/decrease): metals, household equipment and trade. Interestingly, energy and transport equipment both post great divide among their firms, with the same and a large proportion of companies expecting either an increase or a decrease (roughly 40%).

The perception of export non-payment risk has also deteriorated with the war in the Middle East, with fears of higher non-payment risks up by +6pps – despite varying reactions across sectors. 40% of companies are now anticipating more non-payment risk over the next six to 12 months – compared to 34% prior to the start of the war in the Middle East and 38% in 2025 prior to "Liberation Day". The deterioration is most visible in Brazil (higher non-payment risk: from +33% to 54%) and the UAE (from 23% to 43%), followed by India, Vietnam and China, while the US and European countries have shown relatively more stability since the start of the war. Both Brazil and the UAE experienced a regime switch, with expectations in stable non-payment risk collapsing (from 54% to 38%, and from 69% to 44%, respectively). India, the US and Brazil now record the highest share of firms expecting a rise in non-payment risk (54%, 47% and 45%, respectively) while France and Germany stand out with higher numbers than post "Liberation Day" (41% and 40%, from 34% and 37%, respectively). Overall, a majority of firms still expect the risk of export non-payment to remain stable in the next six to twelve months (52% versus 56% prior to the start of the war in the Middle East).

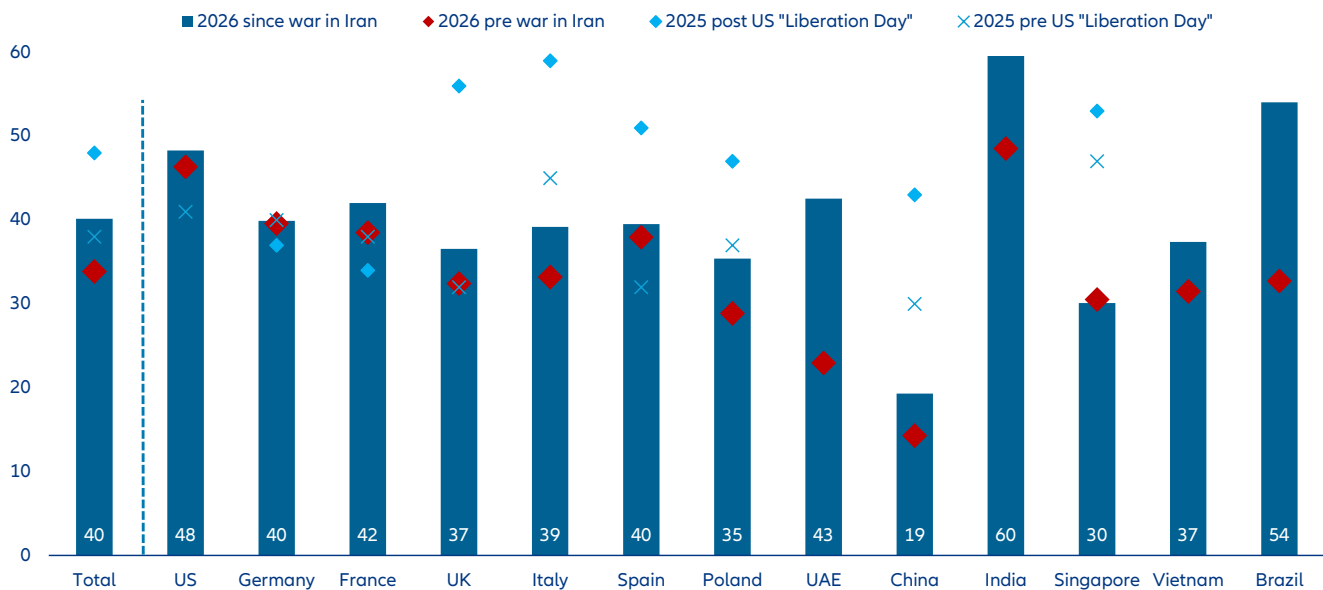
Meanwhile, companies in Italy, the UK, Singapore and Poland (55%, 57%, 60% and 61%, respectively) but also, and above all, in China (73%) expect a stable risk of non-payment. The flip side of this picture is that in all countries a minority of firms, most often below 10%, expect a decrease in non-payment risk. Interestingly, exporters in pharmaceuticals (55%), construction (52%), computers/telecom (44%) and transport equipment (44%) are more worried about the risk of non-payment increasing than exporters in machine equipment (31%), trade (33%), household equipment (33%) and textiles (34%). The war in the Middle East has however contributed to deteriorate expectations (i.e. higher risks) in a majority of sectors, in particular energy (+22pps to 42%), household equipment (+13pps to 33%), computers/telecoms (+12pps to 44%), and machinery equipment (+10pps to 31%). Chemicals, construction, transport equipment and pharmaceuticals are the exceptions. All sectors combined, the larger (lower) the turnover, the higher the share of greater (lower) non-payment risk – but the gap has reduced noticeably since the start of the war in the Middle East.

Figure 4: Expectations of change regarding the length of export payment terms in the next six to 12 months, % of total companies, before and after the start of the war in the Middle East



Sources: Allianz Trade Global Survey 2026

Figure 5: Share of respondents expecting the risk of export non-payments risk to rise in the next six to 12 months, % of total companies, 2026 vs 2025



Sources: Allianz Trade Global Surveys 2025 and 2026

Only 7% of companies continue to be paid within 30 days. The share is even lower in Italy and Singapore (4% and 5%, respectively), and to a lesser extent Brazil and Germany (6% each), but Vietnam and the UK report a higher share (10% and 11%). This outcome represents a decrease compared to last year's survey (-4pps), with strong decreases for Italy (-8pps from 12% to 4%) and Singapore (-10pps from 15%), as well as declines in the US (-1pp), China (-2pps), Germany (-3pps), France (-4pps), Poland (-4pps) and Spain (-5pps) – and the UK as main exception (+1pp).

Roughly 70% of companies are paid between 30 and 70 days (68%), with the share slightly higher in Poland (76%), the UK (75%) and the US (75%), while China and India stand out on the opposite side (59% and 46%, respectively). This second outcome also results from a drop compared to the previous survey, for our extended panel (-3pps) as well as for most countries such as China, Singapore, Germany and France (-4, -2, -2 and -2, respectively) – despite some exceptions for Spain, the US, Poland and Italy (+1, +2, +3 and +4, respectively).

At the opposite end of the spectrum, longer payments have gained traction. Almost one out of four export companies are paid after 70 days (+7pp to 24%), with a better situation for firms in advanced economies (20%) than in emerging markets (30%). But the latter displays large discrepancies from India to Vietnam (46% and 22%, respectively). The longest export payment delays increased in most countries, compared to 2025, with 5% of companies paid after 90 days (i.e. +1pp), notably in India, Brazil and Spain (16%, 8% and 6%, respectively) – and noticeable rises in Germany, France and Spain (+3pps each to 4%, 5% and 6%, respectively). Firms in transport equipment, pharmaceuticals, computers and telecom, household equipment and automotive often wait the longest to be paid, with a noticeable share of them paid after 90 days (23%, 17%, 8% and 7%, respectively).

Overall, roughly 70% of companies are paid between 30 and 70 days, with a stronger concentration for firms in the paper, textiles and construction sectors (89%, 81%, and 78%, respectively). Firms in the agrifood, retail and computers and telecom sectors see shorter export payment terms, with the highest share of respondents reporting less than 30 days (9%, 8%, and 8%). All sectors combined, the larger (lower) the turnover, the higher the share of longer (lower) export payment terms, with 42% of surveyed companies having a turnover above EUR3bn facing payment terms exceeding 70 days. This hides a wide dispersion, with a higher share of firms in this situation in transport equipment (83%), machinery equipment (51%), automotive (55%), construction (53%). 54% of surveyed companies with a turnover above EUR5bn face payment terms exceeding 70 days, compared to 25% for the overall sample average and 21% for the companies with less than EUR3bn in turnover.

Bank loans (46%) and internal cash flows (44%) remain the dominant sources of financing for companies.

Reliance on bank lending is particularly strong in China (56%) and Vietnam (53%), consistent with their bank-centric financial systems and the prominent role of state-backed credit. In contrast, internal financing is more prevalent among UK, Singaporean (51%), US and Polish (49%) firms, reflecting deeper capital markets and stronger corporate balance sheets. State support is most frequently cited by UAE (38%) and Singaporean (41%) companies, highlighting a significant government role in supporting economic activity. Compared to last year's survey, the overall ranking of financing sources remains broadly unchanged at the top, with bank lending and cash flows

still leading, while state support has declined from the third to the sixth most cited option. More sophisticated financing solutions, such as private equity, are used by 35% of firms and are particularly popular in emerging economies, including Vietnam (43%), India (44%), and Brazil (38%).

In terms of foreign exchange risk management, improving forecasting and internal risk management processes remains the primary strategy (58%), followed by FX hedging (48%) and the use of common currencies for payments and receipts (48%). These preferences have remained broadly stable since the onset of the conflict in the Middle East, suggesting limited short-term adjustment in corporate FX practices. Cross-country differences nevertheless stand out. Indian firms show a stronger preference for using local currencies in transactions, likely reflecting persistent depreciation pressures on the rupee. At the other end of the spectrum, Chinese (36%) and UK (33%) firms make less use of local currency payments. Despite increasing discussions on the internationalization of the renminbi, Chinese exporters continue to rely heavily on the USD. This is reflected in the relatively low share of Chinese firms increasing non-dollar transactions (28%, compared to a 37% sample average).



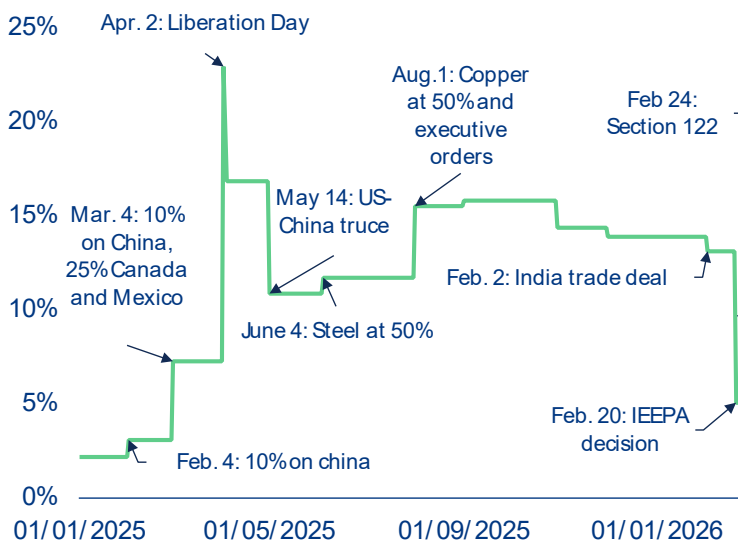
The consequences of a year of US tariffs

Over the past year, US trade policy has undergone a large shift, defined by the tariff offensive initiated on “Liberation Day”. At its peak, the US applied a global tariff rate of 23%. Subsequent developments have brought meaningful, if partial, relief: we estimate the US tariff rate now stands at 9%, following the Supreme Court ruling in February 2026 and the imposition of Section 122 tariffs in its wake

The impacts of US tariffs continue to reshape global trade and supply-chain routes, with 80% of firms having introduced new routes to avoid higher tariffs, geopolitical risks and/or improve capacity. Firms in Vietnam (88%) and India (87%) have been the most

reactive, followed closely by French and American exporters (85%). 68% of Chinese exporters have adjusted routes, though they were already doing so since the first Trump administration in 2017. In addition, Chinese exporters that did not yet make significant changes to their existing supply chains and trade routes are the most numerous across the sample to consider doing so in 2026 (16%, above the global average of 10%).

Figure 6: Evolution of the global tariff rate applied by the US



Sources: Allianz Research

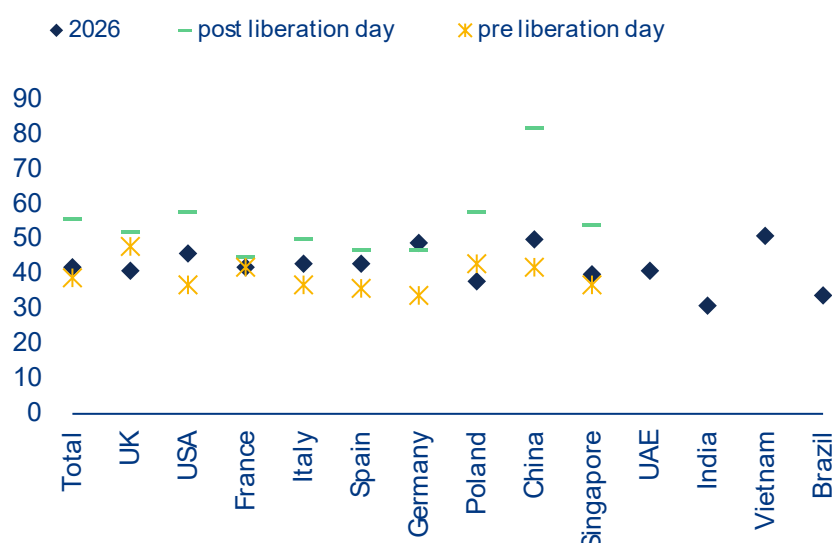
43% of firms anticipate a net negative impact on their business, still higher than the 39% before the start of the trade war in 2025. Despite the recent Supreme Court decision to declare IEEPA tariffs illegal, Section 122 has reimposed tariffs on countries across the board for 150 days (until end-July 2026), which keeps the US average tariff stable at 9%. Concerns are most acute in China and Germany, where close to half of all firms (50% and 49% respectively) expect negative effects given their high dependency on exports to the US (15% and 10%, respectively), which is their top export market. The US (46%) and Vietnam (48%) also record a higher share of firms that expect a negative impact from the trade war compared to the overall sample. Furthermore, when comparing to firms' expectations for 2025, German companies' expectations for 2026 are slightly more negative than they were after "Liberation Day" (+2pps to 49%), while Poland (-5pps to 38%) and UK (-7pps to 41%) expect a less negative outlook compared to pre "Liberation Day". In contrast, firms in Brazil, India and Poland seem to be slightly less worried, with around one-third expecting further negative impacts.

One year on, fewer firms (32%, -6pps) expect to raise their prices due to higher tariffs or trade barriers, back to similar levels seen before "Liberation Day". The firms most likely to raise their selling prices are in the UK (42%, +4pps from post "Liberation Day"), the US (39%, -6pps) and Spain (35%), whereas only 20% of Chinese firms are considering doing so, -25pps from post "Liberation Day" and -9pps from pre "Liberation Day". The share of firms planning to cut their prices in response to the trade war remained unchanged, with only 14% of firms favoring this option. Vietnam (9%) and Poland (10%) recorded

the lowest shares, while Italy and Spain appear to have a relatively stronger foundation, with 19% and 18% appearing to be able to withstand a price cut, respectively. Among companies that declared that they would not change their prices, absorbing the cost remains the least favored option alongside exporting to other markets (24% each) while sourcing from other markets remained the preferred option (25%), though it has lost some of its appeal compared to post "Liberation Day" (-6pps).

Companies appear more ambitious in their investment strategies, with fewer focusing on cost-cutting and more prioritizing capital expenditures in strategic areas. Compared to 2025, fewer firms report holding off investments (15% vs. 22%). Cross-country differences remain relatively modest. Firms in China and Brazil are somewhat more likely to delay investments, whereas firms in Vietnam are the least likely to do so (10%). Overall, responses are fairly balanced across the three main strategies: 26% of firms focus on cost-cutting and operational efficiency, 28% on increasing capital expenditures and 31% on expanding into new business lines. The overall mix is more growth-oriented than in 2025, when cost-cutting was more prevalent (31%, +6pps) and capital expenditure less so (20%, -8pps). At the country level, firms in Vietnam stand out as the most expansionary, with 37% planning to increase capital expenditures and only 10% holding back. This aligns with Vietnam's growing role as an industrial hub within "China+1" supply-chain diversification strategies. Finally, expansion into new business lines is gaining traction among Italian firms (38%, +8pps), and remains the dominant strategy for companies in China (37%, -2pps).

Figure 7: Share of respondents expecting a negative impact from the trade war over the next year



Sources: Allianz Trade Global Survey 2026

Digital transformation and AI adoption clearly emerge as the leading investment priority, cited by 26% of respondents, well ahead of sustainability and carbon reduction initiatives (20%) and supply-chain resilience (18%). More traditional levers such as talent acquisition and upskilling (16%), mergers and acquisitions (12%) and reshoring (8%) rank lower, highlighting a decisive shift toward technology-driven competitiveness. This confirms that AI deployment is no longer experimental but has become a core strategic imperative, with firms increasingly viewing it as critical to productivity gains, cost optimization and long-term positioning.

Cross-country patterns provide additional nuance.

US-based firms are relatively less likely to prioritize AI investment (18%), despite operating at the global frontier of innovation and adoption. Instead, they place significantly greater emphasis on talent acquisition (24%), pointing to a maturing digital cycle: with foundational infrastructure already largely in place, the binding constraint is now access to skilled labor capable of deploying and scaling AI effectively. In contrast, China-based firms most frequently cite AI as their top priority (37%), reflecting both the rapid pace of adoption and a continued focus on building out technological capabilities at scale.

Since the start of the trade war in 2025, seven out of 10 firms have taken operational steps to face the tariff increase. The responses cluster into three tiers of adaptation. Inventory building and diversification to new markets (64%), sourcing from new suppliers (63%) and rerouting through third markets (57%). Incoterms changes (36%), the most technical and least visible adaptation, typically reflecting shifts in who bears tariff liability at the border, is the least chosen reaction. As one could expect as the two countries were the most predominant actors of the trade war, the US (27%) and China (31%), followed by Vietnam (30%), were the most likely to have reacted in some way. On the other end of the spectrum, Poland and Singapore both had 40% of their firms conducting business as usual.

Companies in China (69%) were most likely to reroute their products through third markets, followed by the UAE (63%). This is in line with our assessment that 21% of usually US-bound Chinese exports were rerouted through India and ASEAN in 2025. On the other hand, the cost of rerouting seems to have deterred companies in Italy (48%) and Germany (50%). Overall, China also records the highest market diversification rate of any respondent country (75%), followed by the UK and Poland (74% each) and Vietnam (71%). Germany, by contrast, records the lowest diversification rate (52%), alongside the UAE (56%) and India (58%). Furthermore, Chinese companies (75%) have been the most proactive in looking for new suppliers over the past year, once again alongside the US (71%), the UK and Brazil (70% each). Chinese firms with long supply chains are most likely to go towards rerouting to new markets or diversifying to new markets, rather than sourcing from new suppliers. Finally, UAE firms (45%) were most likely to change their Incoterms throughout the past year, while only 26% of the UK firms declared having done so.

In 2026, and as has been historically the case, CIF¹ (31% of importers and 25% of exporters) and FOB² (30% and 36%) dominate maritime shipping, continuing to be the most preferred INCOTERMS³ in the global trade universe, particularly used for B2B transactions. CIF is preferred by buyers seeking convenience, as the seller assumes greater responsibility for shipping logistics – covering freight costs (and any associated rates volatility) and providing insurance up to the destination port – thereby simplifying international transactions, particularly in today's high-risk chokepoints. In other words, the seller streamlines trade for the buyer, especially suitable for those less experienced with international shipping. Companies in Vietnam in particular have shown a strong preference for CIF (45% of importers and 43% of exporters), indicating that Vietnamese firms favor assuming greater control over a larger portion of the logistics chain. Meanwhile, FOB is favored when buyers want more control over the logistics, as the risk is transferred earlier (at the loading port or port of origin), allowing the buyer to optimize its logistics and negotiate shipping costs. This option was particularly favored by importers in Germany (38%).

1 CIF : Cost, insurance, and freight

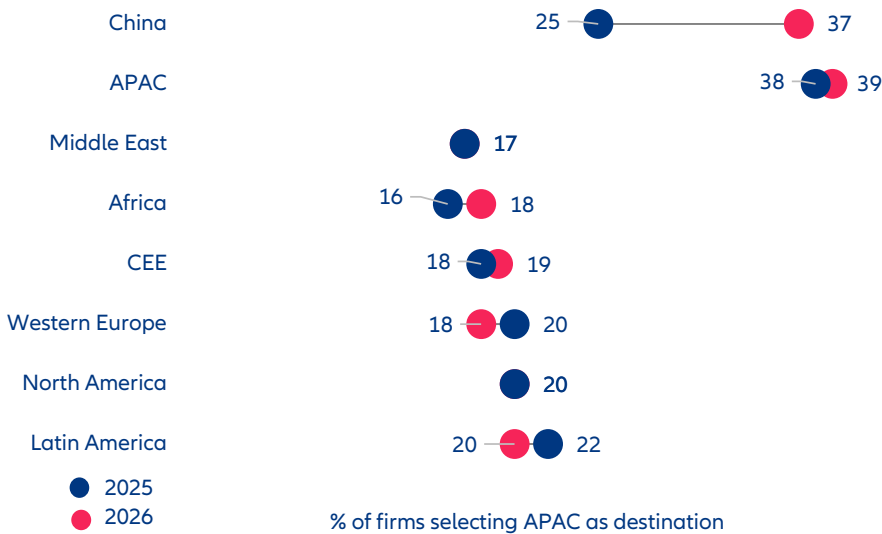
2 FOB : Free on board

3 INCOTERMS stands for International Commercial Terms. They are a set of standardized rules published by the International Chamber of Commerce (ICC) that define the responsibilities of buyers and sellers in international trade

This year's results show clear shifts compared to last year, mainly driven by US tariff policy. Among all 11 INCOTERMS, DDP⁴ is unique in placing responsibility for import duties, taxes, and customs clearance on the seller. This helps explain the marked decline in DDP usage by exporting companies, from 25% in 2025 to just 16% in 2026. The shift is understandable, given the trade war environment experienced throughout 2025, which made exporters increasingly reluctant to assume exposure to volatile duties. From the importers' perspective, our global survey shows that the biggest change was observed in more adoption of the FOB term, from 20% in 2025 to 30% in 2026. This shift suggests that importers are increasingly seeking more control over their supply chains, possibly to optimize costs and reduce dependency on suppliers' shipping arrangements.

The Asia-Pacific region excluding China is the clearest structural beneficiary of the current realignment in global supply chains, recording the largest net inflow of any region in the survey. Firms already established in the region show strong conviction in maintaining their presence while firms relocating from elsewhere – most notably from China and North America – identify Asia-Pacific as their primary destination. The pull factors are well understood: competitive labor costs, improving logistics infrastructure, deep regional trade integration under RCEP and maturing supplier ecosystems in Vietnam, India, Indonesia and Malaysia. Singapore's dominant within-region score reinforces its role as the logistical and financial anchor of these value chains.

Figure 8: Firms considering growing in Asia Pacific (excluding China) continue to grow year over year



Sources: Allianz Trade Global Survey 2026

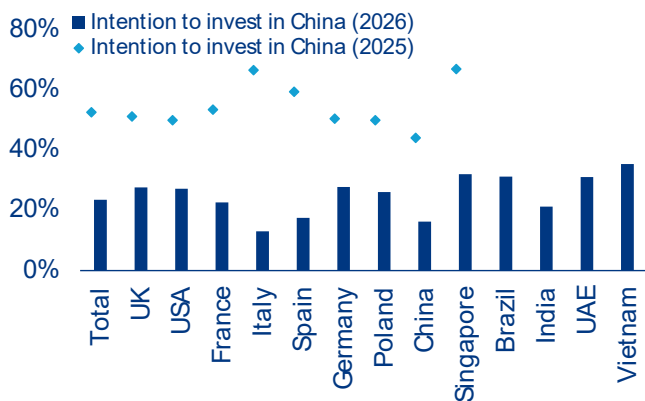
4 DDP : Delivered duty paid

Europe has experienced the largest improvement from last year's survey, while retaining the most within-region stickiness. Interest in Europe as an export destination has grown across the board with Singaporean (+10pp to 19% of firms) and US (+9pp to 29%) exporters showing the strongest increase in appetite, while companies seeking new production sites have also raised their interest in both China and Europe following the Middle East escalation and the start of the trade war in 2025. Notably, the European region records the highest within-region stickiness of any geography in the survey, with approximately 37% of firms currently operating there indicating a preference to remain. Germany and Poland remain the Western European countries most anchored in the CEE region, while Italy is the country with the largest concentration of growth in Western Europe.

The US leads the supply-chain retreat as tariff barriers reduce its attractiveness for businesses. This is not a 2026 phenomenon: Last year's survey already saw a drop in interest in expanding in the US market. This year, only 13% of firms are considering the US as an export growth platform, from 17% the previous year. In parallel, the attractiveness of the US as a potential future location of offshore production sites has continued to deteriorate as the trade war consequences remain. The exceptions are US firms which in this year's survey have turned inward and indicated a higher preference to grow in their own market.

Together, China and the US have suffered the most from the loss of potential future investments, showing how global businesses, as well as Chinese ones, are retreating from the Asian giant. Self-retention among China-based firms collapsed from 32% to 16% while the share of those firms targeting Asia-Pacific as their next location jumped from 25% to 37%, making China towards Asia Pacific the dominant bilateral flow in the survey. Simultaneously, China is losing traction as a destination across almost every non-US region: Middle Eastern firms' interest in China fell from 12% to 4% (-8pps), CEE from 11% to 3% (-8pps), Western Europe from 11% to 5% (-6pps) and Latin America from 8% to 4% (-4pps). In parallel, investment intentions towards China fell from 53% to 24% in a single year — a 29-point collapse that represents the sharpest directional shift in the entire survey. What makes this finding structurally significant is that it is not a Western-led decoupling story: even Chinese firms themselves reduced their pro-China investment intentions by 28 percentage points over the same period, signaling that the reassessment of China as a production base is coming from the inside out, not just driven by geopolitical pressure from abroad.

Figure 9: Investment intentions towards China experience a strong drop



Sources: Allianz Trade Global Survey 2026

While the shift away from China is structural, the Middle East crisis could have introduced some stabilization effects for certain markets that were previously considering to offshore elsewhere. German and UK firms shifted towards a pro-China stance since the beginning of the war, and anchored Singapore's stance even more, most likely as a result of a geopolitical substitution.

Regional cultural gravity continues to shape relocation intent at the bilateral level. Beneath the aggregate trends, the survey reveals persistent home-region bias that cross-regional flows alone do not capture. Spanish firms disproportionately flag Latin America as a preferred destination, reflecting language, legal tradition and historical investment ties. China-based firms, while pivoting to APAC broadly, retain notable interest in Africa and Latin America – destinations where Chinese state-linked investment has built commercial footholds over the past two decades. These gravitational patterns were already visible in last year's survey and have remained stable, suggesting they are durable features of firm-level decision-making rather than responses to the current macro environment, linked to cultural, linguistic and historically established investment corridors.

Companies in countries with recently established FTAs are seeking expansion to new markets, especially in India, Brazil, France and Spain. The sharpest outlier is India, where 40% of respondents want to use FTAs to access fully new markets – the highest of any country by a wide margin. Brazil, France and Spain follow India, pointing towards higher interest to expand to new markets for businesses of those countries actively signing FTAs. China's profile reinforces its defensive posture identified in the relocation data: 13% report no FTA impact – the joint highest alongside Poland – and only 14% are targeting new markets.

Non-tariff barriers remain a challenge but there is a clear split between the difficulties faced by developed and emerging markets. While EMs especially Vietnam (41%) India (37%), China (34%) and Brazil (27%) aim to target and expand in DM markets, the actual barriers remains market-access restrictions: technical standards, anti-dumping duties, phytosanitary requirements, local

content rules and import licensing. The EU-Vietnam FTA was built almost entirely to dismantle these for Vietnamese exporters. DM-headquartered firms show a different profile depending on the market. The UK (27%) leads on customs procedures, a consequence of Brexit, while France (24%) also skews customs-heavy, reflecting similar friction for its extra-EU exports. Germany distributes more evenly across state aid/competitive distortions (19%) and quotas (32%). This split is not coincidental as it maps directly onto the direction of trade ambition.



The consensus that broke: sustainability in a globally fragmented world

Although sustainability is increasingly shaping global trade, countries are taking divergent paths, creating uncertainty for businesses. For much of the past decade, ESG appeared to be converging towards a unified global standard. This was driven by milestones such as the Paris Agreement, the EU's Sustainable Finance Disclosure Regulation, the launch of the International Sustainability Standards Board and the EU's far-reaching Corporate Sustainability Reporting Directive. A harmonized disclosure architecture was still considered plausible in 2023. However, this changed in 2025 when the US diverged sharply while other regions continued to advance their own frameworks. Sustainability did not disappear but rather fragmented into multiple regulatory regimes with no common baseline. Today, sustainability is increasingly shaping global trade, albeit along divergent national paths that create growing uncertainty for businesses. The incorporation of environmental criteria into trade policy, most notably through border carbon pricing, as exemplified by the EU's Carbon Border Adjustment Mechanism (CBAM), which came into effect in January 2026, is directly linking market access to emissions intensity. This signals a strong regulatory push without any

corresponding global alignment. Meanwhile, the US is scaling back certain sustainability-driven trade measures at the national level, while the EU is softening or delaying aspects of its own rules, further widening the gap. Supply chains are at the center of these developments as sustainability requirements now extend across entire value chains, demanding verified ESG data from suppliers. For firms operating globally, this convergence of regulatory fragmentation and trade-linked sustainability increases complexity, raises compliance costs, encourages selective decoupling and heightens trade frictions. The result is an increasingly uneven competitive landscape with risks of regulatory arbitrage and inconsistent market access, making the long-term trajectory of green trade uncertain.

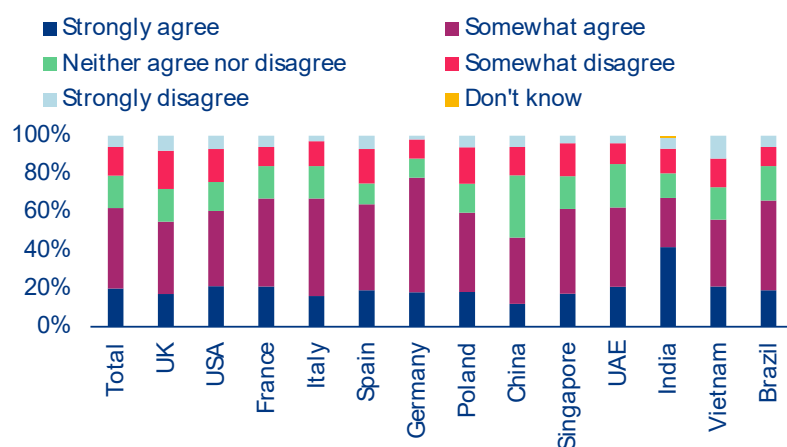
Amid geopolitical risks, firms are scaling back their sustainability ambitions in 2026, focusing on supply-chain measures while deeper internal reforms lag. While sustainability initiatives are being postponed rather than abandoned, firms are prioritising addressing liquidity, geopolitical risk and weaker demand. If cost pressures ease or financing conditions improve, the metrics of the

agreement are likely to recover rather than continue to fall. Overall, the results suggest that, compared to 2025, sustainability-related actions will be moderated in 2026, driven less by disengagement than by waning conviction. Although the proportion of respondents who agree that sustainability actions are being pursued remains high, the distribution has shifted, resulting in a net reduction of -22pps in total agreement, from 84% in 2025 to 62% in 2026. This pattern is evident in most countries, though there is significant variation: China has dropped particularly sharply, from 89% in 2025 to 47%, followed by the UK, which has dropped by -29pps, from 84% to 55%. European economies show the least pullback: Germany by -9pps, France by -10pps and Italy by -13pps. Regarding priorities for sustainability measures in business, efforts are primarily driven by supply chains, while deeper internal changes lag behind. On average, supply-chain measures are considered the most important, scoring 59%, particularly in Spain, India and Vietnam (62%), the US and France (61%), compared to 54% in Brazil and Germany, and 53% in the UAE. Logistics and green product investments (39%) are prioritised most highly in Germany for logistics (44%) and in the UK for green products (44%). Governance and compliance actions, such as reporting (33%), regulation (32%) and carbon reduction (31%), remain secondary priorities. The lowest emphasis is placed on structural change, with executive compensation (29%) and workforce diversity (27%) performing poorly across the board.

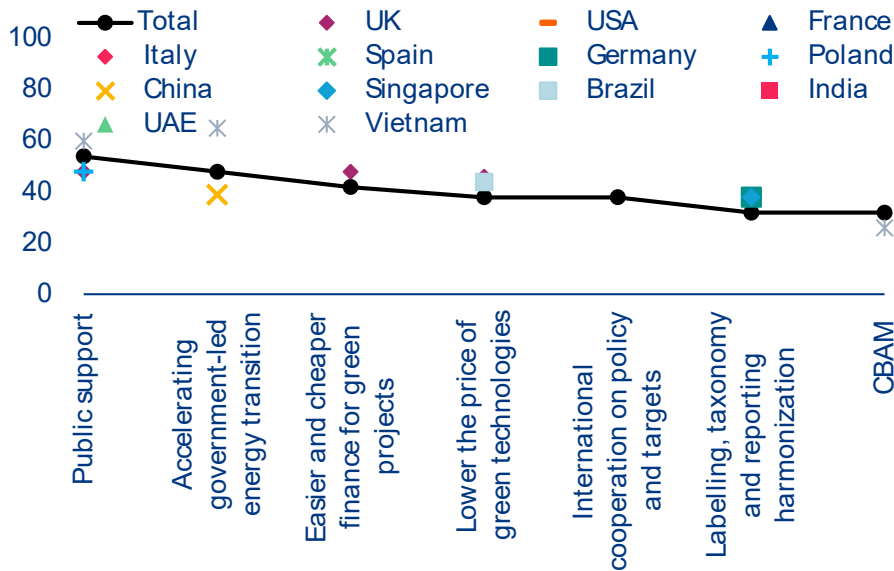
Global intentions to cut CO₂ emissions are on the rise in 2026, driven by new survey participants and strong gains in India, Vietnam, Poland, Germany and China, while some traditional markets like France, Italy, and the US show slight pullbacks. The intention to reduce CO₂ emissions increased in 2026, with 26% of respondents aiming for a reduction of 5-10% (+4pp compared to 2025). This was driven by ambitious targets in new survey countries such as India (54%) and Vietnam (34%). There were gains in Poland (+8%), Germany (+5%) and France (+5%), while Italy (-7%) and the US (-2%) prioritised sustainability less. Companies' confidence in reaching net zero remains high at 84%, with notable increases in Poland, China, Singapore, the UK and Germany, but declines in France, Spain, the US and Italy. Newly surveyed countries also show strong agreement: Brazil (90%), Vietnam (84%), India (82%) and the UAE (82%).

Public support could help firms reduce their carbon footprints. Survey results show that businesses consider public support, such as price subsidies, removal of duties for green products, tax breaks and procurement rules, would have the greatest positive impact on reducing their carbon footprint. This is the most important measure in the US, France, Italy, Spain, Germany, China, Singapore, the UAE and India. This is followed by accelerating government-led energy transitions (e.g. improving the electric grid) with 48% support, leading in the UK (51%), Poland (51%), Vietnam (65%) and Brazil (50%). In contrast, the EU's CBAM is considered to have the least impact, selected by only 32% of companies.

Figure 10 :My company and our senior management implement ESG actions that have significant consequence on our business (i.e. new products, restrictions on clients and suppliers etc.)'



Sources: Allianz Global Trade Survey 2026

Figure 11: Priorities of ESG measures for your business currently, deviation from the mean in pps

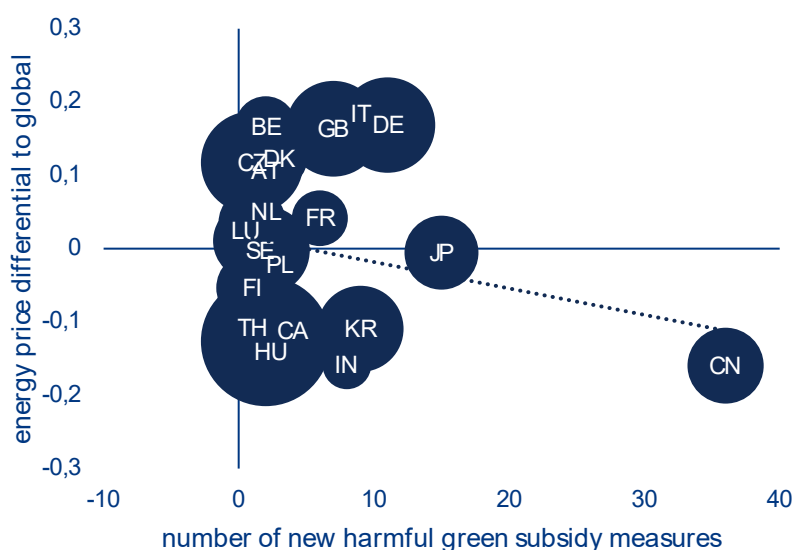
Sources: Allianz Global Trade Survey 2026

Notes: only countries deviating by more than 5pps compared to the sample average are shown. Public support corresponds to price subsidies, removal of duties for green products, tax breaks and procurement. CBAM stand for Carbon Border Adjustment Mechanism.

Sustainability is becoming central to industrial policy and competitiveness as governments align trade and climate tools, such as subsidies, tariffs and procurement, to support domestic clean industries. However, uneven ambition and shifting regulations, particularly in the EU and US, risk distorting competition. This is especially critical for Germany, where energy-intensive sectors depend on clear policy support during the transition. While about 71% of green goods trade was covered by subsidies in 2025, up from 66.3% in 2024, the number of new measures has dropped from the peak of 367 in 2023 to 235 in 2024 and 190 in 2025. Countries with more new subsidies for green products show a lower energy price differential to global energy prices, while at the same time gaining green export shares. But European countries are holding up strongly in this, despite generally higher energy prices and lower industrial policy support.

Supply chains in the crossfire. Supply chains are where ESG fragmentation is felt most acutely, particularly by mid-tier exporters and Tier 1 and Tier 2 suppliers caught between customers and regulators operating under incompatible frameworks. Firms with deep exposure to the US and Asian markets face disproportionate pressure. A single exporter with operations across the EU, US and Japan must now navigate three non-interoperable systems simultaneously: the EU's CSRD, California's SB 253 and Japan's ISSB-aligned regime. Their underlying logics differ,

with double versus single materiality, inconsistent Scope 3 treatment and divergent disclosure formats, forcing firms to maintain parallel data architectures and reporting processes. The cost burden is substantial: Official estimates place annual CSRD compliance for large firms at around EUR740,000, with significant upfront investment, while real-world figures vary widely and can reach into the tens of millions for complex multinationals. Crucially, US competitors often face no equivalent federal requirements, creating a structural cost asymmetry in globally competitive B2B sectors such as machinery, chemicals and automotive supply chains. This gap translates directly into margin pressure, regardless of the underlying quality or strategic value of sustainability data, and embeds a persistent disadvantage for firms operating across multiple regulatory jurisdictions.

Figure 12: Number of new green industrial subsidies relative to energy cost differential to global in costs per kWh

Sources: LSEG Workspace, Allianz Research

At the same time, the EU's attempt to push ESG requirements upstream through supply chains has been weakened, disrupting what was intended as a transmission belt for sustainability standards. The Omnibus reform introduced a value chain cap that limits the ability of large firms to require detailed ESG data from smaller suppliers, many of which form the backbone of Germany's industrial base. This creates a legal and operational gap: companies remain responsible for reporting Scope 3 emissions, which make up a large share of their incorporated emissions in total, but lack enforceable mechanisms to obtain the necessary data. Firms that had already invested heavily in supplier data systems now face uncertainty over the relevance of those investments, highlighting the cost of regulatory instability. More broadly, sustainability has entered a new political economy in which compliance is no longer just a matter of meeting standards but of managing competitive exposure. While cost asymmetries with less regulated markets, particularly the US, can disadvantage European firms in price-sensitive sectors, investor expectations for sustainability performance remain high, and in some markets ESG capability still confers financial and strategic advantages.

The gap between regulatory expectations and operational reality is widening, but the global ESG baseline is rising not falling. Geopolitical fragmentation, driven by US tariff policy, EU supply-chain resilience

strategies and a broader de-globalization trend, is prompting European firms to diversify their supply chains, moving them away from China and towards ASEAN, India, Eastern Europe and parts of Africa. This process is creating a new ESG gap. As firms move into supplier markets with weaker, less audited disclosure regimes, they must rebuild ESG data systems for partners who often cannot meet the standards of existing suppliers. This widens the gap between regulatory expectations and operational reality, particularly for companies that are still subject to CSRD reporting. The irony is acute: efforts to increase supply-chain transparency are colliding with geopolitical pressures that are redirecting sourcing towards jurisdictions with less-developed ESG infrastructure, just as EU enforcement mechanisms have weakened. However, this gap may not be permanent. Around 40 jurisdictions representing approximately 60% of global GDP are adopting or aligning with ISSB-based disclosure frameworks, including Japan, Singapore, Hong Kong, Australia and the UK. Meanwhile, China's 2026 CSDS adopts double materiality, which is more closely aligned with the EU. This suggests that the global ESG baseline is rising, not falling, even as the US backs away from federal-level action. For supply chains, this implies a complex transition involving near-term fragmentation and compliance risk, but also a medium-term opportunity to rebuild more consistent and scalable ESG data architectures across increasingly regulated supplier



AI adoption among exporters: a two-speed revolution?

AI adoption is now effectively universal among exporters but the depth and strategic weight varies sharply across markets. Only 0.5% of surveyed exporters report not using AI at all, confirming that the technology has crossed the threshold from innovation to daily operations. But while 43% of firms have already deployed AI at scale across multiple functions, only 32% consider it fully embedded in core strategy. The leaders are not where conventional wisdom might expect: China (41%), the UAE (40%) and Brazil (36%) top the rankings for strategic integration. By contrast, advanced economies appear more cautious – only 22% of companies in the UK and 21% in Singapore define AI as central to strategy. Singapore stands out operationally, with 51% of firms achieving scaled deployment, while Vietnam leads globally at 53%, underscoring a growing cohort of emerging-market players that excel in execution even if they remain under the radar.

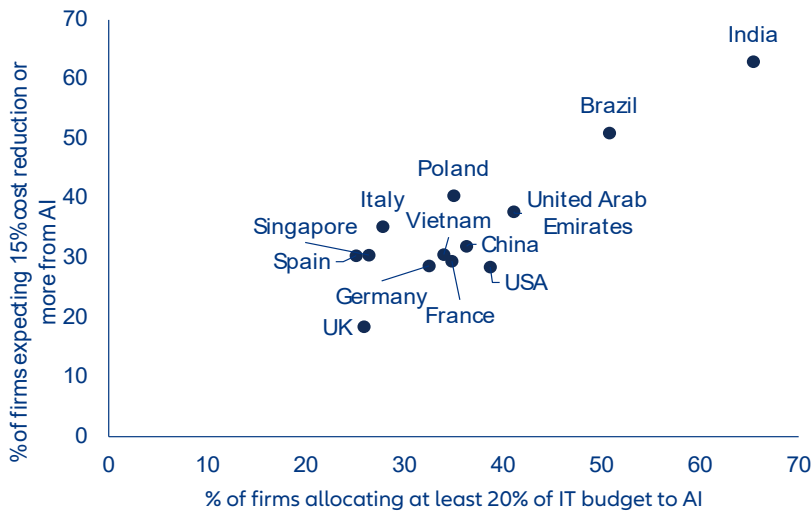
The real divide is not adoption but belief: emerging markets are far more bullish on AI's near-term impact. The most striking asymmetry lies in expectations, where emerging markets are placing far larger bets. In India, a decisive 63% of exporters expect AI to deliver cost reductions of at least 15% within 12 months – a level of confidence unmatched globally. Brazil follows at 51%, while developed markets lag sharply behind, with just 18.5% in the UK, and Germany (29%), France (30%) and the US (29%) forming a cautious middle ground. The same pattern holds for growth expectations. A sizable 61% of Indian firms anticipate AI will boost export turnover by 10% or more within a year, compared with 30% in Brazil and 29% in the US. At the other end of the spectrum, Spain's

18% signals deep skepticism. This widening expectations gap suggests that emerging-market exporters view AI not as incremental efficiency, but as a leapfrog technology capable of compressing development cycles and reshaping competitive hierarchies.

Spending patterns reflect conviction, but structural barriers – especially ROI uncertainty and talent shortages – continue to constrain expansion.

Unsurprisingly, capital allocation follows optimism. In India, 65% of exporters dedicate more than 20% of their IT budgets to AI, a level of commitment that dwarfs most developed markets. Brazil (51%) and the UAE (41%) also demonstrate strong financial backing, reinforcing their strategic intent. Europe, by contrast, remains more restrained: Spain (25%), the UK (26%), and Italy (28%) sit at the lower end of investment intensity. Yet even where spending is robust, scaling AI remains uneven. In advanced economies, the dominant constraint is not access but proof: ROI uncertainty is cited by 35% of firms in the UAE, 31% in Singapore and Germany and 30% in the US, indicating that deployment has outpaced measurable returns. Elsewhere, the bottleneck is human capital. Skills shortages affect 31% of firms in China and India, 30% in Vietnam and 28% in France, highlighting a global scramble for AI talent. Poland stands apart, with 33% citing high implementation costs – a reminder that capital constraints still matter in certain markets.

Figure 13: Expectations from AI vs budget allocations

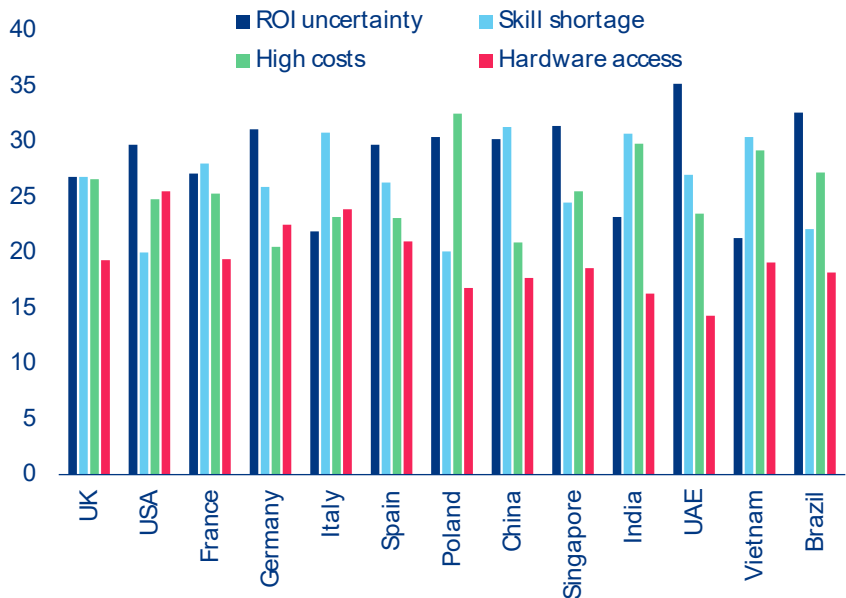


Sources: Allianz Trade Global Survey 2026

A two-speed AI economy might be emerging, with aggressive adopters potentially accelerating ahead – if their expectations materialize. Taken together, the data points to a bifurcated global landscape. Exporters in India, Brazil and the UAE are not only adopting AI – they are committing capital, embedding it strategically and expecting rapid, tangible returns. Their counterparts in Europe and North America, while equally engaged in adoption, are advancing with greater caution, constrained by stricter return thresholds and more incremental expectations. This divergence may reflect differing

competitive pressures, baseline productivity levels or institutional risk tolerance. For investors and policymakers alike, the implications are significant: markets exhibiting both high investment intensity and high expectations could deliver outsized productivity gains – or face sharp recalibration if those expectations prove overly optimistic. The next 12 months will be decisive, serving as a real-world stress test of whether emerging-market confidence in AI is prescient – or premature.

Figure 14: Main hurdles to AI adoption

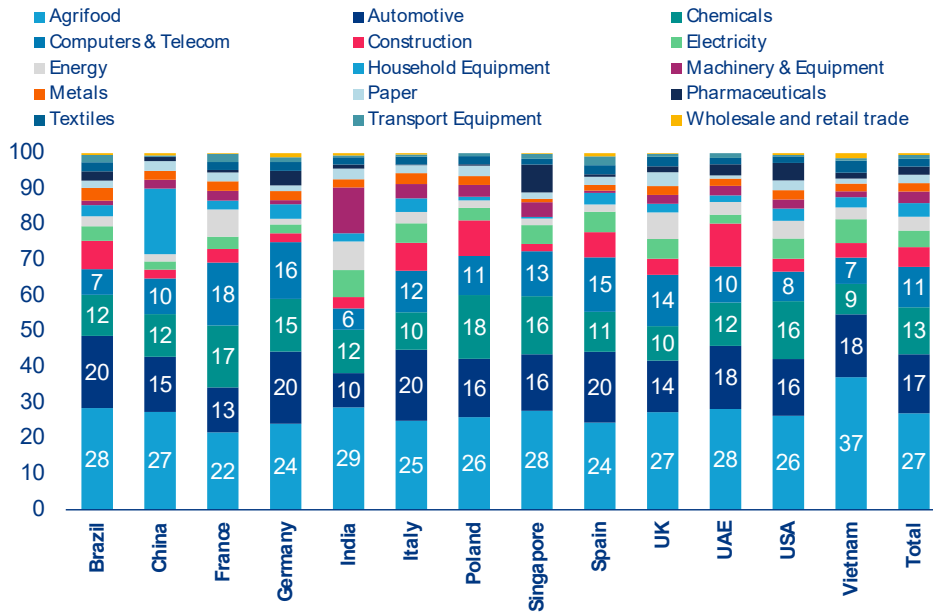


Sources: Allianz Trade Global Survey 2026



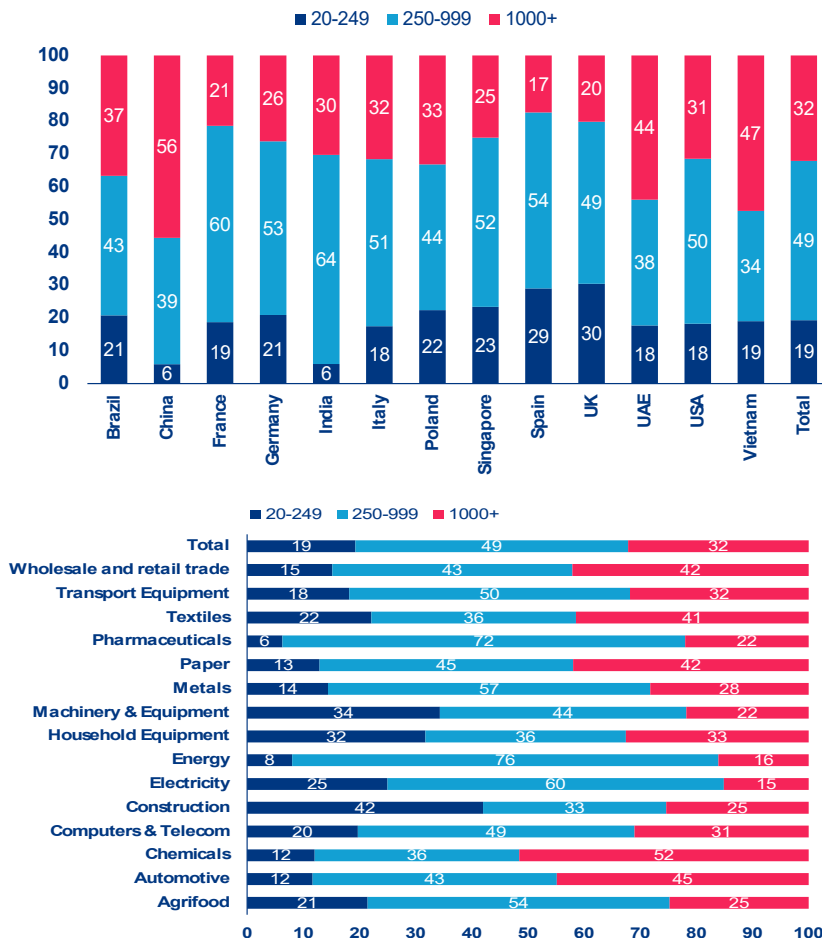
Appendix

Industry distribution across respondents, % of surveyed companies



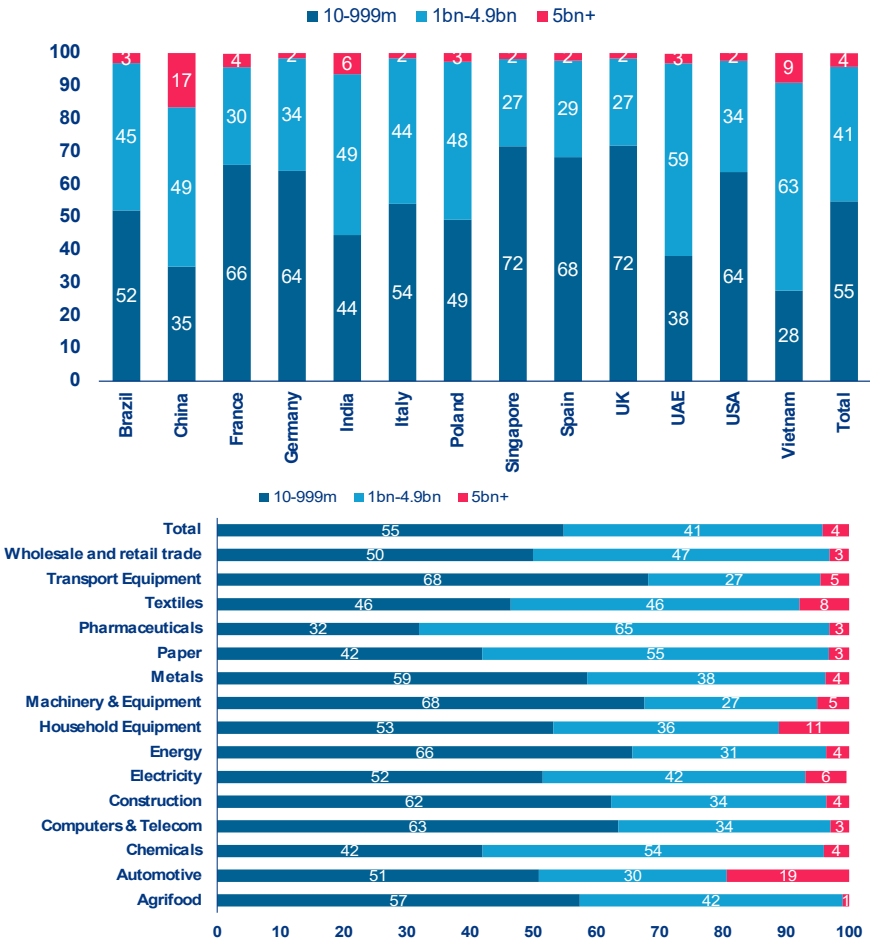
Sources: Allianz Trade Global Survey 2026

Organization's size distribution by country and sector, in number of employees, % of respondents



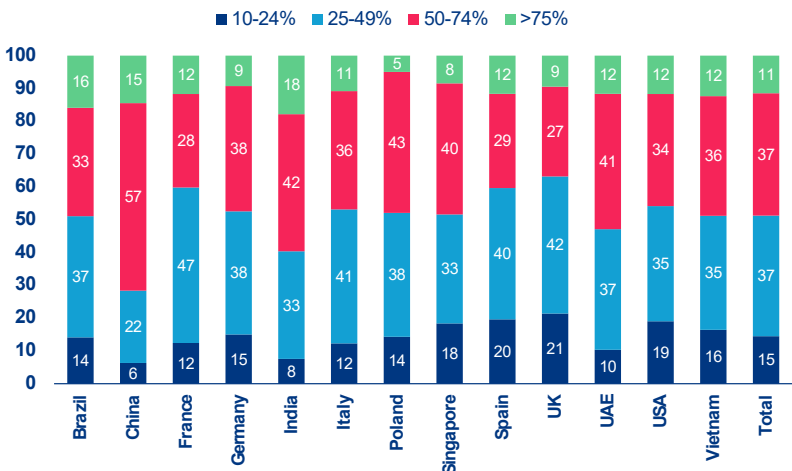
Sources: Allianz Trade Global Survey 2026

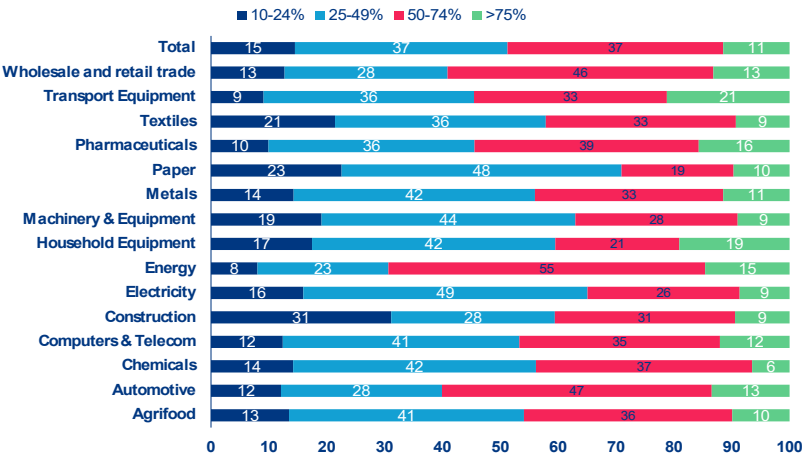
Organization's turnover distribution by country and sector, % of respondents



Sources: Allianz Trade Global Survey 2026

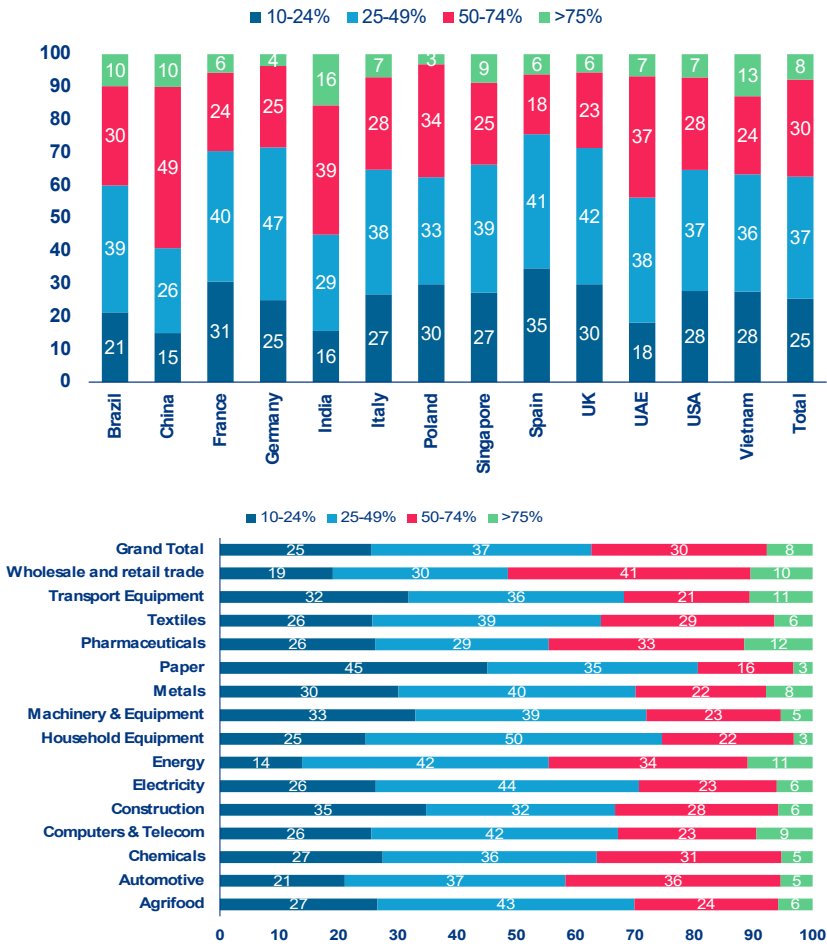
Distribution of companies based on the percentage of turnover generated outside of their company's 'main location', % of respondents





Sources: Allianz Trade Global Survey 2026

Distribution of companies based on the percentage of production (including components) done outside of their company's 'main location', % of respondents



Sources: Allianz Trade Global Survey 2026



Our team

Chief Investment Officer
& Chief Economist
Allianz Investment Management SE



Ludovic Subran
ludovic.subran@allianz.com

Head of Economic Research
Allianz Trade



Ana Boata
ana.boata@allianz-trade.com

Head of Macroeconomic & Capital
Markets Research
Allianz Investment Management SE



Bjoern Griesbach
bjoern.griesbach@allianz.com

Head of Outreach
Allianz Investment Management SE



Arne Holzhausen
arne.holzhausen@allianz.com

Head of Corporate Research
Allianz Trade



Ano Kuhanathan
ano.kuhanathan@allianz-trade.com

Head of Thematic & Policy Research
Allianz Investment Management SE



Katharina Utermoehl
katharina.uteramoehl@allianz.com

Macroeconomic Research



Luis Dalmau Taules
Economist for Africa & Middle East
luis.dalmau@allianz-trade.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Jasmin Gröschl
Senior Economist for Europe
jasmin.groeschl@allianz.com



Françoise Huang
Senior Economist for Asia Pacific
francoise.huang@allianz-trade.com



Maddalena Martini
Senior Economist for Southern
Europe & Benelux
maddalena.martini@allianz.com

Outreach



Luca Moneta
Senior Economist for Emerging
Markets
luca.moneta@allianz-trade.com



Giovanni Scarpato
Economist for Central & Eastern
Europe
giovanni.scarpato@allianz.com



Heike Baehr
Content Manager
heike.baehr@allianz.com



Maria Thomas
Content Manager and Editor
maria.thomas@allianz-trade.com



Lorenz Weimann
Head of Media Relations and
Operations
lorenz.weimann@allianz.com

Corporate Research



Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com



Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com



Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com



Sivagaminathan Sivasubramanian
ESG and Data Analyst
sivagaminathan.sivasubramanian@allianz-trade.com



Pierre Lebard
Public Affairs Officer
pierre.lebard@allianz-trade.com

Thematic and Policy Research



Michaela Grimm
Senior Economist,
Demography & Social Protection
michaela.grimm@allianz.com



Patrick Hoffmann
Economist, ESG & AI
patrick.hoffmann@allianz.com



Simon Krause
Economist, ESG & Insurance
simon.krause@allianz.com



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Kathrin Stoffel
Economist, Insurance & Wealth
kathrin.stoffel@allianz.com



Markus Zimmer
Senior Economist, ESG
markus.zimmer@allianz.com

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Director of Publications

Ludovic Subran, Chief Economist
Allianz Research
Phone +49 89 3800 7859

Allianz Group Economic Research

https://www.allianz.com/en/economic_research
<http://www.allianz-trade.com/economic-research>
Königinstraße 28 | 80802 Munich | Germany
allianz.research@allianz.com

 @allianz

 allianz

Allianz Trade Economic Research

<http://www.allianz-trade.com/economic-research>
1 Place des Saisons | 92048 Paris-La-Défense Cedex | France
research@allianz-trade.com

 @allianz-trade

 allianz-trade

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Allianz Research | 25 March 2026

AI capex cycle: war-proof for now

Ludovic Subran
Chief Investment Officer and
Chief Economist
ludovic.subran@allianz.com

Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com

Alexander Hirt
Head Public Equity and Credit
Global Investment Strategy
alexander.hirt@allianz.com

Katharina Utermoehl
Head of Thematic and Policy
Research
katharina.uterhoehl@allianz.com

Moritz Bartosch
Research Assistant
moritz.bartosch@allianz.com

Davide Corna
Research Assistant
davide.corna@allianz.com

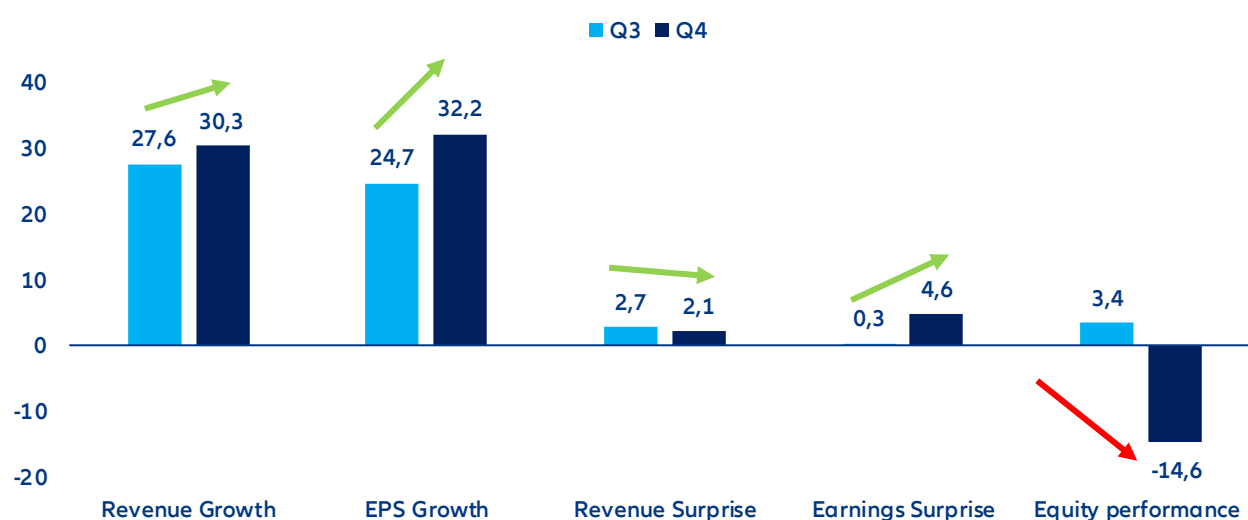
In Summary

- **AI hype deflates amid the capex-monetization debate.** Despite strong recent earnings, investor focus has shifted from profitability boost to revenue growth trajectory and cash-flow visibility, particularly given hyperscalers' elevated capex plans (≈USD 575bn, +50% expected in 2026) and weakening sentiment toward software amid risks of AI-driven revenue dilution. Our [AI Bubble Risk Monitor](#) continues to signal moderate bubble pressures: exuberant positioning has cooled, but widening credit spreads send signals of a higher market sensitivity over balance-sheet quality. Rising geopolitical tensions in the Middle East have further reinforced a rotation away from high-valuation tech as risk-off dynamics regain prominence.
- **The higher volatility regime will test the AI development regime, but the capex supercycle remains intact for now, supported by strong, counter-cyclical demand.** Technology capex has historically been sensitive to the macroeconomic environment and notably energy shocks as new inflationary pressure often results in higher interest rates, and consequently higher investment costs. In the US, tech is among the capital-intensive sectors most negatively impacted by severe energy price variations (~30% correlation) but unlike energy, basic materials and utilities, the drop in investment does not result from windfall benefits stirred up by price effects. Nevertheless, hyperscalers' dominant market positions and substantial cash reserves reduce sensitivity to macroeconomic and geopolitical shocks. In parallel, public-sector investment is accelerating, driven by digital sovereignty and infrastructure build-out agendas. The data-center pipeline is robust (x2 at ~200GW by 2030) and momentum remains resilient despite geopolitical tensions, as illustrated by Germany's plan to double its capacity over the same horizon.
- **Energy volatility may reshape capex allocation rather than overall scale.** While near-term spending levels appear secure, the current concentration in data centers and cloud infrastructure could evolve. AI-related orders benefit from priority access within semiconductor supply chains, limiting immediate exposure to potential disruptions in South Korea and Taiwan linked to LNG and helium supply risks. However, a further ~50% increase in chip costs – as seen in Q1 2026 – could delay project timelines and accelerate the shift toward leasing models to share capital intensity (with estimated savings of 20–30%). At the same time, the case for expanding critical equipment and raw material production outside Asia is strengthening as current tensions expose the risks of supply-chain concentration and may rebalance investment away from the current bias toward software and computing services.
- **How are markets trading the "AI theme"? Focus is shifting from efficiency gains to revenue delivery.** While consensus broadly reflects current momentum, it is increasingly exposed to execution risk on both capex discipline and revenue realization. Valuations – mid-20s P/E for large caps – remain broadly justified but are vulnerable to short-term rotations in a high-volatility environment. The long-term outlook remains supportive, with capex anchored in tangible infrastructure orders that are partly decoupled from the pace of AI adoption. However, value creation is likely to be uneven across the technology stack, with relative winners in semiconductors and telecom equipment, and more challenged segments in software and consumer electronics.

AI cycle: capex monetization debate steals the show during last earnings season

The Q4 2025 earnings season confirmed the fundamental resilience and growth of the global technology sector. The NYSE FANG+ Index – our preferred gauge for tech and tech-enabled growth companies – showed robust financial performance in the most recent quarter. Aggregate results extended on previous strong delivery on expectations, with revenues rising by roughly +17% year-on-year and earnings by around +25%. Each of the leading tech firms exceeded estimates, on average by about 0.5% on sales and 1.6% on earnings across all constituents. Corporate guidance remained constructive, best highlighted by Meta's 5-10% upward revision to its sales outlook. Software companies also highlighted the fundamental potential of AI amid amplified concerns about the potential cannibalization of traditional service lines in areas such as legal, consulting and financial services.

Figure 1: Large-cap tech earnings season compared to past quarter (to end February i.e. pre-Iran war)



Note: Equity performance refers to the three-month period to the end of reporting season and relative to S&P Equal Weighted.
Sources: Bloomberg, Allianz Research

Table 1: Earnings & revenue surprise and annual growth among listed US technology firms

	EPS			Revenue		
	Surprise	YoY%	Next quarter rev.	Surprise	YoY%	Next quarter rev.
Computer Hardware	7%	11%	0.0%	3%	7%	0.0%
Computer svs	8%	15%	-2.1%	1%	11%	0.0%
Consumer digital svs	11%	23%	-1.0%	1%	10%	0.0%
Consumer non-digital svs	1%	-11%	-9.4%	0%	15%	-0.4%
Consumer electronics	16%	33%	2.2%	4%	14%	1.7%
Electrical & Electronic Components	7%	32%	0.0%	3%	17%	0.0%
Electronic equip.	4%	8%	-0.1%	2%	8%	0.0%
Tech equip. manufacturing	6%	2%	1.9%	2%	8%	1.9%
B2B Services	5%	14%	-0.6%	1%	6%	0.0%
Semiconductor	6%	29%	0.1%	1%	16%	0.0%
Software	8%	20%	0.0%	2%	14%	0.1%
Telecommunications equip.	12%	19%	0.6%	2%	19%	0.4%
Telecom svs	1%	68%	0.0%	1%	2%	-0.1%
Transaction Processing Services	11%	22%	0.2%	2%	11%	0.2%

Data as of 10 March 2025 based on a sample of 383 companies. Sources: LSEG Datastream, Allianz Research

AI capex is set to continue increasing further in 2026, alongside investors' concerns. AI capex remains the defining market debate in 2026 as technology leaders race to build computing capacity they believe will secure – and deepen – their dominant position in a world where data and processing power are becoming strategic geopolitical assets. After rising ~60% in 2025, US Big Tech investment is expected to climb another +50%, surpassing USD600bn and lifting capex intensity to roughly 23% of revenue, more than double pre-ChatGPT levels. Tech now operates with higher capital intensity than telecom operators, whose investment ratios have declined as innovation shifts toward specialized satellite startups. Yet concerns are mounting: monetization timelines remain uncertain, power infrastructure expansion is lagging data-center demand (utilities capex +20% in 2025, +15% in 2026) and investors increasingly question funding massive spending cycles without the dividends or buybacks traditionally used to compensate capital-heavy business models.

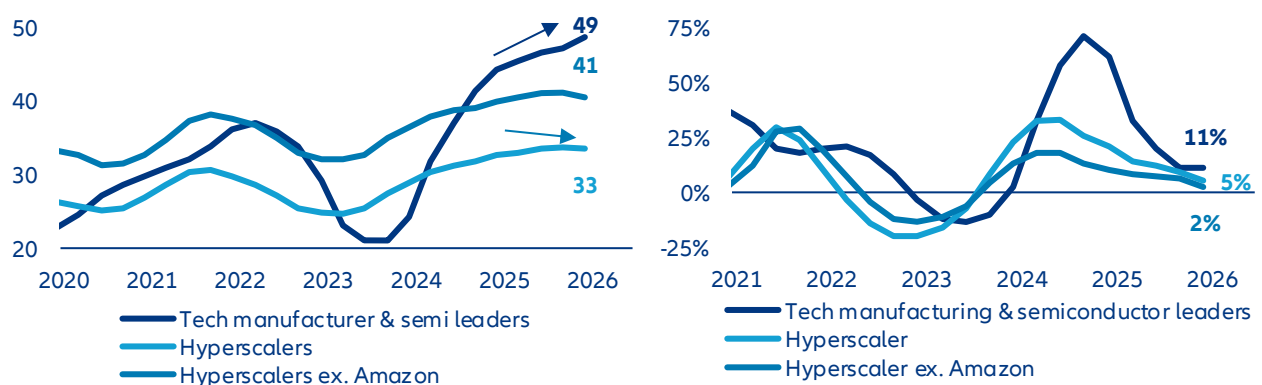
Table 2: Capex growth and intensity over revenue from top 50 biggest spenders within S&P 500 index, per industry breakdown

Industry	End-2023		End-2024		End-2025		End-2026	
	Capex ratio	YoY	Capex ratio	YoY	Capex ratio	YoY	Capex ratio	YoY
Technology*	11%	-4%	14%	44%	19%	58%	23%	50%
Telecom**	16%	-8%	15%	-4%	14%	0%	13%	-5%
Utility***	41%	11%	43%	4%	46%	20%	50%	15%

Sources: LSEG Datastream, Allianz Research

Markets are now questioning how long exceptional margins can last. Investors increasingly doubt the sustainability of profits boosted by quasi-monopolistic positioning and temporary demand–supply imbalances. Early signs from hyperscalers point to easing profit momentum, while Q4 2025 results – despite a +7% median earnings surprise and +17% annual growth – triggered no upward revisions to next-quarter estimates, reinforcing the idea of a profitability cap. Revenue growth remains solid but uninspiring (+2% median surprise vs. +12% for annual growth), reflecting expectations of gradual AI adoption constrained by regulation, costs, trust gaps and skill shortages. As margin expansion normalizes, markets are shifting attention to whether revenue acceleration can compensate, with IT and telecom services seen as most exposed to substitution risks and profit dilution.

Figure 2: Operating margin & profit-revenue growth gap of AI tech leaders* and hyperscalers



*Nvidia (chip design), ASML (chip equipment), TSMC (foundry), SK Hynix (memory chip manufacturer). Data as of Q4 2025. Sources: LSEG Datastream, Allianz Research

Our [AI Bubble Risk Monitor](#) continues to hint at moderate bubble pressures, though the underlying drivers have changed to some extent. Fundamental developments around adoption momentum, data center vacancy rates and GPU product-cycle dynamics remain reassuring. Energy-market developments need watching but see no increase in risk. Meanwhile, exuberant expectations have deflated somewhat reducing the risk of an abrupt market setback triggered, for instance, by an earnings disappointment. In fact, equity positioning, the bear market indicator and 12m forward PE have all come down to more moderate levels over the past three months. Financial risks are on the rise – albeit moderately – and market signals are now flashing red when it comes to US investment grade tech spreads, which have recently moved to bubble-like territory, likely reflecting AI challenging software firms. But overall, bubble risks look less pronounced compared to a month ago. At this stage, tail risks over the long run remain contained but some shadow areas on the pace of capex monetization and rapid cash balance deterioration require monitoring, especially because capex is expected to continue increasing at a rapid pace this year, and because imbalances generated by this massive flow of funds could be broader than cashflow.

Table 3: AI Bubble Risk Monitor

		Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Latest (Feb 25)
Market Signals	Indicator									
	12M price return	2	1	1	1	0	0	0	0	1
	S&P 500 12M yoy breadth	0	0	0	0	0	0	0	0	0
	Data Center Spreads	0	0	0	0	0	0	0	0	0
	US IG Tech spread	0	0	0	0	0	0	0	0	0
	US HY Tech spread	0	0	0	0	0	0	0	0	0
	US HY Tech vs HY spread	0	0	0	0	0	0	0	0	1
	US IG Tech vs IG spread	0	0	0	0	0	0	1	2	3
	S&P 500 1Y implied vola	0	0	0	0	0	0	0	0	0
	10Y Treasury Yield	1	2	0	1	2	1	1	0	1
	S&P 500 Put/Call-ratio	0	0	0	0	1	0	0	0	0
Exuberant Expectations	Long-term earnings growth	0	0	0	0	0	0	0	0	0
	Earnings revisions (3M)	3	3	3	3	3	3	3	3	3
	Tech EPS forecast dispersion	0	0	0	0	0	0	0	1	1
	EQ positioning	1	0	0	1	0	0	1	2	0
	Bear market indicator	0	0	1	2	3	3	3	3	2
	12M forward PE	1	1	1	1	1	0	1	1	0
Financial Risks	Net-debt-to-equity ratio	0	0	0	0	0	0	0	0	0
	Cash on balance sheet as % of market value	0	1	1	1	1	1	1	1	1
	TED spread	0	0	0	0	0	0	0	0	0
	Cryptocurrency volatility	1	0	1	1	0	0	0	0	1
	Hyperscalers CapEx/Cash flow from operating activities	0	0	0	0	0	1	1	2	2
	US 5Y5Y Forward Expected Inflation	0	0	0	0	0	0	0	0	0
Fundamentals	Current Usage of AI	1	1	0	1	0	0	0	0	0
	Expected Usage of AI	2	1	0	0	0	0	0	0	0
	DC power demand vs generation supply growth							2	2	2
	Power capacity queues	1	1	1	1	1	1	1	1	1
	Electricity prices	0	0	0	0	0	0	0	0	0
	Operational Health	0	0	0	0	0	0	0	1	0
	Capex-to-sales level	1	1	1	1	2	2	2	2	2
	Data center pipeline (construction vs. committed)	0	0	0	0	0	0	0	0	0
	Data center vacancy	0	0	0	0	0	0	0	0	0
	Product cycle of GPUs	1	1	1	1	1	1	1	1	1

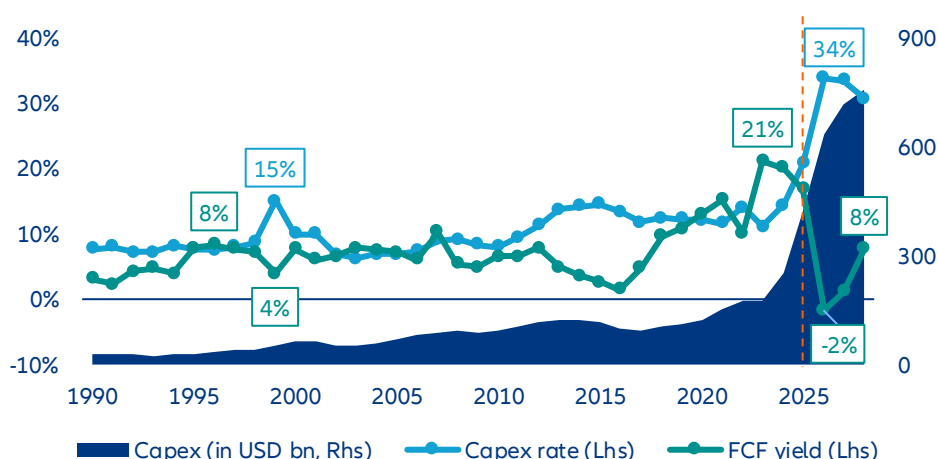
Legend normal elevated overheated bubble-like

Source: Allianz Research. Note: In addition to general market indicators, where applicable we also monitor AI sub-segments via equity baskets. The monitor assigns scores to each signal 0 = normal, 1 = elevated, 2 = overheated and 3 = bubble-like to help aggregate and compare diverse developments within and across dimensions. Thresholds for scores are derived statistically where long-time data series are available but also via expert judgement

Investment cycle: resilient to geopolitical tensions but watch for an allocation shift

Holding the capex intensity no matter what. The five largest US technology spenders are on course to commit over USD600bn in capital expenditure in 2026 alone – part of an estimated USD2.1trn deployment across 2026–2028 – driving capex intensity to 34% of revenue, more than double the 15% peak seen at the height of the 1990s internet buildout. Figure 3 tells the story starkly: absolute capex is now in vertical ascent, free cash flow is turning negative for the first time in 35 years and the inflection is sharper than anything in the modern history of listed US firms. Growth in capital spending will decelerate – from 51% in 2026 to 13% in 2027 and roughly 5% in 2028 – but that deceleration reflects the natural digestion of an extraordinary base, not a change of conviction. These firms are deliberately engineering a year of negative free cash flow because they have concluded that the revenue potential of AI justifies the sacrifice: technology penetration into enterprise and consumer segments is inherently gradual, and the returns on infrastructure laid today will accrue over years, not quarters.

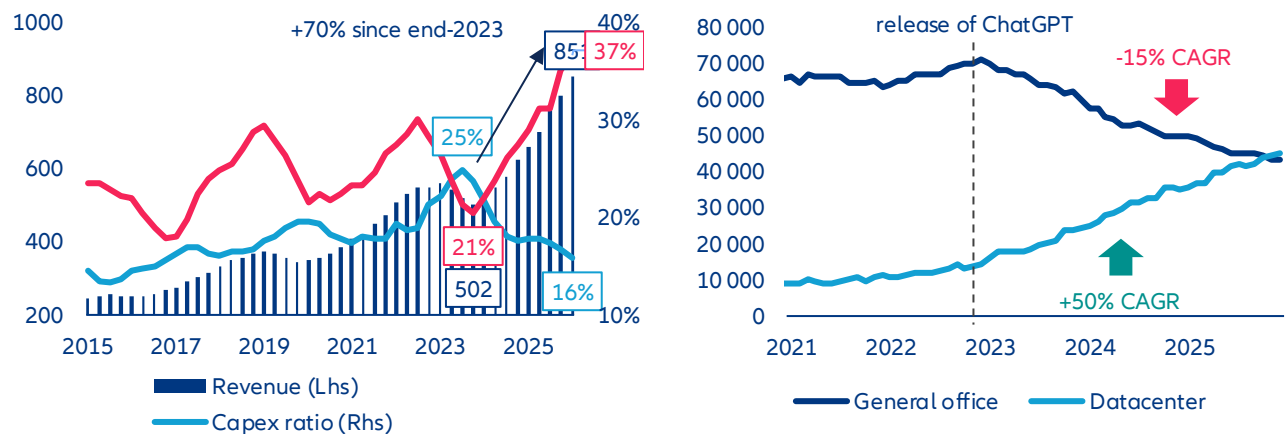
Figure 3: Capital expenditure (amount and intensity over revenue) and free-cash-flow yield of top five US capex contributors among listed firms



Note: The composition of top five capex leaders changes every year. Sources: LSEG Datastream, Allianz Research

AI benefits are already visible, but not yet broad-based. Hyperscalers are committing hundreds of billions of dollars to a technology cycle whose return horizon remains fiercely debated, and skepticism is rational. Yet, reducing this debate to a binary verdict – productive investment or reckless speculation – misses what the data already shows on the ground. US construction spending on data centers has exploded since 2023, while office construction continues its structural decline, a physical reallocation of capital that is reshaping the built economy in real time. Semiconductor revenues tell a similar story: Industry sales surged roughly 70% from end-2023, with operating margins expanding sharply even as capital expenditure intensity hit multi-decade highs. These are not paper gains – they reflect real backlogs, real pricing power and real profit flowing through the supply chain. The distribution of those gains is, admittedly, narrow: A handful of firms with defensible technology edges – in advanced logic, memory bandwidth, cooling and power infrastructure – are capturing a disproportionate share of the AI cake. But the notion that AI investment is generating only financial abstraction, widening inequality without creating tangible economic output, is countered by capacity-utilization rates, order books and the income statements of those positioned at the infrastructure layer. The more pressing question, then, is not whether AI capex is producing returns – it clearly is, for some – but whether those returns are being recycled in ways that build a genuinely durable and expansive ecosystem, or whether they are accruing narrowly and compounding existing structural asymmetries.

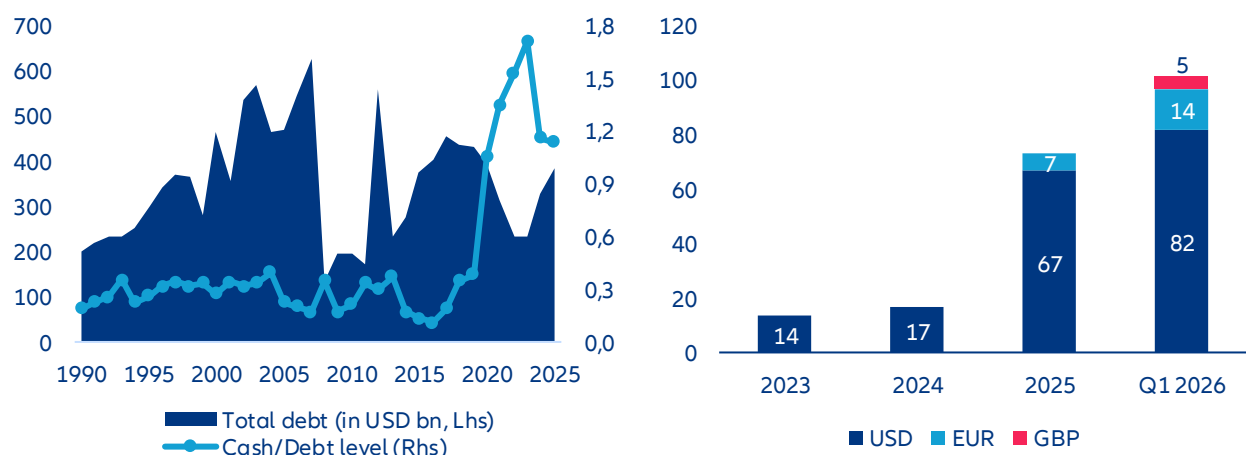
Figures 4 & 5 : Global semiconductor industry revenue, margin and capex intensity / Value of private construction spending in general office and datacenter in USA (annualized rate, in USD bn)



Right chart: November and December 2025 are preliminary data. Sources: US Census bureau, LSEG Datastream, Allianz Research

Solvency risks are overdone but rising debt still needs to be monitored. The parallel with heavy telecom investment in the late 1990s is imperfect as that was largely debt-funded and ended in widespread capital destruction; this round is being funded from the strongest corporate balance sheets in history, by firms with demonstrated monetization engines. But while solvency risks are not a major concern, we cannot overlook the ongoing shift of funding architecture and the increasing volume of AI-labeled debt since 2025. Even among hyperscalers who ignored the debt market for a decade, we note a structural pivot that is gaining more momentum in 2026 as they had already issued as of mid-March more debt than during the full year of 2025 (over USD100bn vs. ~USD80bn). With a total of USD385bn of debt reported in end-2025, the top US capex providers show a leverage ratio around -20% below their “high spender” peers in 2000, so ongoing rising leverage is not a matter of concern in the short term. However, the uptrend will be scrutinized by investors, alongside the downtrend on free-cash-flow.

Figures 6 & 7: Cash ratio & total debt level of top five largest US capex contributors / Corporate debt issuance of US hyperscalers* since 2023

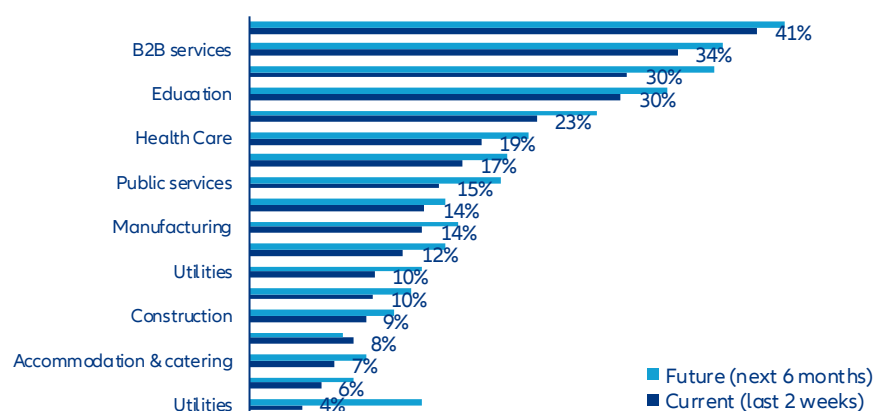


Left chart: data as of Q4 2025 / Right chart: data as of 18 March 2025. Sources: LSEG Datastream, Allianz Research

Beyond the noise: what actually shapes the AI capex cycle. The debate around AI investment has been too often reduced to market valuation stories – a narrative of soaring multiples, crowded trades and the occasional correction fueling breathless commentary about bubbles and busts. The more consequential discussion is industrial, structural and slower-moving. Four fault lines are quietly shaping how – and whether – current levels of AI capital expenditure can be sustained and productively absorbed. First, the pace of corporate and consumer adoption, which is tracking a natural learning curve rather than the vertical inflection that capital deployment implicitly assumes – a structural lag with direct consequences for return horizons. Second, a growing concern around misallocation: the breakneck pace of AI infrastructure buildout is not matched by equivalent investment in the underlying industrial capacity – power generation, grid infrastructure, advanced manufacturing – needed to underpin it, creating tangible shortage risks and inflating input costs across the supply chain. Third, a question of circularity: whether AI profits are genuinely creating new economic value or merely consolidating the dominance of a handful of firms, raising the specter of systemic spillover and contagion risks should any major actor stumble. Finally, new tensions in the Middle East, where energy supply disruptions could reignite inflationary pressure, complicate the rate outlook and dent the investor confidence on which this investment cycle critically depends. Taken together, these fault lines do not make the AI capex story one of inevitable disappointment but they do make it one that demands far more industrial rigor and strategic honesty than the market narrative has so far supplied.

- 1) **Gradual adoption is fueling monetization debate, not calling into questions capex itself.** The professional adoption of AI remains gradual, exploratory and uneven – and that is not necessarily a bad signal. Corporates broadly recognize AI's long-term potential, yet the transition is proceeding cautiously for structurally sound reasons: firms still need clearer visibility on implementation costs, measurable productivity gains, cybersecurity risks and an evolving regulatory framework before committing to large-scale deployment. Psychological barriers compound the technical ones as companies remain reluctant to build deep dependency on providers lacking long operational track records. The result is that most organizations are currently engaged in incremental process improvements rather than transformative reinvention – a pattern entirely consistent with how major technological shifts have always unfolded. Early gains are predictably concentrated in digitally mature sectors such as consulting, finance and insurance, while construction, utilities or agrifood show only limited impact so far. Financial transfer costs further widen this gap, with adoption among very small enterprises running nearly 10pps behind large corporates. Rather than the binary outcome between automation and employment destruction that dominates media narratives, AI is more likely to act as a complementary technology enhancing existing tasks and business models – with capex implications already shifting visibly toward staff training, compliance, cybersecurity and data infrastructure, the unglamorous but essential prerequisites for durable migration. For technology companies, this pace differential between capital deployed and returns materializing is not merely an investor-relations inconvenience – it is a strategic constraint that demands greater investment discipline and a genuine rethink of how financial risk is shared across the ecosystem. A measured adoption curve is not evidence of deterrence; it is the bedrock on which a solid and sustainable industry gets built.

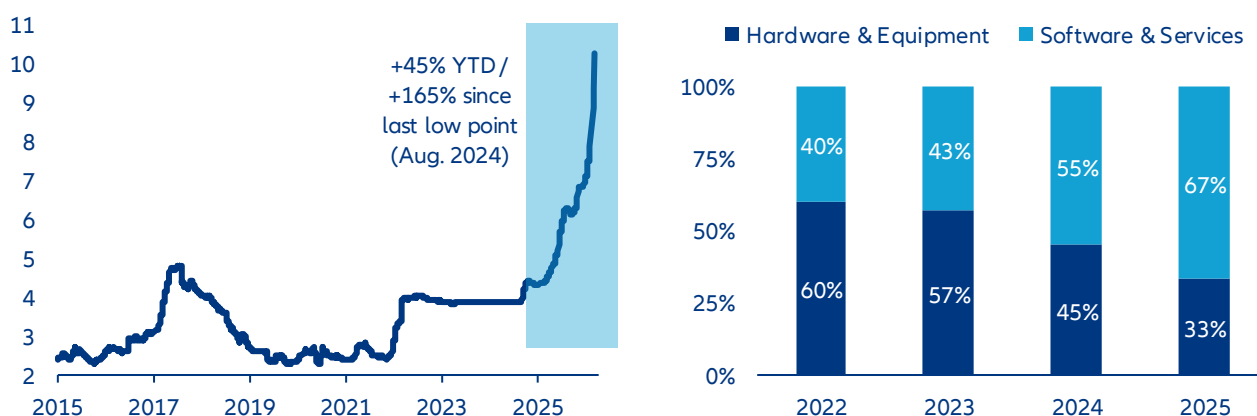
Figure 8: Survey of US firms about their current and expected use of AI technology, per sector breakdown



Data as of 22 February 2026. Sources: US Census bureau (biweekly survey on business trends and outlook), Allianz Research

2) AI cannibalization of global supply raises question on industrial capacity capex lag. A disproportionate share of global supply is being absorbed by the AI value chain – particularly for GPUs, high-bandwidth memory, advanced substrates, power electronics, silicon wafers and electronic manufacturing equipment. The result is tightening availability and rising input costs for other sectors. Memory chip prices, for instance, have more than doubled since last summer (see Figure 8) as limited fabrication capacity has been redirected almost exclusively toward AI-oriented demand, creating pass-through inflation for downstream customers and, in some cases, tangible shortage risks. Consumer electronics manufacturers, robotics and IoT producers, and especially the automotive industry – where software and semiconductor content per vehicle has surged in recent years – appear particularly exposed to these side effects. Higher component costs would compress industrial margins and/or raise final retail prices, potentially dampening end-demand for tech hardware. We estimate that manufacturers would have to increase retail prices by +7% for smartphones and +15% for premium laptops to protect half of current profit margins in case of doubling memory chip input costs. In turn, elevated equipment premiums may slow consumer adoption cycles, paradoxically constraining the diffusion of AI-enabled devices. While current AI usage among households remains largely concentrated in writing and search applications, scaling the technology into more embedded, hardware-intensive use cases requires affordable, dedicated equipment; inflationary pressures along the supply chain risk delaying that broader penetration and limiting the real economy spillovers that AI proponents anticipate. If we observe some lag in the capex programs of ICT equipment manufacturers, most of the capital is being captured by data-center development programs as industrial priorities are primarily focused on computing-capacity expansion (current 33%/67% allocation of capex between ICT hardware & manufacturing and ICT services – see Figure 9). Over the next two years, we see a change of capex structure and a stronger allocation of technology-related investment funds into new ICT hardware and equipment industrial capacity, narrowing the capex structure gap with digital & IT services toward a 50/50 ratio, like in 2024.

Figures 9 & 10: Memory chip spot price in USD (Flash NAND 64GB) / Capex distribution between technology hardware & equipment manufacturers and digital & software services providers

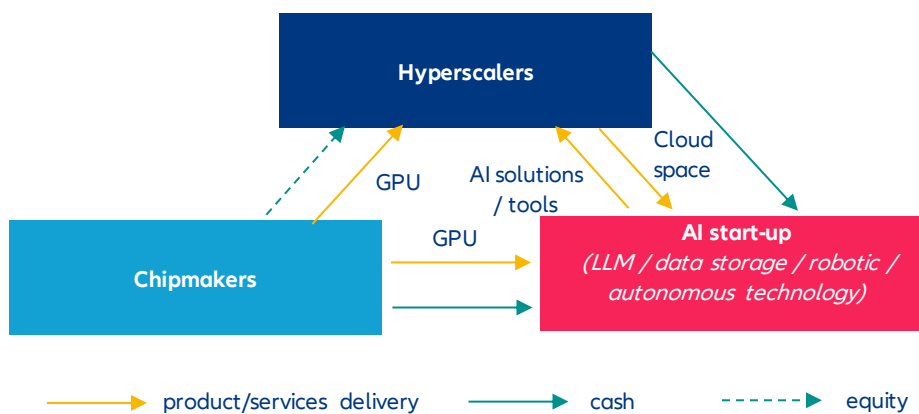


Sources: LSEG Datastream, Allianz Research

3) Capital circularity casts doubts about the productive role of capex. In the meantime, circular capital is increasingly dominating the AI ecosystem, especially across chips and cloud, creating a powerful – but potentially fragile – perception of strength along the entire supply chain. Semiconductor leaders such as Nvidia, TSMC or ASML sit at the core of this expansion, riding a +60% CAGR industry revenue surge since end-2022 and benefiting from multi-billion-dollar hyperscaler contracts, 30%+ CAGR cash accumulation and a global market revenue that could hit a USD1trn milestone this year if strong demand remains in check. Yet, beneath the surface, inventory growth among the top US chipmakers (+80% annually) is outpacing already explosive revenue gains, while part of demand stems from structurally unprofitable AI players reliant on external funding, raising questions about the durability of the cycle. More concerning is that this revenue boom has not translated into proportional industrial reinvestment capex intensity among the top five global foundries slowed last year to a five-year low at 24% (and hardly 2% for the top three US chipmakers), or almost 10pps below its 2023 peak. In the meantime, capex intensity

among top US designers stayed relatively flat at 2%, with profits being distributed to shareholders, invested in start-ups in early stages of development or directly to business partners to fund new data-center infrastructure. With hyperscalers and tech service providers now absorbing roughly two-thirds of total AI spending, capital allocation appears heavily skewed toward data-center infrastructure, exposing a systemic imbalance. Behind circularity stories, there is a deeper issue within the AI ecosystem: a strong capital interconnection between each key actor of the chain whose funding has been gradually outsourced to financial markets and private investors. That holds seamlessly as long as the AI monetization narrative holds. The moment investors seriously question the timeline – and the friction-heavy reality of enterprise technology adoption gives them every reason to – liquidity assumptions could crack across cash, credit and equity simultaneously, with spillover effects that would reach well beyond the technology sector.

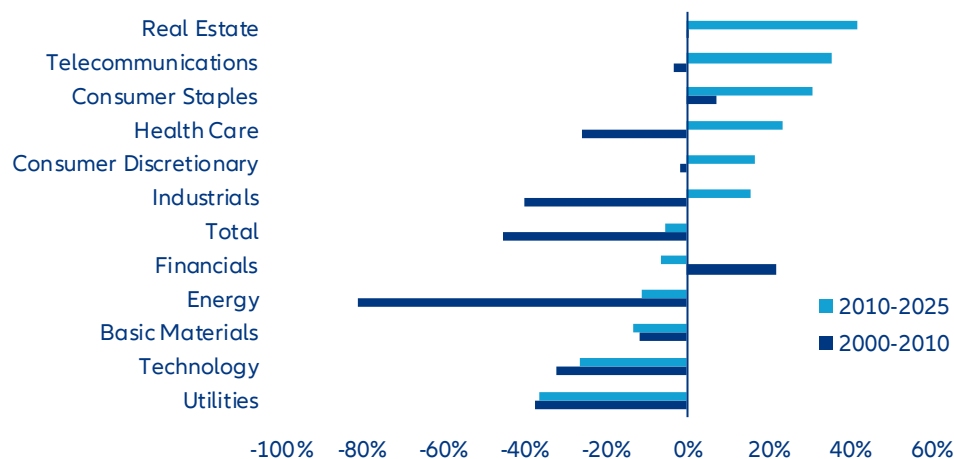
Figure 11: Circularity of investments from the AI ecosystem



Source: Allianz Research

- 4) Middle-East tensions revive bad memories: a double chokepoint to monitor.** The re-escalation of Middle East tensions introduces two distinct but mutually reinforcing pressure points on the AI investment cycle – one financial, one industrial – neither of which the market has fully priced in. On the funding side, an energy-driven inflationary shock would complicate the rate outlook at precisely the wrong moment. Under already-intense scrutiny over capex monetization, higher-for-longer rates would give investors and lenders legitimate cover to tighten standards, demand stronger return guarantees and quietly stall the most speculative infrastructure projects. Given the extreme capital intensity of AI – where a single hyperscaler data center can absorb several billion dollars before generating a dollar of revenue – even a modest repricing of risk appetite could trigger meaningful investment pauses across the pipeline. This is not a theoretical sensitivity: the correlation between energy price volatility and technology sector capex in the US is among the strongest across all S&P 500 industries over both the 2000–2010 and 2010–2025 periods, suggesting that energy shocks reliably translate into investment hesitation across the tech supply chain. The silver lining, if there is one, is that capital discipline tends to accelerate efficiency: constrained funding historically pushes R&D toward leaner architectures, and the current cycle would likely see inference optimization and cost-efficient model deployment prioritized over brute-force training at scale.

Figure 12 : Correlation between capex and energy prices among US firms, per industry breakdown (S&P 500 benchmark)

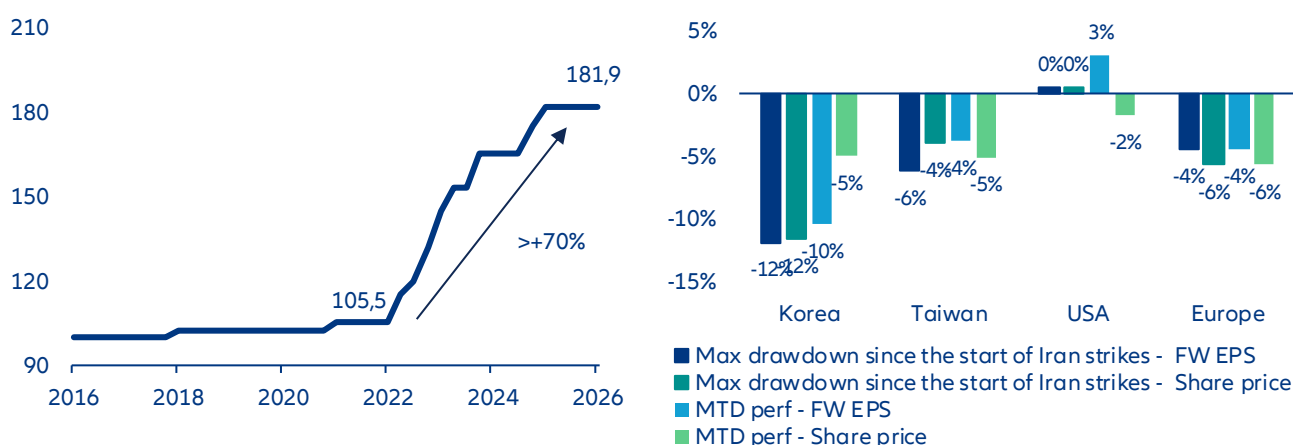


Data as of March 2026. Sources: LSEG Datastream, Allianz Research

The industrial pressure point is more immediate and more concrete. South Korea's industrial power price has surged over +70% since 2022, and both South Korea and Taiwan – home to the world's most critical semiconductor fabrication capacity – remain structurally dependent on Qatari LNG and helium supply as primary inputs for producing wafers. Any supply disruption or price spike flowing from Middle East instability hits Asian chip manufacturers directly in their cost base, compressing margins and risking output constraints at the worst possible moment for an AI ecosystem already running on tight GPU supply.

Is the capex cycle at risk from a chip/critical material shortage? At this stage we consider that risks of disruption in the super investment cycle are limited for two reasons: 1) capex is mostly driven by cash-rich and counter-cyclical companies whose revenue is less dependent on the macroeconomic outlook and 2) AI-related demand remains the top priority across the semiconductor supply chain. Regarding that second point, even moderate disruptions in wafer output are unlikely to materially derail ongoing capex dedicated to AI infrastructure. However, such constraints would limit any near-term acceleration in investment. They could also delay project timelines and increase implementation costs. However, a more volatile market environment will likely reinforce investor caution, particularly regarding datacenter monetization and the visibility of sustainable AI-driven revenue growth. The geopolitical stress does, however, carry one structural positive: it intensifies the urgency of supply-chain diversification, opening a credible investment case for semiconductor capacity in Europe and the US – a rebalancing that could, over time, reduce the systemic concentration risk that currently makes the entire AI buildout hostage to a handful of facilities in a narrow geographic corridor.

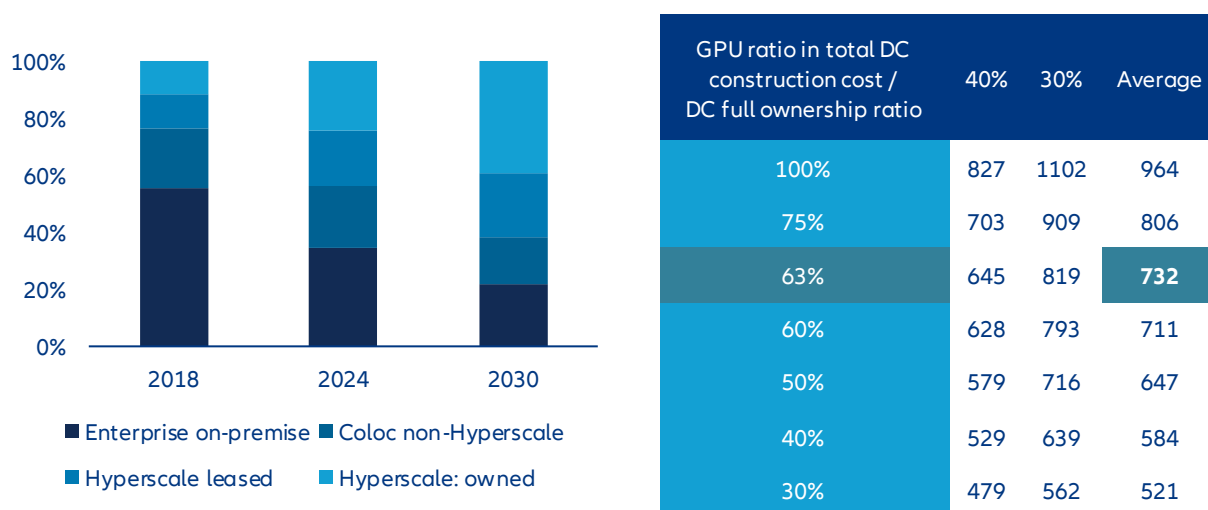
Figures 13 & 14 : Industrial power price in South Korea / EPS & share price variation of tech stocks since 27 Feb.



Data as of March 2026. Sources: Public statement from KEPCO, LSEG Datastream, Allianz Research

Smaller but smarter: monetization debate might lead further rationalization. Slowing AI adoption, compressing returns and volatile markets will inevitably test the conviction behind current capex programs. Yet reducing investment is not a credible option: pulling back signals retreat, cedes ground to competitors and risks losing the momentum that separates infrastructure leaders from fast followers. The capex expansion continues – but its risk profile is quietly being renegotiated. The scale of what is being built is extraordinary. Global data center capacity is on course to double by 2030, from roughly 130 GW today toward 260 GW, with hyperscalers as the overwhelmingly dominant engine – their share of total IT load expanding nearly 20pps to exceed 60%. At a 23% capacity CAGR, that implies approximately 100 GW of net new hyperscale deployment over five years. Applying current AI GPU cost structures and next-generation energy intensity assumptions, GPU procurement alone runs at roughly USD16bn per GW – implying a gross annual capex requirement approaching USD960bn if hyperscalers were to fund every megawatt themselves. But they won't bear that financial burden alone. Assuming current leasing ratios hold – where hyperscalers procure IT equipment directly but lease shell and core infrastructure – the annual capital commitment compresses to approximately USD730bn, a figure that aligns squarely with consensus estimates of USD760bn for 2028 alone. The next strategic frontier is pushing that ratio further: higher leasing penetration, more aggressive cost-sharing with co-investment partners and procurement structures that strengthen the AI service arsenal while keeping the balance sheet breathing.

Figures 15 & Table 4 : Distribution of current and future data center IT power load capacity per company profile breakdown / Simulation of yearly capex requirement from hyperscalers over the period 2026-2028 to fund datacenter estimated expansion

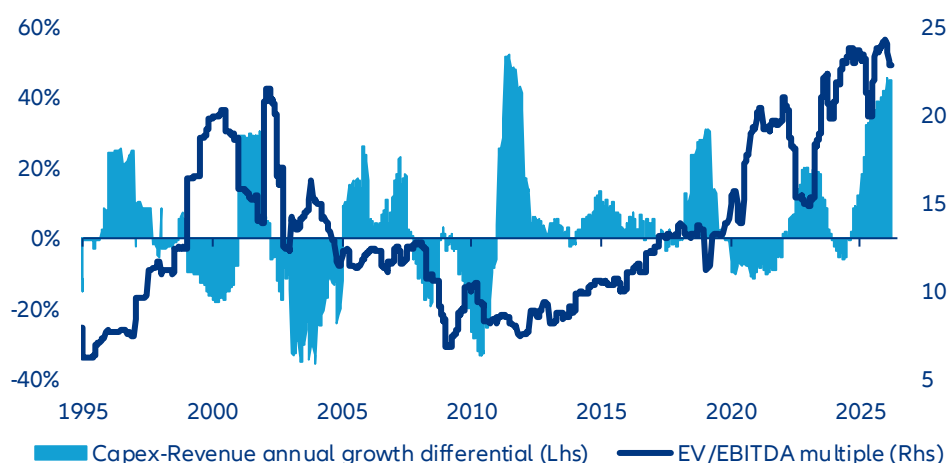


Sources: Synergy Group Research, Allianz Research

The changing economics of Big Tech: AI investment, profitability and valuation

Too highly valued? Capex monetization is the new compass for market mood. Despite the recent correction, US technology and AI equities remain richly valued relative to earnings, with EV/EBITDA multiples near 25x, close to historical extremes and above telecom valuations preceding the 2000 dot-com peak. The core issue is no longer AI potential but timing: capex is expanding far faster than revenues, with a ~46% growth gap between investment and sales, exceeding the 32% divergence observed during the 2001 telecom excess cycle. Infrastructure is scaling ahead of monetization, forcing investors to question whether current valuations already price in profits that remain distant. As early expectations of rapid AI earnings acceleration fade, markets are recalibrating toward execution risk and cash-flow delivery. This cooling of sentiment may ultimately mark a healthy transition – from narrative-driven valuation to discipline anchored in tangible returns.

Figure 16: Relative valuation and growth differential of revenue and investment from US technology industry

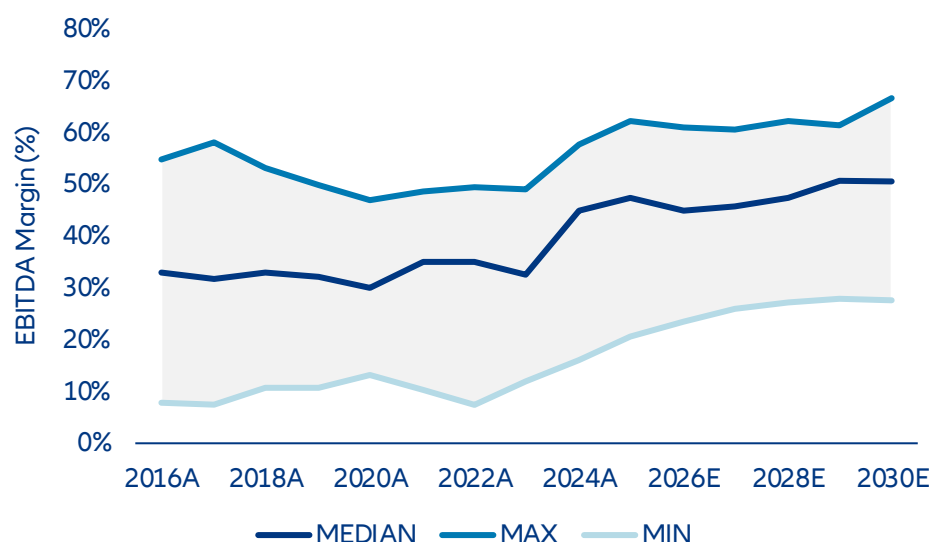


Data as of 16 march 2026. Sources: LSEG Datastream, Allianz Research

What are investors in Big Tech implying for AI growth and profitability? Assessing the profitability of AI-related activities remains challenging at the current stage of development. We are not trying to forecast the growth and profitability of AI companies but to form an opinion on legacy business contribution vs. AI expectations. We are also not trying to assess individual winners or losers but gauge sensitivities of the AI-complex to key assumptions. As a starting point we take consensus and past dynamics of legacy businesses. Segment disclosures and SEC filings (Forms 10-K and 10-Q) can be used to model legacy business activities separately, enabling a consistent projection of underlying operating performance. Given ongoing uncertainty surrounding AI monetization, particular emphasis is eventually placed on sensitivity analysis across key financial variables, with return on equity (ROE) serving as the central link between operating performance and valuation outcomes.

The changing capital intensity increasingly shapes the outlook for profitability. We focus on ROE which best combines the trade-off between capex and monetization. As illustrated in Figure 15, EBITDA margin development suggests that the expansion phase observed in previous years is gradually moderating. Amazon is an outlier at the lower bound, reflecting the still significant contribution of its lower-margin retail business, while hyperscalers remain influenced by the ongoing capex expansion cycle. Profitability remains structurally elevated, yet incremental improvements appear limited. This reflects the structural characteristics of large technology companies, many of which already operate with comparatively low cost bases and optimized operating structures. In fact, somewhat higher EBITDA margins are to be expected for a more capital-intensive business and still imply lower net profitability. However, we can resonate cloud margins with the insights we have on existing cloud businesses, e.g. from cloud providers. The sensitivity analysis shown in Figure 18 highlights what we see as key drivers for financial performance and investor assessment via valuation. Variations in EBITDA margins exert a slightly lower influence on long-term outcomes, whereas changes in revenue growth assumptions more materially affect projected profitability as measured in ROE. This is also reasonable as transparency on data center profitability can already be better judged from existing operations than the unknown revenue potential from additional AI adoption and speed.

Figure 17: EBITDA margin development and peer range (2016–2030E)



Sources: Bloomberg Intelligence, Allianz Research

With the profitability engine under scrutiny, ROE sensitivity will gain attention on top of sales growth. Within our financial analysis, capex monetization via revenue growth therefore emerges as the primary focus channel for financial performance, which we gauge by ROE. At the same time, the analysis highlights a delicate balance between investment intensity and returns. Our capex-to-sales sensitivity further illustrates this trade-off, as higher investment intensity would reduce ROE across identical growth scenarios, with returns declining from around c.25% to c.23–24%, even before considering potential margin pressure from faster hardware depreciation. In this framework, a capex-to-revenue ratio of around 23%, as discussed in the previous analysis of AI investment dynamics, would broadly correspond to the +5% capex scenario in our sensitivity table and therefore reflects a moderate 0.4pp increase in investment intensity relative to the base case. At the same time, the previously discussed estimate of around 200bps margin compression from faster hardware depreciation would broadly be captured by the -2% EBIT margin scenario in the sensitivity analysis and would translate into roughly a 1pp reduction in ROE, broadly consistent with the sensitivity illustrated in our framework. This indicates that expanding the capital base alone does not enhance profitability unless supported by sufficient revenue monetization. Big Tech companies rush into capex to ensure market share in the structural growth trend. This comes at the risk of higher capital base with insufficient monetization. A lower capital expenditure ratio combined with stronger revenue realization support higher ROE outcomes. Big Tech companies therefore appear to operate along a narrow path between sustained investment and maintaining stable return expectations.

Table 4: ROE sensitivity to growth, margin and capex assumptions

ROE		EBIT-Margin Increase				
		-5%	-2%	0%	2%	5%
5Y Sales CAGR	-5%	21.81%	22.59%	23.11%	23.63%	24.41%
	-2%	22.10%	22.89%	23.42%	23.94%	24.73%
	0%	22.29%	23.09%	23.62%	24.15%	24.94%
	2%	22.49%	23.29%	23.82%	24.36%	25.16%
	5%	22.78%	23.59%	24.13%	24.67%	25.48%

ROE		5Y Sales CAGR				
		-10%	-5%	0%	5%	10%
CAPEX	-10%	24.35%	24.86%	25.36%	25.87%	26.37%
	-5%	23.92%	24.43%	24.93%	25.44%	25.94%
	0%	23.50%	24.00%	24.51%	25.01%	25.51%
	5%	23.07%	23.57%	24.08%	24.58%	25.09%
	10%	22.64%	23.14%	23.65%	24.15%	24.66%

Source: Allianz Research

ROE is key – beyond being a profitability indicator it is also one driver for fair valuation. Forward valuation metrics based on consensus estimates suggest broadly stable to slightly moderating P/E ratios from c. 35x this year to c. 23-24x in three years. Technology equities therefore remain premium-valued, yet forward multiples indicate limited scope for further expansion. Market expectations appear increasingly focused on realized earnings delivery rather than additional valuation rerating. In this environment, future equity performance is likely to depend more strongly on the successful monetization of AI-related investments and sustained top-line growth, while multiple expansion plays a diminishing role and rests on long-term growth. High ROE is a key determinant for investors to inform a “fair” valuation multiple because it directly drives future earnings growth from retained earnings. What actually matters is the spread between ROE and cost of equity. The latter is also influenced by AI reshaping companies’ capex and sales via increased leverage and potentially higher revenue growth variability. Beta has increased from below 1.2 in 2016-24 to 1.5 in 2024-26. We apply our analysis on ROE to evaluate potential PE ranges for Big Tech and conclude that current valuations appear fair under current assumptions but with some sensitivity to sales and capex intensity. Via this multiplier, future financial performance will add an even higher impact for share price performance. The framework presented in Figure xx illustrates a sensitivity analysis, showing how different assumptions for five-year sales CAGR and capex intensity translate into varying long-term valuation outcomes, with the indicated PE centering around a c. 23x earnings multiple by 2030, consistent with a structurally strong but more mature profitability profile. Sensitivity on sales growth is highest and above implication from capex which anyhow is unlikely to drop notably soon while upside surprises are more likely and can be expected to dampen both, EPS and ROE via higher depreciation as well as PE.

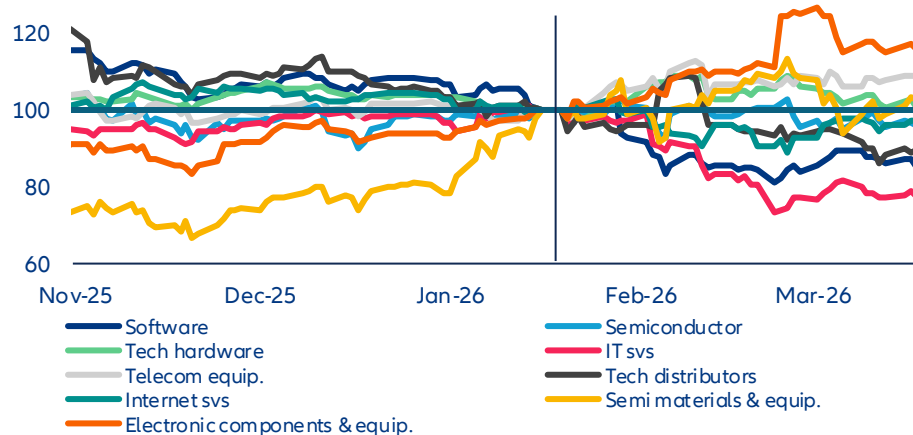
Table 5: Impact of growth and capital intensity on long-term valuation

		Sales CAGR (surprise p.a.)						
P/E		-9%	-6%	-3%	0%	3%	6%	9%
CAPEX (surprise p.a.)	-10%	23x	24x	25x	27x	28x	29x	31x
	-5%	22x	23x	24x	25x	26x	27x	29x
	0%	21x	21x	22x	23x	24x	25x	27x
	5%	20x	20x	21x	22x	23x	24x	25x
	10%	19x	19x	20x	21x	22x	22x	23x

Source: Allianz Research

The long-term outlook of the tech industry still looks rosy but uneven and unequal. We expect a more uneven performance trajectory for US technology stocks, with downside risks driven by valuation pressure and a broader shift toward risk-off positioning. Rotation away from megacap tech had already begun ahead of the Middle East escalation, suggesting that recent geopolitical events are amplifying, rather than initiating, the correction. Investor scrutiny is intensifying around the long-term monetization of elevated capex, particularly among hyperscalers, where the scale and timing of AI-related returns remain uncertain. At the same time, sentiment toward parts of the software sector is deteriorating, reflecting concerns over business model dilution as AI capabilities become more commoditized across corporate ecosystems. This combination is likely to sustain a degree of multiple compression and limit near-term upside for the most richly valued names. However, the outlook is not uniformly negative. Select segments within the tech value chain, notably semiconductors and infrastructure suppliers, continue to benefit from strong datacenter demand, with pricing dynamics potentially reinforced by rising commodity costs linked to geopolitical tensions. These areas appear structurally better positioned to capture near-term earnings visibility. In parallel, US leadership in AI infrastructure could attract incremental capital reallocation, particularly from Middle Eastern investors whose domestic investment pipelines may face delays. Over the longer term, the structural case for US tech remains intact, supported by innovation leadership and sustained demand for AI capabilities. That said, performance is likely to become more selective, with greater dispersion across subsectors and a less uniformly supportive environment than in previous cycles.

Figure 18: US equity performance of technology subsectors (rebased to 100 on 19 January)



Data as of 19 March 2026. Sources: LSEG Datastream, Allianz Research

These assessments are, as always, subject to the disclaimer provided below.

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Signal without response: Why the EU ETS needs resolve, not redesign

In Summary

Patrick Hoffmann
ESG & AI Economist
patrick.hoffmann@allianz.com

Maximilian Bong-Maurer
Investment Strategist
maximilian.bong@allianz.com

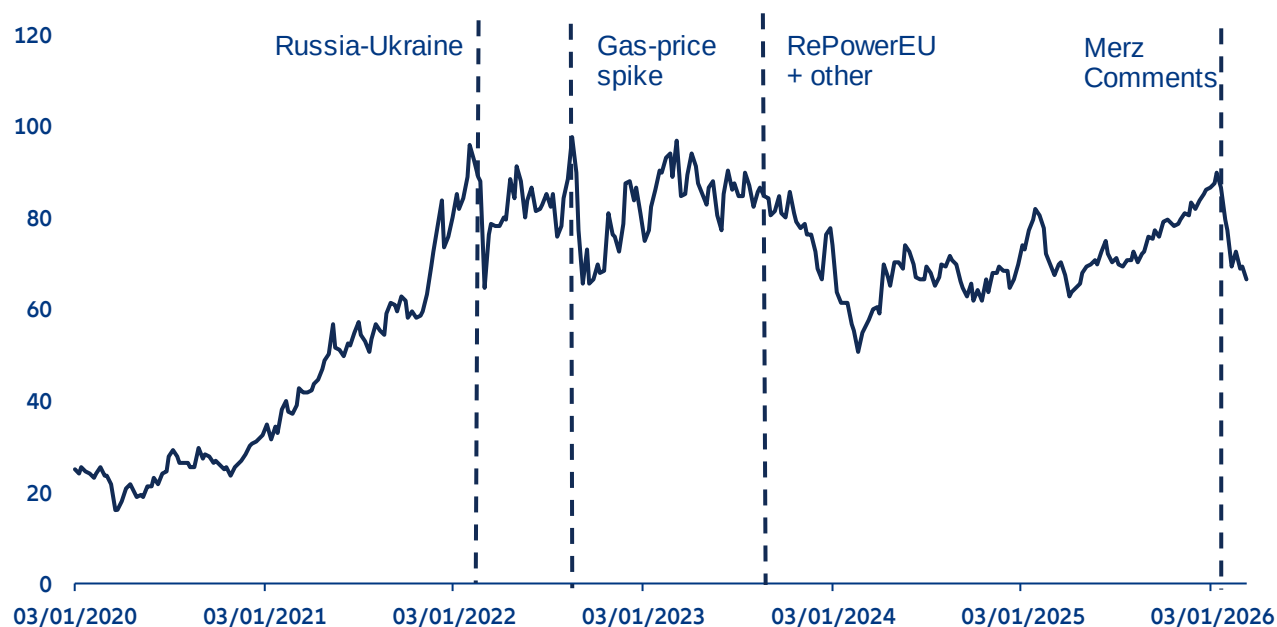
- **The EU Emissions Trading System (ETS) is at a political and structural inflection point, with allowance prices falling sharply by around -24% in the first two months of 2026. The conflict in Iran and associated energy price and inflation expectations have additionally spurred proposals to use the ETS as a lever for short-term price relief.** Unlike earlier episodes of price volatility rooted in energy-market fundamentals, the current turbulence reflects growing political questioning of the ETS's long-term design, compounded by concerns over industrial competitiveness as free-allowance phase-outs begin. Geopolitical pressure around Iran adds to this risk. The use of ETS revenues for price support or direct market intervention risk defeating the steering purpose of the system or creating dangerous lock-in effects.
- **Three ETS fault lines: free allocation has shielded more than 90% of industrial emissions from direct carbon costs but this is set to change; the ETS has driven substantial emission reductions in the power sector but not in industry and revenue recycling is falling short of its potential.** At current prices, full exposure would cost 0.9% of gross value added in the industry sector, a real burden for energy-intensive firms that cannot pass carbon costs through to customers given high energy costs, strong international competition and the limited offsetting potential of the Carbon Border Adjustment Mechanism (CBAM). Since 2005, power sector emissions have fallen by -54%, while industrial combustion emissions declined by a more moderate -33%. Renewables have made decarbonization viable at prices below EUR50/tCO₂, while industrial options such as green hydrogen and low-carbon steel carry abatement costs well in excess of EUR100/tCO₂. Persistent price uncertainty, with allowances oscillating in a EUR50–98/tCO₂ corridor since 2022, has further weakened the investment case for capital-intensive industrial transformation. Last, only 16% of recycled revenues flow back into energy and industry, the sectors directly covered by the ETS, while 51% is directed toward non-covered sectors. A cumulative EUR41bn went undeployed for climate action between 2013 and 2024, risking a financing trap where industry bears rising carbon costs without the capital needed to decarbonize.
- **ETS2 is better positioned than ETS1 but that advantage is eroding.** Unlike ETS1, where abatement economics were the binding constraint, low-carbon alternatives in transport and buildings are already cost-competitive. The remaining barriers are political and financial: EUR113bn in annual fossil-fuel subsidies undermining the price signal, policy reversals on fossil boiler phase-outs, unaffordable EVs and financing frameworks still unequipped to meet household-level transition costs at scale. With household exposure potentially reaching EUR420 per year by 2030, these are policy choices that should be addressed before the carbon price arrives in 2028.
- **The ETS does not need a redesign but rather targeted reforms to restore price credibility and close the investment gap.** Seven priorities stand out: establishing a credible long-run EUA price corridor; scaling up Carbon Contracts for Difference to bridge the abatement cost gap in hard-to-abate sectors; introducing binding revenue recycling standards linked to the new decarbonization bank; prioritizing shared infrastructure for CO₂ transport, hydrogen and industrial clusters; conditioning the free allowance phase-out on the availability of abatement technologies and transition funding; expanding CBAM to cover downstream sectors currently left exposed and ensuring ETS2 revenues are transparently earmarked for households most exposed to its regressive cost distribution.

The ETS under fire: Market volatility and political pushback

The EU Emissions Trading System (ETS) entered 2026 under unusual strain. After reaching a two-year high of over EUR92/tCO₂ in January, the EU Allowance (EUA) price corrected sharply by -14% within the same month and another -10% in February, falling to approximately EUR69/tCO₂ (Figure 1). While the initial drop was triggered by geopolitical uncertainty over US tariffs, the future of Greenland and Iran, the second leg of the decline came amid growing political critique from member states, including Germany and Italy, which called into question not only the phase-out schedule of free allowances, but the long-term design of the mechanism itself. This turbulence arrives at a particularly consequential moment as the European Commission conducts its review of the ETS to determine whether its architecture remains fit for purpose in light of evolving market conditions and the EU's 2040 climate targets.

The observed price volatility is not unprecedented within the ETS, but earlier episodes were driven by fundamentally different forces. Between 2020 and 2022, allowance prices rose sharply, reflecting the post-Covid demand recovery, strengthened EU decarbonization ambition and an accelerated free-allowance phase-out schedule. The Russian invasion of Ukraine in February 2022 reversed this trajectory as anticipated gas supply disruptions curtailed industrial output and reduced compliance demand. Prices weakened further in 2023 amid declining industrial activity and the injection of additional allowances to finance RePowerEU. As Europe's energy dependence gradually shifted from Russian pipeline gas to US LNG, geopolitical risk remained the principal external driver of price formation, with US trade policy increasingly substituting pipeline politics as the key source of market uncertainty. Across these episodes, price movements were primarily rooted in energy market fundamentals or deliberate supply-side interventions, rather than in a broader questioning of the ETS's institutional design.

Figure 1: ETS allowance price and key market drivers (EUR/tCO₂)



Sources: LSEG, Allianz Research

The key distinction from earlier episodes lies in the structural changes to the ETS taking effect from 2026, compounded by broader concerns about industrial electricity prices. From 2026 onwards, the free allowances allocated to European industry under the ETS begin to be phased out. The rationale was straightforward: as the Carbon Border Adjustment Mechanism (CBAM) enters into force to address international competitiveness concerns, the justification for shielding domestic industry through free allocation would progressively diminish, allowing the carbon price signal to drive further decarbonization. In practice, however, the transition has proved more contentious than anticipated. The CBAM, as finally adopted, covers a narrower set of sectors and a more limited range of emissions than originally proposed, leaving significant parts of European industry, particularly in downstream sectors, exposed to carbon costs without equivalent border protection. This concern is further reinforced by electricity prices that, while lower than their post-energy crisis peaks, remain structurally higher than those faced by key international competitors. At an EUA price of EUR65/tCO₂, the carbon cost component of industrial electricity bills can reach up to 9% in the most carbon-intensive power systems, which disproportionately affects energy-intensive firms for which energy costs represent a larger fraction of total expenditure.¹

Against this backdrop, political reactions have been swift. In Germany, the government announced plans to introduce a subsidized industrial electricity price of EUR0.05/kWh from 2026, roughly a third of the prevailing market rate, applicable to approximately 2,000 energy-intensive companies at an estimated fiscal cost of EUR3-5bn over three years. In Italy, a 2026 energy decree worth over EUR3bn proposed reimbursing gas-fired power plants for their ETS compliance costs, a measure that, given the role of gas in setting marginal electricity prices, would effectively decouple wholesale power prices from the carbon price signal. The European Commission has since opened a formal review of the measure's compatibility with EU state aid rules. Taken together, these interventions reflect a broader pattern in which the convergence of elevated energy costs and rising direct carbon-cost exposure is prompting member states to pursue unilateral measures that risk fragmenting the role of the ETS as a pan-European pricing instrument.

The conflict in Iran and associated energy price and inflation expectations have additionally spurred proposals to use the ETS as a lever for short-term price relief. These range from deploying ETS revenues for energy price support and adjusting the free allowance removal schedule to calls for direct market intervention to curb volatility. While some of these measures, such as the proposed ETS financed EUR30bn decarbonization booster, have their merits, others, such as the use of ETS revenues for price support or direct market intervention, risk defeating the steering purpose of the system or creating dangerous lock-in effects. The review of the ETS which was advanced to July 2026 is important and adjustments to the system can be warranted, however, the mechanism should not be misused as a short-term energy price management tool. For this purpose, other measures such as reducing non-steering levies on electricity including VAT, temporary state aid mechanisms for the most exposed energy-intensive industries, or targeted household transfers have a more direct and targeted impact on energy costs without undermining the carbon price signal the ETS is designed for.

Carbon costs in context: Limited exposure, rising trajectory

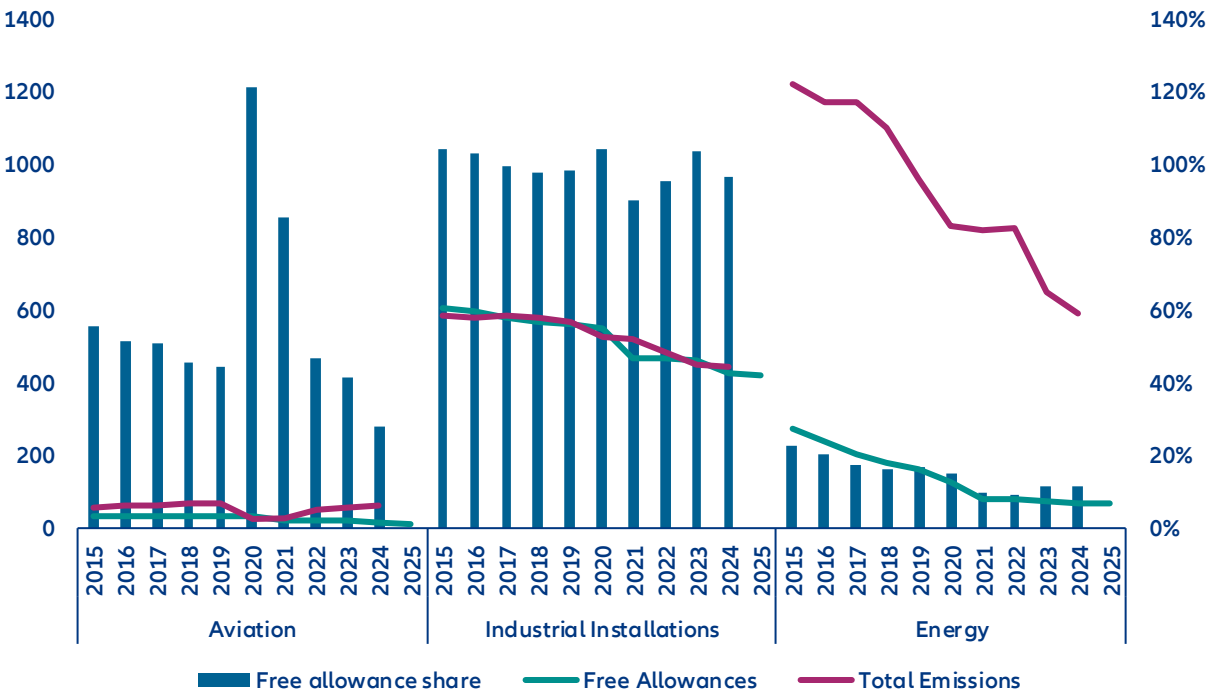
Despite the political concerns, the direct cost burden imposed by the ETS on European industry has thus far been limited. As shown in Figure 2, more than 90% of Scope 1 emissions in covered industrial sectors have been offset by free allowance allocation, effectively shielding most of the sector from direct carbon-cost exposure while some companies even generated profits from selling surplus allowances on the market. Even in a theoretical scenario with full emission coverage, ETS compliance costs in industry would amount to approximately EUR29bn, or around 0.9% of gross value added (GVA) across European industry in 2024 (Figure 3). The power sector bears a considerably higher burden in relative terms, at EUR38bn or 11.3% of sectoral GVA.

The concern is therefore less about the current level of exposure than its trajectory. Unlike utilities, industrial companies have limited ability to pass higher carbon costs through to consumers, making them more directly exposed to margin compression as free allowances are phased out. This is compounded by the gradual reduction in the overall supply of allowances, which will place upward pressure on EUA prices over time even

¹ [ECB](#)

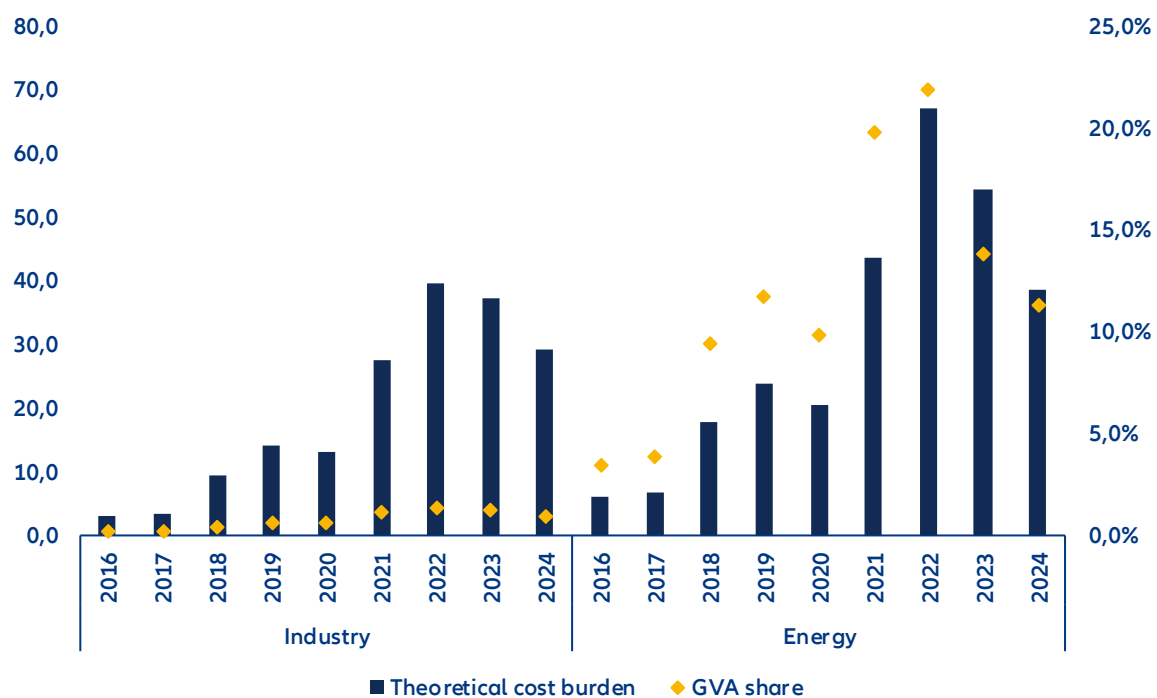
absent further policy changes. While the aggregate burden appears manageable at the economy-wide level, it is distributed unevenly across sectors and firm types, with energy-intensive industries facing the sharpest increase in net carbon costs as their allocation diminishes. A further structural issue is that the tradability of free allowances has not, in practice, generated the expected pace of industrial decarbonization. While the opportunity cost of holding rather than selling surplus allowances should in theory incentivize emission reductions, this mechanism has not translated into meaningful abatement investment across much of European industry. Understanding why requires looking beyond cost exposure to the sector-specific barriers that the carbon price signal has so far failed to overcome.

Figure 2: Sector emissions and free allowances (MtCo2, lhs) and free allowance share in total emissions (% , rhs)



Sources: EEA, Allianz Research

Figure 3: Theoretical cost burden under full exposure (EUR bn, lhs) and share in sector gross value-added (% , rhs)

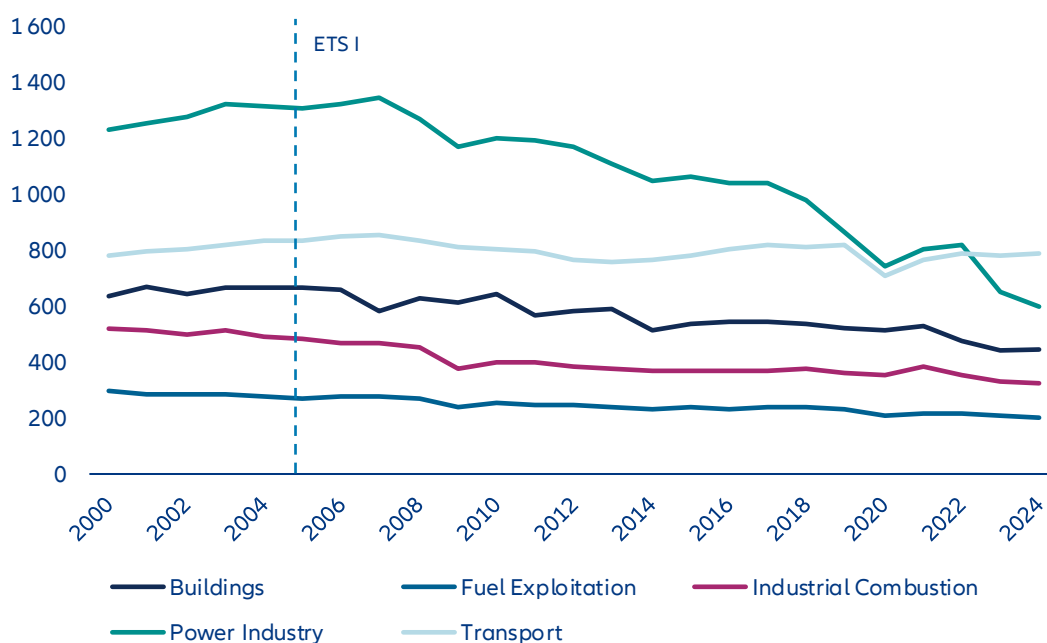


Sources: LSEG, Allianz Research

A tale of two sectors: Why carbon pricing works better for power than industry

The EU ETS has proven effective as a carbon-pricing instrument, yet its decarbonization impact varies markedly across sectors. Since its inception in 2005, emissions in covered sectors have fallen by more than -48%, compared with only -19% in non-covered sectors (Figure 4). However, the reduction is largely driven by the power sector, where emissions declined by -54%, while European industrial combustion emissions experienced a meaningful but more moderate decline of around -33%, reaching 324 MtCO₂ in 2024. While free allocation is one mitigating factor in industrial decarbonization, firms retain incentives to abate as surplus allowances can be sold on carbon markets. The more fundamental constraints lie in sector-specific abatement economics. The power sector benefits from relatively short investment cycles, readily available low-carbon substitutes and competitive market structures that facilitate fuel switching. Industry, by contrast, faces longer capital stock turnover, technologically embedded process emissions and decarbonization options with higher marginal abatement costs – that is, higher costs for reducing an additional ton of CO₂. These challenges are compounded by stronger exposure to international competition, which limits firms' ability to pass carbon costs through to product prices. As a result, carbon pricing may exert weaker investment and abatement signals in trade-exposed industrial sectors, even when allowances remain tradable.

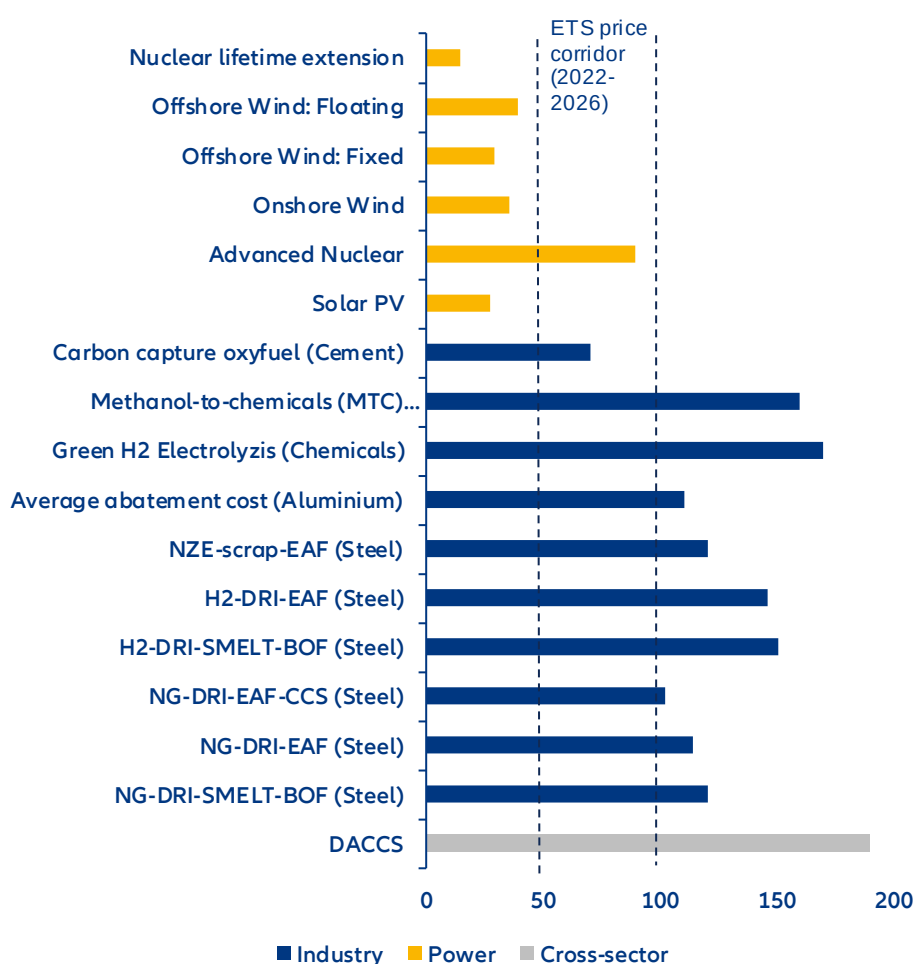
Figure 4: EU 27 emissions trajectory since introduction of EU ETS (MtCO₂eq)



Sources: JRC EDGAR

High marginal abatement costs and price uncertainty represent the two principal barriers to industrial decarbonization under the current ETS framework. While the power sector has benefited from dramatic cost reductions in renewables that enable technology switching at prices below EUR50/tCO₂, industrial decarbonization options such as green hydrogen, low-carbon steel and carbon capture typically carry abatement costs well in excess of EUR100/tCO₂ (Figure 5). This cost gap reflects both the technological complexity of transforming energy-intensive production processes and the fact that many promising abatement technologies have yet to reach commercial maturity, leaving firms exposed to considerable cost and performance risk. Persistent price uncertainty adds a further barrier: although the post-Covid tightening of allowance supply did generate upward price pressure, since the energy crisis of 2022 allowance prices have largely oscillated within a EUR50–98/tCO₂ corridor with considerable volatility. For capital-intensive investments with long payback periods and large upfront commitments, this unpredictability weakens the investment case precisely where long-term price credibility is most needed, and risks deferring the structural transitions that deep industrial decarbonization requires.

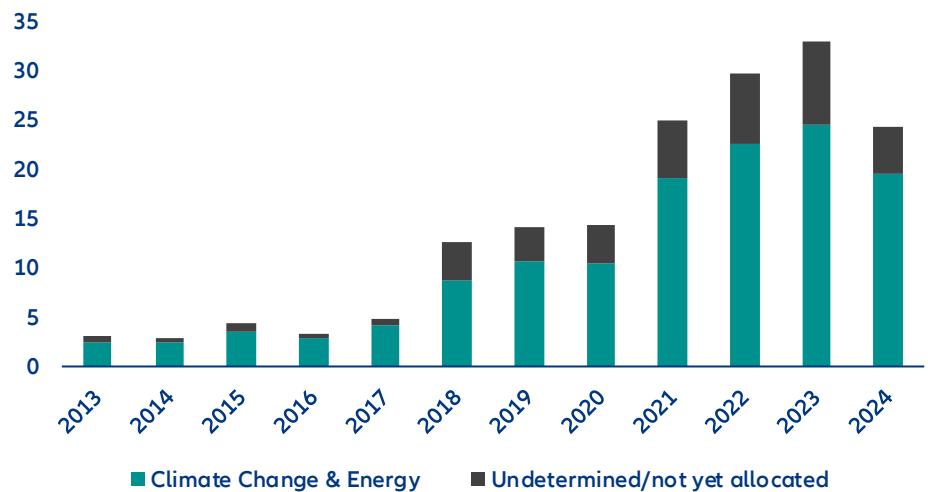
Figure 5: Abatement costs of selected decarbonization technologies by sector (EUR/tCO₂)



Source: Allianz Research based on Agora & Wuppertal Institute [1, 2], MPP, EDF and IEA; Note: Abatement cost estimates can vary widely depending on sector, technology and region specific factors. Depicted values indicate cost averages.

ETS revenue recycling represents a significant underutilized lever for bridging the industrial-abatement cost gap. While the ETS obliges member states to reinvest allocated revenues in climate-related action, the mechanism underperforms in two key respects: the completeness of fund deployment and the strategic targeting of investments. Between 2013 and 2024, 13–31% of ETS revenues per year have remained unallocated or lacked a specific climate purpose, producing a cumulative deficit of approximately EUR41bn in effective revenue recycling (Figure 6). This structural shortfall limits the extent to which the ETS revenue mechanism can complement carbon price signals and support industrial transformation.

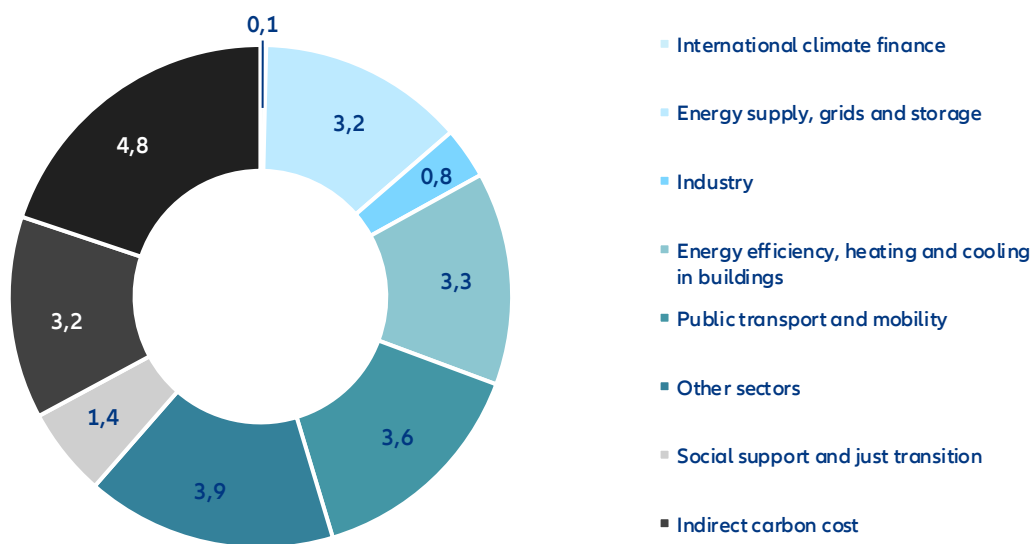
Figure 6: ETS revenue allocation gap (EUR bn)



Sources: EEA, Allianz Research

Of the funds that are recycled, the sectoral distribution raises further concerns. Only around 16% flows back into energy and industry transformation, the sectors directly covered under the ETS, while 44% is directed toward non-covered sectors such as buildings and transport (Figure 7). Although such cross-subsidization can be justified as a means of capturing near-term abatement opportunities and preparing these sectors for ETSII, an insufficient share returning to covered industries risks creating a financing trap, whereby firms bear the cost of carbon pricing without adequate access to the capital required to decarbonize. Equally important is the nature of recycling itself: in 2024, 13% of ETS revenues were directed toward "indirect carbon cost compensation" for energy-intensive industries, offsetting the very cost pressure the ETS is designed to create and thereby weakening the incentive to decarbonize. The same is true of support directed at technologies that have already reached cost-competitiveness, such as feed-in tariff schemes for mature renewables, where additionality is limited. To improve the efficiency of ETS revenue recycling, all revenues should be directed toward high-additionality decarbonization activities, ensuring covered sectors are not left underfinanced in the transition.

Figure 7: ETS revenue allocation by sector and purpose (%)

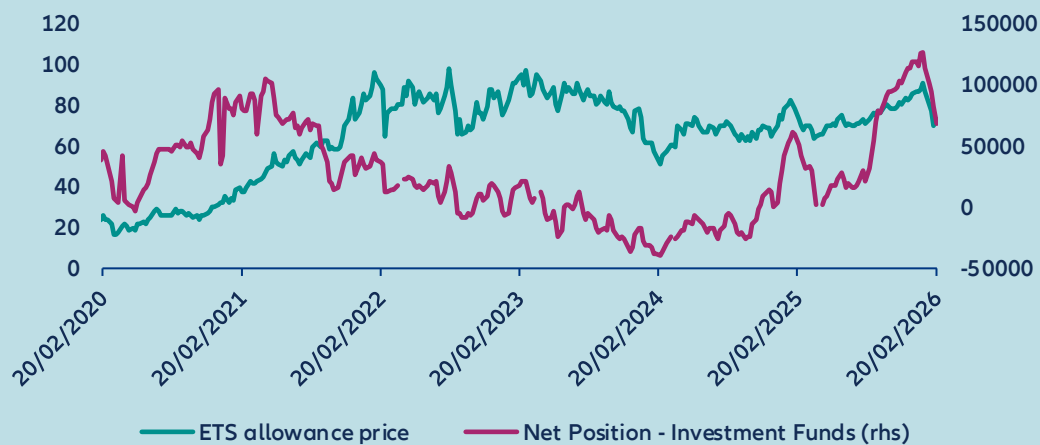


Sources: LSEG, Allianz Research

BOX 1: What is the effect on capital markets?

The financial sector constitutes a primary participant in EU ETS secondary-market trading by volume. While non-financial corporates and compliance entities accumulate net long positions, banks predominantly serve as counterparties on the short side. Investment funds represent a smaller but notable participant cohort, exhibiting positioning dynamics that more closely reflect prevailing market expectations for price developments. Following the Russian invasion of Ukraine, funds rotated to net short positions, consistent with anticipated contractions in industrial output and EUA demand (Figure 8). This positioning reversed to net long in November 2024, before funds began unwinding exposure in early January 2025, contributing to the pronounced price decline observed over that period. Prior to the price decline, investment funds had built up a record net-long position.

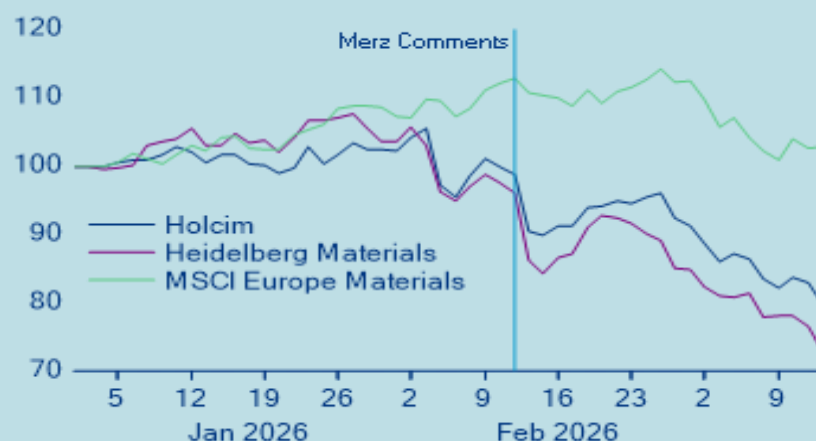
Figure 8: Investment funds' net positioning in EUA futures



Sources: Bloomberg, Allianz Research

The ongoing policy debate surrounding the future of the EU ETS has materially influenced investor expectations, particularly within the cement sector. Following the news of discussions on the future of the EU ETS market, the share price of Heidelberg Materials and Holcim, which are seen as transition leaders in the industry (see Transition Pathway Initiative assessment, for example), underperformed the broader materials sector (Figure 9). A prolonged phase-out of free allowances would disproportionately disadvantage companies that have already committed significant capital to decarbonization. Firms that invested early in low-carbon technologies or operational upgrades incurred substantial costs in anticipation of a tightening regulatory environment and rising carbon prices – an environment in which their abatement investments would generate a clear competitive return. An extension of free allocation effectively subsidizes higher-emitting peers, compressing the cost differential between decarbonization leaders and laggards and eroding the competitive advantage that early movers sought to secure. Simultaneously, lower prevailing CO₂ prices reduce the financial viability of capital-intensive abatement technologies such as Carbon Capture, Utilization and Storage (CCUS), for which the economic case depends critically on a sufficiently high and predictable carbon price signal. In aggregate, policy signals pointing toward a more lenient allocation regime risk undermining both the relative positioning of decarbonization leaders and the broader investment case for emission-reduction technologies across the sector.

Figure 9: Price reactions in European cement equities following statements on EU ETS reform



Sources: LSEG, Allianz Research

EUA price dynamics represent a meaningful driver of equity returns in carbon-intensive sectors. To quantify this relationship, sector index returns were regressed on both STOXX Europe 600 returns and the returns of rolled December EUA futures contracts from 2022 onwards. The results reveal a statistically significant and negative coefficient for EUA returns in the case of the STOXX Europe 600 Construction Materials Index and the STOXX Europe 600 Chemicals Index, indicating that rising carbon prices weigh on equity performance in these sectors. By contrast, no such relationship was identified for the STOXX Europe 600 Utilities or Basic Resources subindices. In the case of Basic Resources, this outcome is largely a function of index composition, given the limited share of steel producers among its constituents. For Utilities, the absence of a significant carbon price sensitivity is more structural in nature, reflecting the sector's substantial progress in decarbonization over recent years and the correspondingly reduced reliance on purchased allowances.

For now the market seems to price in an extreme scenario of adjustments to the EU ETS for some of the affected companies rather than a delayed phase out. Changes to the EU ETS are necessary to improve its effectiveness, but the phase-out of free allowances should continue. For investors aiming to decarbonize their portfolios and invest into transition leaders, these market reactions present a good opportunity to build up exposure to companies in hard-to-abate sectors that are actively decarbonizing their operations and that have credible transition plans.

Bracing for impact: Getting buildings and transport ready for ETS2

The EU ETS experience offers both a proof of concept and a cautionary tale for the next phase of European carbon pricing. Confirmed to begin in 2028 following a one-year delay, ETS2 will extend carbon pricing to fuel combustion in buildings and road transport, sectors that together account for 52% of EU greenhouse gas emissions and where decarbonization progress has significantly lagged. Unlike ETS1, ETS2 will operate as a separate emissions trading system with its own distinct carbon price, reflecting the different cost structures and abatement dynamics of these sectors. Regulated entities will be fuel distributors rather than end-users, who will bear the cost indirectly through fuel prices. To limit affordability pressures during the start-up phase, ETS2 includes a transitional price cap of EUR 45/tCO₂ in 2023 real terms (approximately EUR 59/tCO₂ in nominal 2028 terms), below which the carbon price is prevented from rising freely. The central lesson from ETS1 is that carbon pricing works when abatement alternatives are cost-competitive and enabling infrastructure is in place before the price signal bites. The cap is therefore an acknowledgment that those conditions are not yet fully met, and that the transition needs time to mature before the full price signal can do its work.

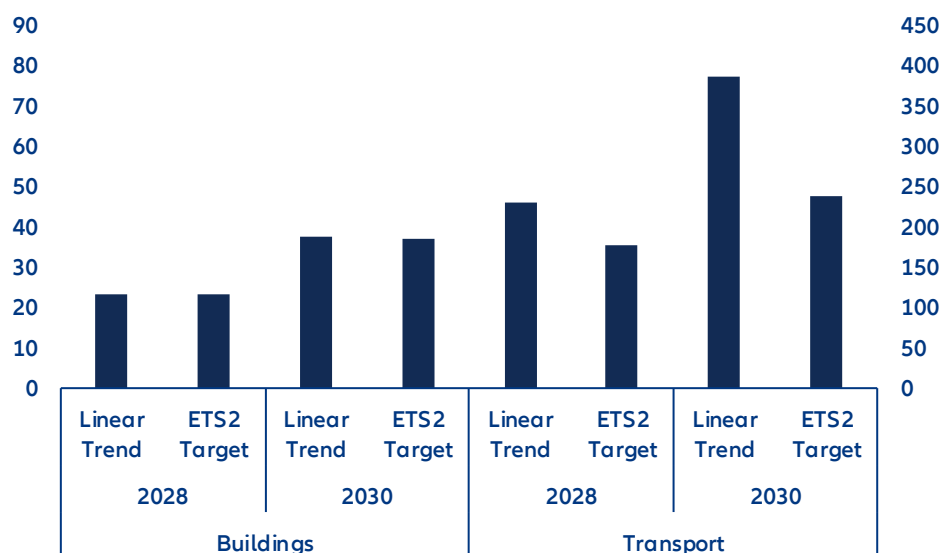
Cost-competitive low-carbon alternatives exist in both sectors, but remain underdeployed. In road transport, battery costs have fallen by over -75% since 2015, yet European consumers have not fully benefited. Pack prices in Europe remain around 56% above Chinese levels, and carmakers' focus on high-margin premium models pushed the average EU EV price up by EUR 5,000 between 2020 and 2024 to EUR 44,600.² Passing battery cost reductions through to vehicle prices, alongside a continued expansion of charging infrastructure, will be essential to make EVs cost-competitive before ETS2 enters into force. In buildings, accelerating energy-efficiency renovations, expanding heating networks in urban areas and scaling heat pump adoption are the central levers, yet all three face high upfront costs that current financing frameworks are not yet equipped to meet at scale.³

Closing these gaps before 2028 is urgent as inaction carries a measurable cost. In a pessimistic scenario with full sector coverage and only marginal reductions in emissions over the coming years, the annual ETS2 cost could be as high as EUR 69bn by 2028 and EUR 114bn by 2030 (Figure 10). Should ETS2 achieve its targeted 42% emission reduction against 2005 levels, these figures fall to EUR 58bn in 2028 and EUR 85bn in 2030. While this would alleviate some of the pressure on households, decreasing the cost burden by 15%-26%, the annual additional household expenses could come in as high as EUR 420 per year by 2030. Reducing these costs is achievable, but hinges on adequate redistribution and well-designed supporting policies.

² [BNEF](#) and [T&E](#)

³ For a more detailed analysis on heat pumps see [The heat is on: Unlocking Germany's heat-pump potential](#)

Figure 10: Projected ETS2 revenues per sector: annual total (EUR bn; lhs) and per household (EUR; rhs) under full sectoral coverage



Sources: JRC EDGAR, Eurostat, Allianz Research; Note: For 2028 an initial maximum allowance price of EUR59/tCO₂ was assumed which increases to EUR100/tCO₂ in 2030; The ETS Target scenario is based on the 42% ETS reduction target for 2030 while the linear trend assumes an annual emission reduction rate aligned with the average annual reduction over the last 20 years

Making ETS2 work requires addressing these conditions well before the carbon price arrives. ETS1 revenues have already been partially directed toward buildings and transport, providing a foundation on which ETS2 can build, but the gaps remain substantial. Fossil-fuel subsidies across the EU still amount to EUR113bn annually, suppressing the relative cost of carbon-intensive heating and driving and blunting the investment case for cleaner alternatives. A credible partial phase-out would simultaneously strengthen price incentives and free up fiscal space for the infrastructure and household support the transition requires. Equally important is policy consistency as repeated reversals on fossil boiler phase-outs, subsidy schemes and regulatory timelines have fostered a wait-and-see mentality among households and investors, deferring the long-cycle decisions on heat pump installations, building retrofits and EV purchases that need to be made within the coming years.

Social acceptability is the defining political challenge for ETS2, given that its costs fall more directly on households. The aggregate macroeconomic impact is manageable: at a carbon price of EUR 59/tCO₂, the estimated inflationary effect amounts to approximately 0.54pp, while the GDP impact is projected at around 0.02pp provided revenues are recycled rather than absorbed into general fiscal accounts.⁴ However, these aggregate figures mask a regressive distribution, with lower-income households facing a disproportionate burden as energy and transport represent a larger share of their expenditure. Ensuring that revenues are recycled toward those most exposed, through direct transfers, subsidized access to low-carbon technologies and investment in shared infrastructure, will therefore be central to maintaining the public legitimacy on which ETS2's long-term viability depends.

From price signal to investment signal: Seven priorities for ETS reform

The EU ETS is fundamentally sound, but the political commitment to making it work has not matched its ambition; what the system requires is not a redesign but the resolve to make it effective and predictable. The core challenge is not that the ETS is too stringent, but that it has failed to provide the certainty and complementary support that capital-intensive industries require to commit to deep decarbonization. That failure carries a forward-looking dimension: With ETS2 set to extend carbon pricing to buildings and road transport from 2028, the structural lessons of ETS1 – on price credibility, revenue recycling and enabling infrastructure –

⁴ See [Climate policy: Europe's industrial shield or a drag on competitiveness?](#)

are also the design requirements that will determine whether the next phase succeeds. The following seven recommendations address this commitment gap and represent the priorities the Commission should act on in its 2026 ETS review:

- 1. A credible and predictable EUA price path is a prerequisite for long-term investment planning in carbon-intensive industries.** Many of the most consequential decarbonization decisions, such as switching to hydrogen as an industrial feedstock, involve long capital cycles and require sufficient and stable carbon price expectations to be financially justified. The Market Stability Reserve has broadly fulfilled its role in correcting surplus-driven price weakness, but should be refined to better contain sharp volatility and support a credible long-run price corridor. Publishing a transparent indicative price trajectory would materially reduce investment uncertainty and strengthen the carbon price as a basis for industrial decision-making.
- 2. Bridging the abatement cost gap requires scaling up Carbon Contracts for Difference (CCfDs) as a primary instrument for de-risking investment in breakthrough technologies.** CCfDs work by guaranteeing producers a fixed return for low-carbon production, paying out the difference between an agreed strike price and the prevailing carbon price when the latter falls short of what is needed to make the investment viable. This ensures that decarbonization investments in hard-to-abate sectors such as steel, cement, and chemicals remain financially attractive independent of carbon price volatility. Scaling up CCfD programmes and ensuring sufficient public backing to underwrite strike price commitments should therefore be a central priority of the ETS reform agenda.
- 3. Revenue recycling must be made more effective through binding standards that prevent underspending and ensure funds are directed toward activities where additional decarbonization can be achieved.** The newly established decarbonization bank provides a potential vehicle for channeling industrial transformation funding at scale, and its mandate should be explicitly linked to ETS revenue flows. Alongside this, a coordination mechanism is needed to prevent unilateral national measures, such as subsidized industrial electricity prices or ETS cost reimbursements, from fragmenting the integrity of the pan-European carbon price signal. The same discipline must apply to ETS2 revenues from the outset: the EUR113bn in annual fossil-fuel subsidies across the EU that currently suppress the relative cost of carbon-intensive heating and transport represent both a fiscal and a political opportunity. A credible phase-out would simultaneously strengthen price incentives and free up resources for the household support and infrastructure investment that ETS2 requires.
- 4. Decarbonization of energy-intensive industries also depends on shared infrastructure that no individual firm can finance alone.** Public investment should prioritize CO₂ transport and storage networks, hydrogen pipelines and the development of industrial clusters where infrastructure costs can be pooled. Without this foundation, even well-funded firms face structural barriers to acting on the carbon price signal.
- 5. The phase-out of free allowances should continue, but its pace must be made more explicitly contingent on the availability of abatement technologies, transition funding and infrastructure.** A phase-out that runs ahead of these enabling conditions risks creating a financing trap in which firms face rising compliance costs without a viable decarbonization pathway. The schedule should also incorporate a more systematic assessment of carbon leakage risk and competitive asymmetries, particularly for sectors not yet fully covered by CBAM.
- 6. The Carbon Border Adjustment Mechanism should be expanded to cover downstream sectors and indirect emissions currently left exposed by its narrow adoption.** As free allocation is phased out, border protection must keep pace to ensure that European industry is not placed at a structural competitive disadvantage relative to international competitors operating under less stringent carbon regimes. A broader CBAM scope is therefore not only a competitiveness measure but a precondition for the phase-out of free allocation to proceed without undermining the industrial base the ETS is intended to transform.
- 7. Social acceptability must be treated as a first-order design requirement for ETS2, not an afterthought.** Unlike ETS1, where carbon costs fall primarily on industrial firms, ETS2 will reach households directly through fuel prices for heating and road transport from 2028. The cost distribution

is regressive by nature – lower-income households spend a larger share of their income on energy and transport and will bear a disproportionate burden unless revenues are actively recycled toward direct transfers, subsidized access to low-carbon technologies and investment in shared infrastructure. Ensuring that ETS2 revenues are transparently earmarked for those most exposed is not merely an equity concern: it is the precondition for maintaining the public legitimacy on which the long-term viability of European carbon pricing depends.

These assessments are, as always, subject to the disclaimer provided below.

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